

City Union Bank Ltd. (CUB)

Conference call transcripts, oldest-first. 13 call(s). Generated 2026-06-08.

Call: Jun 2023

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"City Union Bank
Q4 & FY2023 Earnings Conference Call"

May 26, 2023

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City Union Bank Limited
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Page 2 of 27 Moderator: Ladies and gentlemen, good day and welcome to Q4 and FY2023 Earnings Conference Call of City Union Bank hosted by Ambit Capital. As a reminder, all participant lines will be in the listen-only mode and there will be an opportunity for you to ask questions after the presentation concludes. Should you need assistance during the conference call, please signal an operator by pressing '*' then '0' on your touchtone phone. Please note that this conference is being recorded. I now hand the conference over to Mr. Prabhal Gandhi from Ambit Capital. Thank you and over to you!

Prabhal Gandhi: Thank you Jayshree. Good evening everyone. Thank you for dialing in. On behalf of Ambit Capital, I welcome you all to Q4 earnings call of City Union Bank. We have with us Dr. N Kamakodi, MD and CEO and Mr. J. Sadagopan, CFO. Without further ado, I will hand over the call to Dr. N Kamakodi for his opening remark post which we will open the floor for Q&A. Thank you and over to you Sir.

N. Kamakodi: Good evening everyone!

Hearty welcome to all of you for this concall to discuss the audited financial results of City Union Bank for the 4th Quarter / Year ended 31.03.2023. The Board approved the results today and I assume you all have received the copies of results and the presentation. You might also have seen announcement of 3 year extension approved for MD. Succession planning will start in about one to one and half years time.

At the beginning of the last financial year, during Q4 FY22 concall, we shared our expectations that our growth will be low to middle double digit and we did not have visibility of brighter growth because of War, Oil price, Macro instability etc. Though we were not bullish during the beginning of last financial year, outlook improved during the middle of the year. But unexpected developments affected the progress. All those things are behind us now.

FY 23 had been a decent year of progress despite the above challenges we faced. Most of the parameters like PAT growth, reduction in NPA, ROA growth etc had been broadly in line on annual basis while the growth was below the expectation levels. As you all know, we had tightened underwriting process even before the City Union Bank Limited
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Page 3 of 27 Covid when our approval rate for new customers logins which used to be 45%-50% was brought down to around 25%.

We did not make any change in our composition of advances. Major segment is MSME with 43% share and much of the advance came from Gold loan which is presently 25% of our advances. Historically, we did not concentrate much on the segments like Housing, Credit card segment, vehicle loans, personal loan, loan against properties as well as co-lending model. Now we could see that our peers are growing in these segments. Based on our learnings in the last 3 – 4 years , we are at the verge of finalizing Boston Consulting Group (BCG), as our consultant to upgrade our existing digital lending processes. The approval proportion should

progressively increase in the next few quarters. We are aiming for 12% to 15% growth for the current year which should be skewed towards year end. No major change is expected in composition of advances.

As discussed in the last quarter concall, we could not recognize interest subvention part of Agricultural KCC Jewel loan. We have completed necessary compliance for the 'Scale of Finance' and the required audit process. Post concall, we received one installment and waiting for the rest. This is a good sign.

At the year beginning, we

estimated the slippage for FY 23 to be in the range of 2.5%-3.0% of closing advances. In addition to those accounts which are marked as NPAs by system automation, based on our past learnings, we have identified and recognized some accounts as NPAs in Q4 FY 23 which are showing signs of sickness but are not marked by the system as NPAs. After taking in consideration of all these, our slippage for FY 23 was at 3.02% which is 2 bps higher than our expected range. Our Gross NPA stood at Rs.1920 Cr as of 31.03.2023 and GNPA ratio stood at 4.37% as against 4.70% in FY 22. We expect good moderation in slippage this year. At the same time the recovery has improved substantially during FY 22-23. We had a total recovery / upgradation of Rs.1,107 Cr in FY 23 comprising of Rs.813 Cr from live accounts and Rs.294 Cr from technically written off accounts compared to Rs.795 Cr comprising of Rs.607 Cr from live accounts and Rs.188 Cr from TW accounts in FY 22. The NPA addition minus total recovery for FY 23 improved to Rs.222 Cr from Rs.481 Cr in FY 22. Net NPA also improved from 2.89% in FY 22 to 2.36% in FY 23 and it reduced sequentially from 2.67% in Q3 FY 23 to 2.36% in Q4 FY 23. We expect further substantial improvement in recovery in the current year also to get NNPA back to pre-covid level in the coming

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Page 4 of 27 4-5 quarters. In this process we expect that coverage ratio also to improve – with TW over 70% and without TW over 50% in a few quarters.

The overall SMA 2 to total advance now stands at 1.82%. It used to be around 6% during pre-Covid. Our standard restructured asset also reduced to 2.85% of total advances as of March 2023 from the peak of 5.91% to total advances in Sep-2021. As you all know we had tied up with 6 insurance companies covering life, general and non-life insurance. They have also started showing results. During 2019, we had bancassurance commission of Rs. 9 Cr which had improved to Rs.27 Cr in FY 23. We expect that it will improve further in the coming years.

In addition to the COD increase, the non-recognition of interest subvention amount had also reduced our NII in the last couple of quarters and our NIM for the current quarter ended with 3.65% and for FY 23 it closed with 3.89%. We expect that there will be pressure in NIM because of deposit re-pricing is widely envisaged across industry. Our Cost to Income ratio for FY 23 is reduced to 38.85% as compared to 40.37% in FY 22. In the absence of treasury profit the CIR will stay in the range of 42 % - 45% in the next financial year.

During mid-FY 21 at the peak of Covid, we said that we should be getting back to pre-covid ROA of 1.50% by second half of FY 23. During H1 FY 23, we had achieved a PAT of Rs.500 Cr and ROA of 1.59% with unexpected contribution from various quarters like treasury profit, write back from NCLT recoveries etc. Those opportunities are not available now. Though there were challenges in growth, NIM reduction, lower contribution from other income front and also marking of NPAs in addition to system marked NPAs, we closed the FY 23 with ROA of 1.46% which is closer to our long term average of 1.50%. We hope to close FY 24 also with the ROA of 1.50%. NPA recovery will be a major contributor. Though there will be challenges in H1 FY 24 for PAT growth, it will be compensated in second half because of both business growth and improved NPA recovery.

Our PAT had registered a growth of 23% and stood at Rs.937 Cr in FY 23 as against Rs.760 Cr for FY 22. This year also we expect 12% - 15% growth in annual profit in tune with business growth and improved recovery.

To sum up, Despite headwinds in margins, base figures and growth, we expect that we should be closing FY 24 with decent PAT growth, substantial reduction in

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Page 5 of 27 net NPA, improved coverage ratio and ROA close to our long term average of

1.50%. So this is the overall outlook whatever we are having for the FY2024. There were certain unexpected issues which created some dent in the last year and those issues are behind us. So with these opening remarks, I open the forum for question. Over to you all...

Moderator: Thank you very much. We will now begin the question and answer session. We have our first question from the line of Mona Khetan from Dolat Capital. Please go ahead.

Mona Khetan: Good evening. So just taking up from your opening remarks you mentioned that there will be increased focus towards retail, but also you mentioned that loan mix is unlikely to change in FY2024 is that what I got correctly?

N. Kamakodi: No, I did not say that I will concentrate on the retail. What I am trying to say is many of our peers have shown greater growth in the retail, but we may be thinking of it maybe for the 2024-2025. Currently we do not expect any major change in our overall loan mix is what I said.

Mona Khetan: Got it and as far as margins trajectory is concerned even in H1 of next fiscal do we feel that 3.85% to 4% will be doable or will they be relatively muted?

N. Kamakodi: There will be maybe 10 to 15 basis points lower than that like whatever range we gave it in the past. The Q4 average is 3.65%. So our margin will be around this range for the current year because you will be having one end there is some interest rate hike has been passed on during the Q4. At the same time there will be impact on cost of deposit front due to repricing and hike will be there. Also we are having the disadvantages of not able to recognize some part of KCC subvention. So based on that we are making the expectation with the available data and this is where we are.

Mona Khetan: Okay full year margins will be closer to what you saw in Q4 of FY2023?

N. Kamakodi: Yes plus or minus 10 basis points.

Mona Khetan: Got it and just finally in FY2024 if I understand it right you are also moving to CTC based salary structure for the employees?

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Page 6 of 27 N. Kamakodi: This year's increment will be the last of the time scale based increment and the actual impact of the CTC basis will be visible only next year.

Mona Khetan: Okay so is that why we are expecting the cost ratio to be higher this fiscal or just because of the lower topline?

N. Kamakodi: No basically last year in the first half we had a good amount of profit from the treasury and also lump recovery from the NCLT accounts which gave a lot of addition to the other income. Those facilities are not available. As I told you more than Rs.200 Crores of benefits we have got from NPA slippage minus recovery front for FY2023 compared to the FY2022. So this year we will be getting even improved benefit from that slippage minus recovery front which will be compensating us for all the dent in the net interest income and non availability of other income opportunities from the treasury and all such fronts. So overall in the first two quarters since you do not have the opportunities from the treasury and we had Rs.500 Crores profit in the first half. Profitability growth over and above that in the first half will be challenging and it will be getting compensated in the second half. Despite all these things we are confident of having whatever PAT growth and ROA we are expecting for the next year for which we are having the visibility.

Mona Khetan: Sure Sir thank you so much. I will come back in the queue. All the best.

Moderator: Thank you. We have our next question from the line of Rohan Mandora from Equirus Securities. Please go ahead.

Rohan Mandora: Good evening Sir and thanks for the opportunity. Sir when we are guiding for a NIM of around 3.65% plus or minus 10 basis points for FY2024 and a ROA which in 4Q was around 1.3% and we are guiding for a 1.5% kind of a ROA for FY2024. So just want to understand what will drive ROA improvement and in 1H also we have

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guided no growth in profitability vis-à-vis the last year 1H?

N. Kamakodi: Major agenda whatever that will be driving is the improved recovery which we were not having during the 2021. As I told you we had the addition minus recovery of NPA actually let us say you had already seen about Rs.250 Crores or so difference between the last year and the current year and from this year to next year also based on our analysis of the NPA that is giving us enough comfort that we should be able to maintain our overall ROA number and PAT growth

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Page 7 of 27 simultaneously seeing the reduction in the net NPA number also. Major driver for PAT growth this year along with the growth in the business in the second half major driver is going to be the improvement in the recovery as we have demonstrated compared to between FY2023 to FY2022 in terms of slippage minus recovery.

Rohan Mandora: Sir what will be the expected credit cost that we are billing for FY2024?

N. Kamakodi: See actually if you look into the presentation the provision you made net of the recoveries you made in the technical write-off, it comes to about 90 basis point for the FY2023. The similar number was about 0.82 for FY2018 and 54 basis points for the FY2019 which increased to about 1.5 and 1.3 in subsequent quarters. So what I basically want to convey is that you have already seen Rs.200 Crores increase in the addition minus collection between FY2022 to FY2023. We expect similar jump in the current year also.

Rohan Mandora: So the net slippages that you are saying there will roughly?

N. Kamakodi: As you have seen already the SMA2 numbers have also substantially come down. The restructured standard assets have also started substantially come down. So our incremental both in terms of the slippage we expect a reduction and also the recovery numbers are also improving what we have already started seeing. So these items are going to be a major driver for the PAT growth and improvement of ROA for the FY2023-FY2024.

Rohan Mandora: So the credit cost can fall down to 50 to 60 basis points for FY2024?

N. Kamakodi: I do not have an exact number. It will finally depend upon where you want to keep your net NPA because that will be a moving target so that is why I will have some flexibility on that and that is why I give you a broader picture on this. That decision we will be taking as we enter into the year.

Rohan Mandora: Sure and secondly on the loan growth. For FY2024 like when we are taking about the back ended growth and the target of 12% to 15% so just want to understand like are there any newer products that we would look to launch or any geographical expansion or this is going to be mainly coming from the same geographies and the same product profile that we are operating in. When we are
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Page 8 of 27 seeing the growth will be back ended in the year? What kind of a growth one can expect in the first half vis-à-vis the period and number of March 2023?

N. Kamakodi: The point is the current level of growth rate only will be there in the first half. As I told you we had in fact pulled down the approval rate for new customers from about around 50% to 25% just before the COVID and we thought we will be releasing that in the FY2022-2023 and keeping that in mind only I also shared with you all that we will be going for a better growth rate. We had to revisit the entire processes and put in place and those things are almost completed and also to ensure for the better measurement of risk we are also in the process of tying with BCG so that our existing digital lending processes for MSME loans also needs some amount of fine tuning and all. Those things like maybe the current level of growth will be continuing for the next couple of quarters. These issues will take a shape and we will be in a position to see improved growth rate in second half.

Rohan

Mandora: Sure Sir and lastly the question that I wanted to ask was that on this approval rate of 25%. So it is a function that the proposal that we are getting from the market right now are not credit worthy enough to be sanctioned or is it just from a process perspective, we continue to remain slightly more conservative and that why is the approval rate is low?

N. Kamakodi: If you remember, along with the Q2 results of the FY2019-FY2020 before COVID, we said we are tightening our growth and we are taking our legs off the growth pedal. At that point of time, we tightened and the inflow is almost average. At the beginning of the last financial year, we did not have confidence. In the middle of the year, we started getting the confidence. We said we will be starting to open that but unfortunately we could not do that last year so we are starting to open that. At the same time, fine tuning the other digital processes are also going to happen parallelly so this is how we see this year will pan out to be.

Rohan Mandora: Sure Sir thanks. I will get back in the queue for other questions.

Moderator: Thank you. We have our next question from the line of Prakhhar Agarwal from Elara Capital. Please go ahead.

Prakhhar Agarwal: Thanks for the opportunity. Sir just taking forward from the last participant's question in terms of growth that we saw was it also a function of competitive intensity on the ground or something? How do you look at MSME ecosystem

Page 9 of 27 around wherein you are dealing with in terms of health and that is why our approval rate was slow and what was the logic behind not increasing the approval rate from earlier that you talked about from 25% that we reduced during COVID? Why was it not raised during the second half which you anticipated it to increase? N. Kamakodi: See as I told you it has nothing to do with the competitive intensity or anything like that. The major item that happened in the second half particularly on the restructured assets, regulatory inspection, divergence and all, we had to learn some lessons and we had to ensure that the internal things are taken care of and those things do not happen again. To ensure all the things are in place, we decided to postpone our time taken to push for the growth so we just continued with whatever we had done during the pre COVID. Those issues are now by and large behind us. At the same time some fine tuning is necessary which we have found out that in our digital processes particularly on the measurement of risk, revisiting our model and all, we are starting that process and it will take one or two quarters to settle. So keeping all these things into account I am giving you the thing. Apart from that, this is not because of the competitive intensity or this is not because of we are not getting proposals etc. So we have to ensure that whatever we take from this point of time, we will be able to push for the growth without any hassle for the next 10 years or so. Some amount of internal fine tuning, we are in the process of doing. We are almost there and with this association of BCG. Once it is complete all the integration has to happen properly after which we will be in a position to push growth fully.

Prakhar Agarwal: Sure Sir. Sir your thoughts on any stress that you will probably see on MSME side or do you look at MSME ecosystem and health around those are there any red flag that you are seeing in the segment that you operate in terms of health of those customers?

N. Kamakodi: See as I have clearly given to you the SMA2 numbers are at a historical low. I have not seen these types of low SMA2 numbers in my life in my total experience. Similarly even less than 4% of SMA1 and SMA2 and all in my life, I have not at all seen. So the health of the MSME is decent. Whatever issues that were there they had got washed off during the COVID period. By and large those things are almost

over and that is when I conveyed that going forward for the current year we will be seeing both reduction in the slippage. More than that, there will be increase in the recovery. Overall the addition minus recovery will be showing even good

Page 10 of 27 improvement like whatever we have seen between FY2022 and FY2023 and that is giving me enough confidence to say that both in terms of PAT growth and ROA we should be in a position to handle it for the whole year but we will be having issues in the first half because we had Rs.500 Crores profit after tax last year which was supported by treasure profit and also lumpy recovery from the NCLT cases which are not available in the first half of this year. So in first half growth in the PAT may not be good but the year as a whole we are able to have visibility to see growth both in terms of PAT and also having a lower NPA and ROA crossing our historical average.

Prakhar Agarwal: Sure Sir. Just one more question on margins. So when we say that we probably for the full year next year we will have similar levels what we saw for FY2023 which is 3.65 plus or minus 10 basis points and on the other hand we also say that probably because of the deposits cost rising there might be some pressure. So how exactly we are going to maintain because we are going to see some higher rates in first half and how exactly we are going to maintain an exit run rate of 3.65 because there will be some size which is there?

N. Kamakodi: When I say that number the impact of all these things are already built in.

Prakhar Agarwal: Got it and just one last thing in terms of recoveries from written off accounts. What was that number for the full year FY2023 and how do you think that particular line item plays through in FY2024?

N. Kamakodi: Basically we had in terms of suit recoveries we had a Rs.294 Crores for FY2022-FY2023 vis-à-vis Rs.188 Crores last year. That is why when I gave the information do not just look into the write off of recovery. If you consider both recovery of the written off accounts and also the recovery of live accounts together if we consider it as a recovery the growth in the FY2022-FY2023 is about Rs.250 Crores in

addition to whatever you had in the FY2022 so this year we expect further improvement on that line.

Prakhar Agarwal: Got it. Thanks. Thanks a lot.

Moderator: Thank you. We have our next question from the line of Jai Mundhra from ICICI Securities. Please go ahead.

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Page 11 of 27 Jai Mundhra: Good evening and thanks for the opportunity Sir. Sir my first question is on agri slippages related subvention loss of net interest income. I remember last quarter there was Rs.32 Crores loss of net income because of this subvention slippages was there any such element in this quarter as well?

N. Kamakodi: There is no reversal like that Rs.20 Crores to Rs.32 Crores what we did last year but we could not recognize about Rs.25 Crores or so income in this quarter.

Jai Mundhra: So Sir the NIM declined this quarter is mainly because of the rise in cost of deposit right which is more or less?

N. Kamakodi: Say around 5 to 6 basis points contribution will be from the non recovery of what you call the agricultural thing. Also you might have seen the cost of deposits has increased from 4.60 to 5.07 which is about 45 basis points. While there is about 15 basis points only is the increase of yield on advances. Some passing of rates has happened in this quarter for the advances so there will be some increase in the yield on advances in the current quarter. So considering both whatever we have passed on and also the expected increase in the cost of deposits we conveyed the expected net interest margin. Another point what you also need to see about not less than 15 to 20 basis points impact because of the lowered CD ratio.

Jai Mundhra: Right and may be the higher slippages

this quarter as well right?

N. Kamakodi: It is even lower than whatever slippage we recognized in the Q3 so sequentially that impact it is already like say to a greater extent built in. In fact it is advantageous compared to whatever margin we had in the previous quarter.

Jai Mundhra: Right so Sir hypothetically let say this quarter RBI inspection and everything is done for this agri slippages we cannot accrue the lost interest or there is a case that you can start accruing from Q1 onwards? You will anyway accrue but can you recoup that lost interest?

N. Kamakodi: See the receipt of the first installment is a very good sign. We do not want to commit or over promise anything. Since it has been found out we have completed all the compliance process and audit, we have submitted papers to them and one installment has already come in. So hopefully the impact may not be as bad what we thought originally but we do not want to take a chance. We will go for accrual

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Page 12 of 27 when we feel it is okay to go for accrual. Till that point of time we would like to just leave it as such and wait for the finality on this matter.

Jai Mundhra: Right so these are standard accounts right Sir? They are not NPA?

N. Kamakodi: No these are all standard accounts. See basically the logic is may be for the benefit of everyone let me repeat. You have what is called as KCC scheme in which interest subvention is given by the government to borrower. Normally what happens is that for getting that interest subvention a question was asked to us whether we have calculated the amount eligible for the borrower based on the scale of finance. So we had done a thorough exercise, went account by account and tried to find out what proportion of the accounts are full filling the norms and what proportion of the accounts are not full filling the norms. By and large we expect a very small proposition overall our audit says that maximum amount of these accounts are fulfilling the criteria of the scale of finance. Basically what happens is that government gives about 1.5% to the bank and 3% to the borrower if they repay within one and a half years. So basically this 3.5% is what we are not able to recognize at this point of time so we have full filled and by account by account we have taken the thorough exercise and it is audited by the external chartered accountants. The final compliance is already submitted for approval. Normally how it happens is that, the payment by the government may get delayed by two years to three years and these things will be in accrued and in receivable basis. Receipt will happen something down the line and this time after all this issues came in to picture also, we have received one installment for our past due which is a very good sign. So once we reach a stage where the back logs are cleared then we will get the confidence that we can go for recognizing the accrual.

Jai Mundhra: Right no so what I wanted to check is this is KCC loan so the installment is once in a year only right or there are multiple installments?

N. Kamakodi: Yes. If they become NPA within 15 days they will get auctioned and you will be recovering. It will be finding a path in the overall NPA in the jewel loan. That part is about Rs.10 Crores in the total outstanding slippage and that Rs.10 Crores also will be from the jewel loan accounts where the borrower is deceased or he is not available locally, court procedures or stay is pending or something like that.

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Page 13 of 27 Jai Mundhra: No Sir I was saying Sir if the KCC loan has only one installment annually and we have already received that right then what is stopping you from recognizing the interest which is already received in cash?

N. Kamakodi: The problem is you will be getting only 4% interest from the borrower. Another 4.5% will be received from the government so that 4.5% origina

lly we will be

accruing. Even after we give the jewel back to the borrower that 4.5% income we will be recognizing on an accrual basis and the government may be paying that account in due course. When that objection of scale of finance came, the doubts were raised whether we will be getting that 4.5% whether we will be eligible. We have to demonstrate that we should be eligible for that 4.5% which we have done now by and large so once it is approved we will get the money. The first installment has now come. One installment has come after this issue came out to light.

Jai Mundhra: Any how many installments are there Sir so let us say?

N. Kamakodi: We do not know. It depends upon the budgetary approval so the government will make some approval and send it to the Reserve Bank of India. The Reserve Bank of India will be distributing this money to all banks in proportion basis so the actual payment is depending upon how much money that is transferred by the government to the Reserve Bank of India.

Jai Mundhra: And let us say in Q1 everything is sorted? Let us say it becomes very clear that you have the necessary documents to prove that these are eligible agri subvention loan so do you receive the backlog also or the Q4 and Q3 interest just does not come back?

N. Kamakodi: No what I am trying to say is that once I get all installments up to FY2022, now I have received only part of FY2021. So it will happen with a delay of let us say at governments' own time line. We cannot force anything. It happens at its own pace so once we get for whatever demand we have raised, once we get dues for FY2022, I will start recognizing on accrual basis the FY2023.

Moderator: Thank you. We will move on to the next question from the line of Darpin Shah from Haitong India. Please go ahead.

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Page 14 of 27 Darpin Shah: Thanks for the opportunity. Sir a couple of questions. The first one was on slippages front. Did I hear right you mentioned that there was some standard accounts that were borderline and this you recognized the slippages or NPA during the quarter?

N. Kamakodi: Yes. See basically these accounts were not NPAs. Your system basically gives based on the 90 day overdue as NPA. It will immediately throw that. There are a few accounts which might not have cross 90 days on March 31, 2023 but are showing continuous signs of sickness based on the learning whatever we had in the previous years and so we had more than what is marked by the system. Some amount of accounts we had added in this quarter.

Darpin Shah: Sir if you can quantify them?

N. Kamakodi: It could be about Rs.75 Crores to Rs.80 Crores.

Darpin Shah: Okay and Sir was there any interest reversal also in this or just because they are standard there was no interest reversal?

N. Kamakodi: All built in. For others if it is more than 90 days the reversal would be lower let us say since they have their last installment which could be less than two installments or so. It will be proportionately lower.

Darpin Shah: Okay and Sir the second question is on loan books. Now your comments indicate that in the life span which you have seen, we have not seen this extended to at such low levels and still we are guiding for 12% to 15% growth only so where is the disconnect Sir?

N. Kamakodi: The disconnect is when you analyze the growth of most of our peer banks or

whatever the substantial growth had been done by them in terms of retail advances like say home loans, vehicle loans or the what you call co-lending and things like that which we may not be doing in the FY2023-FY2024 also. So this 12% to 14% growth also like say I am discounting Q1 as usual you may not be having big growth. So for me taking into consideration of overall growth rate of the system for the current year, you might have also heard about even today's comment from the State Bank of India, the overall credit growth of the system for the current year

next year is also expected to be moderated. We will be taking one step at a time. Many of our peers who have shown substantial growth in 14%, 15% and
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Page 15 of 27 16%, the significant growth has come from the retail and other things which at this point of time we are not entering. We will consider probably at the end of the current year or for the future, so I am not taking those things for my growth projections in the current year.

Darpin Shah: Okay thanks a lot for this. All the best.

Moderator: Thank you. We have our next question from the line of Bunty Chawla from IDBI. Please go ahead.

Bunty Chawla: Thank you Sir. Thank you for giving the opportunity. Sir just kind of a repetition could be sorry for that. As you said for FY2023 there could be a dip in the margin as compared to last year and there could be a chance of cost to income ratio which is around 38% to 39% could increase to 40% to 41% so maintenance of ROA is completely dependent upon the recovery in the asset quality front. So can you guide for the credit cost for the full year FY2024 because if I see the 33 slide number credit cost for this year seems to be the lower among the last five years or equivalent to last five years as such so what should be the credit cost we should take for the FY2024 as such?

N. Kamakodi: I answered this question also earlier so I am not giving you any specific number on the credit cost because it depends on where we will be closing the net NPA. So that is why I am giving you a broader number. The NPA addition minus NPA recovery between the FY2022 and FY2023 is improved by about Rs.250 Crores so we expect the similar improvement on that front in the current year also. We expect a good moderation in the slippage. We also expect good improvement in the recovery. This difference will be as I told you about Rs.240 odd Crores got added that was the incremental benefit for me to my P&L between the FY2022 and FY2023. The addition minus recovery for FY2023 is Rs.222 Crores, whereas last year it was Rs.481 Crores which means about Rs.260 Crores of benefit I received because of this parameter. I expect an improvement on this particular number this year which will be helping me both in terms of protecting my PAT growth and also improving my net NPA position and also the coverage ratio.

Bunty Chawla: Thank you Sir and sorry for this repetition. Sir credit growth you said 12% to 15% for FY2024?

N. Kamakodi: Yes which will be back ended.
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Page 16 of 27 Bunty Chawla: Back ended. Okay thank you very much.

Moderator: Thank you. We have our next question from the line of Amish Thakkar from Siguler Guff India Adviser Private Limited. Please go ahead.

Amish Thakkar: Thank you very much for taking my question. I just wanted to understand what kind of steps you have taken in terms of your processes and any lapse you have had in terms of asset quality which lead to the regulatory diversion and is that completely over? Do you see any like next couple of quarters you will probably would try to perfect it and what gives you confidence that those issues will not pop up again and as you get on the growth strategy?

N. Kamakodi: See let us be honest about it. We had this divergence issues the second time and about seven to eight years back we had once. When other banks had hundreds and thousands of Crores in between after the AQR and all, we did not have much issue. What is the fundamental item is when you automate your NPA recognition the system when it throws something you will not have any issue about it. But there are many items which are nonfinancial and which are subjected to lot of interpretation where there will always be difference in the judgment how it is being perceived. Particularly when you take a call during the audit and subsequently after three to four months after you will also have the other information of

what you call

the operations in between. Even last year when the divergence happened you could have clearly seen about 25% to 30% of that had already been marked as NPA in the next subsequent first couple of quarters because they were all recognized by the systems. I do not think anybody will be able to say with 100% conviction that nothing will be there. Because when the system throws something there is absolutely nothing different but when it comes to the perception things changes. Last year the perception was basically different on the restructured cases where the issues were given and there were issues in the data of recognition of the NPA. Those things are behind us so taking into consideration all these things that is why I told even those accounts which are not recognized by the system but we have recognized which are showing some signs of sickness though they were not strictly coming under the 90 day norm, we applied some extra subjectivity and tried to ensure that we are on the right side of the recognition. So this is the best we could do and we have gone even to the next level. Then rest all we have to leave to the almighty. We have done everything possible in our control to do that and as you know it is a matter of reputation. No MD or no management will take
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Page 17 of 27 chances on these things knowingly but when the perception and when the different views are coming, we are helpless and there will not be anything in your hand to save the day. Last year also we took everything in our care to do that. This year also and every quarter and every time we take whatever that is in the best interest. Six to seven years back when it came it was not the era of automatic NPA recognition. I think in 2016 we had to declare one time and it had happened for the second time unexpectedly and nobody would like to keep their reputation at stake when we declare the results and also we discussed this point with our statutory central auditors also. Both audit committee and all members also asking this question multiple times so we have taken everything in our control and even on the grey items we have taken our best possible items beyond which it is for the almighty to take a call.

Amish Thakkar: Okay thank you and I just had another couple of questions on your credit to deposit ratio. So you have in the credit to deposit ratio has compressed by a couple of hundred basis points since COVID and that is putting pressure on your NIM margin. Any guidance on that? And within deposits you have mentioned in the past that you do not want to give any guidance on CASA till you reach 30% CASA ratio? Now you are there for the last couple of years so any guidance on CASA going forward?

N. Kamakodi: See on CASA front basically we took a few steps particularly on the government CASA front in the last two to three years which have been helping us to improve our CASA front. We have been taking our best effort. You have started seeing the results and there will be always some fluctuations here and there. I will give you may be few more quarters. Once I get a total control. You have started seeing the improvement let it be. Let us see how things move forward and on the other front what is that you were asking.

Amish Thakkar: CD ratio used to be 86%? It has come down to 84% now?

N. Kamakodi: CD ratio is something we have to take a call depending upon the surplus liquidity in the system and overall credit growth etc. So we decided to not squeeze till the last point and it will be staying over there for may be few more months till we see that we get a comfort to squeeze it to our old average.

Amish Thakkar: Sir one last question on gold loan. It is 25% of your book now? It used to be less than 20% so it is again one of the focus areas for our loan book growth in the last
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Page 18 of 27 two to three years. Sir going forw

ard any guidance and also your NPAs on gold loan are negligible compared to rest of the book? Your system average is 3.5% so if you remove gold loan the NPA on non gold loan for the book is even higher so any guidance on gold loan going forward and also your yields on gold loans some are around less than 10% versus the two listed NBFCs are close to 20% and there are all sorts of players between that range from both yield side as well as ticket size perspective so any guidance in terms of how you look at that product going forward?

N. Kamakodi: As you might have observed a significant portion of our gold loan is basically for the classification of agriculture which we have to mandatorily do and after the

scale of finance issue there was some moderation. Our stand had been that, we will do it as we require it to achieve the agricultural target and also where ever we have surplus capacity and wherever we are not able to build our SME book we go for the gold loan. It has been very favorable to us and we can never come to the listed gold loan NBFC average of 20% yield. There are fundamental difference in the portfolio itself, particularly the classification of agriculture so that when we start seeing the growth rate of MSME increases we always have higher risk adjusted yield there at that point of time. If you had seen over a period of 15 years or so our bank, we started with single digit, increased that to about 18%, and after 2014 gold price crash, we got it back to single digit. Then once again we increased that. Whenever we felt we were not comfortable during the COVID period, we gave a thrust to these things so we will use it as an opportunity to grow when we feel that the growth opportunity on MSME loan has come back. So broadly our average will be about 12% to 15% and the fluctuations, the extremes could be about 27% to 28% depending upon the requirement. In fact beyond 25% itself we are not very happy about it. Let us see how it moves forward.

Amish Thakkar: Okay thank you so much.

Moderator: Thank you. We have our next question from the line of Rohan Mandora from Equirus Securities. Please go ahead.

Rohan Mandora: Sir thanks for the opportunity again. Sir I just wanted to understand in terms of the aggregator and the ONDC how are we placed right now or is it the BCC period that we are doing is with respect to getting onboard with respect to many of these things and especially as we understand many of the large private sector banks have made a significant development and that is helping them gain almost 25% to City Union Bank Limited

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Page 19 of 27 30% growth in the loan segment which is our core focus area. So the point which was asked earlier in reference to competitive pressure, are we seeing competitive pressure emerging from those kind of lending as well which is taking market share from us?

N. Kamakodi: No not exactly. Those sort of things are basically happening at a level lower than our segment of say the Rs.1 Crores to Rs.5 Crores segment or whatever it is. The smaller segment this is there. We have already getting ourselves ready for ONDC for which the enrollment process has started and on the account aggregator framework in fact we wanted to be sponsor for one account aggregator but we could not get the necessary approval when the concept came about three to four years back. We are also in the process of doing that. All these things should be getting completed in the next couple of quarters. We are already on the job.

Rohan Mandora: Sure thanks.

Moderator: Thank you. We have our next question from the line of Rajakumar Vaidyanathan an Individual Investor. Please go ahead.

Rajakumar V: Good evening Sir. Thanks for the opportunity. Just one question, you are saying that you do not expect significant treasury income in the first two quarter. I just saw that the government bond yield has come down significantly in this current quarter so you should

be able to get some decent treasury income for the Q1 right?

N. Kamakodi: You will see appreciation only for those government security purchases you made between the yields of the current yield and the peak yield whatever you saw. You never had surplus liquidity in that period to make the maximum entry. It can at the best reduce your mark to market loss and if you have to book a small profit you have to sell a big portfolio which is not going to help you in a very big way like what we saw in the last year comparative period.

Rajakumar V: Okay Sir thank you.

Moderator: Thank you. We have our next question from the line of Gaurav Jani from Prabhudas Lilladher. Please go ahead.

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Page 20 of 27 Gaurav Jani: Thank you Sir. Just firstly a couple of question on the margins, so from a full year perceptive we saw about nine basis points decline in the margins in FY2023 so do I understand correctly you mentioned we will be somewhere in the 3.65 to 3.7 range on an average basis in the entire of FY2024?

N. Kamakodi: At this point of time, our expectations are also almost closer to this.

Gaurav Jani: Okay Sir just to take that point forward, frankly this year barring even the one offs

the yields have not gone substantially higher like we saw in the case of other banks despite we having a higher portfolio?

N. Kamakodi: You are right. Because of the shocks from the multiple unexpected quarters and also loss in income because of multiple factors, we were little bit lagging. We lagged in passing. One reason is that even before that we had passed, if you closely look into and even before increase in the external bench marks, we had been getting the yield at a reasonably higher level and in fact. Since we had other items to look into, some amount of passing has happened during the current quarter and small visibility will be there when we see the current quarter number but your observation is right. Others increased the rates more than what we had done but still in most of the cases our current level of yield is almost equal to most of our peers or even slightly more.

Gaurav Jani: What proportion of our loan book would have been repriced on an average basis in FY2023 post rate hikes?

N. Kamakodi: Yes almost the entire book. I think except about 10% odd all have seen a transmission of rate hikes and the transmission of the exact number had been depending upon the rating, depending upon the quantum and other. As you might have seen for 2% to 2.5% increase in the external benchmark rating overall average yield increase for the system had been reported to be about 1% to 1.25%. About four to five months in the last two hikes before the yearend we had been little bit slower in the transmission. We have tried to compensate it by whatever extent possible. The basic difference was that the last pass was something which we did not expect.

Gaurav Jani: Understood and Sir on the deposit side so what proportion of deposits are repriced?

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Page 21 of 27 N. Kamakodi: Almost about 40% to 50% got repriced and we had also reduced the peak interest rate whatever we had been given during the pre COVID so some amount of the incremental thing like incremental increase will be getting moderated.

Gaurav Jani: Sure so what I understand is because 50% of deposits are yet to be repriced that we expect the margin decline in FY2024?

N. Kamakodi: No. The margin decline is going to be for everybody. We are also going to have that so there is still some amount of repricing in the deposit side left. You already have a benchmark during the Q4 of about 3.65 so we have to consider the potential repricing effect. We have to consider a potential increase that could happen in the yield on advances. So there could be some changes in the CD ratio also positively. Taking all these things into consideration only we said this can be taken plus or minus

10 basis points going forward.

Gaurav Jani: Sure just last bit, did I understand correctly so FY2023 you saw net slippages of about Rs.517 Crores? This number you expect this to be lower because of higher recoveries?

N. Kamakodi: Yes what I clearly gave is say consider both recovery from the live and technical written off together. There should be improvement in the recovery and there should be expansion in this number is what I am trying to say.

Gaurav Jani: Understood. Thank you so much.

Moderator: Thank you. We have our next question from the line of Rakesh Kumar from B&K Securities. Please go ahead.

Rakesh Kumar: Sir thanks for the opportunity. Sir firstly, looking at this TW number, which is close to around Rs.1350 Crores to Rs.1400 Crores. So the recovery from TW would be lower going forward as compared to what we have seen in past especially in this year and recovery for NPA would be higher correct?

N. Kamakodi: No. What I am trying to say is there could be improvement in both. Basically when we recover and when we go for our recovery procedures, we do not differentiate the procedure for a live account and for technically written off account. How you get the response is something which you cannot have a total control.

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Page 22 of 27 Rakesh Kumar: Got it and how this TW number would be? What would be the average maturity like these are two years old and three years old so what is the average blended maturity of this Rs.1300 Crores to Rs.1400 Crores number?

N. Kamakodi: One to three years will substantially cover about 80% of them roughly.

Rakesh Kumar: One to three years okay and Sir in this quarter particularly there is a very sharp

movement in the cost of term deposit. So anything specific like if we see the trend like there was hardly any movement in Q1? Obviously because considering that average maturity of deposit what we have based on disclosed number, this quarter we have seen very sharp jump more than 50 bps jump in the term deposit cost so anything very particular to it if you can help Sir?

N. Kamakodi: The last quarter of the last financial year, even public sector banks getting to even 8% interest for the term deposits and we have even offered 7.5% and 8% for the term deposits. Normally you say 25% repricing happening every quarter and over the period of time, the deposits which were maturing were at about 6% to 6.5% and there were about 1% to 1.5% or even 1.75% incremental cost for that deposits which were maturing which resulted in the increasing cost of deposits.

Rakesh Kumar: Okay and Sir there was reported number on the yield on advances showing increment of around 15 bps on a reported basis but on a calculated basis this number is kind of a bit volatile. Any higher amount of advances that we have taken in the book at the end of the period something like that?

N. Kamakodi: No we have not gone for any portfolio buyout or anything. These are all absolutely the regular advances. You will not be in a position to exactly calculate because when it comes to the daily average there will be fluctuations in terms of the cash credit utilization and things like that. We have not gone for any portfolio buyout in the last year.

Rakesh Kumar: Got it Sir. Thanks a lot Sir and all the best to you Sir.

Moderator: Thank you. We have our next question from the line of Shankar V S from Freelance. Please go ahead.

Shankar V S: Sir good evening. Can you kindly explain on the scope for engaging BCG? Any specific to lending or some restructuring of the organization like that?

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Page 23 of 27 N. Kamakodi: No. They are going to help us in terms of looking into the risk measurement, modeling of portfolio and looking into the loan organization to the sanction of digital lending process basically. We are not looking into changing the organizational structure. This is purely for the business proc

ess reengineering of

the lending processes from the customer experience, renewal, from the loading of proposals into the loan origin system to loan sanction and disbursal. This is what we are engaging with them.

Shankar V S: So I understand that we will be having digitally underwritten loan model. Is that right Sir?

N. Kamakodi: Yes.

Shankar V S: Sir in continuation of it, if we are engaging BCG and investing on this digital end to end platforms and also obviously we will be incurring an upfront cost wherein the benefits of the same we could be realizing or getting it about some quarters after that maybe next year even. So could that upfront investment make any additional pressure on the margins you expect?

N. Kamakodi: The cost is not significant. It will be less than 3% to 4% of the annual profit what the bank is making and it will be having any significant impact on the overall P&L.

Shankar V S: Understood Sir. Thank you Sir. Thank so much.

Moderator: Thank you. We have our next question from the line of Jai Mundhra from ICICI Securities. Please go ahead.

Jai Mundhra: Just wanted to check on one of the airline exposure that we had there was some restructuring by the airline to a leaser right which wherein they have got the dues converted to equity? Does that necessarily mean that this is a second structuring and hence it could become technically NPA for the lenders? While I believe we have provided but wanted to check can that become NPA?

N. Kamakodi: As far as we do not expect that for us the reason being they had given a repayment schedule and they have repaid up to almost 75% of the overall outstanding and there is only one installment left which they have to cover it by June 30, 2023 so that is where the things currently stand as of now for us.

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Page 24 of 27 Jai Mundhra: Okay understood. Sir if you can refresh what is the provisions how is the exposure now as of March and I believe we have 100% provision there so what would be reduced exposure?

N. Kamakodi: The outsourcing currently is around Rs.25 Crores or so.

Jai Mundhra: And that will be 100% provisions right?

N. Kamakodi: Yes.

Jai Mundhra: Thank you Sir. Thank you and all the best.

Moderator: Thank you. We have our next question from the line of Abhilash Hiran an Individual Investor. Please go ahead.

Abhilash Hiran: Sir can you explain the reasons for not entering into the consumption space lending?

N. Kamakodi: Basically like as a policy right from the beginning the banks original DNA had been to fund the creation of business assets and not for consumption and also over a period of time we had passed through multiple cycles. I had seen this in 2003 – 2004 and multiple cycles when people rush for the unsecured segment and some amount of heat comes in the future. So far our original ethos had not supported us taking the decision for the retail but days are changing. We also need to be open. We are waiting and watching the situation. Once after this digitization is completed and after perfecting the model and also when we are comfortable and confident that our risk measurement will be able to price the risk appropriately and identify appropriately, we will think about taking these decisions in the future. At this time, we have not made any major change in our overall policies whatever we have done in the past

Abhilash Hiran: Sir can you explain which other sectors we would not be opened to lending apart from the consumptions sector?

N. Kamakodi: Nothing like that. The overall MSME commercial trading and agriculture together constitute to so much. We have always restrained ourselves from entering large consortiums. In fact whatever we could do in the last two decades most of the things, the credits were not for doing something extraordinary but for not doing

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Page 25 of 27 many wrong things so that it saved us during the AQR

s and other things. Even

when many of our peers went in a big way, we decided not to go for that and we were proved right subsequently so we see that way.

Abhilash Hiran: Sir just looking at the last annual reports, I am just populating the segmental results numbers, we see that the segment result numbers from treasury to the total segment result numbers is increasing whereas the whole sale banking and retail banking is slightly decreasing. Is it like there is some structural change in the retail and the whole sale book which the pricing we are not able to price in the correct risk so that we are not able to get required results as far as the core banking is concerned whereas the treasury has been contributing to the higher segment results which gets populated in the annual report?

N. Kamakodi: Do not look at that way. When your balance sheet grows you have more in terms of your treasury and there is income what you get from the interest income and also the profit what you book particularly getting into the integrated treasury operations. It also improves and last two to three years the growth in the core banking segment had been muted because of so many factors so that probably might have made you to see a pattern like that but we do not see that way. We have not made any conscious effort to change the overall structure as in the way you foresee.

Abhilash Hiran: Sir because it is just the numbers which are being reported and I can see?

N. Kamakodi: I full agree with you. It is because of the external environment and we do not expect that to continue in the future.

Abhilash Hiran: Sorry Sir to push here because the numbers have been dropping from 2014 and nothing to do with? It is just pre COVID numbers also I am seeing that from the wholesale and retail is?

N. Kamakodi: You see the combination of wholesale and retail together and treasury together how do you see the numbers contribution.

Abhilash Hiran: Sir if I just look from 2014 so say from 2011 it was 22% treasury to the mix, 31% wholesale and 43% retail banking which in 2014 which increased to 43% to 53% in retail banking and which fell again from 53% to 36% and 44% and which is again at the same level so these are pre COVID numbers I am taking not even?

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Page 26 of 27 N. Kamakodi: One minute. What is the treasury number at your beginning and what is the treasury number. Do not segregate wholesale and retail differently. There are a lot of reclassification happened in between because of the definitions changed in the MSME act and things like that. The contribution of the treasury fluctuates

depending upon which side of the interest rate cycle you are in. We do not envisage any major difference over there. The reference point may not be a point that should be seen. We do not see it that way.

Abhilash Hiran: Sir, can you also provide for the credit? In the subsequent annual report could you provide also separately the credit cost for retail and wholesale? As for the segment analysis which is being reported in the annual report? Not only the way we put in the presentation but the way we put in the annual report as far as the segment results go? Can you provide?

N. Kamakodi: My suggestion will be look into the whole sale banking and retail banking together as the core banking and further hair splitting I do not think it is not going to serve any purpose.

Abhilash Hiran: Okay Sir thank you so much for your time Sir and all the best.

Moderator: Thank you. We have our next question from the line of Rakesh Kumar from B&K Securities. Please go ahead.

Rakesh Kumar: Thanks Sir for the opportunity. Just one question with respect to tax rate, this quarter it is looking slightly lower side. Any specific reason that we could not get to know from the disclosures?

N. Kamakodi: It is basically depends upon the expected tax that should be paid and also if you look into the annual basis by an

d large you do not see any difference in that. On an annualized basis you will not see much fluctuation.

Rakesh Kumar: Sir the write off amount which is looking slightly on a higher side. Does that have any impact on the tax rate?

N. Kamakodi: It will definitely have.

Rakesh Kumar: Okay thank you. Thank you Sir. Thank you so much Sir.

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Page 27 of 27 Moderator: Thank you. Ladies and gentlemen that was the last question for today. I now hand the conference over to the management for closing comments. Over to you sir.

N. Kamakodi: Thank you all for attending. Last year despite having the shocks overall the things had ended well. This year also even though we expect headwinds in multiple parameters like cost of funds or other aspects, overall we feel because of the better contribution in terms of slippages and recovery whatever improvement we have seen between the FY2022-FY2023, we should be seeing the similar betterment here. First half there could be something but the year as a whole we are confident of seeing both ROA growth and also the reduction in the net NPA. At the same time as you might have seen other things are also behind us so hopefully the FY2023-FY2024 also we should be having an overall profitability well in line with whatever we had discussed with you. So let us hope for the best. Thank you.

Moderator: Thank you. On behalf of Ambit Capital that concludes this conference. Thank you for joining us and you may now disconnect your lines.

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"City Union Bank Limited
1QFY24 Earnings Conference Call"
August 11, 2023

MANAGEMENT : DR. N. KAMAKODI – MANAGING DIRECTOR AND
CHIEF EXECUTIVE OFFICER – CITY UNION BANK
LIMITED
M R. J. SADAGOPAN – CHIEF FINANCIAL OFFICER –
CITY UNION BANK LIMITED

MODERATOR : MR. PRABAL GANDHI – AMBIT CAPITAL

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Moderator: Ladies and gentlemen, good day, and welcome to City Union Bank 1QFY24 Earnings Conference Call hosted by Ambit Capital. As a reminder, all participant lines will be in the listen-only mode, and there will be an opportunity for you to ask questions after the presentation concludes. Should you need assistance during the conference call, please signal an operator by pressing star then zero on your touchtone phone. Please note that this conference is being recorded.

I now hand the conference over to Mr. Prabal Gandhi from Ambit Capital. Thank you, and over to you, sir.

Prabal Gandhi: Thank you, Aman. Good evening, everyone. On behalf of Ambit Capital, I welcome you all to first quarter earnings call of City Union Bank. From the management side, we have Dr. N. Kamakodi, MD and CEO; and Mr. J. Sadagopan, CFO. Without further ado, I'll hand over the call to Dr. Kamakodi for his opening remark, and post which we can open the floor for question and answer. Thank you, and over to you, sir.

N. Kamakodi: Good evening, everyone. Hearty welcome to all of you for this conference call to discuss the unaudited financial results of City Union Bank for the first quarter ended 30th of June 2023.

The Board approved the results today, and I assume all of you have received the copies of the results and the presentation. You might also have seen the announcement of our Annual General Body meeting to be held on 23rd August 2023, which will happen through virtual mode. On behalf of the Board and the bank, I invite all of you to participate in the AGM.

During Q4 FY '23 con call, we had detailed discussion about the headwinds in margin, base figures and growth. Despite those challenges, we had said that we should be closing FY '24 with a decent PAT growth, substantial reduction in net NPA, improved coverage ratio and ROA close to our long-term average of 1.5. Our advance had grown by 4 % in Q1 '24 as compared to Q1 '23, that is 30th June 2023 to 30th June 2022, and stood at INR.42,405 Crs. As we said in our earlier con call, the first quarter will be quieter in terms of the growth. As announced earlier, we are aiming for double-digit or at least 12 to 15 % whatever we had announced earlier, which would be skewed towards the year-end. No major changes expected in the composition of advances what we told you.

As said during our last con call, we had appointed Boston Consulting Group as our consultant to upgrade our existing digital lending processes. We expect that benefit of digitalized lending process, will get transferred into the growth in the second half of the FY'24.

Our deposits stood at INR 51,655 Crs for Q1 '24 as compared to INR48,772 Crs for Q1 '23, registering a growth of 6 %. Our net interest income had grown by 15 % in Q1 '24, increased to INR1,266 -- our interest income has grown by 15 % in Q1 '24 and that increased to INR1,266 Crs from INR1,099 Crs in the Q1 '23.

Basically, we had a subdued growth, as we discussed during the last con call. When we compare our growth rate with almost all of our peer banks, the growth rate is lower. But the growth rate in the retail, agriculture and MSME together, particularly on the retail front, all our

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peer groups have shown substantial growth. And also the co-lending and all have helped them. We are also in the process of evaluating those prospects and those processes.

Until last FY, we used to consider recoveries made from the slippages and upgradation happened in the NPA accounts from the quarter ended to the date of approval of the accounts. Because of the regulatory observations in this quarter, we had not considered the recoveries and upgradations happened after the quarter ended. However, NPA accounts, which got closed between the quarter end and the date of accrual accounts have been considered.

The recoveries from the slippages in the Q1 FY '24 to the tune of INR 75 Crs and upgradation to the tune of INR 23 Crs in the live NPA account were not considered in the NPA collection happened from 1st of July to the date of audit, which we used to do it in the earlier times. Because of the above changes in accounting, the slippages for the current quarter is elevated at 3.6 % (annualized basis), our gross NPA is at INR 2,081 Crs, Gross NPA stood at 4.91 %, our net NPA stood at INR 1,039 Crs and NNPA ratio to 2.51 %. Had we followed the old method, the slippage would have been less by 70 basis points, that is about 2.9 % annually. And our gross and net NPA would have been lesser by 23 basis points.

The spike in the slippage and the NPA will be one-off this quarter, and will get back to the normal levels, as I said above, based on the collections of about INR 98 Crs will be included in the second quarter that has happened between quarter ended date and the audit date.

With respect to the provision coverage ratio, we had stated that we will reach 70 % PCR with the technical written-off and 50 % PCR without technical written-off in the second half of the FY. But we have achieved the target in this quarter. Our PCR, including the technical written-off, as on 30th of June 2023, stands at 70 % and our PCR without technical written-off is at 50 %. Mainly, we use the extra provisions, whatever we had made for the Spicejet account which got closed. We will strive to maintain this level in the future also.

Overall, SMA 2 numbers to total advances now stands at 2.45 %. Our standard restructured assets got reduced to 2.69 % of the total advances as on 30th of June 2023, from the peak level of 5.91 % to the total advances in September 2021. On the yield front, we had passed policy rate hikes and it started to show our yield on advances increase and it currently stands at 9.53 % for the current quarter, showing a sequential increase compared to previous 2 quarters.

Similarly, the policy-rate transmission had its effect on the cost of deposit front also. Our cost of deposit stood at 5.36 %, showing a sequential increase. The net interest margin for the current quarter ended is 3.67 %, similar to what we had in the last quarter.

Our other income for Q1 '24 is INR 191 Crs, against INR 218 Crs in the corresponding period last year. It was mainly because we had a few major recoveries in lumpy cases in the corresponding period last quarter, which is not available in the current quarter. The cost-to-income ratio for the first quarter is 41.98 % compared to 39.78 % in the corresponding period last quarter. Our expectation for current FY will be between 42 to 44 %. In the absence of treasury profit what we had in the last FY, despite increased provisioning and elevated slippage, the current quarter profit is at INR 227 Crs as against INR 225 Crs in the first quarter

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last year. Our ROA stood at 1.4 % for the current quarter, showing sequential growth from the last quarter.

During the second quarter, we had declared a profit of INR 275 Crs because of various favorable factors, so many factors may not be available this time. So for the second quarter, there will be, some amount of dip in the profit, but it will be compensated in the H2 because of expected lower slippage and the improved recovery for the year as a whole.

Even though we had about a sanctioned the limit of cash credit limit by about INR2,000-odd Crs, the utilization in the CC limit currently stands at about 70 to 72 % which used to be 78% to 80% earlier. And also lot of growth by our peer group banks is from opportunities of co-lending and growing assets by retail. We are also now looking at opportunities to use that. Taking into consideration all these things and also the expected digital lending to come on track, we should be able to, get to the double digit and close to 12 to 14 % as what we have promised during the second quarter. So all the actions are currently in place. We should be in a position to see that in the second half.

Board had its meeting held today, formed a subcommittee for a smooth succession planning. As you all know, my current tenure will get completed on 30th April 2026. The committee is assigned with the task of finding a successor and ensure a smooth transfer of responsibility when the tenure ends in 2026, considering the fact that there has to be an overlapping period between the successor and myself, which will be a slow and steady process happening over a period of time.

And also, in this tenure, my focus will also be on 2 things. One, as I said, accelerate the proper implementation of the digital lending, the project initiated with the BCG, and ensure that the growth is accelerated. And also to strengthen the leadership team, which will make the organization future-ready with added expertise on digital, retail and other areas where we need to strengthen our skill sets, which will become the growth engine for the future.

To sum up, we are taking measured and right steps towards the growth in advances, enhancing the customer experience by a way of digitalized lending and better efficient underwriting methodology. This may take a few quarters to show the benefits in our top line and bottom line. We are working hard to achieve the FY '24 double-digit advance growth between 12 to 14 %, PAT growth, and etcetera. As I told earlier, last year, during the second quarter, we had declared a profit of INR 275 Crs because of various favorable factors. So for this time, sequentially the trend will be followed, but it may not be crossing INR 275 Crs, unless and otherwise any one-off thing shows up. But all these dip will be compensated in the second half and overall the year. We are saving hard to achieve, a 4-digit profit figure for the current year, for which the important drivers will be reduce the slippage going forward and the improved recovery as we have shown between FY '22 and '23.

With this opening remarks, I leave the forum for the discussion. Over to you all.

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Moderator: The first question is from the line of Rohan Mandora from Equirus Securities.

Rohan Mandora: Sir, in the opening remarks, you mentioned that you will be looking at evaluating certain co-lending opportunities. So if you can just elaborate further on what kind of businesses and what kind of partnerships you're looking at?

N. Kamakodi: Basically, just now we are starting and when we got into the first-level interactions, we are able to discuss with a few of the NBFCs based out of the Tamil Nadu where the bulk of the lending is happening on the vehicle front and also in gold loan. What we are basically looking forward is the co-lending opportunities in the secured front -- secured advances, predominantly we are expecting them to be in either the gold loan front or vehicle front or the housing loan front.

Rohan Mandora: Sure. And just when you're looking at gold loans, so we also do directly. So will the customer segment be different of these NBFCs?

N. Kamakodi: Yes. Basically, these gold loan companies with whom we are discussing the opportunities, bulk of them, the majority of their business is coming from the non-Tamil Nadu where we are very strong in the gold loan. But the the names and other things, which I don't want to disclose now. Basically, their main areas of operation is predominantly non-Tamil Nadu.

Rohan Mandora: Got it, sir. Second is that in terms of the digital lending that we are evaluating at the consultant, so when do we intend to launch that? And what kind of customer profile will be target to that?

What kind of businesses are we looking to do?

N. Kamakodi: See, basically, as I discussed in the last quarter con call, initially, we are starting with our existing customer base and to make the part quicker and give better approval rates and things like that. So it will first start with the MSME lending, less than INR 5 Crs. Parallely, it will process the renewal which will give a lot of free space in our processing capacity.

So after that, it will be getting into improving our presence. We have a small housing loan portfolio. The opportunities where we can improve our TAT is the fundamental requirement of these digital lending processes for which the policies have already been finalized and the preparation of the software and scoring model are underway. So they should be coming on track during the second half. Our current level of turnaround time is 1 week to 15 days. This will improve that probably to 1 to 2 days for giving the soft approval, followed by other policy, the legal opinion and the other procedural aspect, which has to be taken into account.

So we are not starting with the unsecured lending. Apart from our existing portfolio and focus areas like MSME, commercial trading and also the housing loan, we find a significant number of our existing customers using housing loans from other banks. Hence, this particular action will improve our penetration or improving the wallet share.

After that, the other secured products like LAP can be introduced slowly, for which the digital lending process will improve the TAT.

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Rohan Mandora: Sure, sir. And sir, in your opening remarks you said that whatever collection would have happened in July, you were adjusting that as part of recoveries in the slippages part. So I just want to understand, earlier when that recovery was adjusted, was the account going back to 0 DPD or below 90 DPD for you to classify in that recovery?

N. Kamakodi: 0 DPD. So you can upgrade the account only when they become 0 DPD.

Rohan Mandora: Okay. Okay. Okay. And then lastly, why was the tax rate lower this quarter?

N. Kamakodi: Basically, you have 2 things - in terms of write-off and in terms of extra provisions. Basically, the taxable income is reduced by INR 133 Crs after taking into account the provision and the write-offs that have been made in this quarter when compared to Q1'FY23. Hence total tax provision is reduced by INR 133 x 25.17 % i.e INR 33.50 Crs. So we have made about INR40 Crs for this quarter against INR 70 Crs we made for Q1'FY23.

Moderator: The next question is from the line of Alagusundaram, as an investor.

Alagusundaram: In terms of the bad debt, there seems to be a substantial increase in provisioning in comparison to the previous quarter. And also, there is a reversal of provision towards contingency. So is there any specific details which can be shared on this?

N. Kamakodi: Yes. Basically, we had that extra provision for the Spicejet. Since that account is closed, we had to reverse that. We were talking and a lot of discussion about improving the provision coverage ratio above 70 and 50 taking into account the technical written-off and free from technical written-off respectively. So we use this opportunity of that reversal to, improve the provision coverage ratio, and that's how it has gone.

If you had a chance to look into the NPA slippage for FY '22 and '23, they were hovering about INR 1,200 Crs to INR1,300 Crs. And this year, we expect the incremental slippage to come below INR 1,000, maybe between INR850 to INR1,000 is what is expected this year.

Year as a whole, you might have seen the total live recovery plus technical written-off recovery also improved between 2022 to 2023, about INR 250-odd Crs. We expect some improvement over there. Year as a whole, we expect our net NPA to come below 2 %, closer to whatever we had during the pre-COVID level of 1.75 % to 1.80%, something like that.

Alagusundaram: No, that is comforting. And also, you were mentioning about digital lending, where you're saying that the focus will be more towards gold loan and also vehicle loan, am I right? That is what you are mentioning.

N. Kamakodi: No. The question was on co-lending and the portfolio buy out. That will be secured - like gold loan and vehicle lending.

Moderator: The next question is from the line of Jai Mundhra from ICICI Securities.

Jai Mundhra: Sir, first question is on opex, right? So if I look at our staff -- number of staff or staff spend, Y-o-Y, it has increased by around 20%, from around 5,300 to 6,300 headcount. This is also a year of where at least while we are not attached to IBA, but still the IBA salary, banks have

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started making provision, anywhere between 10% to 15%. And we also have a 19%, 20% rise in the headcount. In that context, sir, what do you think would be your staff cost for FY '24 Y-o-Y? I mean what kind of staff cost growth can happen in '24?

N. Kamakodi: See, basically, you might have seen Q1 last year to Q1 current year, there is not much growth in terms of staff cost. It is basically because, when you make the staff cost, it is your basic salary and other benefits plus the provisions you need to make for the leave encashment and other future benefits, which is a function of the interest rate for which you need your actuarial calculations and things like that. There was no need for making additional provisions this quarter because of the increase in the interest rate assumptions and things like that.

Number two, we are not part of IBA. And we have already slowly and steadily getting ourselves into the CTC remuneration structure. Also we had never been a part of the pension scheme, as our pension is defined contribution and not defined benefit. So overall, our expectation is that definitely in tune with the overall headcount. There will be some amount of increase. So around 10 % average incremental, maybe 10 to 12 % incremental salary will definitely happen.

Jai Mundhra: Right. So sir, 10%, 12% is the wage revision. And we also have a 20% higher headcount also, right?

N. Kamakodi: No pay revision. It will be because you are into the CTC structure and annual incremental thing will continue, and there is no concept of pay revision at all.

Jai Mundhra: Right. Okay. But -- okay. And sir, is this -- the second question is related to growth, right? So while every first quarter, we see a QoQ decline. But in this quarter, the absolute rupee decline from March level has been very high. It is even higher than first quarter when the COVID had hit us or hit the banking sector in first quarter of FY '21. So is that also a function of the bank moving to CTC? Is that -- I mean the growth -- the lower growth is also a function or somewhat related to CTC migration?

N. Kamakodi: No. Actually, we had about INR 835 Crs negative, which was the earlier highest, as you said rightly, in the year '19-'20. This year, basically, we are seeing a pattern. As you know, typically, about 55, 60 % of our non-gold loan portfolio is from the cash credit and balance, 42 %, is from newer term loans. What is basically happening, what trend we are seeing is that the cash credit utilization, which normally used to hover about 78 to 80 % is getting moderated to

about 70 to 72 %. That's the lowest we are seeing.

And also some amount of repayment in the agricultural gold loan happened. So for which we need typically the acceleration of about INR1,000 Crs to INR1,200 Crs every month to have my average growth rate going forward.

We have not gone into the retail lending and also on the services lending or NBFC lending in the past. Now I think we have to get into those segments and also to take it to the double-digit growth rate for the current year, for which we have started making our initiatives.

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Moderator: We'll move to the next question that is from the line of Amish Thakkar from Siguler Guff India Advisor.

Amish Thakkar: Yes. I have 2 questions, sir. One is you just mentioned that banks will have to get into some newer segments to get to a 10 -- 12% to 14% sort of a growth rate in loan book this year. So is there a short-term challenge in terms of the core MSME segment, which has been the bread and butter and the core segment for the bank? And what will be long-term average -- because some of the other things that you mentioned would be new to the bank. Is there a separate team or a separate vertical that is being assigned? So that's question number one.

And question number 2 is on you've been maintaining that the gross slippages and the net slippages are improving, which we have seen over the past 2 years, but -- versus whatever you indicated for the whole year. This quarter has been slightly higher. If you could just maybe help us understand why this number is looking so high versus the annual guidance?

N. Kamakodi: See, on the first 2 questions, in terms of going for the newer opportunities, our expectation is that when we want to grow by a double-digit growth of 12 to 14 % for year as a whole, the arrival of digital lending process will improve our task going forward and it will just get us to the double-digit growth.

We have existing team to take care of dealing with the other NBFCs, portfolio buyout, co-lending and tie-ups with the NBFCs etc., and we have started working on these lines

But for improving the retail loans like housing loan and other segments, we need to go for the verticalization, for which we have started the action. But to have them in place and have a meaningful incremental, it will take a few quarters, if not a few years.

So the initial growth rate has to both come from our existing MSME, commercial trading, etc., where, we have started seeing requests for capital investment and expansion. On the co-lending and corporate relationship, we have our existing mechanism and some amount of internal capacity is already there. But for other retail things and all, we have to take a few quarters to build them, and it will be the future growth engine, as I started at the beginning. And coming to your slippages front, we had always taken collections, if the account is closed or if the account is upgraded with a total repayment. We hope this year, our total slippages for the whole year should be less than INR1,000 Crs. We should be getting about not less than INR 200 Crs to INR 300 Crs benefit in the slippages. So about INR98 Crs the benefit which we did not take in the first quarter right away, which is available for my second quarter and which we'll get to average it out as they move forward.

Amish Thakkar: Okay. Understood. And sir, as a follow-up to your first explanation. If I was to look at or we want to look at a 3- to 5-year glide path for the bank, how much -- what would be your aspiration and achievable goal in terms of a 5-year loan book growth rate? And at the end of that 5 years, what would be the contribution of these newer verticals, which are housing loans or some of the other things that you would want to set up with self-sourcing engine. What would be the contribution of that loan book? What would be the aspirations?

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N. Kamakodi: Going forward, my expectation is that it should be close to 15 % is what we are expecting in that newer portfolio of the co-lending.

When we use the capacity created by the NBFCs and other fronts, this should come close to about 7 to 10 % of our overall loan book maybe 5 years down the line. Under the retail, our regular MSME, commercial trading, gold loan etc., can have a growth rate of about 10% to 11% and incrementally about 25 % of the growth rate will be constituted by these new lines of activities. Together, they should be constituting about 12 to 15 % in our overall book in a 4- to 5-year timeframe.

Amish Thakkar: So 10%, 12% of loan book would be co-lending and portfolio buyouts. Another 10-odd percent will be self-source retail loans for which you are setting up the verticals. And the balance, 75% to 80%, would be the core book that we have today, the MSME loans, the agri loans and the agri gold loans and gold loans. Is that...

N. Kamakodi: No. No, no. The 85 % will be from my existing portfolio combination, 15 % will be from the new areas. In that 15 %, about -- around 8 to 10 % will be from the co-lending and other areas. And about 5 to 7 % will be from the increased retail and other area which we are building our internal strength.

Moderator: The next question is from the line of Rakesh Kumar from B&K Securities.

Rakesh Kumar: Yes. Sir, just firstly, slightly going in the background, we have had quite a strong rise in the funding cost, term deposit costs going up by around 90 bps or so. In the previous quarter also, we had quite significant rise in the term deposit cost. And so overall funding cost has been rising. So what is the reason that we reduced our MCLR by around 25 bps in previous quarter.

So what is that causing us to take that decision?

N. Kamakodi: See, it was mainly because of regulatory observation. In the regulatory observation you have various components of the MCLR like your basic funding costs with your other margin and all.

In that, we had a markup within our model for which, there were a lot of discussions. And

based on the regulatory observation, we had to take that margin up and that's why it is there.

Rakesh Kumar: Sir, this specific regulatory observation, what you are saying that has happened to us actually to the bank...

N. Kamakodi: Yes. It was an observation when they look into the components of the MCLR. This is extra 15, 20 basis points mark-up, what we had in the MCLR, we had to take it out of the MCLR.

Rakesh Kumar: So this is the occurrence of this quarter or it happened in the previous quarter, sir?

N. Kamakodi: No. It was based on the observation last year. This is after so many discussions happened later.

Rakesh Kumar: So implementation has started taking place from Q4 or Q1, sir?

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N. Kamakodi: No, it started from the Q4 '23. Finally, overall yield in the first quarter is more than the Q4.

Even though the MCLR has reduced, other transmission and the individual calculation change has helped the overall yield of the portfolio to sequentially increase.

Rakesh Kumar: Got it, sir. So actually, I was correlating the kind of reduction that we have seen, and this was kind of outlier in the entire banking sector that we have seen in this last quarter. And second thing also that the credit volume growth was also kind of quite tepid. So is it the case that just to remain competitive, are we catering to a completely different segment of customers? Is that the case also?

N. Kamakodi: No. Basically, it is the same customer, same business what we are doing. The difference between us and our other peers who are showing other volume is that, over and above the regular businesses from the MSME lending and all, the contribution of the retail products like housing loan and co-lending are giving them substantial tailwind in terms of growth. So far, we had restricted and kept ourselves out of that particular segment. The change in the environment is coming to a point that we also need to get into the bandwagon to take things forward.

And one good thing is that, in terms of the granular, there are not many changes. And that's why earlier, we focused more on the other business lending, but the market has now repeatedly showing that the risk-adjusted returns should not be as bad as we were thinking originally, which is making us to really look into our focus and also get into this bandwagon.

Moderator: The next question is from the line of Punit Bahlani from Macquarie.

Punit Bahlani: Just on the slippages bit, you had mentioned that 70 bps is -- the slippages must have been lower by 70 bps because you didn't recover close to like INR 98 Crs. Or you didn't account for that? Could you elaborate on that because I missed the opening comments.

N. Kamakodi: Yes. See, basically after the quarter end, before the audit, if the account is fully closed or if the account has come back to 0 days past due by totally making the payment, we used to give credit in the NPAs. But based on the regulatory observations, what we have now done is that we have not given any credit for INR 98 Crs in the first quarter, which we will be having it in the second quarter.

Punit Bahlani: Okay. So INR 98 Crs, those accounts are only partly paid, like you have not completely...

N. Kamakodi: No, no. INR 75 Crs -- where total overdue is paid. And the INR 23 Crs, it is in the opening balance. In normal course, we have all along been using them and that is the way that's been practiced. And this time, we have changed that, which is a time difference, which will be observed in the second quarter.

Moderator: The next question is from the line of Prakhar Agarwal from Elara.

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Prakhar Agarwal: Just a follow-up to previous question. So you possibly also didn't account for the additional slippage that happened between the balance sheet closing and the audit date. So what would

that number be?

N. Kamakodi: A bout INR 30 Crs, INR 40 Crs will be the normal thing, which we will be considering

Prakhar Agarwal: So you said there were some repayments on agri gold loans and the utilization levels has dropped to historically low level. What do you anticipate the reasons are for these 2 statements?

N. Kamakodi: See, we discussed at length in the last couple of calls. It was on the agricultural gold loan on which a few observations by the regulators on the interest subvention and hence, we had to withdraw the particular product. Now we have made another product different from whatever that was given. Now things have started coming back on track. So gold loan we have started seeing positive growth in the non-agri front, wherever people need more money and things like that. So we don't have any issue.

Coming to the lower utilization of the cash credit, after many, maybe not just quarters, years, now only we have started actually seeing request from the customers on the capacity expansion, investment in the power generation and like solar or windmill and things like that. Maybe after 2019, almost after 4 years, now only we have started seeing those discussions which is giving me some hope that those things should be back on track.

Prakhar Agarwal: Got it. Sir, in terms of overall, when I look at growth versus margins and given where your cost of deposits are moving and the yields that you probably highlighted, first is where do you anticipate to close your full year margins for this FY '24? And in case that growth doesn't pick up, are we willing to sacrifice this for growth? What is our thought process?

N. Kamakodi: See, this is my 49th quarter I'm discussing. Out of the 49 quarter, if you see about the 40 quarters-or-so, our overall net interest margin, except for COVID period, it used to be between 3.4 and 3.7. It used to expand when the interest rate cycle is on the northward trend, and it used to contract when the interest rate cycle is coming back.

In the last cycle, because of PCA and a lot of things, the margins have stabilized around 4 %. As I explained, our average CD ratio we had to get it to 82 % from 85, 86 % where we used to operate. Our expectations for the current year is, our current level with maybe plus or minus 10 basis points, we should be able to move forward. And of course, good traction for the growth which will be translating into net interest income growth, compromising for a few basis points for the net interest margin. It always happens when you get into the decreasing interest rate cycle in the past.

Due to the inflation and other things, the expectation on the rate hike is diminishing. And maybe at the beginning of the next year, decreasing interest rate cycle may start. Before that point, both the cost of deposits will stabilize. Net interest income will also stabilize. And when the decreasing interest rate cycle starts, you will get into this dilemma and probably every cycle it happens in this way only.

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Prakhar Agarwal: Sir, just 2 more questions. What happened to the tax rate? I missed the comment. So what happened to tax rate this quarter? And the numbers seems to -- the rate seems to be reasonably lower.

N. Kamakodi: See, the total taxable income is INR 133 Crs less compared to the last quarter of this year. So after you consider the 25.17 % tax rate, the net tax incurred for the current quarter is less by INR 33.50 Crs, and hence we have provided INR 35 Crs as against INR 70 Crs in Q1'23.

Prakhar Agarwal: Got it. Sir, just one last question. In terms of your succession planning, what is the logic of having this plan starting so early? So you have tenure until '26, and you just got a term for 3 years. What is the thought process of starting the succession planning so early?

N. Kamakodi: See, the point is it's always very difficult to find somebody exactly on time. Our planning is that you will need not less than 6 months to 1 year to identify a successor. And he needs to be with us for not less than 1 year for a smoother transition. After that, you have to apply to RBI to get the approval and it is a long-standing process. Probably, you will need some time to discuss what type of successor you want and things like that.

So it has to be done in stages, have multiple choices, evaluations and all. And it's something which happens over a period of time. I mean in all other cases where the successor just comes on the last day or even 1 or 2 days after the incumbent left, that process, it will take not less than a year.

Moderator: The next question is from the line of Gaurav Jani from Prabhudas Lilladher.

Gaurav Jani: Sorry, sir, I missed your comment on the expected loan growth for '24. So did you mention 12% to 15%?

N. Kamakodi: No. We said 12 to 14 % in the last con call. We are still working towards achieving that towards the end of the current year.

Gaurav Jani: So sir, just an extension of that, right, 12 to 14 is what you're targeting or probably at least that is what you're starting to achieve. So tying that up with around the comment you made on BCG, right? So could you highlight as to what were the findings of this consultation with

BCG? And what gives you the confidence that in the next 3 quarters, you'll actually achieve this sort of a loan growth?

N. Kamakodi: Yes. As I explained earlier, BCG is only helping us to digitize the process, improve the TAT and make the underwriting process better. In that, what is going to basically happen is that the digitization, along with the introduction of the scorecards and things like that, the TAT which we take currently about not less than 1 week to 15 days, it could be reduced to even 24 hours to 22 hours for soft approval. So that is the major requirement which we have given it to the BCG on which all the requirements are being worked out, which will enhance both our approval rate and also our conversion rate.

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I also clearly explained, our existing business mix of MSME, trading, agriculture and gold loan put together, they will be taking us closer to the double-digit growth. When we compare our performance with most of our peers, apart from the growth from the core sector, whatever that has been done earlier, significant growth is coming from the NBFC lending, co-lending, portfolio buyouts and these sort of things which we had resisted in the past. Now the overall developments in the market and also the practices and all, we have to get into that practice also.

Along with that, another major factor, which is giving them all incremental growth prospects are from the retail lending from the housing loan, loan against the properties and all such things for which we have to build the capacity. So all these things put together, our hope is that it should be getting us to what our growth rate that is coming into.

And also, as I told, there was a significant reduction in the CC utilization. And after many years, now only we have started seeing the requirements of our capacity expansion and the capital investment in the MSME sector, almost after 3.5, 4 years, we are seeing the trend. So all put together, this should be our core growth comprising of our MSME, commercial trading, gold loan and things like that should get us close to the double digit. And the balance, 4, 5 %, should be coming from the areas of whatever I explained now.

Gaurav Jani: Just one subpart to this question. Why I ask this to you is because, well, generally whenever you hire a contractor, it just takes time to actually sort of reflect that on the balance sheet, that's number one. I mean the kind of segments you're targeting; typically, those would have lower ticket sizes, right? So it will mostly be focused on volume. So what's...

N. Kamakodi: Yes, yes, yes. See, basically, they are not making any bigger changes in the overall business mix and things like that. Their support is purely for streamlining the processes which they have successfully done for a few of our peer banks, which is now getting replicated.

Moderator: The next question is from the line of Abhilash Hiran as an individual investor.

Abhilash Hiran: Sir, so you mentioned about the BCG hiring. One of the reason was to better the underwriting process. So can you explain what was the usual process? And what changes they are going to bring?

N. Kamakodi: The major change will be in the TAT. So like I said, this improvement in the process through digitization can reduce the soft approval rate from the current level of about 1 week or 2 weeks to 1 or 2 days. Making the tie-ups with the fintech the data can be automated and the processing can be automated. So those things, which they have successfully done in a few of our peer banks, that process is getting replicated in our bank.

Abhilash Hiran: Sir, two questions on the data front. Can you give an advances mix? You're working on INR5 Crs ticket size for FY '23 and FY '22?

N. Kamakodi: Overall in terms of the gross advances, above INR 5 Crs is 21 %. About 80 %, it's less than INR5 Crs.

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Abhilash Hiran: This is for FY '23, right?

N. Kamakodi: It is for the June 2023.

Abhilash Hiran: Okay. Historically, has there been any segment that we had entered into and then we closed it out later after understanding perhaps that was not our -- from an underwriting or any reasons perspective?

N. Kamakodi: See, normally, we don't enter any segment in a hurry. We make our own judgment overall.

That is the reason why in the previous bad asset cycles, be it in a consortium lending or be it in the infrastructure lending or be it in the unsecured lending, in the past 25 years we track results, we don't do anything in a hurry. And whenever we have gone inside we had not got into any major accidents or anything like that. Things have been steady always.

Abhilash Hiran: So sir, basically, we have never exited any segment that we have entered into, historically?

N. Kamakodi: For example, in gold lending, we started with the single digit. We increased it to 16 %. We got back to 8, 9 %. Then we, once again increased it and it is currently at 25 %. This entry and the exit will depend upon the profitability and the opportunities available at that point of time. And we have not exited any segment because it has given us lots of losses or whatever. We do it on a practical basis, depending upon the alternate opportunities available to us.

Moderator: The next question is from the line of M.B. Mahesh from Kotak Securities.

M.B. Mahesh: What would explain the composition of the slippages? If you were to look at the INR 380 Crs and allocate it to MSME or agri or probably on the retail side, how would that slip look like?

N. Kamakodi: It's almost proportional to our overall exposures only. By and large, your gold loan is not going to have a bigger thing. So everything is going to come from the MSME, commercial and agriculture lending only. So as usual, out of that INR 382 Crs, INR 227 is from the MSME.

M.B. Mahesh: In your assessment, when you look at this segment of the customers, they still haven't recovered from COVID as of date. What explains the persistence of the slippage?

N. Kamakodi: See, the issue is I can put it this way. If you take some of our peers, they had huge issues with the corporate lending or the consortiums. The bulk of their problems got cleared, then at the point itself. Our problems started late and expected to get completed late.

So we see we are almost in the last 10, 15 % of the issues. We typically used to have about, 2 to 2.5 % slippages before the COVID, which increased to about 3 to 3.5 %. This year, our expectation is that we should be getting back to that 2.5 to 3 %, and we are almost in the last leg of that particular issue. So the visibility we are getting now.

As I told in the last con call, we used to have about a 6 to 6.5 % SMA 2 numbers. That number is currently about 2 to 2.5 %, which is giving us sufficient confidence that we are entering into the final segment. I mean almost everybody, either who had problems pre-COVID, are those whose capital got cleared, or who doesn't have a proper business model to make profit in a

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formalized environment. All of them are, by and large, either already dead or almost in the last stages. Those who survived this period, they will be thriving and growing forward.

M.B. Mahesh: Okay. Sir, my second question is also linked to this. Roughly about INR 1,400 Crs of technical written-off pool is still available. But yet, recoveries in that book has been a bit slow. Given the nature of the collateral that sits there, what explains a slow recovery in that segment?

N. Kamakodi: The main impediment which is happening currently is your legal system. The recovery happens through 3 things. One, negotiated settlement; number two, DRP; number three is the SARFAESI. We go for both legal routes in terms of DRP and also through the SARFAESI, which makes some pressure for the borrower to come for the negotiation table. Last year, you had almost half of the DRPs did not have a presiding officer. Amendments were made in the SARFAESI Act and particularly during the COVID period of 2 years, the legal system, particularly on the recovery front, was not basically working.

So our expectation is that out of this INR 1,400 Crs 40, 50 % should be recoverable. To take the physical position through SARFAESI Act, that power is now given exclusively to the Chief Judicial Magistrate. There is also some amount of delay happening. But overall, whatever we are recovering in the past, we are able to see that happening on an ongoing basis.

Moderator: The next question is from the line of Ashish Agarwal from BNP Paribas.

Ashish Agarwal: Yes. Sir, in the last call, you highlighted that your approval rates have gone down primarily due to tightening of your credit standards. Do you see stress kind of set in the MSME segment? And how do we see disbursements from here? Because I know you kind of mentioned that your loan growth came out due to repayments of agri gold loans and utilization of lower credit limits. So are you seeing any stress in the MSME segment, which could impact your disbursements from here?

N. Kamakodi: Definitely, we have started seeing improvement in the approval rate. That is one of the reasons, we accelerated the BCG project because of which it will improve things further. Already, we have started seeing things improving. And we should be seeing that approval rate improving from where they were.

And I have to admit some amount of rejections, we were too stringent more than what it was required. And now we are getting back to our normal pre-COVID level of approval rate, whatever we want to, by properly trying to have some extra points to measure. Things are definitely improving on the positive side.

Ashish Agarwal: I guess, sir, just a follow-up on that. So what is the approval rate for the quarter, if you can just mention that.

N. Kamakodi: Yes, yes. See, we used to have about 50 to 60 % approval rate during pre-COVID. After COVID and last year it came down as low as 25 to 30 %. Our expectation is that we should be getting back to that 50 % plus when digitization gets completed. Until that point of time, we will be seeing a step-by-step improvement from 30 to 35%, 35 to 40% and things like that.

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Moderator: The next question is from the line of Chintan Shah from ICICI Securities.

Chintan Shah: So just expanding on the previous question on the BCG. Any timelines on when we will be starting with this digital lending or the co-lending arrangement?

N. Kamakodi: It will start from the third quarter.

Chintan Shah: Okay. Okay. So sir, considering that we have guided for a loan growth of 12 to 14 %, any ballpark numbers of what could be the growth from H1 to H2? Since considering that we already had de-growth in the first quarter, 12% to 14% looks kind of on the very much optimistic end.

N. Kamakodi: Yes. See, normally, we used to have about 1/3 of our growth in the first half and 2/3 of the growth in the second half. This time, since we are also looking into some amount of the co-lending, your concern is rightly placed. But we are taking all our steps to get into that point.

One of the things which is giving me some amount of extra confidence is that, after almost 3, 3.5 years, some sort of investment cycle in the MSME cycle, we have started seeing. When the CC utilization improves, that itself should be giving me some amount of incremental growth. So let's hope for that, and we are putting our best effort to achieve those numbers, what we are discussing.

Chintan Shah: Sure, sir. And sir, lastly, on the opex front. So given that we have done the tie-up with the BCG and many digital initiatives are in place, so this is likely to keep the opex elevated, as you mentioned. So then what should be the key ROA drivers in this FY '24 apart from treasury? Anything more on the operating front? Margins are probably likely to be stable. So anything else I'm missing?

N. Kamakodi: Yes. Bulk of our expectation is about INR250 Crs to INR300 Crs reduction in the slippage. So that should give me some amount of a breather. The maximum amount of that lever has to come from the credit cost. So we should be getting back to our pre-COVID level net NPA position during the year-end with reduced credit cost, which would be giving us the lever for that.

Moderator: The next question is from the line of Aravind R from Sundaram Alternatives.

Aravind R: You were talking about this new co-lending business. Like when we talk about vehicle loans, is it like commercial vehicle or personal vehicle? That is one of my questions.

And in terms of our growth in the first quarter, like I could see like MSME being very weak, and that is one thing. And where do you think the growth will come back from, again, in terms of sector or something like that?

And just one more thing, like the yields have improved, but also I could see like a lower yielding segment like agri in terms of proportion of the loans are just coming down. That is one of the lower yielding product. So I was trying to understand like how much of the mix change actually contributed to the yield? Or is it just from the repricing effect?

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N. Kamakodi: Yes. Your question on the vehicle loan, it will be a mix of commercial vehicle and personal vehicle, but bulk of it will be for the commercial vehicles. The question, on the yield front, it is mainly not because of any major change in the product mix, it is because of the interest rate, passed on because of monetary policy.

Aravind R: I was talking about like MSME growth being -- where do you see the growth coming back from like -- which sector or which segment would be the driver for it?

N. Kamakodi: Yes. I mean two things I'm basically expecting. One, after many years, some sort of proposal for the capital investment has just started coming, which I hope should accelerate in the second half. And number two, the digitization and the digital lending is available during my second half for the MSME. It should reduce my TAT and improve my capacity utilization. And, the cash credit utilization also we expect to see some improvement. All put together, it should be helping me to get back to the double-digit growth.

Aravind R: Okay. Just one more question, if I can, like what could be the guidance for NIM for this year?

N. Kamakodi: Current level, plus or minus 10 basis points.

Moderator: Ladies and gentlemen, that would be our last question for today. I now hand the conference back to the management for their closing remarks. Thank you, and over to you.

N. Kamakodi: Thank you all for attending this conference. We are taking all efforts to improve the growth, as we said, and all the initiatives we are taking should be helping us to get it to the next leg. So our focus now will be to streamline the existing processes, augment the skill sets and the capacity needed for the new areas, be it retail lending or other co-lending and things like that, and ensure that the organization is future ready by building the bench strength as we move forward in the next couple of years to take things to the next level orbit.

So if at all, you have any specific data points or other things, the contact details of our General

Manager, Mr. Jayaraman, is there in the presentation, which you can connect as such. And thank you all for attending this con call. Thank you very much.

Moderator: Thank you. Ladies and gentlemen, on behalf of AMBIT Capital, that concludes this conference. Thank you for joining us, and you may now disconnect your lines.

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"City Union Bank Limited
3QFY24 Earnings Conference Call"
February 01, 2024

MANAGEMENT : DR. N. KAMAKODI – MANAGING DIRECTOR AND
CHIEF EXECUTIVE OFFICER – CITY UNION BANK
LIMITED
M R. J. SADAGOPAN – CHIEF FINANCIAL OFFICER
– CITY UNION BANK LIMITED

MODERATOR : MR. PRABAL GANDHI – AMBIT CAPITAL

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Moderator: Ladies and gentlemen, good day, and welcome to City Union Bank 3QFY24 Earnings Conference Call hosted by hosted by Ambit Capital Private Limited. As a reminder, all participant lines will be in the listen-only mode and there will be an opportunity for you to ask questions after the presentation concludes. Should you need assistance during this conference call, please signal an operator by pressing star then zero on your touchtone phone. Please note that this conference is being recorded.

I now hand the conference over to Mr. Prabal Gandhi from Ambit Capital. Thank you, and over to you, Mr. Gandhi.

Prabal Gandhi: Thank you, Yusuf. On behalf of Ambit Capital, I once again welcome you all for City Union Third Quarter Call. On the management side, we have Dr. N. Kamakodi, MD and CEO; and Mr. J. Sadagopan, CFO. Without further ado, I hand over the call to Dr. Kamakodi for his opening remarks, post which we can open the floor for Q&A. Thank you, and over to you, sir.

N. Kamakodi: Good evening, everyone. Hearty welcome to all of you for this conference call to discuss the unaudited financial results of City Union Bank for the third quarter ended 31st December 2023. Board approved the results today, and I assume you all have received the copies of the results and the presentation. During the past 3 con calls, we had shared with you all the following expectations for the financial year '23, '24.

■ We are aiming at 12 to 15 percentage growth for financial year '24 and the growth skewed towards year-end.

■ We are working hard to achieve double-digit advance growth.

■ We are working to accelerate proper implementation of the digital lending process initiated with the help BCG and we have already rolled out first to face of the automated loan underwriting process. It may take a few quarters to show benefits in our bottom line.

■ Despite headwinds in the margin, base figures and growth. We expect we should be closing financial year '24 with a decent PAT growth,

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substantial reduction in NPA, improved coverage ratio and ROA close

to our long-term average of 1.5%.

■ Our recoveries more than the slippages, we expect the same to continue for remaining quarters, and our slippages will be back to the pre-COVID level.

■ We will strengthen the leadership team to make organization future-ready with the digital, retail, et., so that they will become the growth engine for the future.

We are here, by and large, progressing on these lines, except on the growth, which is also we have just started seeing a positive trend.

With the implementation of the digital process, we have started seeing things turning positive in a phased manner. While most of our peers are achieving mid-teens growth in advances aided by growth in retail consumption lending, unsecured lending, personal lending, etcetera. As discussed earlier, we are not active in those areas.

Post pandemic, the growth was settling during mid-financial year '22. When we compare December '22 with December '21, we had a terminal advance growth of 12 percentage and daily average advanced growth for the month of December to December was 14 percentage. Post-COVID, our concentration remained on gold loans, and we had grown by 34 percentage in Gold loan segment in the same period. After regulatory observation on KCC agri loan in December 22, we had to degrow the KCC gold loan amounting to about INR4,000 crores, starting from January 2023 by completely stopping new KCC loan, which stood at INR229 crores as of 31st of December 2023 from INR4,000 crores as we discussed.

During the corresponding period, our non-agri gold loan grew by 28 percentage of INR1,200 crores. You may also remember about the divergence issue last year. Because of these disturbances, our daily average advance growth started reducing from 12 to 14 percentage in December '22 to 3 to 4 percentage till September '23. We also started introduction of the digital lending practices.

Not only we are seeing things settling. For the last 2 months from November, we are able to see INR400-odd crores monthly credit growth turning up, which should translate into restoring 12 to 14 percentage annualized growth going

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forward. We hope that introduction and settling of digital lending processes should also support this growth. All other factors have settled well.

The recoveries in NPA are increasing over and above the slippages resulting in reduction in the gross NPA, net NPA and the provision requirements. Hence, we are able to see decent PAT growth because of reduced credit cost, even though there are headwinds in growth and operating profit for us.

Our PAT has grown by 16% in Q3 financial year '24 and stood at INR 253 crores compared to INR 218 crores in Q3 financial year '23. The ROA for Q3 financial year '24 was 1.49% compared to 1.34 % in Q3 financial year and 1.52% for 9 months financial year '24, which is our long-term average. The PAT for 9 months financial year '24 is INR 761 crores and we hope to cross 4-digit PAT figure for financial year '24 as said during our earlier con calls for the first time.

Our annualized slippage ratio for Q3 has come down to 1.70% in Q3 financial year '24 from the peak of 5.56% % annualized in Q4 financial year '20. It has also reduced from 2.06 % in Q2 financial year '24, showing sequential decrease and coming closer to pre-COVID level.

The slippage of our Q3 financial year '24 is INR187 crores while total recoveries made is INR289 crores, comprising of INR224 crores from live NPA accounts, and INR65 crores from the technically written off accounts. As I said in our last con call, live recovery has surpassed the live slippage in the current quarter as well. We expect this trend to continue in the coming quarters also. The gross NPA declined to 4.47% in Q3 financial year '24 as compared to 4.66% in Q2 financial year '24 and 4.91% in Q1 financial year '24 are showing sequential decrease.

The net NPA declined to INR941 crores as on 31st of December 2023 and is a 2.19% for Q3 financial year '24, compared to 2.67 % in Q3 financial year '23. The net NPA is also decreasing trend in the current financial year, that is 2.51

% in Q1 FY '24, 2.34% in Q2 FY '24 and 2.19% in Q3 financial year '24. Our yield on advances for Q3 FY 24 stood at 9.62% compared to 9.16% in the corresponding quarter last year. If we factor one time interest reversal of around Rs.25 Cr for non performing FITL accounts, the yield would have been 9.85% for Q3 FY 24. Our NIM for the current quarter is at 3.50% and for 9M

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FY 24 is at 3.63%. If we factor the above one-off item, our NIM would have been at 3.67% for Q3 FY 24 and 3.69% for 9M FY 24.

Our cost to income ratio for Q3 FY 24 is at 48.64% and the same is at 45.65% for 9M FY 24. As said in our earlier calls, the CIR will be at elevated levels due to the cost involved in the automation process and will come back to 40 - 45% range post completion of the same.

So far, we have opened the 20 branches in this financial year, taking our total number of branches to 772. By the financial year-end financial year 2024, we are planning to open our 800 branch.

The process of strengthening leadership team is in advanced stage. The first set of senior team members are joining in February. They will be contributing to strengthen our capabilities in digital lending, retail, data analytics etc. Before the next quarter results, most of them would have joined our bank.

To sum up, we should be achieving the 4-digit PAT for financial year '24 for the first time. Our NPA slippages have come down significantly and the live NPA recoveries have surpassed the live slippages. Hence, going forward, we are on the right track of getting back to pre-COVID level of NPAs. Our performance level is by and large as per our numbers shared, except of our growth. For the past 2 months, we are seeing positive growth as per our expectation. And we expect the same will get better and better.

The digital lending process is going as per the schedule, which will help in achieving the improved credit growth in the coming quarters. And ROAs are back to 1.5%, which used to be our long-term average. And our net interest margin is also stable.

Overall, with this opening remarks, I leave the forum for questions. Over to you all.

Moderator: Thank you very much. We will now begin the question-and-answer session.

The first question is from the line of Mona Khetan from Dolat Capital. Please go ahead.

Mona Khetan: Hi, sir. Good evening. So my first question is on growth. So if I got it right from your opening remarks, you're saying that guidance for FY'24 has been maintained at 12% to 14%.

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N. Kamakodi: No, I don't think we will be able to cross double digit. Hopefully, we should be getting closer to the double digit.

Mona Khetan: Okay. Got that. And secondly, you mentioned about this FITL impact, which hurt your yields in Q3. So could you just elaborate a bit what exactly has happened here? And how that has resulted in interest reversals?

N. Kamakodi: See, the FITL is the facility which was given to the loan when the restructuring was done during the COVID. This FITL is nothing but giving funded interest term loans as part of the restructuring package. And this INR25 crores reversal is from the interest income of those FITL given to those borrowers, and this is the portion of the interest for those restructured loans, which turned into NPA. So that 25 is the reversal from the interest income.

Mona Khetan: Got that, okay. Because of some restructured book turning into NPA. Got it, sir. Thank you. I'll come back in the queue.

Moderator: Thank you. The next question is from the line of Mohit Jain from Tara Capital Partners. Please go ahead.

Mohit Jain: Yes, hi. Good evening, sir. I have a further question on the growth guidance that you're talking about. I think you said we will be somewhere in near to double digit. So that means that we have to effectively get a growth rate of

8% to 9% in this quarter, which seems very difficult and which seems very optimistic considering the fact that past three quarters, it has been a negative growth to a very low single-digit growth of 2% to 3%. So what makes us optimistic about achieving that 8%, 9% growth also? And how has been the progress in the month of January, so as to get in comfort on this number?

N. Kamakodi: See, if you see our fourth quarter growth in the past, we typically used to have about INR2,200 crores to INR2,400 crores. Say, for example, our highest was us in '21, '22 fourth quarter when we had INR2,768 crores. And we had earlier two years lower, but before that and all about INR2,428 crores and INR2,311 crores and things like that.

As you said, it may look optimistic only and I will not be in a position to assure everything. But what I can definitely tell you is that two, three things which are happening now, which has to support us. One is that whatever unwinding of KCC book on gold loan as discussed, it is by and large over. So we should be seeing some amount of growth back in the gold loan.

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The first phase of automated lending for less than INR3 crores is by and large through which would also support. As we had discussed in the past, during the COVID we had multiple headwinds from our various quarters, we are setting one piece after the other back on track and we are able to do that without basically compromising on the overall ROA and PAT.

So our levers now currently which are favourable are the NPA slippages under recovery. With that, we are managing our profitability growth. At the same time, the challenges in the growth are getting addressed one after the other. We are trying our best to have everything together. We have to see that in that way only. And we are putting our best effort to achieve all these pieces together. And as of now, like we will see as it comes.

But we are able to see, particularly for the last two months, the average credit growth is coming back to about 1% per month, which should accelerate, because in these last two quarters, the complete unwinding of gold loan was not over.

So keeping all these things into account, we are working. We are trying to pass this period to ensure the profitability and the return metrics are properly maintained. At the same time, before we exhaust these levers, growth will also back and we should start seeing the NII growth and operating profit growth.

Mohit Jain: Sir, just one thing. Actually, in Q2 also, we had this guidance of a double digit, I think, 12% to 14%. And in between, there were some media article which said that the growth is going to come down to a very low single digit of 1% or 2%. But I think the company clarified that we are sticking back to the original guidance. And I think that clarification came somewhere in the mid of December. So if in December, it was being said that 12% to 14% is the original to which we are sticking...

N. Kamakodi: No, no, no...

Mohit Jain: And of these last two months, you are saying 1% is the growth rate in last two months it is happening. So how should we read the overall guidance, sir?

N. Kamakodi: See, the point which when I started, I said I compiled all the points which were given in the earlier con-calls. So first con-call, we had -- we expected 12 to 14 percentage, and then we had to moderate it to, let's say, double digit. And

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some of the things, whatever we expected, although they are directionally positive, we are yet to get to the full grip.

Now we are seeing some amount of positive steps, particularly from all directions, wherever we had a negative impact. And we are putting our best effort to take it forward. So till that -- before we achieve the growth, fortunately, our other levers are working even though we had headwinds in terms of the growth. Other levers, particularly the asset quality front is helping us.

That is why we are able to manage our PAT growth and moving forward. So the point is that till we get to the full grip on the growth, we have sufficient oil in the cylinders for the credit cost. That's why I say these are all the things we told we are giving our best effort. Let us see how things move forward.

Mohit Jain: Yes. What is the deposit growth that we are targeting for the year?

N. Kamakodi: We will have the deposit growth matching the credit growth. We are not going very aggressive in deposit growth. We are balancing them. We have our credit deposit ratio around 80 to 83 % and capital adequacy is above 20 %. The deposit growth will not hamper the advances growth anytime sooner. So we we'll start working out on the deposit growth once we are able to fix this.

Mohit Jain: Okay. Thank you.

Moderator: Thank you. The next question is from the line of Franklin Moraes from Equentis Wealth Advisory. Please go ahead.

Franklin Moraes: Yes, sir. Thanks for taking my question. So could you please maybe elaborate on this Y-o-Y growth? I was not very clear because at the start, you mentioned 12% to 15%. So does that hold true?

N. Kamakodi: No. See, to start with, I recollected what and all we discussed during the earlier three conference calls. At the beginning, we expected the growth rate to be between 12 and 14 percentage, and we thought it should be at least double digit. And now perhaps we told, we are not giving you any expected number and all. So we are putting our best effort to get as close as possible to the double-digit growth.

The things which are positive for us is the gold loan degrowth of INR4,000 crores in KCC segment, which happened last year is almost over. And then the

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first stage of digital lending process has started. And we also have started seeing about INR400-odd-crores growth in the last couple of months. So the things have to progressively get better and better is what I have told for the future.

Franklin Moraes: Yes. And so how long will it take for you to come back to that 12% to 15% guidance?

N. Kamakodi: Probably, we will give you the exact number once we get the total grip in the fourth quarter when we meet during the next con-call.

Franklin Moraes: Okay. Sir, and also you had guided on lower NPAs by March '24. So does that hold true? And is there any visibility beyond that as well?

N. Kamakodi: Yes. As of now, as we told in the earlier con-calls, we get a benefit of about not less than about INR200 crores compared to the previous year in credit cost because of the lower slippages, vis-à-vis the recovery. We are able to see that point visible for a few more quarters at least.

Now as I told in the earlier con-call, we used to operate, about 6 to 8 % SMA2 of which about one-third -- about 2 % will become NPA. But now post this clean-up which happened, we are able to see the slippages have come back to less than 2 percentage and also the SMA2 numbers was in 2+ % perhaps lowest to whatever we have dealt in the past.

So these numbers are giving us confidence that both the lower slippages and the higher recoveries which are happening, we'll be able to protect our PAT growth and also lowering of our NPA as we move forward.

Franklin Moraes: Yes. So what I was trying to understand is this improvement, is it last only for one quarter, wherein we see better recoveries and upgrades? Or could there be more?

N. Kamakodi: Yes, at least for not less than three, four quarters.

Moderator: The next question is from the line of Rajkumar Vaidyanathan, Individual Investor.

Rajkumar Vaidyanathan: The first question is on the recent floods in Tamil Nadu state where your bank has a significant presence I just want to know what is the impact in

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the current quarter? Or do you expect any source from in the upcoming

quarter?

N. Kamakodi: Very insignificant. In Thoothukudi floods, about three, four branches could not function for about two, three days and even water came in our couple of branches. Those sort of operational issues were there. Even in Chennai flood the extra couple of days of holidays were there, apart from that, there was not much of impact. We don't expect any significant impact because of floods so far.

Rajkumar Vaidyanathan: Okay. And sir, the second question is, the ten year recent bond yields have started softening today after the budget we see that the significant drop in bond yields -- so just want to know what would be the impact or how much uplift we will get in the upcoming quarters?

N. Kamakodi: You will have some profit booking activities since the yields have increased significantly. The drop which has been seen today is only maybe 10, 15 percentage of the increase in yield that has happened in the last year or so.

So if this trend continues, we may have, but I'm not sure to what extent this trend will continue, number one. Number two, from first half April 2024, the rules of holding in HTM, the profit booking concepts are changing.

If the yield decrease in the next year, you can book a profit in the HTM up to 5%, if it crosses 5 % you have to disclose the mark-to-market. But under the new rule, you cannot make any sell beyond the 5%.

So the profit opportunity, whatever you are seeing as of now, I won't say it will be very significant to book it. But if this trend continues, the profit booking opportunities will be there in the fourth quarter, but it cannot continue for the next quarter.

Moderator: Next question is from the line of Arun Selvan, Independent Advisors Private.

Arun Selvan: Yes. Great. I just wanted to understand a little bit more about the changes that have been implemented to bring about digital lending. You were talking about the project that was advised by BCG. Could you just give us a little bit more colour on what kind of changes have been -- what kind of initiatives have been taken by the bank so far?

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N. Kamakodi: As I told you, the first phase of the project is over. In that, all the facilities, which are less than INR3 crores, now the turnaround time for the customers could be as low as one day. Probably 70%, 80% of the things, the turnaround time for giving in-principle sanction can happen within, 48 hours or so.

Earlier, this entire process used to take weeks, if not months. So this is going to make the customers to receive our decision for facilities, which are less than INR3 crores, as good as instantly. Now we have started our project of enhancing this to Rs.5crores. The testing has already started.

Now what we are having is that we are both processing them manually and also through the system. So we will be going ahead with that for about one month, comparing the results of the both. And whatever tweaking that needs to be done on the parameters will be done in the due course. So, in the next one month or so if everything works well, we will be in a position to give the in-principle sanction for all the facilities less than INR5 crores

The decision -- if all the data input and the supporting documents given by the customers and uploaded, we will be able to give on the same day. And there may be 80, 90 % of the cases in the next 48 hours. So this is for the turnaround time and the customer experience

Many of the parameters, which will be influencing an account -- the probability of default is now captured and the system will give the decisions based on this API integration and the parametric testing and it will give a better measurement of probability of default.

It will give a decision whether the proposal can be accepted as it is or which needs a manual check-in or which should not be accepted at all - is expected to continuously reduce the probability of default of the portfolio, which will take like a few quarters for that to stabilize.

Overall, number one, it is going to reduce the turnaround time and make the customer experience much better. Number two, it will be, making the measurement of probability of default better and the decision-making in a much better manner. Third thing is that this will open up a lot of surplus capacity in both sales and credit processing which will increase our capacity to

meet more customers to source more.

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And, to make our credit processing centers to take a better decisions and more quality work. So the customer experience part is immediate, it could be felt to the customers immediately. So we have already started giving it for less than INR3 crores. So in the next few weeks, it will be increasing to INR5 crores, and then, it will be increased up to INR7.5 crores, which is given as the threshold of the retail by the regulator.

So this is basically the correction of the entire thing, which is basically all the checking that had to be done manually even our internal parameter, external parameters, those things get now automated.

Arun Selvan: Okay. That's great to hear. I was actually trying to understand whether this would impact -- this should have some sort of an impact on the core quality of the underwriting team, would it aid the team or would it have no difference? Is there -- I meant to understand this the automation also includes a component, which affects the quality of the underwriting. Does that remain the same? Does it...

N. Kamakodi: No, no. Absolutely, you have multiple impacts One, as I said, the quality of turnaround time for the customer. Number two, the quality of decision-making will be much better because the actual probability of default under the health of the proposal, the points which cannot be seen by the naked eye in the manual processes are now easily added to the automation because of a lot of API integrations and things like that. So the quality of decision-making will improve.

The slippages will drastically come down as we move forward, which has already been visible from some of the banks which have gone into this path. So you are going to have a better TAT and you are also going to have your system getting more capacity to process more proposal and source more proposal to get the better growth with the same amount of capacity and also reduced slippages because of the better measurement of risk using the automated advanced tools.

Arun Selvan: Okay. That was very helpful, sir. My last question here is regarding the kind of segments in which you're planning on using these digital process. I know you've said as of now, it's below INR3 crores. But is there any specific segments that you're specifically using right now?

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N. Kamakodi: The immediate requirement is for our MSME loans, that was the first product to go online for less than INR3 crores, then non-MSME loans for less than INR3 crores, then MSME and non-MSME for less than INR5 crores, then to INR7 crores, INR7.5 crores. Then we also need to build up strength for secured retail products like loan against the properties, housing loans and maybe over a period of time for the unsecured portion also.

As we have told in the last con call, over the next five years, we may have some amount of unsecured portfolio for which things have to start in a small way where you need the automation. As of now, on the immediate future, you don't have got any major changes in the overall composition. So, we are introducing these digital lending processes for all the exposures less than INR7.5 crores, in those segments which are breadwinners currently.

Arun Selvan: That's very helpful sir. Thank you very much. I'll get back into the queue if I have any further questions.

Moderator: Next question is from the line of Karthik from Pinpoint Asset Management.

Karthik: Sir, just wanted to get a sense on how is the underlying demand for credit in your core segment with the MSMEs, because you had mentioned in Q2 that finally, after several quarters, we are starting to see underlying credit demand improving. And clearly, the fact that loan growth has been sluggish in this quarter means that you are still getting your system ready in order to dispose. So just wanted to get a sense on how much of this sluggish loan growth is a

function of your readiness and how much of it is on account of sluggish credit demand?

N. Kamakodi: See the things are getting better and better. One item where we are seeing significant request from the MSME borrowers, is the introduction of Solar. We used to have many requests for a windmill in the past.

Now for renewable energy, solar, it is going very high. If you look whether there is a capacity expansion – lot of requests are coming for the capacity expansion in the usual MSME front, it has improved. But I will not say that it has reached the peak level or something extraordinary. So it was very dull, but now we have started seeing things improving on that direction also.

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One of the things that is not working so well now is the textile export sector, which used to be a significant portion of maybe 15%, 20% of the overall capacity here. There is a sluggishness over there. Hence, that particular sector is also now made available to the domestic and you had the cotton prices moving up and down, some sort of moderate level of incremental growth. There is also some amount of reduction in the cash credit utilization. Nevertheless, overall, activity level are not gloomy. They are improving in Phased demand. The proposals, which have started coming under, during the COVID, we had literally shut us from onboarding of the new customers on credit. But the things started getting back to the pre-COVID level, and it is showing improvement.

At the same time, we had our own issues, which we have discussed at length. So all the issues are settling down. So we feel there has to be a firm upward tick as we move forward.

Karthik: Sir, leave aside the next quarter, because I think not one of the few banks that has the luxury of a comfortable LDR and your deposit growth is exceeding loan growth. So if you were to look out, say, the next 12 or 18 months, that this entire BCG implementation will be up and running and the operating environment for some of the MSME that you are alluding to will improve. What kind of credit growth do you think in this new system or the new city union that they are trying to build the legacy that you're trying to leave behind, what kind of loan growth do you think this will support. Would you like to throw a number or?

N. Kamakodi: See, this is one thing which we had been discussing for, multiple years. If you ask me clearly -- we used to operate at about 15, 16 % return on equity, which came down to 10 % during the first year of COVID and improved steadily and currently, it is about a 13 odd %.

My focus will be, in the next 4 to 8 quarters, to reach growth rate of around 16 % to 17 % so that you increase your return on equity around that level. So our plough back profit should be in a position to take care of our growth, so that there is a sustainable growth rate is achieved and things are getting improved step-by-step, which we have demonstrated over a period of almost two decades.

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Coming to the deposits, we don't have any bottlenecks in deposits and bottlenecks in advances that used to happen alternately. And it's a cyclic thing. I don't think the systemic deposit rate is a lot. If you ask the previous generation of -- I mean, my seniors, they used to say about 25 years back how much difficulty they had in mobilizing deposits.

Nobody used to bother advance growth rate and the entire focus of the organization and each and every employee. People will be talking only about the deposit growth. This is something which will be happening on and off. It is now getting widely accepted that the average credit growth of the system will be between, around 15 % of so.

Our effort will be to slightly exceed that and have profitability metrics and return on equity and the deposit growth rate. Matching that so that there will

be a sustainable level of progress as we have done in the past, pre-COVID.

Moderator: Next question is from the line of Rajat Jain, an Individual Investor. Please go ahead.

Rajat Jain: Actually, most of my questions have been answered. But just a couple of things. You said this cost to income has currently impacted due to this expense on account of BCG and digitization. So how long do we see that continuing for the next couple of quarters or so?

N. Kamakodi: Yes, maximum.

Rajat Jain: Okay. And sir, since you spoke at length, spoke earlier about the implementation of the digital lending, INR3 crores in the first stage, Phase 2 to 5 and then going to INR7.5 crores. So sir, if I look at in terms of number of loans, I mean, if I -- the number of loans which are up to INR7.5 crores, which I presume would be a very large part of your loan book, right?

N. Kamakodi: Less than INR7.5 crores, roughly, will work out about 60 % to 70 % of our total loan book. But the numbers will change -- you will be having a significant number of proposals less than INR50 lakhs, INR55 lakhs and things like that. You will not be able to average it out by INR7.5 crores or INR5 crores and only this much number of proposals. That doesn't work that way.

Rajat Jain: Okay. So my point is that once you automate this process, I mean you really create a lot of capacity, which would otherwise have been deployed and credit

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appraisal and site visits and so on and so forth, right, which would now be fully parameterized and automated?

N. Kamakodi: Yes. Previously, that was what I was telling.

Rajat Jain: But even with this new system, you will still have the site visit process and so on? Or will it fully go to the automated mode now?

N. Kamakodi: See, we had a parallel run of less than INR3 crores, both technical and also the manual -- once we get a satisfactory thing, we are moving on to a decision making through that. Parallely, you will be having about maybe 15 % to 20 % sampling that is continuously monitored to ensure that the system is not leaving any factor.

So on an ongoing basis, if you look into INR5 crores to INR7 crores, the degradation will be helping us with this decision. But I won't say that the entire outcome will be purely based on the 100 % automated. So it will be a combination of both -- it will reduce the manual decision making to a greater extent to whenever the proposal is more than INR5 crores and less than INR7.5 crores.

It will add a lot of value as we move forward in terms of, capacity creation and things like that and capacity to process more proposals and things like that.

Rajat Jain: Just one last question. You said because can't create credit card and the gold loans came down from INR4,000-odd crores, December '22 to about INR250-odd crores this year. So if you take -- if you adjust for that, the growth in advances actually would have been -- what would the growth in advances have been had you on adjusted for those that decrement?

N. Kamakodi: Maybe for an example at least 50 % of that if it had come for other products, at least another 5 percentage extra growth should have come for the calendar year '23.

Moderator: Next question is from the line of Kunaal from Emkay Global. Please go ahead.

Kunaal: Sir, you had mentioned that there was a one-off item, which if you exclude that, your NIMs would have been 3.7% for Q3 FY '24. Can you please repeat that what was the one-off thing?

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N. Kamakodi: See, basically, whenever you give restructuring facility -- during the COVID restructuring facility, there is something called as funded interest term loans, which is un serviced interested during the standstill class was there and the repayment were not happening. They were all given as funded interest term loans.

So funded interest term loans, at the end now whenever they turn NPAs, that interest portion of about INR25 crores had been reversed from the interest income now. I mean in earlier cases, normally, what will happen is that if an NPA, if an account becomes NPA, you will be making provision after the operating profit.

But since this FITL portion is the unserviced interest portion, normally, if an account becomes NPA, you always have the interest recognition on an accrual basis. So if 90 days norms are applied and is an account becomes NPA, the unpaid interest will get reversed. Here in that FITL portion when, account becomes NPA, this entire FITL portion is unserviced interest and it has to be reversed from the interest income which is around INR25 crores. If you add that to Interest income, as I said, the net interest margin would have been higher.

Moderator: Next question is from the line of Chintan Shah from ICICI Securities. Please go ahead.

Chintan Shah: Thank you for the opportunity. First question on the grown guidance. So if we look for FY'25, so like you mentioned, we are seeing a growth of 1%, now around 1% a month. So FY'21, can we assume a growth rate in double with like around 12% or 15% odd. Is that a reasonable assumption FY'25?

N. Kamakodi: See, it appears as of now, like that. Similarly, it appeared like that in some of the earlier occasions, but some amount of deviations happened. So let me commit the firm number as we get closer and have at least a couple of months or a couple of more quarters of firm performance and then let's just take it. So whatever I'm going to assume is that now I'm having sufficient oil in the cylinders to fire for the profitability and return, growth from an asset quality and credit cost upfront. I will stabilize this with this -- and we are putting our best efforts to maximize our growth rate and the situations are favourable on all these things.

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After we demonstrate for at least 1, 2 quarters, I will commit to you a firm number. But as of now, it appears that all the factors are favourable for going towards that 1% plus every month, which total to 13% to 14% pa. We should be in a position to accelerate further once the other materials are also settling, which we are putting our best efforts and hard effort to get that in that direction.

Chintan Shah: Sure. So just to add on that, if we assume like 15% loan growth for '25, so correspondingly, we would also need a similar kind of deposit growth, right, to meet the demand, room growth demand. So -- and currently, for this year, our deposit growth is roughly around flat on a YTD basis.

And despite that, the cost of deposits they have seen a massive spike. So how do we make sure we'll be able to raise even deposits of around 15% of Y-o-Y growth and the cost of deposits how would that be impacted then would that also see a spike continuing? Or will that be stable? Any thoughts on that?

N. Kamakodi: We had seen multiple cycles when you have the deposit growth and advanced growth, they don't match each other, that's why I was giving about how it happened based on our earlier experience.

What I can definitely tell you is that, the deposit growth should not be an impediment for the advances growth as we move forward is what I'm trying to say. I don't know whether you might have observed, we have about 87% to 88% of our deposits either from the CASA or from the pure retail deposits as per the definition of the RBI.

So we don't feel that we will be having the deposit growth as an impediment for the credit growth which we have to work out and take it forward. And we are managing the deposit growth so that there is no negative carry. And by and large, the things are matching and managing, we should be able to have that, which we don't expect that to be an impediment.

Chintan Shah: I just want -- I was just trying to understand that. So assuming that we have a decent growth in FY'25, so then our margins should not be a dimmer in any case, by way of yield on advances or by way of cost of deposits if there is a spike in our cost of deposits or the decline in the yields. And again, the margins will be under pressure. So that should -- is that case? Or can that be a case or not?

N. Kamakodi: The issue is that like it will not be as material as you are expecting now. We have managed this movement of cost of deposits and our yield on advances in such a way that we are able to have a smoother thing. Ultimately, the ROA profile will not get affected. I mean, it will be moving in the band.

For example, we said we will be moving in a plus or minus 10% demand. And if you remove this one half portion, we are very well within that. As we have declared always, the margins will expand during an increasing interest rate scenario, and there will be a smaller contraction during the decreasing interest rate scenario till your term deposits are repriced.

So some amount of minor aberration will be there. You might have seen that in the last 50 quarters of our bank, net interest margin had been in a small band, which you might have seen, maybe above 4% for about 3, 4 quarters, which was an aberration. Apart from the current level of whatever you are seeing -- we don't see any major impact because of this.

Chintan Shah: And just one last question from my end. Just a data keeping question. Sir, what would be the total provision on the restructured portfolio, which we have of around INR1,000 crores?

N. Kamakodi: It should be about 10% at an average INR100 crores.

Chintan Shah: And sir, we have made some contingent provisions during the quarter. So what would be that regarding any specific or in general practice you are following?

N. Kamakodi: It's a general thing. Depending upon the situation at that point of time, we take a call.

Chintan Shah: Okay. And sir, COD actually, the cost of deposits during the quarter has been a steep high. So there are no one-offs to that, right? It's just normal 16 months COD?

N. Kamakodi: It is a normal thing. And almost to that proportion, the yield has also increased. If you take out this one-off thing, the similar amount of margin would have hold up.

Moderator: Thank you. Chintan, sorry to interrupt you, request to come back for a follow-up question. Thank you. The next question is from the line of Neel Mehta from Investor Capital. Please go ahead.

Neel Mehta: Thanks for the opportunity. So post the divergence report by the RBI last year, -- have there been any subsequent comments in general on the bank systems or the way of business models being done in the course of the RBI annual audit?

N. Kamakodi: Whatever divergence we had was for the audit for the date 31st of March 2022, which is over. Further, we had 31st of March 2023, there was no disclosure needed, which we said along with our second quarter results. And there was an observation on recognition of events happening post balance sheet date, which we disclosed during the first quarter result for the 30th of June. All those issues are now behind us and no more thing is pending on that, and things have come back to the normalcy.

Neel Mehta: So we are seeing the RBI commenting increasingly on the business models of bank -- and considering our bank is geographically concentrated. And in terms of product concentration also, we probably have volume growth product that accounts for most of our book. Have you received any feedback from the regulator to sort of diversify our business, not just in terms of geography outside of Tamil Nadu, but also in terms of the product mix, which is currently heavily skewed towards MSME and trade loans?

N. Kamakodi: We have not heard anything like what you are saying so far. But it is an ongoing exercise. Every year, all these things are looked into. And we receive feedback and we take required post correction on an ongoing basis. Single largest exposure, how we are looking to all these things are scrutinized and commented always. And for which we have to continuously work to ensure that everything is proper and taken care in a proper fashion.

Neel Mehta: So no specific directions from the RBI basically?

N. Kamakodi: No.

Neel Mehta: On this one. Got it. Thank you. Those were my two questions. Thank you.
Moderator: Thank you. Next question is from the line of Punit from Macquarie Research.
Please go ahead.

Punit: Sir, just one data keeping on the digital transformation front the thing we are working with BCG. I think, I mentioned it because it is done or it is going to start next month?

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N. Kamakodi: This is work in process. First, the phase of proposals less than INR3 crores is already online fully. Things have started for INR3 crores to INR5 crores. Once that settles in, the INR5 crores to INR7.5 crores will start on stages.

Punit: So when do we expect the entire phases to complete?

N. Kamakodi: It will go up to June.

Punit: Okay. Got it. So on the KCC book, that is the Agri Gold Loan book it's around 13% of book, you mentioned that you have stopped like there would not be unwinding, so I think the unwinding should have stopped a couple of quarters ago, right because we had mentioned that all our documents and classification is clear now and there is no issue from the regulator. So am I getting this understanding wrong or if you could elaborate on that, but why we have been declining the book?

N. Kamakodi: No, no. We have not restarted that product. Because the interest subvention has to come from the government of India. So the points came during the discussion, which we had to do an audit. We have to submit to that, and there was some discrepancy about INR30 crores, INR40 crores in overall income was there.

So we observed all these things, and we did not restart that process. Once we get the comfort that we will be able to comply fully and all our processes are proper so that there will not be any issue in the future. We will be restarting that. So during that process, we had to unwind that entire portfolio.

Punit: Lastly, on the margin front, you said that the margins if the restructured book has not been reversed, the FITL reversal that you have undertaken of INR25 crores, it would have been around 3.63%, right?

N. Kamakodi: Yes. That's what we thought.

Punit: Okay. Thank you.

Moderator: Thank you. Next question is from the line of Sagar from Anand Rathi. Please go ahead.

Sagar: Just one thing from my side, if you could give the SMA number, sir?

N. Kamakodi: SMA 2 is about 2.38%.

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Sagar: Okay. And the SMA 1?

N. Kamakodi: SMA 1 is 1.98%.

Sagar: Okay. Thank you, sir. That's it from me.

Moderator: Thank you very much. As there are no further questions, I will now hand the conference over to the management for closing comments.

N. Kamakodi: Yes. Thank you all for attending, and things have started coming back on track.

So we are able to march towards probably a 4-digit profitability figure for the current year, perhaps for the first time in our history.

So all the issues, whatever that came in our way, post COVID and financial year '22, '23 have been, one-by-one is getting back on track. And we lost a point whatever is for the growth, which we are trying to address and put our best efforts.

We are able to see things coming, turning positive step by step. And whatever remaining will also be getting solved over a period of time. If at all, you have any further question, as usual, you can get in touch with Mr. Raghuraman who takes care of our investor relationship or any person you have a contact and you are already being in touch with.

So with this few words, I thank all of you and also thank Ambit for arranging this conference. We hope all the issues are by and large over and we should

see things getting better and better as we move forward and good days are ahead of us. Thank you all for the opportunity.

Moderator: Thank you very much. On behalf of Ambit Capital Private Limited, that concludes this conference. Thank you for joining us. You may now disconnect your lines. Thank you.

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"City Union Bank Limited
4QFY24 Earnings Conference Call"
May 20, 2024

MANAGEMENT : DR. N. KAMAKODI – MANAGING DIRECTOR AND
CHIEF EXECUTIVE OFFICER – CITY UNION BANK
LIMITED
M R. R. VIJAY ANANDH – EXECUTIVE
PRESIDENT – CITY UNION BANK LIMITED
M R. J. SADAGOPAN – CHIEF FINANCIAL OFFICER
– CITY UNION BANK LIMITED

MODERATOR : MR. PRABAL GANDHI – AMBIT CAPITAL

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Moderator: Ladies and gentlemen, good day, and welcome to City Union Bank 4QFY24 Earnings Conference Call, hosted by Ambit Capital. As a reminder, all participant lines will be in the listen only mode and there will be an opportunity for you to ask questions after the presentation concludes. Should you need any assistance during the conference call, please signal an operator by pressing star then zero on your touch tone phone. Please note that this conference is being recorded.

I now hand the conference over to Mr. Prabal Gandhi from Ambit Capital.
Thank you, and over to you, sir.

Prabal Gandhi: Thank you, Sagar. Good evening, everyone, and thank you for joining the call. We have with us Dr. N. Kamakodi, Managing Director and Chief Executive Officer; Mr. R. Vijay Anandh, Executive President and Mr. J. Sadagopan, Chief Financial Officer, to discuss fourth quarter earnings of City Union Bank. Without taking much time, I'll hand over the dias to Dr.N. Kamakodi for his opening remarks, and then we can open the floor for Q&A. Thank you, and over to you, sir.

N. Kamakodi: Good evening, everyone. Hearty welcome to all of you for this conference call to discuss the audited financial results of City Union Bank for the fourth quarter and year ended 31st March 2024. The Board approved the results today, and I'm sure you all have received the copies of the results and the presentation. I'm happy to announce that we have achieved the 2 historical landmarks in this current financial year. We crossed INR1 lakh crores of total business, and we also crossed INR1,000 crores of PAT. Board has recommended a dividend of 150 % including 50 % special dividend for 120th year.

Before getting into the financial results, I would like to inform you about the key changes in our Board and senior management position. Our Non-Executive part-time Chairman, Mr. M. Narayanan had retired from the board on 3rd May 2024. He had served in our Board for 8 years in various capacities. With effect from May 4, 2024, Shri G. Mahalingham, our Director has taken charge as the Non-executive Chairman. Shri G. Mahalingham had over 3 decades of career with RBI reaching the position of Executive Director and also had a 5-year stint at SEBI as whole-time member. He joined our Board as an Independent Director on July 2022.

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On senior management side Shri. R. Vijay Anandh has joined our bank as Executive President in March 2024. He is having more than 25 years of banking experience, covering retail banking, risk management, portfolio analysis, credit appraisals, recoveries, legal collections and due diligence. The Board has recommended his appointment as Whole-Time Director, which is under the consideration of RBI and about 10 executives in the rank of AGM and above have joined our bank recently to strengthen the senior and the top management. They will be strengthening our capabilities in retail, analytics, credit, operations, etc.

In our Q4 2023 results call, we had said the following things for financial year '24:

- We said though there could be headwinds in margin as well as base figure growth,
- we expect that we should be closing the financial year '24 with a decent PAT growth,
- substantial reduction in the net NPA, improved coverage ratio and
- ROA close to our long-term average of 1.50 %.

Our performance for the financial year '24 is by and large as per the forecast we shared with you during the last year. Further to that, during our Q3 FY 24 con call, we had shared with you the following things:

- we should be achieving our 4-digit PAT growth PAT for our financial year '24 for the first time.
- Our NPA slippages had come down significantly, live NPA recoveries had surpassed the live slippages and hence, going forward, we are on the right track in getting back to our pre-COVID level slippages.
- We also said that the digital lending process was going as per the schedule, which will help us in achieving improved credit growth in the coming quarters.
- We also said the ROAs are back to 1.50% plus, which used to be our long-term average and
- net interest margin is also stable.

Overall, our performance in Q4 is as per the expectation. Also, the whole financial year is as per the expectations we shared with you all during the earlier conference call.

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We had crossed our 4-digit PAT figure for the first time in our history for the financial year '23, '24. Our PAT stood at INR1,016 crores, registering an 8 % growth compared to the last year. For Q4 financial year '24, we had recorded a PAT of INR255 crores with a growth of 17 % compared to the Q4 financial year '23. We had crossed landmark of INR1 lakh crores business, and our total business stood at INR1,02,138 crores as on 31st March 2024. Our deposits stood at INR55,657 crores, registering a 6% growth, and our advances also improved by 6% INR46,481 crores on a Q-o-Q basis compared to our Q3. During our last con call, we had detailed discussion about de-growth of KCC loan and other issues leading to the reduction in the daily average advances growth. With improved credit growth in the last quarter, the daily average advance growth is showing improvement. Also, we are getting back on track in the growth front.

The total slippage for financial year '24 is INR1,013 crores as against INR1,276 crores in the financial year '23. The total recoveries made is INR1,031 crores comprising of INR816 crores from live NPA accounts and INR215 crores from the technically written-off accounts. For the current quarter, the total slippage is INR219 crores while the total recovery is INR275 crores, comprising of INR233 crores from live NPA accounts and INR42 crores from the technically written-off accounts. As said in the last con call, the live recovery has surpassed the live slippage in the current quarter as well.

The trend of recoveries over and above the slippages had helped us to reduce our gross and net NPA numbers. The gross NPA declined to 3.99 % as on 31st March 2024 compared to 4.47% as on Q3 financial year '24 and 4.91% as on

Q1 financial year '24, showing sequential decrease. The net NPA declined to 1.97% as on 31st March 2024, compared to 2.95% on the corresponding period last year. Our gross net NPA had reduced for 3 consecutive quarters, and our net NPA had come below the 2 % mark.

Also, our net credit cost has significantly decreased to 0.24 % for the financial year '24 compared to 0.90 % in the financial year '23. Overall, SMA 2 numbers to the total advances as on 31st March 2024, also stands at 2.08 %, including restructure and ECLGS accounts also.

As we have on boarded 6 insurance companies covering life, general and nonlife insurance companies during the financial year 2023, our insurance income contribution has also doubled and stood at INR55 crores in the financial

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year '24, compared to about INR27 crores in the financial year '23. We expect a significant growth in the current financial year also.

ROA for financial year '24 stood at 1.52 % for financial year '24, against 1.46 % last year. Our yield on advances for Q4 financial year '24 stands at 9.85 % compared to 9.31 in the corresponding quarter last year. For FY 24, our yield on advances is at 9.72 %, against 9.23 % in FY 23. Our NIM in the current quarter is 3.66 % and for the financial year, '24 is at 3.65 %.

Our cost-to-income ratio for Q4 FY '24 is 51.26 % and the same is at 47.06 % for the FY '24 which is as per the guidance number for the current financial year. As we are taking some cost upfront the cost-to-income ratio will be slightly elevated like what we have now till the returns start coming for the investments we make. So there could be a few quarters when we have to go through this phase before we're actually seeing the cost-to-income ratio coming down in the declining path.

As stated in our last call, we have opened our 800th branch in Ayodhya. We are planning to open about 50 to 75 branches during the current financial year. The digital lending implementation for MSME is reaching the last leg and should be through before the mid-June. Along with the MSME, digital lending model is being expanded to secured retail lending such as housing, LAP, micro LAP. Currently, we are doing that, and they should be completed before the end of Q1.

With all the new digital initiatives together with the strengthened top and senior level management, we could see visibility on growth front going forward, and we will update you about our growth projection as we progress into the coming quarters in the current financial year. On asset quality front, we'll be continuing with the trend of reduced slippages coupled with the improved recovery for the current financial year also. We have restored our ROA to long-term average of 1.5 % plus, and it should continue.

Our net interest margin continued to be stable and on current level, maybe at the best 5 to 10 basis points this way or that way. We will see the benefits of these digital lending processes in the coming quarters. Since we are taking the cost upfront, Our cost-to-income ratio will be slightly higher, like now. And we should start seeing them coming down as we see the full benefits of the digital lending and also other initiatives that transfer growth to income and the cost-

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to-income ratio will also start coming down as we move forward into the future quarters.

To sum up, overall, things have very much come back on track. We should be able to see improvement from the current level in every parameter as we move forward. By and large, things are taking shape at this point of time.

With this brief background, I leave the forum open for question-and-answer session. Over to you all.

Moderator: Thank you very much. The first question is from the line of Rajesh Mangal Agarwal from Rajesh Mangal & Company. Please go ahead.

Rajesh Agarwal: Sir, what is your project estimation for this gross NPA, net NPA and ROA for

financial year '24, '25.

N. Kamakodi: Sir, last year, it was close to INR1,300 crores and about INR250 crores to INR300 crores reduction in the slippages has happened over the financial year '24, '25. We expect the similar reduction in the slippage maybe about INR700 crores to INR800 crores slippage we could be having for the current financial year. Going by this trend, our current expectations on our closing year net NPA -- towards the end of the current year, we should be having between maybe around 1 to 1.25 % plus or minus. Gross NPAs and other things are all depending upon how much technical write-off you do. I think these 2 numbers will give you a broader idea on what you expect.

Rajesh Agarwal: Okay. And what about the ROA, sir?

N. Kamakodi: We are working to improve from whatever we have achieved so far to the next level.

Moderator: The next question is from the line of Manish Shah from Investec.

Manish Shah: Sir, I wanted to ask about the growth, sir. What kind of growth are you seeing in this current year? Because last -- I think in the last 3, 4 quarters, you had mentioned that you will be coming back to that growth of 12% to 15%. Now as you have expanded the employees and all other costs. Now when you are seeing that growth will come back, sir.

N. Kamakodi: See, we wanted to put everything and wanted to achieve the figure of 12 to 15 % in the financial year, '24, '25 itself. Things did not go as per our plan. But we are putting our best effort to ensure that we are able to achieve more

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than what we promised. That's why I specifically did not give any number for the current year. Last year, if you had a chance to look into the growth during the COVID year, the improvement in the gold loan gave us a lot of boost. We had to go for some amount of de-growth on KCC numbers. Now as you said, we have already put the people in place, both at the grass root level and on the management level. We have also almost established the sales vertical for our core advances growth, which we had not done in the past. We have also started building the team for the retail vertical to start with the secured retail starting from the housing loan, LAP and things like that. We are in the last leg of putting the digital lending process across all these segments, I mentioned over here. And all these things put together, they should be helping us to accelerate the growth to the next level. We are working to put the pieces together. I will give you a proper guidance once we are showing a double-digit growth of the credit, which should happen in the coming quarters when we will be giving you the exact numbers. But the only thing what we are assuring you is that we are putting in place required ingredients for our growth both on our core MSME sector and also on the secured retail to start with, along with feet on street and also on the middle and senior management, which should give us, decent growth as we progress. Unsecured retail front will start after we put in place all these things. Once we reach that, then we'll start them in a small way as we discussed in the previous quarters.

Manish Shah: Sir, another question was about the other income and fee income. Sir, do you see that going up? And another thing was that how confident you were last in the last con call compared to this con call about the loan growth which you are talking. Are you more confident in this con call compared to the last con call?

N. Kamakodi: Yes, definitely, the figures themselves would have spoken to you. Much of the growth for the current year has happened in the fourth quarter. If you look into sequentially in Q1, Q2, Q3 the growth that has happened in Q4 is substantially more than previous quarters which given us sufficient confidence to take things forward. Q1 probably will be having a lull as in the past, but this year we hope it would not be as lull as we had it in the earlier years. So we are definitely much more confident and answering your question on the other income, for us the other income the components of the other income

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usually comes from the core fee income of commission, exchange, brokerage fees, insurance income and things like that. You have a write-back of written-off assets collection. You have profit booked from the treasury and other miscellaneous income.

Now there is a headwind in the treasury income because of the interest rate at the moment and also changes in the regulatory policies on treating the HTM, how you vouch the treatment of treasury itself has changed, that will have some amount of headwind. But, ultimate to the ROA they will not be making much of difference. The write-back of written of recovery is definitely moving in a good thing.

And as I told you we could see significant growth in the insurance income compared to what we traditionally used to have, particularly from the multiple relationships that we have moved into. So we have headroom particularly in the treasury front because of changes in the regulatory policies and also because of the part of interest rate cycle we are in. This is where we are.

Manish Shah: Compare to last year can you see that this year our profit will grow by at least by 10%, 15% possible?

N. Kamakodi: For that only we are working hard.

Manish Shah: Thanks a lot and best of luck.

Moderator: Thank you. The next question is from the line of Rohit Jain from Tara Capital Partners. Please go ahead.

Rohit Jain: So I have a couple of questions. The first one is on the cost-to-income ratio. Now sequentially, it moved up from 48%-odd to 51.2%. And in your opening remarks, you said that this is going to remain high for some time until the benefits of investments start flowing through. So how should we think about it? I mean should we assume that the existing rate which is 51% that is going to be the rate for at least FY '25. And then in FY '26, it starts tapering down. Is that how we should think about it?

N. Kamakodi: See you may perhaps take two quarters to see income from the new costs which you have incurred. So some amount of moderation we should be seeing in the second half. So at overall level you had a year as a whole about 47 % for the financial year overall. So the financial '24-25 we should be finishing somewhere in between the final quarter figure of 51% and the full year figure

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of 47 %. So once the income starts coming from these investments this moderation should start.

Rohit Jain: So the first half will be around the existing rate. The second half is going to see some benefit. So net-net you expect the overall year to be between 47% and 51% is what you're saying?

N. Kamakodi: It is what we foresee and keeping that in mind we are also putting our best effort to do achieve this range.

Rohit Jain: Okay. And second question is you obviously have refrained from giving any growth guidance at this point and you mentioned that the ROAs are back to the steady state level of 1.5%. And my question to you is given that cost ratios are going to be higher for a full year basis this year are we going to maintain our ROAs at this level? And if yes is that going to be driven by lower credit costs or do we have other levers to protect our ROA at 1.5% odd level?

N. Kamakodi: Exactly, as I told, our endeavour is to improve the annual ROA. Our best efforts are to ensure and see that the improvement in the ROA is seen as we progress even though we have higher level of cost-to-income ratio compared at about 50 %, 51 % compared to whatever we had last year.

So some amount of increase in the cost-to-income ratio since we are taking the cost of implementation of the digital lending and incremental manpower and things like that. Once the productivity level comes back to the required level there will be moderation in the cost-to-income ratio.

Rohit Jain: Sorry just to sort of clarify for the full year our ROA 1.52%. So you are saying that for the financial year FY '25 it should only improve from this level despite the higher cost-to-income ratio. Is that correct?

N. Kamakodi: This is what we are working for.

Rohit Jain: Okay. Understood. And just last question you mentioned that your ROAs are back to a steady state level of 1.5, but I see that your return on equity is about

13-% odd and historically we have operated at return on equity is higher than that. So how should we think about that going forward? Is this the thing in the new paradigm?

N. Kamakodi: Yes. The lower ROEs are because of the higher capital we are maintaining at this point of time. Once the growth engine kicks off and when we improve the

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ROA, ROEs also need to automatically improve from the current level. You have two choices. When you have a lower growth rate whether you give the excess dividend, or you conserve the capital for the future growth. We took the second option. All our endeavour and all our focus is working step-by-step to ensure we get back to that improved ROE along with improved ROA also.

Rohit Jain: And just last question from my side. So 2024 was obviously a year of repair wherein credit cost was one of the key parameters that we were working on, but now that they are sort of stabilizing. Is it fair to say that 2025 is going to be a year of consolidation rather than growth?

N. Kamakodi: No, it is actually the other way. Let us say 22-'23 and 23-24 has been a year of consolidation when we did much of our repair. The repair process is by and large complete, and we are in the last leg of that. And we should be seeing the growth phase fixing in the financial year '24, '25 as we move forward.

Rohit Jain: Understood. Thanks a lot. Thanks for answering my question. Have a good day.

Moderator: Thank you. The next question is from the line of Mona Khetan from Dolat Capital. Please go ahead.

Mona Khetan: So firstly, on this digital process, just wanted to double check. So essentially, all our MSME loans today up to INR5 crores are digitally dispersed with TAT at 48 hours or thereabout?

N. Kamakodi: Yes, and we are in the process of taking it to INR7.5 crores which is the RBI limit for the retail lending. Let us say maybe the 24 to 48 hours at the best we should be in position to give TAT. You are right.

Mona Khetan: Got it. And secondly, on the margins. So last year if you look at the overall margins at 3.6% it's way lower than what we have seen historically. And here on while we are expecting asset quality to largely normalize which means that the impact of interest reversals may not be there. I mean do you still expect that margins will remain at current levels? Does that imply our overall yields are settling at much lower levels versus historically?

N. Kamakodi: See, actually as we have demonstrated in the earlier interest rate cycles our margins used to expand in the increasing interest rate scenario and start coming down once it settles and in the decreasing interest rate scenario. The reduction in the interest rate cycle is expected but the consensus is that it may

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get delayed by a couple of quarters. We feel the interest rate will be by and large around the same number in the current year.

Mona Khetan: Okay. So the margin guidance of stable NIM in FY '25 assumes that this year there may not be any decline in headline rates?

N. Kamakodi: Yes. We expect that could happen only in the fourth quarter or so and impact of that in the current financial year will be limited is the assumption with which we are giving you this number.

Mona Khetan: Got it, but what I'm trying to also understand is when we look at historical margins versus today if I look at say 7 years, 8 years of margins of yours versus today they are probably settling at much lower levels. So is it fair to say that because of competitive intensity we are seeing it overall yield through cycle settling at lower levels versus earlier?

N. Kamakodi: I have explained this in multiple concalls, let me explain one more time. See if you had a chance to look into our last 50 quarters or so, at least, for about 35 quarters to 40 quarters it used to settle between 3.4% and 3.7%. It was above 4 % for a handful of -- maybe about 8 quarters to 10 quarters or so, but our long-term average had been between 3.4% and 3.7% only.

Therefore our current net interest margin is by and large around our long-term average of say 50 quarters or so. During first quarter of financial year '24 in fact we discussed that there were so many the developments that were happening on multiple fronts and there were delay in passing on the rate of interest in two rate hikes. It probably had an impact of about 15 basis points, 20 basis points or something like that which is also a reason.

And like as you said because of some interest rate reversal that happened, it also impacted. So taking into consideration everything we say the margin is by and large reaching a stable level.

Mona Khetan: Got it, sir. And just one final clarification. So when I look at your gold book Agri or otherwise, what % of this would be via the cash disbursal route as well?

N. Kamakodi: See that issue doesn't come for a bank.

Mona Khetan: I understand. I'm just trying to understand is it a substantial part when you look at your gold year?

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N. Kamakodi: I think across the board cash disbursal can be about INR40,000 to INR50,000. See every gold loan account will be linked with the savings bank account. So the credit will be given in the savings bank account they can immediately take the cash through the ATM instantly.

Mona Khetan: Okay. So from your end the disbursal is all digital nothing is on the cash side?

N. Kamakodi: Yes. Ultimately maybe after 5 minutes they will be converting it as the cash.

Mona Khetan: But then it's digital and from your side for most -- for almost 100% of your customers?

N. Kamakodi: Almost.

Mona Khetan: Got it. Thank you sir and all the best.

Moderator: Thank you. The next question is from the line of Rohan Madura from Equirus Securities. Please go ahead.

Rohan Madura: Sir, just wanted to understand on the digital initiatives among the retail products that we are planning to launch the home loan, LAP and auto loans. So what all segments we would cover will be primarily focused on salaried or self-employed. Sir in the earlier discussion you talked about a 48-hour disbursement TAT for loans up to 7.5%, is it from a new lead that gets generated.

So once it is logged into the system till the disbursement we are talking about or it's post sanction and if it's end-to-end, then like people just head on through the project in terms of underwriting model we are doing in the digital persistence?

N. Kamakodi: See, we made an internal calculation and evaluation we could see about INR7,000 crores of the products like housing loan or LAP or other vehicle loans our own customers have taken from the other financial institutions which will be the first segment which we tap.

The second stage it will be like our existing depositors and our existing customers who are going for a new loan on both housing loans and the LAP and the retail loan will be the next in line. The third segment will be for new customers whom we are talking and that will also be like appointment of what the DSAs and things like that and all those things will start on a stage-by-stage basis.

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Rohan Madura: Sure.

N. Kamakodi: So it will be a combination of both the salaried and self-employed depending upon the location and depending upon the product and the segmentation which we do -- which we take based on the expected LGDs and things like that.

Rohan Madura: Sure. And sir for the SME, MSME segment like are we currently digitally underwriting as well?

N. Kamakodi: Yes. Almost KPI integrations are over that is the main purpose of the

digitization per se. So many of the checks which used to be happening through the manual have been converted to the digital process.

Rohan Madura: Got it. And sir, what is the total quantum of technology-linked expenses that we are planning for FY '25 and '26?

N. Kamakodi: Already for the last year almost you can say 3 % cost-to-income ratio, incremental thing has come because of this investment in the digital lending processes on both the software and other improved AMC's and other things for the technology side.

Rohan Madura: Sure. So this was less than 6% of total opex?

N. Kamakodi: No. We already have the investment there and this is additional investment in this increased cost-to-income ratio.

Rohan Madura: Sure. So on a total opex level what would be the total technology leaving out?

N. Kamakodi: Capital investment and revenue investment close to INR200 crores expenditure every year happens at an average for the last 2 years, 3 years on the technology thing which works out to about 20 % of your PAT.

Rohan Madura: And sir, on the growth between Tamil Nadu and outside of Tamil Nadu if you can share the loan and deposit growth numbers for FY '24 within Tamil Nadu and outside of Tamil Nadu?

N. Kamakodi: The composition is there in the presentation. It's in the Slide # 43 where we have the % of the branches and % of the business is already given. As of now by and large whatever growth we are achieving in the Tamil Nadu is at par with the overall average growth we are seeing.

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Rohan Madura: Sure. Okay. So Tamil Nadu and outside Tamil Nadu it's similar growth ballpark?

N. Kamakodi: By and large. Yes.

Rohan Madura: And sir, lastly what will be the quantum of loans linked to EBLR for us right now as of 4Q end?

N. Kamakodi: 55-45.

Rohan Madura: Sure, sir.

Moderator: Thank you. The next question is from the line of SriKarthik Velamakanni from Investec. Please go ahead.

SriKarthik Velamakanni: Sir, are the change in employee expenses for the quarter -- is it a reflection of the new people that is higher in the top management? And is this the new run rate that we'll have to focus on?

N. Kamakodi: See, it is because of 2 things. Let's say, earlier, we had quarterly adjustment of dearness allowance. As we are moving into the CTC era, the DA adjustment was once done in the July, August, September quarter and now currently in the January, February, March also. This, plus the new employee additions are also together take care of this expenditure.

SriKarthik Velamakanni: Got it. The second question is the sequential credit growth is actually slightly better than what in general we've seen for the last few quarters. I know Q4 cannot be extrapolated for all the quarters. I am just curious as to why you've refrained from giving any guidance because the asset quality issues are behind us, a lot of the operational issues are now stabilizing. So what is sort of stopping you from giving the guidance at all?

N. Kamakodi: It's only because of one thing. Last year, we gave, and we didn't achieve, so we don't want to cut a sorry figure. We will show the numbers, and then we will give you the expectations.

SriKarthik Velamakanni: Got it. Last question, what is our current LCR ratio? Or where are we seeing there in terms of a liquidity position?

N. Kamakodi: See, we are at about 200 % plus and will be published shortly in that Pillar 3 disclosures.

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Some banks are treating all term deposits, I mean retail -- there are multiple levels of things are there. We are now looking out for the clarification and things like that. But as per the current formula, which we had been practicing over a period of multiple years and which we passed multiple audits and

inspections, our current numbers are once again 200 plus.

SriKarthik Velamakanni: You're basically saying if you were to match it with some of the peer banks, it could be higher than 200%.

N. Kamakodi: I don't know whether we have to match with them, or they have to match with us, we don't know. What we have understood is that there are divergent practices, which are happening across multiple banks, which we are trying to get a grip.

Moderator: Thank you. The next question is from the line of Palak Shah from Elara Capital. Please go ahead.

Palak Shah: Yes. I have 2 questions on the possible this quarter has been 6% Q-o-Q. So what's left is growth? And how do we look at deposit growth going ahead?

Also, my second question was whether the deposit ratio came in at 81%? What is the comfortable level of its ratio?

N. Kamakodi: See, on growth front, you are definitely able to see substantial improvement in the Q4. Q1 normally will be having a lull, but we should be having much better than what we had in the previous first quarter. We have put in the people, the processes on track and the things should improve as we move forward. But the exact number, I'm refraining from committing because once we see numbers firming up, then we will be giving it to you. We are comfortable with the current CD ratio.

Moderator: Thank you. The next question is from the line of Rakesh Kumar from B&K Securities. Please go ahead.

Rakesh Kumar: Quite good sort of numbers with stable margin and negative net slippage number. Sir, one question I had with respect to the recovery that we do on the technically written off loan. The pace, if we see on a year-on-year basis, it's a bit volatile. So if you can give some guidance that how this recovery pace is going to be in the next fiscal year. Yes, that would be helpful, sir.

N. Kamakodi: See, the fundamental items, the recovery department honestly speaking, they don't care whether it is a written-off account or a live account. Their targets

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are, by and large, for the total number of or total quantum of recovery. If you collect a written off account, you will be getting that in the other income. If you recover a live NPA, you will be getting benefit in the below the line by a reduction of the credit cost, reduction in the provisioning.

The total recovery in the current year is comparable with the last year recovery.

This year, definitely, there will be improvement in the overall recovery. It is very difficult to exactly fix how much will be from the live and how much will be from the technically written-off account at the beginning of the first year itself. Therefore, this is what we can say at this point of time. As you have seen, we had about INR1,300 crores total recovery during the last year as a whole.

We are working to improve that number beyond whatever we have achieved it during the last year. You might have seen this year there is a substantial reduction in the suit recoveries. At the same time, there is a substantial improvement in the live recovery and hence, -- the credit cost has come down from 20 basis points to 24 basis points, ultimately contributing favourably for your overall ROA.

Rakesh Kumar: Understood sir. Sir, one question was with regards to the MCLR progression that happened during February '23 to November '23 in the past. So I was just looking at other regional bank in the same Tamil Nadu region and private bank, so their cost of fund progression increase was broadly in line with what happened to our bank. But MCLR increased, there was a divergent trend that we saw during that period. So how do we see now the MCLR increase from here on. So obviously, it will be based on the marginal cost. But at that time, we had a quite divergent trend actually, that time with other regional private bank.

So how we are like thinking about that because that dented the margin trajectory for us as compared to the other bank quite a lot. So can we recoup that change? Is there a possibility? And have you thought about it. So just some clarity if you can provide, sir?

N. Kamakodi: Yes. See, ultimately, you look into the final yield on advances, by and large, those numbers are converging. What the issue is even though there is, MCLR,

everything is getting adjusted in the risk premium, which is the function of final expectation of the ROE and things like that. The problem with this was

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like about 1.5 years back, in transmission of rates we could not do that because we had issues with the gold loan.

There are multiple issues, which we were hurting us at that point of time, and we were slightly behind in transmission of that rate, which created some amount of dent, as I discussed with you earlier.

Rakesh Kumar: And sir, just last question to clarify, the EBLR MCLR breakup is 55%, 45%. Correct, sir?

N. Kamakodi: Yes.

Moderator: Thank you. The next question is from the line of M.B. Mahesh from Kotak Securities. Please go ahead.

M.B. Mahesh: Three questions. One, on the loan book, has there been a reclassification in this quarter?

N. Kamakodi: Yes. some reclassification based on the changes in the definition, you see the main issue was, the MSME classification after the decision has been made 100 % in relation with the Udyam Registration classification.

M.B. Mahesh: Okay. So that has reduced the MSME exposure, and you put that in other loans.

N. Kamakodi: Yes.

M.B. Mahesh: Okay. And to answer a previous question, this quarter, we saw for the first time you have acquired loans in the current quarter of about INR500 crores.

N. Kamakodi: Which one?

M.B. Mahesh: In notes to account number 12, You have acquired about INR500 crores.

N. Kamakodi: See, it should be 500 million or so.

M.B. Mahesh: Sorry, 500 million Okay. Is this something which you started news on this issue? Or is it business as usual disclosure.

N. Kamakodi: No. I see the 1 or 2 small deals we trade, maybe it could be one of them.

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M.B. Mahesh: Okay. Just 2 other clarifications. One is on the changes in management that you had indicated earlier, can you just kind of just kind of highlight it once more what have you done and what all will you be doing from here onwards?

N. Kamakodi: If you look into the growth of the banking sector and particularly the regional banks, Bulk of the significant portion of the incremental growth has happened through the retail, both secured and unsecured. Our policy so far has been that we were focusing only for the creation of business assets. So we had to make some fundamental changes in the way since the banking sector is changing with a firm view for the future.

We also need to build the skill sets, particularly be it in terms of the digital lending, be it in terms of housing loans or LAP and other things which are expected to be having a very important contribution in the growth. Also, you need to add skill sets in terms of the analytics, you need to add in terms of changes in the way even in terms of accessing the information to the credit processing and all the things, which are changing. We felt the need of having these sort of skill sets. And that's why you might have also seen, RBI said every bank should be having, another whole-time director. So we took all these things into our consideration, and we have, got a new person who has worked in this environment of digital lending processes for MSMEs, retail secured, retail unsecured and all these things.

So that the new capacities built in our bank considering the future. As you know, we never had the concept of sales at all in our DNA. For the first time, we have built the sales vertical for even the core businesses. Sales vertical for the retail, for which we have identified the people at the senior level and building the team at the feet on street and the processes is partly complete. And it's expected to take some time before they also start giving you the results.

So the process is on, this is the thing which is going over there. Unfortunately, our credit head Mr. Mahesh, had to leave us because of some family consideration to relocate to another city. But nevertheless, about 10 executives we have taken in various cadres covering various skill sets. So the person who will be in charge of the MSME sales vertical has already joined. The person in charge of retail sales vertical is in the process of joining and he is serving his notice period with his earlier employer.

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The person who will be looking into the analytics, we already have a DGM in charge of the analytics with us. One more expert in analytics is expected to join. So these are all the things which we spoke during the earlier con call, things are being set up, which would be giving the results sooner.

M.B. Mahesh: Just to clarify, Mr. Vijay Anandh has now moved to the board. And will there be more people join -- will there be another person also join the board sometime soon?

N. Kamakodi: See, Mr. Vijay Anandh, the approval has gone to RBI. He will join the Board immediately after getting the RBI approval. Now he has joined as Executive President and we are waiting for the RBI approval. The Board is contemplating having one more whole-time Director and he is yet to take the call. And once the call is taken, the further process for RBI approval will start.

Moderator: Thank you. The next follow-up question is from the line of Rohan Madura from Equirius Securities. Please go ahead.

Rohan Madura: Again, just trying to reconfirm the previous question on the query that you answered. Mr. Mahesh who's heading the Head of Credit, is left the bank. I think he had just joined in March 24. So I just wanted to understand that.

N. Kamakodi: He joined our bank and he relocated from Mumbai, and he came to Chennai. Now for family reasons he has to relocate back to another city. Today only, he conveyed his decision to the Committee of Board. Once the decision taken, it will be communicated to the market.

Rohan Madura: Sure, sure. So okay. So he's been with the bank for 2 months or so okay.

N. Kamakodi: Yes, unfortunately, his family priorities had to take precedence.

Rohan Madura: Got it. Sir, second was that recently there was this government notification to make payments to MSME in 45 days -- so just wanted to understand what would be the impact on the credit demand for our customer segments for the bank? Will we see a decline in requirement of working capital from the segment incrementally?

N. Kamakodi: Definitely, the thing is we could see in the mixed way, the smaller entities returned the money and that utilization was coming down. Under the larger industries their utilization improved because they had to make payment to the smaller entities. I think, largely, we settled and on a holistic basis, we had a

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reduction of utilization because of this. Even though we have not quantified the exact quantum that is definitely a reduction of utilization because many of them received their payment. But I think by and large, the things are stabilized on this.

Rohan Mandora: Sure sir. And recently, like there is a lot of decision around gold loans from the changes in terms of processes and other things from other regulators. So does it impact us in any way in terms of the way we process the gold loans?

N. Kamakodi: No, not exactly. But anyway, we have taken clue from the concerns and had multiple audits to ensure that things are safe. If you have a chance to look into in the last 10 years, the total amount we lost because of the purity of gold miscalculation, I don't think there will be more than even INR1 crores or so. It's very negligible, even if you take 10 years together.

Rohan Mandora: Sure, sir. And then lastly, as the 1st of April, what would be our AFS reserve is new guidance on investment book?

N. Kamakodi: The difference in valuation was about INR20 crores, understand.

Rohan Mandora: So INR20 crores positive contribution?

N. Kamakodi: Yes, it is.

Moderator: The next for of question is from the line of Rajesh Mangal Agarwal from Rajesh Mangal and Company.

Rajesh Agarwal: Sir, in Slide number 21, the CASA issue seems to be 30%, which is true less than the industry. What is the reason, sir?

N. Kamakodi: It is our long-term trend. In fact, it has improved by about 7 % in the last 3, 4 years. This is our model.

Rajesh Agarwal: So we want to maintain this CASA ratio around 30%.

N. Kamakodi: We always strive to improve that, but like particularly most of the regional banks, this is where the ultimate numbers are there.

Rajesh Agarwal: But sir, I think we should improve this to.

N. Kamakodi: Yes, the aspirations are always there. But with that aspirations only, we improved by that 4, 5 % recently, let us see.

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Moderator: The next question is from the line of Manish Shah who is an individual Investor.

Manish Shah: Sir, my question was regarding this -- after concerning all the nonperforming assets and anything I think from now on, maybe this year, maybe there may be more consolidation of the technological and digital initiatives. And maybe next year, we can go for growth? Or do you think that you are seeing already green shoots of growth in this year itself?

N. Kamakodi: As I answered in one of the earlier question, all the consolidation and things were over in financial year, 22-23 and 23-24. But this year sooner than later, we should start once all the extra verticals, whatever we have established, start delivering results, we should be able to see things getting better.

Manish Shah: Sir, after all the digital initiatives, do you think that your fee and other income should grow much faster than in the previous years?

N. Kamakodi: I don't expect all the fee income will substantially improve because of this digitization. As far as the digitization is for improving the efficiency, improving the TAT and probably calculating the risk in a more sophisticated manner so that the credit cost is controlled.

But at the same time, as we discussed at the beginning, during my opening remarks, we have seen substantial growth in the insurance in the last year. We expect that there would be some incremental growth happening in that area, particularly in the lines of fee income.

Manish Shah: Sir, in the last quarter, our other income and all that are very much down. So what is the reason for that sir?

N. Kamakodi: So as I explained, our other income will comprise of 4 inputs. One from the commission exchange fees - the core fee income, including insurance. The second is treasury profit. Third, is the write-back of written off accounts and last one is all other miscellaneous income put together.

We had improvement in the insurance income. But the treasury income is not favourable because of the interest rate environment. Going forward, there will be some headwinds because of the changes in the treatment of the treasury by the regulatory policies. There is a reduction in the recovery because of the technically written off accounts. But as I told you, we focus on what is the total recovery -- if the recovery comes because of the live NPA, it will support the credit cost by reduced incremental provisioning. And if it is coming as the

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recovery of technically written off NPA, it will come as the other income front. Since we had dent both in the other income and in the write-back of written-off assets and also on the treasury, this dent is there.

Manish Shah: Sir, for the current year, that is FY '24-25, already 2 months have passed April and May. Sir, have you seen the benefits of the digital initiatives we've taken in the last 2, 3 years?

N. Kamakodi: Yes. Definitely, we even started seeing in the February, March. Our first quarter normally used to be lull. Even in this lull period, the inflow sanctions are happening, much better than what we used to see in the earlier first quarter.

Moderator: The next question is from the line of Jai Mundra from ICICI Securities.

Jai Mundhra: Sir, I wanted to check on loan growth, right? So a few things there. We had actually a drag from KCC gold loan portfolio -- has that portfolio run down in full? And have we introduced a new product that serves the sale purpose?

N. Kamakodi: Yes, it has come down to the bottom. And the incremental growth rates started we have started seeing in a small way on a daily basis now.

Jai Mundhra: Okay, so we have already launched the new variant, right?

N. Kamakodi: See, the KCC, we have closed. The rundown of the KCC is complete. And we are now booking purely on both Agri gold loan and non-Agri gold loan.

Jai Mundhra: Okay. But because of this, sir, can we tap the lost opportunity? Or you still need to introduce a new product to that opportunity?

N. Kamakodi: As of now, we have decided to keep quite not to enter there.

Jai Mundhra: Okay. Secondly, sir, on growth side, right, so we now have a new team hired laterally and they have also hired senior people under them -- if you could talk about, sir, that -- which products would this new team start from? Because as you said that your regional peers, they have done slightly more aggressive on retail secured, unsecured, which City Union as a philosophy have restricted to MSME segment. So if you have any growth road map with this new team or the incremental team would be focusing on maybe the products and any milestone that you have.

N. Kamakodi: Yes. We have already started with the secured retail product. Unsecured, we will be setting it in a small way to test that and which will also be there taken

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subsequently. Meanwhile, I will leave the mic to our Executive President, Vijay Anand who is spearheading these products.

R. Vijay Anandh: So we will be largely focusing on retail secured, home loans, affordable home loans, loan against property and micro LAP to start with. And eventually, once we have set the process, we can go back to the market, then we will look at retail unsecured business. So this is a dedicated structure, which will run this business. This will also have liabilities process strategy, and we will also have a DSA sourcing for this.

Jai Mundhra: And how ready are you to introduce these products secured or you have already launched those products.

R. Vijay Anandh: So we will start our booking from Q2. Our policies are getting up, and we are also getting our systems in place. We have a couple of more things to cover in terms of legal and technical processes, and we wanted to do it digital for LAP and home loans so that we go back to the best at in the market. So eventually, we are looking at end of Q2 for launching.

Jai Mundhra: End of Q2, that is calendar year or financial year, sorry, just to be.

R. Vijay Anandh: Financial year.

Jai Mundhra: Okay. Financially year, so from September onwards, you start booking these products.

R. Vijay Anandh: Yes, we should start booking from September.

Jai Mundhra: Right. And. Okay. So -- and you said it is a mix of branch and non-branch DSA led product?

R. Vijay Anandh: Liability to strategy, which is a branch, and we will also have the DSA source.

Jai Mundhra: Right. Okay. Sure. That is very helpful. And yes, so that is good. And any internal sort of -- I mean it may be too early to ask, but if you have any internal milestone in terms of portfolio by maybe 1 year, 2 year what kind of a portfolio point you want to build out of these new products?

R. Vijay Anandh: Too early, sir, we will definitely come back once we are ready with -- it's too early.

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Jai Mundhra: Sure. Okay. And lastly, from Kamakodi, sir, on opex, right, so what you talked about on cost to income. But sir, in your sense, we have done around 16%, 17% opex growth this year on a full year basis. How should one look at the opex growth for maybe FY '25, sir?

N. Kamakodi: Ultimately, what we are focusing and working out for is that like your fourth quarter was 51 %. Year as a whole was 47 %. So our focus is to see the overall cost-to-income ratio for the financial year '24-25 at between 47% to 51% or whatever. And that could be quarterly operations per se.

Moderator: The next question is from the line of Gaurav Jani from Prabhudas Lilladher.

Gaurav Jani: So firstly, you did mention about senior level how you working with Mr. Anand -- so if you could just give a brief background about where would they have been higher? I mean not as -- I mean not specifying for each and every one, but just give brief background about all of them isn't so not have they been hired and in was first year of experience?

N. Kamakodi: See, basically, like you might have clearly seen the gaps, whatever we have be it in terms of the digital or be it in terms of the retail business. Bulk of that expertise is with the new generation bank. So the hiring has to be from the new generation banks, foreign banks and things like that.

And when we do that, we also need to be conscious about the cultural compatibility with our existing team. So those people who are working for the southern states, they will be from the South and those who are recruited for the North, they will be from the respective states like that, we have worked out, and that is how the hiring is taking place. This is where how we are proceeding.

Gaurav Jani: Can you give the examples of these region banks, sir, if you can, I mean.

N. Kamakodi: So, for example, you had KVB, they got a team from Kotak and Axis and other banks. You might have also seen a bank like Karnataka Bank, who is also in the process of building that team. So this is how things are going.

Gaurav Jani: Sure. Okay, Secondly, sir, on margins. So we ended the full year at 3.65, right, for the full year? And you did mention that you're looking at about 5 to 10 basis points plus minus. My only issue is sir, I mean, given that you would focus on retail secured plus unsecured and large retail -- so how do you sort

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of ensure that margins or product is given also the fact that 55% you're looking at a decline of interest on interest rate environment for the next 1 or 2 years.

N. Kamakodi: Yes, it's a continuous process. We have to be very careful in the incremental asset mix, the product price mix, product price return, the risk metrics and -- the measurement whatever we had been doing in more unstructured way in the past; the things have to get into a structure. And the proper backup things are definitely underway. Ultimately, everything has to boil down to your ROA.

Gaurav Jani: Understood. Understood. Sir, last question, I mean, although you did mention that you want to give guidance right now. But I'm sure we're confident of a double-digit growth at least, right, for FY '24, I mean maybe early or maybe mid-double digits, but we are confident of a double-digit profile.

N. Kamakodi: Yes, that is precisely what we are working to get that as quick as possible. And then only we will be in a position to accelerate.

Moderator: The next question is from the line of Prashant Kumar from Sunidhi Securities.

Prashant Kumar: Yes. So just to recap, as you mentioned, cost to income will increase and it will be around 47% to 51% for current financial year. So just to understand what has been changed in the basic business model. And as per last con call, as you mentioned, 43% to 45% of guidance, so even though earlier, it was around 40%, 41%, 42%. So it is significantly moved up. And as we are going into the retail assets, so obviously, the cost will be higher, but I think so the income growth will also will be higher. So is it -- I mean, how it will work to control the cost and if you can give some maturity, right?

N. Kamakodi: Yes. As we have discussed in the earlier questions, there are basically 2 things happening. One, we have made investments in the technology and the investment in the people in building teams, sales verticals and things like that, which has not been there in the past.

So we are taking the cost upfront and there will be some more time before we get the return, and that's why. To start with, there will be increase in the cost-to-income ratio. And the cost income ratio has to moderate and start coming down when this incremental expenditure starts giving you the income. That is point number 1.

Point number two, there are 2 developments, particularly on development and on derivative thing, which is also responsible for this aberration in the cost to

income account. One is that the changes in the treatment of the treasury, you will not be able to book profit from the treasury as we had been doing it in the past. So that is one thing, which is going to have some impact on the other income front. Similarly, on the other income front, if you have more recoveries from the technically written off accounts, it will help you to save your cost-to-income ratio because it is getting accounted in your income.

And if the recovery is happening from the live accounts they will be helping you to save your credit cost. But the ultimate impact on the ROA will be same, whether you recover from the technical written-off account or you recover from your live NPA. So these 2 things are, contributing for the increased cost-to-income ratio. And you are right in suggesting that once this incremental investment starts giving results, there has to be definitely moderation in the cost-to-income ratio stage-by-stage.

Prashant Kumar: Okay. So is it fair to assume that FY '26 will reflect -- I mean, to earlier guidance around 43% to 45% range?

N. Kamakodi: No. As I told in the past, it should be in the range of 47% to 51%, I mean 47% is our annual current cost-to-income ratio for the current year and 51% is for last quarter. So for the year 2024-25 has to be somewhere in between.

Moderator: As there are no further questions from the participants. I now hand the conference over to the management for closing comments.

N. Kamakodi: Thank you all for coming for this conference call. But just to sum up, things are definitely showing improvement. The growth in the fourth quarter is definitely encouraging. Going forward, as I told already, incremental capacities are being created for the sales verticals and also in technology in terms of digital lending and things like that, they should definitely substantially improve things as we go forward.

We hope the financial year '24, '25 has to be substantially better, and we should be seeing the numbers as we progress. If you have any number related query or any specific numbers, as usual, you can get in touch with Mr. Jayaraman or Mr. Raguraman whose number is there in the presentation. And thank you all for joining us today. Thank you.

Moderator: Thank you. On behalf of Ambit Capital, that concludes this conference. Thank you for joining us. You may now disconnect your lines.

Call: Aug 2024

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Dear Sir / Madam,

Sub: Transcripts of the Earnings Conference Call - Q1FY2025

pursuant to Regulation 46 of SEBI (LODR) Regulations,201s (as amended), the Bank has hosted in its website the transcript of Earnings Conference Call - QI FY 2025, with regard to- the Un Audited Financial Results for Quarter ended June 30, 2020, as approved by the Board of Directors of the Banlg on Juiy 26,20'.4. The weblink is given below;

Kindly take the same on record.

Thanking you

Yours faithfully

for CIYY UNION BANK tLIMITED

Venkataramanan S

Company Secretary

"NARAYANA" Administrative Office, No. 24'8, Gandhi Nagar; Kumbakonam -

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"City Union Bank 1QFY25 Earnings Conference Call"

July 26, 2024

MANAGEMENT : DR. N. KAMAKODI - MD AND CEO, CITY UNION BANK

M R. R. VIJAY ANANDH - EXECUTIVE DIRECTOR, CITY
UNION BANK

MR. J. SADAGOPAN – CFO, CITY UNION BANK

MODERATOR : MR. PRABAL GANDHI – AMBIT CAPITAL

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Moderator: Ladies and gentlemen, good day and welcome to 1QFY25 Earnings Conference Call of City Union Bank hosted by Ambit Capital.

As a reminder, all participant lines will be in the listen-only mode and there will be an opportunity for you to ask questions after the presentation concludes. Should you need assistance during the conference call, please signal an operator by pressing "*" then "0" on your touchtone phone. Please note that this conference is being recorded.

I will now hand the conference over to Mr. Prabal Gandhi from Ambit Capital. Thank you and over to you, sir.

Prabal Gandhi: Thank you, Rituja. I welcome everyone on the first earnings call of City Union Bank for Fiscal 2025.

On the Management Side, we have Dr. N. Kamakodi – MD and CEO; Mr. R Vijay Anandh – Executive Director; and Mr. J. Sadagopan – CFO.

Without further ado, I will hand over the call to Dr. Kamakodi for his Opening Remarks and then we can follow it up for Q&A. Thank you and over to you, sir.

N. Kamakodi: Good evening. Hearty welcome to all of you for this conference call to discuss the unaudited financial results of City Union Bank for the 1QFY25.

Board approved the Results today, and I hope you all have received the copies of the Results and the Presentation.

As you are aware, RBI wide its letter dated 28th May 2024 given approval to appoint Mr. R. Vijay Anandh – Executive President as Executive Director for a period of 3 years. Subsequently, he was co-opted as Additional Executive Director by the board at its meeting held on 24th June 2024. You might also have seen the announcement of our annual general meeting to be held on 22nd August 2024, which will be happening through virtual mode. On behalf of our board, I invite you all to participate in the AGM.

During the 4QFY24 call, we had stated below our expectations for FY25.

With all new digital initiatives together with the strengthened top and senior level management, we could see some visibility in the growth front growing forward. Post MSME, digital lending model will be expanded to secure retail lending such as housing, micro-LAP in 1QFY25.

On the asset quality front, we will continue with the trend of reduced slippages coupled with the improved recovery for the current year.

We have restored our ROA to our long term average of 1.5% and it will continue.

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We will see the benefits of digital lending process in the coming quarters. Since we are taking the cost upfront, our cost to income ratio will be slightly higher than the current year and once full benefits of the digital lending and other initiatives transfer into growth, the cost to income ratio will start to come down.

By and large, the numbers are in tune with our expectations.

Historically, if you see our credit growth in the 1st Quarter of every FY, we used to have a negative growth compared to the last quarter of the previous FY. But this year, we had registered a marginal increase in advances growth in the 1st Quarter of FY 2025 compared to Q4 FY 2024. We are seeing these positive numbers after 10 years. We have registered 10% advance growth in Q1 FY '25 year-on-year. And our advances closed over and above Q4 FY 2024. That is Rs. 46,481 crore and increased from Rs. 42,405 crore in Q1 FY 2024 to Rs. 46,548 crore in Q1 FY 2025. BCG have completed their assignment with respect to MSME lending unsecured products in June 2024 and now we could see the implementation of digital lending started to give initial results.

Apart from our core strength of MSME, now we are slowly spreading our avenues in secured vertical like secured retail, micro-LAP housing etc. We have piloted the digital unsecured lending only for existing customer, predominantly salaried and yield around 13% to 14% with the complete digital workflow application. We have just built a small portfolio of Rs. 3 crore to Rs. 4 crore on this particular pre-approved credit. So, we will just wait to see the behavior before we do any scale up or what it is. We have made a very small beginning in this.

Our deposits stood at Rs. 54,857 crore for Q1 '25 as compared to Rs. 51,655 crore in Q1 '24, registering a growth of 6%. Average CD ratio of 1st Quarter FY '25 stood at 84%. Theoretically, we can grow advances by about Rs. 3300 crores with existing deposits and surplus funds. On asset quality front, we had stated that we will continue to have recoveries over and above the slippages. For the current quarter, the total slippage is Rs. 178 crores. While the total recoveries is Rs. 226 crores consisting of Rs. 192 crore from the live NPA account and Rs. 44 crore from technically written-off accounts resulting in recoveries more than the slippages. As a result of this, our gross NPA percentage are sequentially decreased from 4.91% in Q1 FY '24, 4.66% in

Q2 FY '24, 4.47% in Q3 FY '24, 3.99% in Q4 FY '24 and now further reduced to 3.88% in the current quarter. Similarly, our net NPA number has reduced to Rs. 853 crore and net NPA percentage to 1.87% in Q1 FY '25 from 2.51% in the Q1 FY '24 and 1.97% in the Q4 FY '24. Our interest income had grown by 10% in Q1 FY '25 compared to the corresponding period Y-on-Y and increased to Rs. 1389 crore from Rs. 1266 crore in Q1 24. Our yield on advances stood at 9.59% for Q1 FY '25 as against 9.53% for the same period last year and it was 9.85% in the Q4 FY 2024. Our NIMs stood at 3.54 for the current quarter.

Generally, earlier banks were permitted to charge the penal interest on stressed loan accounts and the same was discontinued from April 2024 further to the changes in the RBI guideline. Now banks are permitted to charge the same as penal charges. If we add back this portion of the

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penal interest compared to what we were doing for the earlier quarters, our yield on advances would have been 9.67% and our NIM would have been 3.6%.

Our cost to income ratio for Q1 FY '25 stood at 49.34% as compared to 51.26% in the Q4 FY '24, showing a sequential decrease. The fees paid to BCG for the digital lending implementation was over by Q1 FY '25 and the cost of the new avenues of retail business will take at least 6 quarters to get adjusted with the increased business volume.

As explained in the earlier quarters, this year all the expenditure are taken upfront. Income will start picking up only towards the end of the year. Next year there will be breakeven and after that only we will be having profit getting added because of these initiatives. Because of this as we discussed in the earlier quarters, our cost-to-income ratio will be in the same range of 48% to 51% for the next 4 to 6 quarters.

And as per our expectations, our ROA stood at 1.51% for the Q1 FY '25 compared to 1.40 for the corresponding period last year.

Our PCR has improved to 73% with the technical write-off and 53% without technical write-off in Q1 FY '25, as compared to 70% with the technical write-off and 50% without technical write-off for the corresponding period last year.

Overall, SMA-2 number of the advances also currently stands around 2%, as explained in the earlier quarters.

We had achieved a PAT growth of 16%, and our PAT stood at Rs. 264 crore against Rs. 227 crore in Q1 FY '24, that is 16% growth year-on-year between 1st Quarter last year and 1st Quarter this FY.

To sum up, with the help of the digital lending and better and efficient underwriting methodology, we hope our advances growth will be back on track. We are exploring various avenues of advances growth in addition to our core strength of MSME. We are putting our best efforts to reach the industry level growth as soon as possible. So, in the last concall many questions were asked about what is the guidance and all, I refrained from giving any guidance and I said you have to make a call from the numbers. Now we are able to see some amount of increase in the numbers and we are working hard to ensure that there is a stable growth going forward. And as we have seen, we have reached a double digit from 30th June to 30th June and also first time positive growth in the 1st Quarter after about 10 years which is giving us sufficient confidence that things should be better as we move forward. And ROA is expected to remain at our current level of 1.5% plus. We should achieve our PAT growth with the help of reduced slippage and provision requirement.

As you have seen, because of the other upfront expenditure and all what we are taking, we have to wait for maybe 2-3 more quarters to see the operating profit showing corresponding increase compared to the business growth. Our cost to income ratio should remain in the range of 48% to

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51% for the current FY. So, as discussed in the previous concall once again, we are building our capacity both in human resources and technology infrastructure for future growth engines, particularly retail. So, that will be a drag in as we have seen, in the profitability as explained earlier. So, it will be reaching breakeven only next year and probably adding to the profit kitty by next, like say, beyond that. So, with these opening remarks, I open the forum for questions.

Moderator: Thank you very much. We will now begin the question and answer session. The first question is from the line of Harshada Gite from Prabhudas Lilladher. Please go ahead.

Harshada Gite: So, we see that the fee income has increased Q-on-Q. So, what are the drivers? Does it include the PSMC income?

N. Kamakodi: No, as explained, some amount of incremental fee income has come through your both, the asset, the interest income which had to be booked as other income for the SMA accounts and also some

amount of positive momentum we are seeing in the insurance front. So, these two are adding some amount of push for the other income growth.

Harshada Gite : Okay, got it. And my second question is what are the drivers for the decrease in the other operating expenses Q-on-Q?

N. Kamakodi: See, I am not saying that you basically have the other expenses or by and large there is a sequential from 369 to 363, but year-on-year, there is a growth of 21%. We don't expect any major decrease in that going forward. In fact our annual increments will be coming only in the second quarter and all. So, we don't expect any drivers, but once the productivity picks up, as we said, which is a few more quarters away, the increase in the income will be there. With the stable cost structure, there will be a reduction in the cost-to-income ratio. So, we don't expect any sequential decline in the cost drivers in the other expenditure.

Moderator : Thank you. The next question is from the line of Rahul Malani from Sharekhan by BNP Paribas. Please go ahead.

Vijay Kapoor : This is Vijay Kapoor here from Sharekhan. My question is, could you give us some more light on your digital expenditure and how this will benefit across the board?

N. Kamakodi: Yes, in fact, we had detailed discussions in the last conference call. We appointed BCG last year for one year contract which got ended on the 30th June. Using them, they helped us to build the digital lending processes, API integrations and all such things and some of our peer banks had earlier done that and we were waiting for them to settle. After that, we started. So, now, we started with less than Rs. 3 crores then we extended it to Rs. 5 crores. And currently, as per the RBI's definition of regulatory retail portfolio is Rs. 7.5 crore. So, from all the proposals less than Rs. 7.5 crore goes through this digital software now. It basically automates starting from the KYC to Aadhar number check to PAN number check to your CIBIL check to then it analyzes your GST returns on an online basis. Then it analyzes the account statement through Perfios software, then it analyzes the account operations after that income tax and other financial returns.

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Then it fits into our policy and then distinguishes the proposals whether it can be given or it cannot be given or it has to be referred to the credit for the manual check if at all any deviations are required but proposals are by and large doable. So, the first product was put on track way back in November. So, after that subsequent changes were done. Similarly, both for MSME and also for retail products like housing loan and LAP. So, all the fundamental checks and putting into the system are automated. And that process has, by and large, after completion, the BCG also completed their assignment and this is where we are currently.

Vijay Kapoor : Just one follow up question is, how much expenses you have made for this digital lending process?

N. Kamakodi: Yes, we discussed in the last concall, we gave about Rs. 25 to Rs. 30 crore to total fees to the BCG which works to about 2% to 3% of our overall PAT. This is apart from the software cost and implementation, API's, most of these API charges are on the paper use basis. So, the software comes to about Rs. 10 to Rs. 15 crore or something like that. So, this is the overall expenditure on this particular project.

Moderator : Thank you. The next question is from the line of Puneet from Macquarie. Please go ahead.

Puneet: First of all, on the growth front, it's been disappointing. Last year, I remember, FY24, we were heading towards a double digit growth. I know there is a seasonality in 1Q and all that stuff, but still it's flat on low base. It's very disappointing. So, are we still targeting the double digit growth? What are the reasons for the lower growth this quarter if you could elaborate on that?

N. Kamakodi: See as I told you cyclically 1st Quarter we always used to have a negative growth and after 10 years for the first time, our Q1 figures are more than Q4 and we are able to see some initial momentum after whatever investments, whatever practices we had done on all the things we have been discussing so far. So, as I explained in the last concall once again, the December 2022 to December 2021, we had a 14% growth, but that 14 came to almost flat or 1%-2% for December 2023. So, now after that once again the growth has started in a slow and steady fashion. You have already started seeing 10% first time double digit growth after multiple months. And we are working our best to ensure that this momentum is taken care and get to the next level.

Puneet: Double digit target remains, right, for the end of FY25?

N. Kamakodi: Yes, that is what. Already we have reached that and we are working to ensure the growth rate further accelerates from where we are.

Puneet: Also on the ROA target, it will remain 1.5% so that also holds there right, continues, the ROA target that you..?

N. Kamakodi: About two quarters back or so, we got back to that 1.5% trajectory. So, as I told, some amount of upfront expenditure we are taking and some increase in the cost is there. So, there is some

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amount of impact on the operating profit, but we are still able to make 1.5% because of favorable conditions with us in terms of the asset quality. Now the slippages are less than the recoveries. So, because of this, we are getting benefits from the asset quality, I mean, credit cost, which is helping us to maintain this. And we have enough elbow room in this factor for at least another 4-5 quarters or so. With this, only we are talking about maintaining the 1.5% ROA.

Puneet: So, these 4-5 quarters, you expect these strong recoveries to continue, right? Another 4-5 quarters, if I can take it in that?

N. Kamakodi: Yes.

Moderator : Thank you. The next question is from the line of Shreyas K. from Equirus. Please go ahead.

Shreyas K : Sir, I wanted to ask the competitive intensity on MSME loans has increased given the recent digital push by bigger players on MSME loans?

N. Kamakodi: See, as we have been saying that it's not that competitive intensity which is going through a major thing because this competitive intensity is in place for almost a decade which perhaps started as I have been repeatedly saying when ICICI bank took over one of our peer banks Bank of Madura two decades back. New generation banks are with us for almost more than a decade in every places and the competitive intensity is pretty much there for almost a decade if not more. More than anything else, in fact, last year or maybe about 4-5 quarters back, you had some amount of insane pricing. Those things also cooled subsequently. Sanity was restored back in the pricing front. In fact, things have improved in the last one year. And over a period of time, the competitive intensity is like this only and there is no major change.

Moderator : Thank you. The next question is from the line of Krishnan ASV from HDFC Securities, please go ahead.

Krishnan ASV : If you could just throw some light around this entire BCG exercise. More importantly, what percentage of your existing customer base, according to your own analytics, becomes eligible for this end to end digital journey in terms of being just pre-approved so that they can go through the pipe. I mean, have you had some initial assessment around this? What is your assessment of where we are today? You said you had built a 300-400 crs portfolio already. Just wanted to understand your early experience in this portfolio and what's the kind of addressable market that you think within your own because it's meant for ETB. Was trying to understand that.

N. Kamakodi: See, fundamentally speaking, one of my existing customers whose exposure is below Rs. 7.5 crore, they have to go through the pipe in the future even for the renewal. So, once they are entering into my system, after fulfilling their KYCs and after giving their GST return or P&L or account statement, which is once again, if they are existing customer, my own existing statements. And even if it is for new clients also, based on our policies and our track record, what is the quantum they will be eligible, the system will be throwing. So, in other words, 100% of my existing customers who have taken less than Rs. 7.5 crores, both existing and also new to

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the bank, they have to necessarily go through this particular software only. So, the software makes multiple recommendations, whether they are eligible for credit, whether we can give. If we decide to, if we give credit, what is the risk rating, what is the range of pricing that they should be eligible for this. This is what the system looks into. Earlier turnaround time which used to take at least 2 to 3 weeks for taking a credit call. Now if the customer gives the OTP and the documents in the required format, he will be getting a decision within 2 to 3 working days. If he gives everything, once the entry is done, in the same day he will be in a position to release it at the best. If it comes under the amber category where some manual deviations have to be taken, at the best in 2-3 days they will be getting a decision. This is where things are at this point of time now. And one more thing on unsecured front, in a very small way, it is almost zero. It could be a potential product maybe three years down the line or 4 years down the line. We have just made a small beginning. We ran analytics and took about 2000 customers. In that, we got a hit rate of about 10% and overall the book built through this scheme is hardly about Rs. 4 to Rs. 5 crore or whatever it is. And 2-3 months we are watching and we don't have any delay in the repayment or whatever. So, it has been started in a very small way though the amount is insignificant today, it will give us some experience to look into this maybe over the period of next 5 years to come.

Krishnan ASV : Understood. And purely on this unsecured piece which is meant for retail unsecured, just wanted to understand how, so is that also meant predominantly for ETB customers who we have already been banking with or does that book also expand into NTB customers?

N. Kamakodi: No, it is currently only ETB customers who are having salary account with me. And we worked out based on their average balance, monthly credit, their CIBIL score. And so many factors were taken into account. And we just took a small sample of 2,000, sent them messages that they are

eligible for the pre-approved credit. And the entire journey was digital, do it yourself mode. So, we wanted to just test whether it is working okay. So, it worked okay. Once we crossed the 10% acceptance, we just closed the funnel. Almost, 2-3 repayments cycle is over. So, far all those accounts are without even any DPD, Days Past Due or whatever it is, so once we get a grip how to expand that to my other broader existing customers, we may be, but this particular segment, as we have explained in the past, this is not in our immediate priority. So, our first priority is to go ahead with the MSME lending, then followed by the secured retail portfolio like housing loan and car loan. And this particular unsecured thing for existing customers we have started, but this unsecured thing may show some amount of next level improvement over a period of time, maybe in the next period of 3-5 years as explained.

Krishnan ASV: Just one last question, you mentioned about the first piece which was around Rs. 7.5 crores limit for the regulatory retail classification, how much of your existing to bank business would actually be eligible below that Rs. 7.5 crores?

N. Kamakodi: The existing to bank business upto Rs.7.50 crs as of now roughly around Rs.24000 crs out of Rs.35500 of core business apart from Gold loan portfolio of Rs.11000 crs.

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Moderator: Thank you. The next question is from the line of Jai Mundhra from ICICI Securities. Please go ahead.

Jai Mundhra: Sir, two questions from my side. One is there was an RBI regulation that suggested that the banks now have to charge interest only from the period of disbursement and not from the date of sanction, have we implemented is there any impact in this quarter or maybe going into second quarter?

N. Kamakodi: Yes, for us, this one we had been in compliance even before the arrival of that circular. This has basically happened particularly whenever predominantly for the retail lending new to the bank where disbursal happened through the checks or whatever where there could be difference between the time of sanction and the time of what you call actual reduction from the money withdrawal from the bank account. But for us, we never had this particular issue right from even before the arrival of the circular.

Jai Mundhra: Secondly, sir, in terms of the new products that we had started under the leadership of Mr. Vijay, if you can just update, sir, sorry if this question was repeated, I had joined the call a little bit later, if you can highlight the progress there and by the end of the second quarter, should we start to see the book building up or how is the progress there?

N. Kamakodi: Yes, we are in the process. Mr. Vijay is here who will be explaining how the progress is being made in terms of assembly of people and how the technology infrastructure and other things.

Vijay will be explaining to you.

Vijay Anandh: Yes, we should be there by September as communicated in the last call. We are looking for a pilot launch by September. Our digital process is getting ready. Predominantly, again we are getting into classifications of basis risk score and one which can be immediately decisioned and one which should go to underwriter for decisioning. New team is also joining. We expect the team to be here by August, September. The systems are also broadly in place, hence we should start our pilot disbursals by September second week to third week. And from fresh we expect this to happen in Q3 and Q4. This is what the broad progress on this. And we intend to do loan against property, home loans, affordable and micro-LAP.

Jai Mundhra: And Kamakodi sir, in that context, now we have delivered 10% Y-o-Y advances growth and flattish Q-o-Q, which is better than last, let us say 4, 5, 6 quarters on a Y-o-Y basis. Is it like fair to say that we would now be double digit growth trajectory, we will not fall back to single digit predictors and if there is anything you want to update here?

N. Kamakodi: See, this is what we are working hard for and we wish you see that the consistency as we move forward.

Moderator: Thank you. I will take the next question from the line of Puneet from Macquarie. Please go ahead.

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Puneet: Just on the OPEX bit, our growth has been not in line with the OPEX. OPEX has been sequentially higher. I understand you mentioned that the technological expenses have been high, but even the employee expenses have been high. I am sorry from this. Could you comment why is that?

N. Kamakodi: Yes, as I explained last time, we are taking some expenditure upfront both in terms of technology and building the team and it will take some time for that engine to give the business. So, that is why our cost-to-income ratio also has shown some increase. So, initially there will be some drag

in the profitability, next FY, we will be breaking even, and it will be adding to profit kitty only beyond that. So, that is where we are in this particular item. And one more item, our annual increment cycle will start from the 1st of July, so there will be some increase in the salary expenditure sequentially. But overall, as I explained for the whole year, we had a cost-to-income ratio of about 47% for the year as a whole for FY '24 and the last quarter we had about 51% cost-to-income ratio. Overall for the year, we should be having somewhere in between and we had about 49 odd percentage for the current quarter. This is how the expenditure part looks now. Puneet: And secondly, on the unsecured loans, you just mentioned that the pilot process of LAP home loans, micro-LAP affordable is going to start from September. Unsecured has already started, right? And what is the mixing target, I know FY25 might be a short process, but by FY26 to get to book mix of secured and unsecured, currently it is very small, but any guidance there?

N. Kamakodi: Please understand the first priority on retail will be only secured. So, as explained first priority is for having this housing loan, loan against property and all. Expansion of that portfolio is what Vijay Anandh explained which will start to show some light at the end of the tunnel after we start in the September month Q3 and Q4, some amount of growth you will be seeing over there, but unsecured retail funding is only as a test case we have started and it is not in our priority now. We hardly have about Rs. 4-Rs. 5 crore currently. We are trying to learn to ensure that the particular portfolio works okay, what are all the things we need to learn. And it will be, we will look into the suitability of that in our portfolio maybe beyond 3 years or maybe between 3- and 5-year thing. We will not be expanding fast as we have done in the past. Our focus will be more on the secured lending. So, earlier we focused, we had always been on the MSME and secured lending for the creation of business as such. So, some amount of extension we are doing into the loan against the property and housing loan like what do you call your secured retail lending and don't expect much for unsecured lending. It is only the proof of concept and we are a very long way from building that going forward. Be very clear about it. Good that you asked that question.

Moderator: Thank you. The next question is from the line of Rahul Malani from Sharekhan by BNP Paribas. Please go ahead.

Rahul Malani: So, my question is, sir, credit cost is very low for this quarter as compared to on a yearly basis. And this is adding for the overall profitability. So, what do you think for a whole year FY25? Is this end I think the lower credit cost would can sustain and continue and continuously it will add up for the profitability for the whole year?

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N. Kamakodi: In fact, if you had looked into the last 2-3 years, last year we had a slippage of about Rs. 1,000 crores and for the FY 2023, we had about Rs. 1,300 crores. So, effectively the slippage came down from 1300 to 1000 to this year we expect about maybe about Rs. 800 crores or something like that, maybe even slightly below that is what our calculations currently demonstrate. The recovery numbers are almost Rs. 1,000 crore plus, the stable numbers which we have started seeing, about Rs. 200 crores to Rs. 250 crore. Both live and technical write of accounts put together is the run rate which we are anticipating. So, as explained in the previous quarters also, this year also, there has to be a considerably reasonable credit cost moderation compared to last year.

Moderator: Thank you. The next question is from the line of Rajagopal Ramanathan from Sada Khush Investments. Please go ahead.

Rajagopal Ramanathan: I just have one question, sir. What is your long-term balance sheet growth aspiration and steady state ROA because you have been a bank which has delivered reasonably good ROAs over a long period, you have seen a long cycle, you have gone through the ups and downs. So, do you think over the next 5 or 10 years, you would be anticipating that your ROA should sort of stabilize between say, 1.20% and 1.30% and your balance sheet growth aspirations would be anywhere between say 10% to 12% or max 15%?

N. Kamakodi: See, as you explained, up to FY '19, we stabilized our ROA, we crossed 1.5% and started reaching about 1.6-1.7% levels also. We started planning for our next level of ROA expansion that is when the COVID came, bulk of our calculations were tested, we got back to 1%, then we increased it to 1.15%, 1.35%, 1.45 and 1.5% the pre-COVID level almost demonstrated. We expect once we start seeing the delivery or productivity from the new growth engines which we are trying to add, definitely, there could be expansion in the ROA beyond 1.5% whatever we are there. And in this cycle, maybe for at least another not less than six to seven quarters or so, there is every possibility that current favorable credit cost environment may prolong. Maybe we have to wait for the next cycle.

Rajagopal Ramanathan: And on the growth part of it?

N. Kamakodi: If you had this data, in 15 years we demonstrated the growth at least about 2%-3% over and above the growth of the industry. And we could in a small way see what you call market share almost doubling from 0.2 to 0.4 or something like that. Then post-COVID, there is a push back and we are still growing below what do you call industry level. So, our long-term strategy over

a period of decade as you rightly said, we are 120-year-old institution, even though we are one of the bigger banks for a longer period of time and for most of the cycles we have demonstrated ourselves as the bank with improved efficiency and profitability metrics are closer to the top ten percentage of the industry numbers. So, our aspirations are to get back to, we don't believe in having extra natural growth much beyond the industry level growth and paying the price later. So, we take steady path, growing maybe few percentage points over and above that of the industry growth rate is what we have demonstrated over a period of time, and it has proved good

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for us in terms of the long term stability of the institution, which we think we will be following that proven path as we had seen in the past.

Rajagopal Ramanathan: Which probably sort of, if I infer out of that, then where you are sitting with respect to capital adequacy at 21%, technically you don't require any capital for the balance sheet for another 5 years then because if we assume your balance sheet growth to be calibrated, I don't see any reason why you are likely to see significant capital consumption, would I be right in that assumption?

N. Kamakodi: Yes, you might have seen our last major capital raising through QIP was 10 years back. We are not, fortunately beyond year 2000 beat in the Y2K issue or after the 2008 global economic crisis or beyond that AQR because of the infrastructure lending and corporate lending, consortium lending and all, in every cycle, we survived without any problem and even COVID cycle we survived with a few bruises, not much of issues and we had not raised the capital in the past. So, the only thing is that like we have to improve our own return on equity, so matching if our return on equity and the growth rate by and large matches, we should not be requiring any additional capital or whatever. You may ask another question. In fact, our notice for the AGM is released today, in that once again we are asking for the QIP, but this, asking for the permission of QIP is the permanent fixture of our AGM approval for the past 10 years. We have that even more than 1.5 decades or so. We used it only once, but if at all any requirement comes in between maybe for any strategic reasons or any offer which we cannot refuse, we may have to, the process itself maybe time consuming. That is why after the arrival of QIP regulations by the SEBI some 15 years back, every year in our AGM we take approval from the shareholders, it is purely an enabling resolution. We used it only once and only when it is absolutely necessary or absolutely when the offer is irresistible. So, this particular asking for shareholder approval had been a permanent fixture in our AGM for the past, maybe more than 10 years or so.

Rajagopal Ramanathan: Actually, I was not bothered about that because I knew that if you are saying that you are essentially going to be shoring up your ROE over the next couple of years and with what your expectations are, clearly you are not going to be seeing capital consumption, and therefore it is quite unlikely that you will further tank up your capital and push yourself into an overcapitalized zone. So, if I am permitted to ask just one question, so you said a possibility of a strategic opportunity, so would you be interested or well, I am not putting words, but is it more from expansion of the lending business which means the potential opportunity on the NBFC front or on the tech front, what is the type of strategic opportunity that you might be interested in?

N. Kamakodi: See, we don't have anything in hand and we don't know what is in store for us. I will just give you one answer which will be making you some sense, we were asking for the shareholders' approval and I am talking about pre-2014 which was the year when we went for the capital raising. Before that, when I had a lot of pressures from the investors front or investment bankers and things like that, I made a claim that I will be going for QIP when I get an offer for two times price the book. At that point of time, I thought two times the price to book was something which was unreachable because when I started the price to book was 0.5 and when I made our first preferential allotment to L&T, LIC, Blue River Capital, Argonaut and all way back in 2008, it

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was at one time price to book, which itself was about 25% premium to then prevailing market price. But suddenly, people were prepared to give premium and two times to price to book opportunity came, which made me, you don't know what type of opportunity may come or whether it will be good and all. You are keeping all the options open, good that I am not talking to any press person who will write headline tomorrow saying that something is there. I don't have any opportunity now, I don't know what opportunity in store for me, it is a practice which we have been practicing over a period of more than a decade and we have been using it extremely in a judicious fashion, and only once we have used it. So, there is no reading in between the line, it is just a continuation of our past practices, nothing else. It is purely continuing the practice which we have been doing over a period of 10 years or so, nothing more, nothing less.

Moderator: Thank you. The next question is from the line of Gaurav Jani from Prabhudas Lilladher. Please go ahead.

Gaurav Jani: So, just a couple of questions from my end and one is on the yield, right, if the penal interest was adjusted for the same good yields have been similar to the last quarter?

N. Kamakodi: As I explained the NIM would have been 3.6%.

Gaurav Jani: But if you just please tell us on the yields, would they have been stable or slightly lower?

N. Kamakodi: I think, sequentially speaking, the yield we would have closed with 9.59%. If you added that back, it will be about 9.65%-9.7% range.

Gaurav Jani: And sir, just a broader question, right? Obviously the penal interest has impacted the entire structure, but otherwise our now interest income is now, free of aberration and last few quarters we have seen a lot of aberration, so now it should be seen right?

N. Kamakodi: Yes, hopefully.

Gaurav Jani: So, secondly, on the LCR so to pass the question, one is, you had mentioned last time that there was some discussion with the RBI on the LCR definition. It was about 200% odd. So, is that number revised or is it higher that is the first part? And the second is your initial assessment of yesterday's LCR circular please?

N. Kamakodi: See, based on those things, I think this is the news I was actually expecting this question. What has basically happened is that you have now a draft circular, particularly on the LCR calculations and all, which probably will make us to change some of the calculations or interpretations with which we had been calculating over a period of since the concept of LCR came about close to a decade back or whatever. And because of these changes, I think the entire sector of LCR will converge around maybe 115 to 125% or 110 to 120% or sort of. You won't be having aberrations. Everybody will be now getting to this range. And there will be requirement of redeployment or reorientation of the resources. Even for us, we have some overseas deposits which we used to invest for maybe few basis point extra interest. So, we had to now get those things back from

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the overseas, on maturity we have to bring them back to our fold. Once we get them back, we will also be stabilizing around that number. So, basically the non-callable deposits also we have in that, we have about Rs. 2,900 crores which we got that and all which is getting eligible for this favorable calculation. So, after some amount of aberrations, ups and downs, things should be stabilizing around 115 to 125 for all of us and for us also.

Gaurav Jani: This is after considering the impact of yesterday's circular right. That is what do you mean or without that?

N. Kamakodi: Yes, taking into consideration the latest discipline.

Gaurav Jani: Just one small question in the extension of this? Do you expect, because of this redeployment towards excess security, do you see further margin pressure because this or I mean you are okay?

N. Kamakodi: Nothing material. These sort of things are done on a treasury basis for one or two basis point arbitrage and things like that. Nothing material will be happening because of this reorientation.

Gaurav Jani: And sir, last question please, if I can squeeze one, cost of funds have peaked or you still expect further hikes?

N. Kamakodi: It has almost peaked, and we expected the reduction and the interest rate cycle will start, but now enough indications are that they are not going to be as quick as it was expected. So, by and large, it has almost peaked.

Moderator: Thank you. Ladies and gentlemen, this was the last question for today. I would now like to hand the conference over to the management for closing comments.

N. Kamakodi: Thank you all of you for joining this press conference and thanks for Ambit team to arrange for this. As explained this quarter, for the first time after 10 years, we have positive credit growth in the 1st Quarter. Things are improving and we have got back to double digit growth after multiple months. Hopefully things will be getting better and better from where we are. If you have any specific questions and all, the contact numbers are given in the presentation, you have the contact numbers of Raghuraman, who is the contact person for the investor contact whose number and e-mail IDs are given. You may also contact any of our executives, be it CFO or our GMs, Mr. Jayaraman or Mr. Ramesh or whoever it is, who will be in a position to explain you the numbers. I hope things get better and better from where we are going forward. Once again, thank you all for participating in this conference.

Moderator: Thank you. On behalf of Ambit Capital, that concludes this conference. Thank you for joining us and you may now disconnect your lines.

Call: Oct 2024

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Dear Sir / Madam,

Sub: Transcripts of the Earnings Conference Call - e2Fy2025

Pursuant to Regulation 46 of SEBI (LODR) Regulations, z}Ls (as amended), the Bank has hosted in its website the transcript of Earnings Conference Call - Q2 FY ZO2S, with regard to the Un Audited Standalone Financial Results for Quarter and Half year ended September 30, 2024, as approved by the Board of Directors of the Bank, on October 21,2024. The weblink is given below;

<https://www.cityunionbank.com/filemanager/Oct24ITRANSCRIPtSe2Fy2O2S.pdf>

Kindly take the same on record.

Thanking you

Yours faithfully

for CIUY UNION BANK tLIMITED

Venkataramanan S

Company Secretary

"NARAYANA" Administrative Office, No. 24-8, Gandhi Nagar, Kumbakonam - 612001.

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"City Union Bank Limited

2QFY25 Conference Call"

October 21, 2024

MANAGEMENT : MR. N. KAMAKODI – MANAGING DIRECTOR AND
CHIEF EXECUTIVE OFFICER – CITY UNION BANK
LIMITED

M R. R. VIJAY ANANDH – EXECUTIVE DIRECTOR –
CITY UNION BANK LIMITED

MR. J. SADAGOPAN – CHIEF FINANCIAL OFFICER –
CITY UNION BANK LIMITED

MODERATOR : MR. PRABAL GANDHI – AMBIT CAPITAL

City Union Bank Limited

October 21, 2024

Moderator: Ladies and gentlemen, good day, and welcome to the City Union Bank Limited 2QFY25 Conference Call hosted by Ambit Capital Private Limited. As a reminder, all participants' lines will be in the listen-only mode and there will be an opportunity for you to ask questions after the presentation concludes. Should you need assistance during the conference call, please signal an operator by pressing star then zero on your touch-tone phone. Please note that this conference is being recorded.

I now hand the conference over to Mr. Prabal Gandhi from Ambit Capital. Thank you, and over to you, sir.

Prabal Gandhi: Thank you, Neha. I once again welcome everyone for the City Union Bank's Second Quarter Earnings Call. We have with us, Mr. N. Kamakodi, MD and CEO, Mr. R. Vijay Anandh, Executive Director and Mr. J. Sadagopan, CFO.

Without further ado, I'll hand over the call to Dr. Kamakodi for his opening remarks. Post which, we can open the floor for Q&A. Thank you, and over to you, sir.

N. Kamakodi: Good evening, everyone. Hearty welcome to all of you for this conference call to discuss the unaudited financial results of City Union Bank for the second quarter / half year ended 30th September 2024. The Board approved the results today, and I hope you all have received the copies of the results and the presentation.

At the outset, our bank is completing 120th year of operation this year. I take this opportunity to salute all of our predecessors who had laid a foundation for our growth and also thank our staff, our customers and investor community at large, who has shown great faith in our bank. The date of incorporation was 31st October 1904. In our Q4 financial

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year '24 and the Q1 financial year '25 con calls, we have shared with you all our expectations for our current financial year as below.

■ With all the new digital initiatives supported by strengthened top senior level management, we could see visibility on growth front going forward.

■ We are also looking for other revenues for growth and putting our best effort to reach the industry level growth as soon as possible in credit.

■ Post the MSME, digital lending model will be expanded to secured retail lending such as housing, LAP, micro LAP. In our last con call, we had also stated that we are building capacity as well as human resources in order to support our retail credit.

■ On asset quality front, we will continue with the trend of reduced slippages coupled with the improved recovery for the current year.

■ Our ROA back at our long-term average of 1.5% and it should continue. Since we are taking the cost upfront, our cost-to-income ratio will be slightly higher in the current year. And once the benefits of digital lending and other initiatives transpire into growth, the CIR will start coming down. We reduced slippages and improved recoveries will help to maintain our PAT growth. These are all the points I shared with you all during Q4 financial year '24 and the Q1 financial year '25 con calls as the expectations for the financial year, '24, '25.

For the current quarter and the current half year ended on 30th September 2024, we are almost on track on the expectations, which we shared with you all.

We had registered a 12 % advanced growth for Q2 financial year '25 year-on-year, and our advance increased to INR48,422 crores from INR43,688 crores in Q2 financial year '24. You may observe, we

restarted our growth at the beginning of 2022 post-COVID and reached the 14 % growth for the December 2022 compared to the previous year 31st of December 2021.

The calendar year '23 was not good for us as we had to unwind our KCC gold portfolio among other things. And growth for December 2023 slipped to 2 % compared to December 2022. We restarted in January 2024 and reached a double-digit growth for June 2024. Also on a sequential basis, that is compared to 30th of June 2024, our advances has increased by more than INR2,100 crores, a 5 % growth in Q2, and we had achieved the double-digit growth consecutively in the last two quarters.

We have seen considerable improvement in our efficiency levels of credit sourcing, along with the digital transformation has resulted in reasonable credit growth. Our plans in pipeline like retail vertical and other avenues in advances will support us in terms of our credit growth once they are all taking a shape. Actually, if you speak, the current credit growth is achieved only with our traditional business lines like MSME, gold loan, etcetera. Actual incremental credit growth from the retail are yet to start. Therefore, whatever growth we have achieved so far this 12 % is from our core business, which we had done in the past. Our deposits had grown by 9 % and stood at INR57,369 crores growth for Q2 '25 as compared to INR52,714 crores for Q2 financial year '24. In Q2 financial year '25, our deposits has increased by INR2,512 crores, a 5 % growth in the current quarter. So the average CD ratio for Q2 financial year '25 stood at 84 %. Cost of deposits stood at 5.73 % for H1 financial year '25 which is almost similar to the last quarter, that is Q1 financial year '25.

On asset quality front, as we stated earlier, the trend of recoveries over and above the slippages is continuing. For Q2 financial year '25, the total slippages is INR176 crores, while the total recoveries is INR265

crores, consisting of INR201 crores from live NPA accounts and INR64 crores from the technically written off accounts, resulting in the slippages falling below the recoveries.

For the half year ended financial year '25, our total slippage was INR354 crores as against INR607 crores in the first half last financial year. On the other hand, our total recoveries in H1 financial year '25 is INR501 crores, consisting of INR393 crores from live NPA accounts and INR108 crores from technically written off account. As a result, our gross NPA % has sequentially decreased from 4.66 % on last year, 30th September, 4.47 % in December 2023, 3.99 % for the 31st of March 2024, and 3.88 % in 30th of June 2024, and now further reduced to 3.54 % for the current quarter, 30th September 2024.

Similarly, our net NPA number has reduced to INR775 crores and the net NPA to 1.62 % in Q2 financial year '25 from 2.34 in Q2 financial year '24. Sequentially also, it has decreased from 1.87 % on 30th of June 2024 to 1.62 %, that is 25 basis point reduction in the net NPA % for current quarter.

We conveyed that expected slippage in the financial year '25 would be about INR800 crores during Q4 financial year '24 con call. We are on track. As per the trend, we should be reaching between 1% to 1.25 % net NPA for the year-end. We understand that we are outliers in the provision coverage ratio. We will explore the possibilities of increasing the provision coverage ratio also this year.

Our interest income had grown by 10 % in Q2 financial year '25 and increased to INR1,434 crores from INR1,304 crores in Q2 financial year '24. Our yield on advances stood at 9.81 % for Q2 financial year '25 against 9.77 % for the same period last year. Our net interest margin

for Q2 financial year '25 had improved to 3.67 % as compared to 3.54 % in Q1 financial year '25. And for H1 financial year '25, it stood at 3.60 %. It looks like the interest rate reduction cycle is some time away. As

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discussed in the earlier call, the margin should be at the 3.6 % plus or minus 10 basis points, as we discussed during multiple times in the past.

Our cost-to-income ratio for Q2 financial year '23 had reduced to 47.06 % as compared to 49.34 % in the Q1 financial year '25 and 51 % in Q4 2024, showing a sequential decrease. During the earlier call, we had said that we will see a reduction in the operating profit, but we will manage the price with the help of reduced credit cost. After 6 quarters or so, we have started seeing operating profit also showing growth as business has started showing growth, which is also getting converted into improved operating profit cycle.

Coming back to the cost-to-income ratio, once again, we saw the cost-to-income ratio for the Q2 coming down to 47.06 % from 49.34 % in the Q1 financial year '25. It was 51.26% in the Q4 financial year '24. Basically, like we said, the cost to income ratio will start coming down from the 50 % and we are seeing some traction. But this time, the impact was more because we could see the loan processing charges significantly improving from INR23 crores in the first quarter to INR38 crores in the second half, which also contributed for the reduction in the cost-to-income ratio.

Similarly, interest received from the income tax refund for first half of last year was equivalent to INR9 crores, which increased to about INR40 crores in Q2 FY 25. So as suggested in the earlier con call, we should start seeing the cost-to-income ratio, moderating between 48 to 50 % going forward and then showing a continuous decline.

Our ROA for the first half is at 1.55 % compared to 1.54 % in the corresponding period last. And as stated in the earlier con call, the ROA is stable for the past few quarters. And we should be able to see things stabilizing and probably inching up going forward. Overall, SMA 2 to the

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advances currently stands at 2.03 %. As we have been discussing in the past we are seeing this number coming down.

So we had achieved a PAT growth of 8 % that is current PAT for the H1 stands at INR550 crores against the INR508 crores for H1 FY 24. There is some base effect because the year before last, we had a very high PAT in the second half, which is getting maintained. But overall, you could see a significant increase, from Q1 to Q4 also, and we are able to see things stabilizing going forward.

As per the latest LCR guideline, our LCR is calculated as 121 % for 30th September 2024. We had taken steps both on liability side and asset front like going for some non-callable deposits, converting some foreign currency deposits on maturity into liquid securities and things like that. So to sum up, our efforts have helped us to push our advanced growth rate towards the industry growth rate. And as I told earlier, the growth so far has come purely from our traditional MSME and gold loans. The new retail vertical and all, we are in the process of building that. And once they come into the picture, they should be helping us to get some more incremental advance growth.

We are confident to restore our credit growth on par with the industry level sooner and to go beyond. Our growth has started showing visibility on achieving our better NII growth and operating profit growth also. So both the NII and operating profit, growth was muted or even we saw few quarters of subdued NII and operating profit in the last few

quarters.

Now we have started seeing the visibility in terms of seeing both NII and operating profit to grow so that this will be helping us to have a stable profitability as we move forward. We will reach between 1-1.25 % in net NPA by year-end is our current visibility. And we are exploring

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the possibilities of improving the coverage ratio as we'll be in a vision to better clarity as we move into the second half fully.

We expect our margins, cost-to-income ratio, NPA slippages to stay stable around the numbers communicated to you in the earlier con calls.

And finally, we are seeing better visibility on growth numbers from our conventional areas and new avenues will definitely help us to add extra growth numbers, which will be available going forward in the future. So basically, this is what I wanted to communicate.

With this, I will probably take a break, and I open to you for questions.

Moderator: Thank you very much. We will now begin the question-and-answer session. The first question is from the line of Mona Khetan from Dolat Capital.

Mona Khetan: So my first question is around the new retail product initiatives. So how many of these products already been introduced? And I mean, from a full year perspective, if you could guide what sort of growth we are expecting?

N. Kamakodi: See, as told in the earlier calls, the things are being now put. The systems have taken in a shape, writing the policies, training the people, having the people in place. All these things are now taking a shape. As explained in the last quarter, some amount of contribution to the business will start coming from the fourth quarter onwards. The significant contribution you will start seeing in the next financial year. As of now, like as I told, we have started taking expenditure on that front, but the business and income is yet to start. So the preparatory works are underway.

Mona Khetan: And from a full year for the entire book, what sort of growth could we expect for FY '25?

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N. Kamakodi: Yes. This question was asked again and again, in the last two con call also, I refrained from giving a number. Now you have started seeing the improved credit growth both in the first half and second half and numbers are framing up. And we are taking all our steps to ensure that we touch the industrial growth rate and probably, a small growth over and above that before the year-end is what we are trying to expect.

Mona Khetan: My second question is on this NBFC book that you have. Recently in the last quarter, two quarters, the growth in the book has grown by over 15% sequentially, the book where you lend to NBFC. Now I understand it's a very competitive segment. So what is helping this growth, if you could throw some light around it?

N. Kamakodi: See basically, the current level of NBFC as you see, our incremental NBFC book between 30 June and 30th of September is about INR315 crores. Year-on-year growth on that front is about INR500 crores and you have some repayment also happening in the portfolio. And we have not compromised about yield on that, it is closer to the average 9 to 9.5 -- the average yield of the portfolio is just under our average yield of 9.5 %.

Moderator: The next question is from the line of M.B. Mahesh from Kotak Securities Limited.

M.B. Mahesh: So just this -- yield on advances, which improved this quarter, if you can just kind of highlight what's happened there?

N. Kamakodi: Basically, we looked into the yield of gold loan portfolio, which we

tweaked in the 3, 4 months, which works out 20% of our portfolio. And also, like as we had been discussing, last year, when the rate of interest increasing cycle was happening, we could not transmit a portion of that. So keeping that in the mind that we are closely looking into the books, which is coming for the renewal and we are able to see some amount

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of transmission in that also. So that has helped us to see a few basis point improvement in the yield.

M.B. Mahesh: And this will continue through the rest of the year? Given that not everything would have reached...

N. Kamakodi: Yes. Until probably the decreasing interest rate cycle starts, we will be in a position to go for this - a review of the rate and take a call in tune with our expectation of overall strategic intent particularly on the net interest margin.

M.B. Mahesh: Second question on this recovery from written off, about INR95 crores has come in the current quarter. sustainability at these levels?

N. Kamakodi: See, by and large, the total recovery numbers will be plus or minus INR20 crores, INR25 crores. When we take effort, we don't differentiate between which is live and which is technically written off. So these efforts for both technical written-off account and the live accounts are the same. So if we recover live accounts, it will reduce in provision. If the recovery happens in the technically written-off account, it will be in the other income. So it is very difficult to exactly predict how it will happen.

M.B. Mahesh: In the sense that the environment for recovery still looks to be fairly early?

N. Kamakodi: Absolutely.

M.B. Mahesh: And last question, sir. You had indicated that net NPA will come down to about 1.2% by the end of the year, is it?

N. Kamakodi: Yes. For the financial year.

M.B. Mahesh: And if you don't reach that number, you intend to make higher provisions. Should we look at it that way?

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N. Kamakodi: See, with the visibility, whatever we are getting in terms of the slippage and the recovery we are giving this. You cannot make a clear-cut thing, whether like, how it will happen on all such things. We have to wait and see how it happens.

If you increase the provision, the net NPA will decrease. This trade-off, we have to take a call on an ongoing basis. Based on the current level of policies, whatever we had been looking into, based upon the trend in recoveries and the visibility in slippages, this is what we are expecting at this moment of time. Any change in the expectation, we will communicate in the subsequent con calls.

Moderator: The next question is from the line of Abhijeet from Axis Mutual Fund.

Abhijeet: Sir, first question is on deposit growth. How do you see a liability situation for City Union Bank and the cost of deposits?

N. Kamakodi: We were able to match the deposit growth in tune with the credit growth, the current cost, whatever that has been observed, should continue for the second half of the year also by and large.

Abhijeet: So what is the LCR as of September end?

N. Kamakodi: 121%, which I gave during the call.

Abhijeet: Sir, just one observation. In the sectoral deployment of loans, the loans break up. The loans to the retail trade and wholesale trade that continues to reduce every quarter, what is the issue here?

N. Kamakodi: See, the trader segment, if they get the MSME certificate, then it gets recalibrated as the MSME. I think it depends upon the Udyam registration. The explanation is given in the Slide Number 31 at the

bottom. So if you add both, by and large, there will be the same. Some of the traders because of the Udyam classification, they get reclassified.

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Moderator: The next question is from the line of Jai Mundhra from ICICI Securities Limited.

Jai Mundhra: Sir, two questions. First is on gold loans, sir. So the last two quarters, we have seen a very strong growth in the gold loan book. Earlier, we had this commentary that we would like to keep it a little bit calibrated because we want to do more of MSME and others. Has anything changed in terms of competition, there were a few players which were going under a tough period? Is that what has helped you and you also mentioned that you have increased the yield on the gold book, so if you can share some color there?

N. Kamakodi: Yes. See, basically, this is one segment. I mean, as I have been saying in the two, three con call earlier, you started seeing sudden spurt in the unsecured retail consumption loan, particularly for the last 4 to 6 quarters. As you all know, we are not very gung-ho about the unsecured consumption part per se. So this is one segment, there is a requirement in the market and which we can't stay away from that. This is point number one.

Point number two, when we get into the reducing interest rate cycle, you need a portion of your loan book in fixed interest rate on the short term, and this exactly fit into that thing. So we did some fine tuning on that front, like converting the floating rate of our gold loan into fixed rate and also fine-tuning the rates depending upon the requirement. And it is helping us not to go to the riskier segment of unsecured retail at this point of time. At the same time, going towards achieving the targeted growth rate, which we missed last year. At the same time, it is giving the stability in the yield also. In all these metrics, it is favourable. And so since the demand is also there, we are continuing with this segment.

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Jai Mundhra: Secondly, sir, if you can share this loan mix by benchmark as to how much is MCLR, how much is fixed rate and how much is repo?

N. Kamakodi: 50% is the EBLR. About 30%-35% is our MCLR. Remaining is fixed.

Jai Mundhra: Even, sir, gold loan is -- also not the entire 25% of the gold loan is fixed, right?

N. Kamakodi: No. Incrementally, when they get renewed and the fresh are getting converted. So whatever you entered before taking this call, they will come for a review whenever they completed the one year or the due date for renewal.

Jai Mundhra: So then as of now, they are floating, right?

N. Kamakodi: Yes. Since now about 25, 30 % of them, of the gold loan has now got converted. So hopefully, since the rate reduction cycle is also getting postponed, we may be in a position to see maybe half of portfolio or even 50, 60 % of the portfolio getting converted from the floating rate to the fixed rate, which will give stability to the yield when the decreasing interest rate cycle actually starts.

Jai Mundhra: And secondly, sir, on the launch of the new retail products that we plan to ramp up, in the last 6 months there has been a lot of change in the macro environment, right, especially in unsecured and maybe lower ticket size loans. Is there any rethinking in terms of priority, in terms of ramp-up of those products, especially lack on unsecured business loan than unsecured PL maybe?

N. Kamakodi: Yes. Right from the beginning, when we started, we were very clear about two things. One, we are not entering into the unsecured in a big way. Our entire start in the retail is going to be on the secured retail

lending portfolio per se. And, let's say, 4 to 5 years down the line, it will be about 4 to 5 % of the portfolio, the focus will be mainly on the secured lending space. So we are continuing with that.

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So to start that business first, you need the technology part that is ready. You need the senior management team that is, by and large, ready. The preparation of the policies writing down the operating manual and all are under progress. Field-level staff recruitment are underway. So by the beginning of the fourth quarter, we should be having the executive team for that policies. And also the grass root level people, everything will be ready by the, beginning of the fourth quarter.

So some amount of minor initial progress will be seen in the fourth quarter, but actual line-up of growth you will be seeing in the next year.

Jai Mundhra: So the commercial launch is now in full quarter, right?

N. Kamakodi: Yes, it's a soft launch. And even the commercial launch will be a slow and steady launch only, we will be seeing some amount of minor progress in the fourth quarter.

Jai Mundhra: Right. And sir, assuming there is not a very meaningful proportion of the incremental growth, you are still confident that the traditional portfolio will drive growth similar to system level at least, right? That is the understanding.

N. Kamakodi: That's what I told you. Whatever growth we have achieved with the 12 % is from the conventional business mix, whatever we have been doing. So to achieve up to the industry level closer to that, I don't think we will be facing any challenges. And the secured retail whatever we are discussing, it will be taking our growth rate beyond the industry level growth rate is what we expect.

Jai Mundhra: Right. And sir, on cost to income or maybe in other words, incrementally now onwards because, sir, we had a very low base, right, in terms of cost to income or operating profit. As you said, the last 3, 4, 5, 6 quarters, we were continuously running a negative operating profit growth. So at least for the next 2, 3 quarters, the base is low. So do you think that incrementally the revenue growth NII plus other income

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should outpace the operating expenses or that is more of the book base effect, right, because the operating profit was not growth actually?

N. Kamakodi: See, the first and the foremost thing is the net interest income. And you have rightly observed, we are just entering into that segment where we see the growth rate in NII and the growth rate in operating profit is positive where you get income more than the incremental expenditure.

Moderator: The next question is from the line of Bunty Chawla from IDBI Bank.

Bunty Chawla: Congratulations on the set of numbers. Sir, as you've previously said, because of this digitization and all, we have improved -- we are focusing on the improvement of the PAT on the traditional portfolio like MSME.

So if you can share what is the status now? And how much improvement is still behind us in next two quarters.

N. Kamakodi: Yes. See, basically, at least 75 to 80 % of the MSME lending less than, say, INR 7.5 crores, we are able to make between 3 to 4 days which is a very big improvement compared to whatever we have been doing in the past. So as I told you from 3 weeks reduction to 3 days, which is a very big improvement, which we have already seen.

Some amount of productivity gains we expect from this. We will be having the cases which are approved by the system green cases, rejected by the system red cases and amber where some amount of manual intervention is needed. We have currently about not less than about 50, 60 % of the cases are coming for the manual decision-making with the input from the system level thing.

Number two, some more improvement in the automation of the decision-making can happen in the next 6 months or so where we have to closely monitor the performance of the portfolio, maybe fine-tune your scorecard depending upon the performance and improve more of a green than red and amber. It will take maybe not less than 6 months or so. And like the acceptability of the system is improving. But lots of

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opening of the productivity at the branch level is still pending. So the future quarters, slowly the productivity from the branches should improve is what we expect.

That is the confidence which makes me say that with these existing business lines, we should be getting back to the systemic level growth rate without looking for the newer opportunities.

Bunty Chawla: Secondly, on the PCR part, in your opening remarks, you said we are an outlier. So we are focusing on improvement in the PCR. So any specific number we are targeting to achieve by end of FY '25 or FY '26 in terms of PCR?

N. Kamakodi: On PCR, we are completely on track when you include the technically written-off portion. We are getting repeatedly asked your PCR coverage ratio is low when we take it purely on the live coverage. As you have seen significant reduction in the net NPA %s that will automatically improve the coverage ratio also to some extent. I clearly told you that I want to have between 1 and 1.25 % on the net NPA ratio. I don't have any number or anything with me.

Moderator: The next question is from the line of Rakesh Kumar from B&K Securities Limited.

Rakesh Kumar: Sir, one question was related to the restructured book. So the number has come down from INR929 crores to INR858 crores in the September quarter. So do we have some write-back of provision because of that because we were holding around 14% provision on this. So would we have any write-back of provisions on this?

N. Kamakodi: See when we finalize the annual accounts in the last quarter, we will take a call on the surplus provisions post the completion of that 2-year tenure on restructuring or whatever it is, how much write back will be there, how much of that will be provided for the NPA itself. So

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depending upon the regulations and the recovery happens in the restructured portfolio, the decision will be taken.

Rakesh Kumar: Got it, sir. And sir, ROA target, like this quarter, we have done 1.6% so what could be the full year target, sir, for this year?

N. Kamakodi: As we have stabilized 1.5 % plus, we don't have any specific target on that number.

Moderator: The next question is from the line of Aviral Jain from Siguler Guff & Company.

Aviral Jain: Sir, if you could just elaborate more on the plans that you have been mentioning. First is on other retail products, which are secured in nature, such as housing, LAP vehicles. And then there was one more line of business regarding co-lending and lending to NBFC. So if you could just elaborate in the next 2 to 3 years plan as to how do you envisage that business up? I remember you had mentioned that this all put together would be 15% of the overall loan book at that time in three years' time. So how is the progress on each of these initiatives?

N. Kamakodi: No, no. I don't think we stated about 15 % number and all. It was very much less than 10% only, if I correct -- distinctly correct maybe 7, 8 % of first half. Basically, like for co-lending and the onward lending -- I mean, direct lending to NBFC is continuing, maybe like once we are able to see good growth in our conventional thing, we may have to

slowly fine-tune that depending upon the requirement. So the technology, whatever that is needed for the co-lending and all are already with us now. So those things like going forward, like how the other factors like both secured retail and co-lending and all now Vijay Anandh will give you some feedback.

Vijay Anandh: So we will go with secured as planned for Q4 beginning. There is no change on LAP, home loans and affordable and micro LAP. The technology is ready and we just need feet on street. It should ideally

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be there in Q3. With respect to co-lending, we have technology, we will use it.

Aviral Jain: And this would be -- the own sourced book would be through by cross-selling to existing customers or within retail, you would go out and look for sourcing customers outside the existing customer base of the bank?

Vijay Anandh: We will also have new-to-bank customers. Predominantly, we will use our employee sourcing in South, our branch sourcing in South and this is our presence. For North and West, we can use third party.

Aviral Jain: This would mean DSAs?

Vijay Anandh: Yes.

Aviral Jain: Okay. And on co-lending, what sort of products would those be? I'm assuming this would be something that the bank would not be choosing to do in-house?

Vijay Anandh: If at all, we do co-lending, it will be only secured.

Aviral Jain: Okay. But this would be vehicle finance or...

N. Kamakodi: LAP and some sort of HLA is required.

Aviral Jain: Sure. And at a steady state, let's say, if you would start by Q4 FY '25, next year, this is the cost base that has been built in for such initiatives, what sort of loan book would you be targeting so as to make it in terms of profitability neutral for the bank?

N. Kamakodi: Yes, it would be about 2 to 3 % in the financial year '25, '26. So we gave you that we should be having about 7, 8 % in the next 3-, 4-year time frame. It could be around 2% -- 2-odd % for these sort of other initiatives to support us.

I don't know whether you remember another data which came in the earlier con calls, let's say, out of our INR45,000 to INR50,000 crores of

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whatever loan book we have, our customers have taken about INR7,000-odd crores worth of these products from the other financial institutions. So the deepening will be the first action in making our existing customers to probably get that converted from other institutions.

Aviral Jain: Sure. While I understand that large portion could be new to existing customers, but cost base to service retail would be high given lower ticket sizes. So I'm assuming this would be at a higher interest rate than what the current core business is at from a spread perspective, over your cost of funds?

N. Kamakodi: So we will be on par with the market. So that's the reason why I mentioned this in South, I will not use my third-party sourcing. And North and West is going to be third-party sourcing. So my branch distribution in South should take care of my retail business, which comes with zero cost or very negligible cost. In North and West, we use a third party, which would give me the blended average. So from the cost perspective, we ensure that we manage it rightly for the retail products. Today, we have 550-odd branches in South, which should give me a good retail business for the bank sourcing and I don't need to use a third-party majorly in South.

Aviral Jain: And what is the fixed cost addition that has been made for this

initiative?

N. Kamakodi: I think, I explained in the last con call how much we made to BCG and how much elbow room it is giving us is what I gave you in a couple of quarters back. So you will be having around about INR30 crores, INR35 crores will be, by and large, the incremental business expenditure, which is already the greater part is observed in the overall scheme of things.

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I even clearly explained that you will have loss in the first year. It will break even in the second year and the profitability and accretion to the ROA will start coming only from the third year. By and large, we are on track in that direction.

Moderator: As there are no further questions from the participants, I now hand the conference over to the management for closing comments.

N. Kamakodi: Thank you all for taking this con call. As we explained, we are able to get into the cycle where we have started seeing both operating profit and the NII started taking a positive tenure. Growth has also firmed up with double digit in the last couple of quarters. And, this growth has come basically from our conventional businesses and without adding any business from the retail whatever we explained.

The overall ROA of 1.5 % and all metrics have properly settled. We had about INR1,200 NPA addition 2 years back, which got down to INR1,000 crores for the financial year '24. And this year, we said we'll be having about -- around INR800 crores or less than INR800 crores addition. So on all these things whatever we said, we are on track and there is a very good amount of improvement in the overall scheme of things.

The net NPA has also decreased by about 25 basis points in this quarter. And the 5 % growth in deposits and the 5 % growth in the credit has also happened in the second quarter. So all these things are giving enough confidence that the things are on track, and we should be able to have better second half. If you have any more questions, you can get in touch with contacts given in the investor presentation.

Once again, thank you all for participating. And let's say, request your continued support going forward. Thank you all. Thank you.

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Moderator: Thank you. On behalf of AMBIT Capital Private Limited, that concludes this conference. Thank you for joining us, and you may now disconnect your lines.

Call: Feb 2025

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BSE Ltd.,

DCS - CRD,

Phiroze Jeejeebhoy Towers,

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Scrip Code: 532210

Dear Sir / Madam,

Sub: Transcripts of the Earnings Conference Call - Q3FY2025

Pursuant to Regulation 46 of SEBI (LODR) Regulations, 2015 (as amended), the Bank has hosted in its website the transcript of Earnings Conference Call - Q3 FY 2025, with regard to the Un Audited Standalone Financial Results for Quarter and Nine months ended December 31, 2024, as approved by the Board of Directors of the Bank, on January 31, 2025. The weblink is given below;

<https://www.cityunionbank.com/filemanager/Feb25/TRANSACRIPTSQ3FY2025.pdf>

Kindly take the same on record.

Thanking you

Yours faithfully

for CITY UNION BANK LIMITED

Venkataramanan S

Company Secretary

'NARAYANA' Administrative Office, No.24-B, Gandhi Nagar, Kumbakonam - 612 001.

Phone : 0435 - 2402322 Fax : 0435 - 2431746

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"City Union Bank Limited

3QFY24/25 Earnings Conference Call"

January 31, 2025

MANAGEMENT : MR. R. VIJAY ANANDH – EXECUTIVE DIRECTOR –
CITY UNION BANK LIMITED

M R. J. SADAGOPAN – CHIEF FINANCIAL OFFICER –
CITY UNION BANK LIMITED

MODERATOR : MS. MARGARET – AMBIT CAPITAL

City Union Bank Limited

January 31, 2025

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Moderator: Ladies and gentlemen, good day, and welcome to the City Union Bank Limited 3QFY24/25 Earnings Conference Call. As a reminder, all participant lines will be in the listen-only mode and there will be an opportunity for you to ask questions after the presentation concludes. Should you need assistance during the conference call, please signal an operator by pressing star then

zero on your touchtone phone. Please note that this conference is being recorded.

I would now like to hand the conference over to Ms. Margaret from Ambit Capital. Thank you, and over to you, ma'am.

Margaret: Good evening, and on behalf of Ambit Capital, I thank the management of City Union Bank Limited for the opportunity to host your 3QFY25 earnings call. We have the following members of management with us today, Mr. R. Vijay Anandh, Executive Director; and Mr. J. Sadagopan, Chief Financial Officer.

I will now hand over the call to the management, Mr. Vijay Anandh, Executive Director, to walk us through the quarter. Thank you all, and over to you, sir.

R. Vijay Anandh: Good evening, everyone. Warm welcome to all of you for joining this con call to discuss the unaudited financial results of City Union Bank for the 3QFY25. I thank my MD and CEO for giving the opportunity to get this 3Q call. I have been joined by my CFO, Mr. Sadagopan in this call.

The Board approved the results today, and I hope you have all received the copies of results in the presentation. At the beginning of the year, we shared our expectations for the current financial year '25 as follows: With all the new digital initiatives supported by strengthened top and senior level management, we express confidence to restore the credit growth on par with industry levels and go beyond.

On asset quality front, the trend of reduced slippages, coupled with improved recovery, would continue for financial year 2025. We would reach between 1% to 1.25% net NPA for the financial year 2025 and would explore the possibility of improving the coverage ratio. It will also help us to maintain the PAT growth.

Our RoA is back to our long-term average of 1.5%, and it will continue. For the current quarter Q3, we are almost on track on our expectations, which we shared with you all earlier. We had registered 14.6% advanced growth in Q3 FY '25 year-on-year. And our gross advances has increased to INR50,409 crores from INR44,017 crores in Q3 FY '24.

As you are aware, we closed December '22 with 12% credit growth, but growth decelerated in the calendar year 2023, and we almost closed December 2023 with 0% growth, in fact, 2% growth year-on-year. Our growth restarted in Jan '24 and reached double-digit growth for June 2024. In the last quarter, we had registered 12% credit growth in Q1. We achieved 10% credit growth. And for the current quarter, we have achieved around 15%. Thereby we had made a continuous double-digit growth for all the 3 quarters in the current financial year.

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As stated in our earlier calls, our improved efficiency level, aided by the digital lending process is helping us in a better way to achieve our consistent credit growth. During last 1 year, out of the total credit growth of INR6,392 crores, 62% of the business came from core advances while rest is from gold loans. Once the retail vertical and other avenues of advances start supporting us further in terms of our credit growth, we hope the trend will continue, and it will also show the current growth level impact of plus or minus 2% going forward.

Our deposits have increased 11% and stood at INR58,271 crores for Q3 '25 as compared to INR52,726 crores for Q3 '24. The CASA has increased by 5% year-on-year from INR15,359 crores to INR16,132 crores. So for the concentration in the calendar year 2024 was to get the credit growth on track, which has happened now. Parallely the efforts are on to take care of the deposit growth to support the required credit growth.

Cost of deposits stood at 5.88% for Q3 '25 versus 5.67% in Q3 FY '24. And for 9 months period, the same was 5.78% when compared to 5.51% last year. Now the asset quality. On asset quality front, as we have stated earlier, the trend of recoveries continues to be more than slippages and this trend is continuing.

For Q3 FY '25, the total slippages stood at INR201 crores, while the total recovery is close to INR249 crores, consisting of INR203 from live NPA and INR46 crores came from technically written off accounts resulting in negative slippages.

As a result, our Gross NPA percentage had sequentially decreased from 4.47% in Q3 FY 24, 3.99% in Q4 FY 24, 3.88% in Q1 FY 25, 3.54% in Q2 FY 25 and now further reduced to 3.36% in the current quarter. Similarly, our net NPA number had reduced to Rs.702 Cr and net NPA percentage to 1.42% in Q3 FY 25 which was 1.62% in Q2 FY 25 and 2.19% in Q3 FY 24 last year.

Overall, SMA to total advance stands at 1.91% in the current quarter, which reduced from 2.03% in the last quarter of Q2 FY '25. It appears that our strategy of not getting into unsecured retail is helping us in a big way to have a better asset quality, both in slippages as well as on SMA 2 numbers. Even though the PCR with T/W has hovering over and above 70% for the last few quarters, our PCR without technical write-off now is 59% when compared to 55% in last quarter of Q2 FY '25, and it was 51% in the last financial year, Q3.

So this means technically we have moved from 51% in the last year to 59% in Q3 of this year. PCR with technical write-off stood at 77%, which has improved from 71% last year. So with technical write-off, we have moved from 71% to 77% and without technical write-off, we have moved from 51% to 59%.

Our interest income had grown by 12% in Q3 '25 and increased to INR1,479 crores from INR1,326 crores in Q3 '24. Our yield on advances stood at 9.81% for Q3 FY '25 as against 9.62% for the same period last year. Our NIM for Q3 FY '25 stood at 3.58% as compared to 3.50% in Q3 FY '24. NIM for 9 months financial year '25 is at 3.59% compared to 3.63% in the corresponding last year.

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As discussed in earlier calls, the margin should be 3.60% with plus or minus 10 basis points. We hope to maintain the same trend, as you might have seen in the last 50 to 60 quarters, 90% of the time, the net interest margin has always been in the range of 3.4% to 3.7%.

In the last financial year, that is FY '23/'24, we had lower operating profit due to lower business growth, and we have maintained our PAT with the help of improved recovery and reduced slippages. For the current quarter, our operating profit has grown by 20% and stood at INR436 crores compared to INR364 crores in the corresponding period last year.

We have achieved a PAT growth of 13%, and our PAT stood at INR286 crores for Q3 FY '25, as against INR253 crores in Q3 FY '24. The PAT for 9 months FY '25 is at INR876 crores, registering a growth of 10% as against the same period last year.

Our cost-to-income ratio for Q3 FY '25 is almost flat at 46.58% compared to 47.06% in Q2 FY '25 and 48.64% in Q3 FY '24. As said in earlier calls, the cost-to-income ratio will be in the range of 48% to 50% for FY '24/'25, and we hope it will start going down once the retail business start delivering results.

Our ROA for Q3 FY '25 is at 1.57% compared to 1.49% in the corresponding last year. We are back on track with respect to ROA over 1.5% in the past few quarters and aligned with the desired level. ROE too has marginally improved from 12.57% in Q3 FY '24 to 12.64% in Q3 FY '25.

As you are aware, we have a small portfolio of credit cards for our existing to bank customers. We found certain gaps in product offerings, and we have tried to align the same. As a result, we have tied up with Chennai Super Kings, CSK, for co-branded credit cards. In addition, we are in advanced discussions with another franchisee.

I'm sure with the proposed offerings, we will make us a preferred card partner mainly for our existing customers. We propose to focus credit cards, mainly for our existing customers.

Recently, our bank had won seven awards in the recently concluded Annual Technology Conference and Citations 2024 held at Mumbai on 24th January 2025.

CUB has got awards in all the current categories from IBA for the second year in a row. The IBA awards are aimed at rewarding best technology providers to the banking industry, encouraging competition in the banking industry to demonstrate the state-of-art innovative products, sense of purpose are bringing huge value addition in best practices for serving clientele.

Our bank was the winner in best digital sales, payments and engagement, best IT risk management, best fintech and digital payment index adoptions and best financial inclusion. We are the runners up in the Best AI & ML Adoption while we got a special award under the category, Best Technology Talent & Organization and Best Technology Bank.

To sum up, we have crossed the industry level credit growth, which was eluding us for the last couple of years, we expect that to stabilize and move forward. Operating profit has also started

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showing growth in tune with the business growth. Now we could see consistency across all parameters, such as credit growth, net interest income, operating profit, PAT, NPA levels and cost to income.

The current level of credit growth was achieved from existing MSME core business and JL, coupled with digital lending process and we hope it will improve once the avenues of retail start delivering results. Again, our strategy of not getting into unsecured retail has definitely helped us to maintain the asset quality and we hope to maintain the same for future.

Now our concentration will remain more focused on deposit front, which should support the credit growth going forward. Thanks a lot. And any questions, we are happy to take.

Moderator: The first question comes from Shweta Upadhyay from Asit C Mehta.

Shweta Upadhyay: Yes. Just one question on this new tie-up that you have done with this CSK. With this tie-up, is the bank now will be focusing more on the unsecured portion because the unsecured portion of our portfolio being quite less, like around 1% or 2%. So, with this tie-up, are we starting to focus more on the unsecured portion. And if yes, then up until what portion are you expecting to increase this unsecured portfolio out of the total loan book?

R. Vijay Anandh: Good evening. As I have mentioned in the commentary, we have existing customers who are using other bank credit cards. They are our core customers for the bank. We form certain product features, which are not available, which made them to use other bank cards. We just want to fix the gap, number one.

Number two, as I mentioned earlier, we are going to focus this card only for our existing customers. This means we will be around 90-odd percent for our existing customer base and maximum, we will be around 10% for our new-to-bank customers. We don't have any plans of getting into unsecured retail, personal loans or anything as of now. And this card is mainly for our existing-to-bank customers.

Shweta Upadhyay: Okay. And sir, just one more question. Are we on track on the branch expansion that the bank has guided earlier?

R. Vijay Anandh: Yes, we are on track. And more or less, we should complete the financial year with whatever we have estimated. We would be around 850 to 875 branches, as estimated at the beginning of the year by March 31st.

Shweta Upadhyay: And will the branch expansion be happening in Tamil Nadu and Southern region? Or are we expanding the bank in other regions as well?

R. Vijay Anandh: We are majorly focusing on North and West as well. It depends on the market what we are opening based on the data, what we'll see. Wherever there is a good opportunity for us in MSME business, we are focusing on North and west as well, it's not only in Tamil Nadu.

Moderator: The next question comes from Vatsal Parag Shah from Knightstone Capital.

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Vatsal Shah: So in retail, what are the products which we are looking to enter in and grow ourselves within?

R. Vijay Anandh: So as mentioned before, we are looking at only secure products in retail. We are getting into loan against property, home loans -- affordable home loans and micro loan.

Vatsal Shah: Okay. And we had also mentioned that for the Northern part, we are going to appoint DSAs. So have we appointed them? And if yes, then how has been their response?

R. Vijay Anandh: The test launch has already happened. And the human capital is already deployed in North and West. We could see some results in the pilot launch in Q3. I think we have started pretty decently with our expectations. So DSA appointment is a continuous process, which we are doing it, and we have already appointed the DSAs.

Vatsal Shah: Got it. And on the restructuring portfolio, so you had said that you are going to take additional provision call after you will complete 2 years. So I guess 2 years have been completed. So have you taken any decision on that?

R. Vijay Anandh: Actually, it is working on the other side. There will be a release of provision once the repayment continuously happening on those accounts and we keep the provision requirements based on the outstanding restructured balance of each and every quarter. So, there is no additional requirement of provision as pointed out by you.

Vatsal Shah: So you are not going to take any additional provision, is it?

R. Vijay Anandh: No.

Vatsal Shah: Okay. Got it. And more or less, could you give any number to what growth are we looking at over the next 2, 3 years? Just a range.

R. Vijay Anandh: 2, 3 years is quite long, but still we would be around 12% to 14% growth.

Vatsal Shah: 12% to 14%. Okay, got it. And much of it will come through retail, right?

R. Vijay Anandh: No, no, MSME.

Vatsal Shah: No, no. The larger part of the growth. So far we will go faster in retail, right, so...

R. Vijay Anandh: We will do retail, but our focus on MSME continues. As we mentioned earlier, 2% to 2.5% would be the retail contribution in the overall for the year. So our focus on MSME continues.

We don't have any change in our portfolio composition.

Moderator: The next question comes from Siddharth Rajpurohit from YES Securities.

Siddharth Rajpurohit: So 2% to 2.5% retail contribution is what -- is the absolute level contribution that will happen in this year?

R. Vijay Anandh: On the total business?

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Siddharth Rajpurohit: Yes, the total advances of -- total advances 2% to 2.5% contribution...

R. Vijay Anandh: 2% is the number one we are looking at, contribution.

Siddharth Rajpurohit: Yes. For FY '26?

R. Vijay Anandh: Yes. Yes.

Siddharth Rajpurohit: Okay. And going forward, how this contribution will rise?

R. Vijay Anandh: We will be at 8% to 9% as we mentioned earlier, in the next 3, 4 years.

Siddharth Rajpurohit: Okay, sir. Okay. And during the quarter, we have seen that sequentially retail traders or wholesale traders have come down. The advances have come down significantly in this segment.

So are you seeing any stress in the low ticket MSME or the wholesale trader side?

R. Vijay Anandh: No. After this Udyam registration certificate, they will eventually upgrade to MSME.

Siddharth Rajpurohit: But are you seeing any stress in the low ticket MSME space?

R. Vijay Anandh: We don't. We don't. We are not seeing that.

Siddharth Rajpurohit: Okay. And on the deposit side, sir, we have seen a sharp fall in the CA segment, also there's this fall in SA, but CA has seen a sharp fall in specific reason, sir?

R. Vijay Anandh: Yes, as we said, that's going to be the focus. That's what we have mentioned in the commentary as well. That's going to be the focus for the year for Q4 as well. We will get this corrected, for sure. There is some fluctuation. And government business, there are some fluctuations happening. We will get this corrected. And that's a focus area which we have mentioned in the commentary as well, if you recall.

Siddharth Rajpurohit: Sir, could you guide any number for the growth of total deposits?

R. Vijay Anandh: We will take out the credit growth, that's what we are looking at. Basically, our CD has to be around 85%. That's a number which we are looking net-net.

Siddharth Rajpurohit: Is broadly matching the credit growth?

R. Vijay Anandh: Yes.

Moderator: Our next question comes from Sanjeev Damani from SKD Consulting.

Sanjeev Damani: The first question from my side is that do we do advances against gold also or not?

R. Vijay Anandh: We give loans against gold.

Sanjeev Damani: Got you. So we have facilities in all branches to give advances against loans or only 2 branches are working like that?

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R. Vijay Anandh: We have in most of the branches barring Metro.

Sanjeev Damani: Barring Metro. Okay, okay. Got it, sir. Second, sir, do we also advance construction advance to the builder also against mortgage of the development of property?

R. Vijay Anandh: Yes, we do. We have a portfolio there. We also fund.

Sanjeev Damani: Okay. And you said that you want to focus more on MSME. That means it is a secured advance always, because you must be taking pledge of their properties, plant and machinery, etc., giving this kind of advance? Or do you also advance against inventory and finished product?

R. Vijay Anandh: As you rightly mentioned, it's an MSME against collateral.

Sanjeev Damani: Okay. So it is fully secured?

R. Vijay Anandh: Yes, fully secured.

Sanjeev Damani: Last question is about the tie-up. When you use the word that you have made a tie-up with CSK, means -- I mean CSK is not into any financial. You have offered your card for CSK employees.

I mean can we say like this?

R. Vijay Anandh: No. It's a co-branded credit card, which we want to launch between CUB and CSK, both being the reputed brands and we don't want to give any product features as of now. Maybe in a week's time, we will roll out as you will get to know there tie-up begins.

Sanjeev Damani: Okay. So the CSK will do the marketing of the credit card and...

R. Vijay Anandh: Sir, it's too early, we will come back to you within a week with the proper press release.

Sanjeev Damani: More clarification will come about...

R. Vijay Anandh: We have signed the agreement today morning, and we will come out with complete clarity on product features, branding everything within a week from now. You will get to hear from both CUB and CSK on this.

Sanjeev Damani: Okay. And similarly, you are planning to tie up like this with more organization where the card services will be provided by you, and there will be some sort of brand name along with the CUB card. Okay. And sir, last question is about the fact that RBI has recently given some relaxation

to increase the liquidity in the market, so how much benefit our bank is going to get out of it?

R. Vijay Anandh: We should be getting around INR280 crores.

Sanjeev Damani: Okay. So INR250 crores will be more available with the bank to give advances?

R. Vijay Anandh: Yes.

Moderator: Our next question comes from Aman from Dolat Capital.

Aman: I have a few questions. First is, can you throw some light on your yield on advances? Why there was an increase and what the yield trajectory you are seeing? Secondly, if I missed, the SMA 2 number? And can you give me the breakup of gold agri yield and non-agri gold yield?

R. Vijay Anandh: So our yield on advances is 9.74% for 9 months. 9.81% for the quarter. I'll repeat it, 9.74% for 9 months and 9.81% for the quarter. This is on yield on advances. With respect to SMA 2, we have 960.56 to be precise SMA 2 against 990 in September '24. Our gold loan yield you wanted between agri and non-agri, right?

Aman: Yes, sir.

R. Vijay Anandh: 9.25% is for agri, 10.25% is for non-agri.

Aman: Okay. And what the yield trajectory you are seeing like?

R. Vijay Anandh: The yield trajectory is going to be the same. We don't see any increase. It's going to be the same.

Aman: Okay. And what was any specific reason for increase in this quarter?

R. Vijay Anandh: We have been hovering around the same number. And it's just a fluctuation of plus or minus 10 bps, what we have been seeing. If you see Q2, we were at 9.81%, and we have continued the 9.81% for Q3 as well. In Q1, we have a dip that made us for the year, 9.74%. Otherwise, we have been hovering at the same number.

Moderator: The next question comes from Parth from Axis Capital.

Parth: Congratulations on the quarter. Just one question. With the introduction of the retail loans like LAP housing, do we expect an increase in the yields going forward considering these loans will come at a higher yield than the pure MSME loans?

R. Vijay Anandh: No, sir. We don't think so because in a blended HL, we'll pull it down. We, in fact, we compress. I don't see any change in the yield with the retail.

Moderator: The next follow-up question comes from Shweta Upadhyay from Asit C Mehta.

Shweta Upadhyay: Sir, just one question. If you can help me understand how is the bank cost of deposits higher than the total cost of funds, like the cost of deposits for the quarter and previously, if I see it stands at 5.88%, whereas the cost of funds is lower, it's at 4.8%.

R. Vijay Anandh: So cost of funds has all the liabilities. Cost of deposit is only the deposits.

Shweta Upadhyay: Yes. So ideally, your cost of funds should also include the borrowings, which comes at a higher cost than the deposits, right?

R. Vijay Anandh: See, it's mainly because of capital reserve that we have around INR8,000 crores, which is at a free cost. Because of that, the cost of funds stood at 4.88. And when you compare to the yield cost of deposits of 5.88.

Shweta Upadhyay: Sir, what would be the bank cost of borrowing?

R. Vijay Anandh: The cost of borrowing is anywhere around 6.75 to 7.5, mainly because of the refinance. We don't have any other Tier 2 and all, so only from refinance.

Moderator: The next question comes from the line of Jai from ICICI Securities.

Jai: Sir, this is Jai here. I'm sorry if this question has already been asked or answered. Sir, I wanted you to check if you had any impact? Or how do you use this RBI circular on gold loan in which has been made a little bit more stringent? How does this -- has that impacted growth in any particular way? And how do you see -- have you made any changes in the product processes on both retail as well as agri side?

R. Vijay Anandh: We have been following this process for a couple of years. So this circular really did not impact us because in terms of process, in terms of LTV, in terms of data capturing, we have been strictly following this for the last 24 months, I would say, we are totally complied. We don't see any issues on the business going forward as well. To answer your question, net-net, we are fully complied already.

Jai: Right. And you did not have to change any product or maybe the LTV on agri or rollover or renewal for customers when it comes to the renewal?

R. Vijay Anandh: Nothing with respect to LTV or anything. We may have to just add 1 column for end use of the loan. That's the only change which we have done to capture. Otherwise, we don't need to change anything in terms of LTV or process.

Jai: Okay, sure. And sir, I mean, how do you look at the growth outlook considering that maybe you have some come from LDR. And how are the new products that -- I mean, where are we on the launch of new products? And how do you see the overall growth momentum for the bank?

R. Vijay Anandh: As we mentioned earlier, we want to be at 85% in LDR, and we have been saying 12% to 14% is a growth which we are focusing on. So we try to balance between these 2. And this growth predominantly comes from MSME/JL/retail. This is what the growth order which we are looking

at. As we mentioned before, 2% to 2.5% is the number which we are looking in retail. So this is going to be our strategy, and there is no change in what we have planned or what we have discussed earlier.

Jai: Sir, I mean have we -- where are we on the launch of those products? Have these been commercially launched? Or -- I mean if you can just elaborate there?

R. Vijay Anandh: We have launched retail. We did a decent pilot in Q3. I mean, as we have said before, we had a launch in Delhi as well as in Bombay. We have in the panel a couple of DSAs who has started sourcing loan against property for us. As we mentioned before, we don't want to use DSAs or third-party sourcing for home loans. And we have also tied up with BC in Jaipur for affordable home loans.

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So we are on track on what we have planned earlier, bearing 1 quarter delay. And this will continue to give results for us in retail. And MSME, our strategy remains the same, and the growth is going to be the same as what we have projected.

Jai: And overall growth, sir, I mean how do you see FY '26 year-on-year?

R. Vijay Anandh: That's what we said 12% to 14% is a number which we are looking at.

Jai: Okay. And we're already passed that number, right? I mean as of third quarter, we are...

R. Vijay Anandh: At 15%.

Jai: Already passed that. It seems to not be...

R. Vijay Anandh: We should be in the range of 12% to 14%. That's what we have said. 1% to 2% here or there is always there in this. Now there's the retail coming in, and I think we should always be there.

Jai: Okay, sure.

R. Vijay Anandh: Just to give additional line, we will be 1% to 2% more than the industry. That's what we wanted to be.

Moderator: The next question comes from Apurv Parikh from Equirus Securities.

Apurv Parikh: Sir, I have 2 questions. One is that let us say that in calendar year '25, we expect some rate cuts to happen. How will this impact on to your product pricing with respect to -- primarily on Q2 segments that you were MSME in agri, that is how we should consider that how the product pricing from City Union Bank will be communicated into the market and their impact on to the NIMs and cost of deposit.

Now because you have kind of faced some problem with speculative deposits in the recent past, if the rates go down, do you see some more intensification of reactions or efforts to elect one year deposit? This is the first question, and I'll maybe ask the second question.

R. Vijay Anandh: Okay. Our yield on 9.81% can drop down to 9.7%. This is what we have projected. We expect 0.10 to 0.12 bps. This is what the number which we are doing. Yearly, it will convert a short-term, mid-term. We would move down from 9.81% to 9.7%. That's the number which we are looking at.

Apurv Parikh: All right. And sir, as you said that you're kind of now focusing on expansion. However, on a quarter-over-quarter basis, the opex has remained flat. Now on one hand, your employee cost has gone down. On the other hand, your other opex has kind of risen up. So how should -- is there any operating leverage that we are missing? Or you can just throw some light on that?

R. Vijay Anandh: No, no, sir, actually, for with respect to the establishment expenses, the actuarial valuation for Q3 was lower when compared to Q2. Because of that, there was a decrease in the figure of around INR5 crores to INR6 crores. You can just to take it around INR185 crores for the Q4.

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Moderator: We have our next question coming from the line of Gaurav Jani from Prabhudas Lilladher.

Gaurav Jani: Sir, after we reach a targeted level of PCR, right? So what sort of normalized credit cost are we estimating? Right now, we're at about 60, 65 basis points. So yes?

R. Vijay Anandh: Our credit cards will remain flat. We don't see any surge in this.

Gaurav Jani: So what you're saying is, sir, it would remain between 60, 65 basis points?

R. Vijay Anandh: Correct. And we should also note that it depends on the economic cycle and it depends on the slippage. We expect it to remain flat.

Moderator: Thank you. Our next question comes from Rakesh Kumar from B&K Securities. Please go ahead.

Rakesh Kumar: Yes, sir. So just on margin front., like because the bank is undergoing a change in the credit composition next year. And then we have interest rate cycle also, so how do we kind of look ahead in the margin trajectory in FY '26. So if you can give some rough guidance would be

helpful?

R. Vijay Anandh: As we mentioned in our commentary, we don't see major changes in the composition and we would be around plus or minus 10 bps from 3.6.

Rakesh Kumar: 3.6, okay. And credit cost guidance you are saying is mostly around this level?

R. Vijay Anandh: Yes, this level.

Rakesh Kumar: Got it. And targeted PCR number would be -- what number we are looking at targeted PCR number, sir?

R. Vijay Anandh: We are looking at 60.

Rakesh Kumar: Understood. Thank you so much.

Moderator: Thank you. The next question comes from Siddharth Rajpurohit from YES Securities. Please go ahead.

Siddharth Rajpurohit: Thank you sir for the opportunity again. Can you guide on -- I mean currently your recoveries and upgrades are almost equal to your slippages, so till what time you see in this case?

R. Vijay Anandh: The slippages lesser than recovery, we expect it to happen for the next two quarters, more or less.

Siddharth Rajpurohit: Okay. So for the H2 till H1 next year?

R. Vijay Anandh: Yes, we can keep it at H1.

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Siddharth Rajpurohit: And the rising cost of deposits is can you -- what -- does it -- the lower share of CASA does it explain the rise in cost of deposits?

R. Vijay Anandh: Yes, you're right.

Siddharth Rajpurohit: Okay, sir. And can you give the LCR number, average LCR for the quarter?

R. Vijay Anandh: 119.

Siddharth Rajpurohit: Average?

R. Vijay Anandh: Yes.

Siddharth Rajpurohit: Thank you sir. Thank you very much. All the best.

Moderator: Thank you. The next question comes Pritesh Bumb from DAM Capital Advisors. Please go ahead.

Pritesh Bumb: Sir, just a question on fee side. Our fees to assets has slightly improving volatile, but what is the sense that you go from here on given that the loan growth is still quite decent. But our fee is not that much. Fee to asset is not that much better. So anything on that?

R. Vijay Anandh: We don't see INR5 crores, INR10 crores is going to be the average jump, if at all. We see this as stable. And we have been almost on the same number for the last three quarters and this trend should continue.

Pritesh Bumb: Yes. So we were somewhere -- so if I look at my number what he is asking we were somewhere around 1.0 to 1.1 last year then we moved to -- from 1.1 to 1.2. So is there a trend that can still improve or you -- as you said that maybe are only at about 1.2, 1.25?

R. Vijay Anandh: No. As I mentioned before, we will be the same range between 1.2, the range of 1.2.

Pritesh Bumb: Sure, sir. Second, sir, on the extension to that margin question, basically, if any upward biases we can see in margins or any product tweaking we can do for margins to move up in terms of where margins can settle, especially what happens in this February from the RBI side, anything on that?

R. Vijay Anandh: We don't expect as we mentioned before the margin to go up for sure because assets get repriced quickly. So if the rate cut happens the asset gets repriced quickly and it takes at least three, four quarters for the liabilities to get that benefit for the bank. Hence, we don't expect that to happen.

So that -- it's going to be the same. We don't see. It gets compressed, conversion as short term.

Pritesh Bumb: Got it.

R. Vijay Anandh: So if it is going to be asset, it gets repriced quickly. So we don't have an option. If this is going to be liabilities, then we have to wait for three, four quarters since I don't see any scope in this.

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Pritesh Bumb: Got it. Sir, if you can -- if you have not disclose this number, if you can mention how much is your EBLR, MCLR and other benchmark books if you've not disclosed this to anyone because I joined a bit late?

R. Vijay Anandh: See, as of now, the EBLR around 45 percentage and the MCLR around 30 percentage, around 15 percentage as fixed rate and 5 percentage towards the NPA, gross NPA.

Pritesh Bumb: Sorry, sir. EBLR is 45, is it?

R. Vijay Anandh: But it was reduced from 50 to 45 in the current quarter. Because of the gold loan, non-agri

portion mainly moved from EBLR to fixed rate.

Pritesh Bumb: Okay. Gold loan have moved from EBLR to fixed rate?

R. Vijay Anandh: Yes.

Pritesh Bumb: Okay. That's it from my side. Thank you so much.

Moderator: Thank you. Our next follow-up question is from Pritesh Bumb from DAM Capital Advisors.

Please go ahead.

Pritesh Bumb: Just forgot to ask, as you said that loan growth will be still decent enough given that our margins will be a little bit under pressure when the rate outcomes happen. Isn't it prudent a bit to grow slower early on in the -- once the rate cuts start happening, you get a sense and then maybe move up in terms of lending as a growth perspective? Any thoughts on that?

R. Vijay Anandh: We said margins will be stable. We said margin will be stable for the year as a whole.

Pritesh Bumb: Okay. So of course, year as a whole because you -- as I said that it will be a lag basis, the liabilities will be repriced over time...

R. Vijay Anandh: Yes, liabilities will get priced in two, three quarters and assets get priced immediately, repriced immediately. And hence margin will become -- if you see for the full year, this is going to stabilize because of both the increase which being done, one immediately, one within three, four quarters.

Pritesh Bumb: Okay. So we'll continue to grow, but then you are confident that the margins will come back with the lag by the end of the year...

R. Vijay Anandh: Correct. As mentioned in my commentary also, we will be around 3.6% with plus or minus 10 bps. That's the commentary which we have given when we were discussing the results and we will continue to maintain that.

Pritesh Bumb: Sure sir. Thank you so much. Thank you for clarifying that.

Moderator: Thank you. The next question comes from Gaurav Jani from Prabhudas Lilladher. Please go ahead.

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Gaurav Jani: Just taken my question forward on asset quality actually. So we do have some tailwinds in terms of recoveries because of the earlier or COVID stress right now. And assuming that within a couple of quarters that normalizes, how is actually asset quality is shaping up in your area of operations specifically Tamil Nadu and the segment you created which is MSME. So any sort of early signs of stress there and then how are sort of credits shaping up? Yes, that is it. I would like to have a qualitative comments from that instance?

R. Vijay Anandh: So as we mentioned before for the next couple of quarters, slippages will be less and recoveries should be more. And as mentioned before we will exit this year with INR800 crores of slippages.

And next year, we should close at INR700 crores.

Gaurav Jani: No, sir, I understood that. I didn't mean in terms of numbers. I just thought how is -- if the environment is sort of tough otherwise. We are seeing sort of early signs of stress in some other segments in retail or probably not in MSME, but in retail, so any signs of stress in MSME that you're looking at?

R. Vijay Anandh: We will be stable, for your first question. And we don't see -- that's what we have given the guidance of INR700 crores for the next year. And in fact, our SMA numbers which have come down -- has come down substantially down. To be very precise, we were at -- we are at 4,596.75. When we have closed the December '24.

So overall SMA figures have come down drastically. In fact, our September book SMA was 5,253, and has dropped to 4,596. In fact, both SMA 0,1 and 2 put together, now we are in single digits.

Moderator: The next question comes from Aman from Dolat Capital.

Aman: Yes. Sir, just a follow-up question I missed on your earlier comment, INR700 crores was of what guidance, sir?

R. Vijay Anandh: Slippages. We are at INR800 crores. Next year, we will be -- we are looking at INR700 crores of slippages.

Aman: Okay. And the recovery guidance is intact, right?

R. Vijay Anandh: Yes.

Moderator: Our next follow-up question comes from Pritesh Bumb from DAM Capital Advisors.

Pritesh Bumb: Sorry, sir, on the slippages side, you mentioned INR800 crores this year, right? We are at about INR555 crores already. So does that imply that -- I'm not implying anything, but how do we see it in that sense is that it's still INR250 crores of slippage?

R. Vijay Anandh: We have been averaging the numbers, and we have given the numbers of INR800 crores for the year. All we are trying to say will be INR800 crores or less than that. That's what we meant. We are at INR550-odd crores, and the trend continues, and we don't see any spike in that.

Pritesh Bumb: Okay. But because already INR555 crores, that means the implied slippage for Q3 was about INR200 crores. And it's still -- if you don't even hit that number, if you are like around INR700 crores also, it will be like a similar range of what H1 was be we?

R. Vijay Anandh: We normally keep it as INR200 crores to INR295 crores, that's the number with us. And that's the reason why when we started this FY, we said INR800 crores, we would be at -- and we just want to clarify that we will be well within that what we have given at the beginning of the year.

Pritesh Bumb: Right. Sir, second question was in terms of recovery from written-off pool. What kind of a pool we have right now, and what we are seeing is that there has been slightly lower recovery this time around in 9 months. So any thought process on that? You said about recovery from normal slippages and nominal GNPA to be intact as a guidance. But what about the pool and how much can we grow from there as well?

R. Vijay Anandh: So we have INR1,400 crores book in the write-off pool. And our 9 months actually is around INR154 crores to be precise, and Q3 actually is INR46.2 crores.

Pritesh Bumb: Sir, last statement I missed.

R. Vijay Anandh: Our 9 months actual is INR154.71 crores to be very precise, INR154.71 crores asset recoveries. And for Q3, the actual figure is INR46.23 crores. And we have been hitting INR60 crores to INR80 crores on an average per quarter.

Pritesh Bumb: So we should build the same number going forward as well? And we can do that easily.

R. Vijay Anandh: Yes. That's the number which we are looking at.

Pritesh Bumb: Got it, sir. And lastly, our cost to income has been relatively coming down. So we -- this quarter also, I think we are down, and we added about 46, I think 47, 46. What do you see from here on in terms of cost to income? Do we see that it may inch up a bit and it may remain stable here?

How do you think about it?

R. Vijay Anandh: We would be around 48% to 50%. Our retail expenses is to take off. So when the retail expenses takes off, we will be at 48% to 50% and when we start delivering, it will come back. We have already incurred retail expenses. And we need to start getting money back for what we have invested.

Pritesh Bumb: Sir, you're saying you have incurred the retail expenses, and you're waiting for...

R. Vijay Anandh: We are waiting for the output to happen.

Pritesh Bumb: Okay. But what will it lead to that 48% to 50% type of cost to income because it seems to be that there will be some more investments in terms for opex.

R. Vijay Anandh: So 48% to 50% is a number which we are looking at in CIR, that's the number which we have been already -- which we have been always been the trend.

Moderator: Ladies and gentlemen, as there are no further questions, I now hand the conference over to the management for closing comments.

R. Vijay Anandh: I now hand over my phone to my MD, CEO for the closing remarks.

N. Kamakodi: Good evening, everyone, and Dr. Kamakodi here. Thanks for attending this con call. I would like to probably close with a few closing comments. The Q3 has been a wonderful quarter. We are able to get back the growth, which was eluding us for quite some time. As Vijay explained, we had some amount of reducing growth in the calendar year '23 from about 12, 13 percentage to about 0 percentage.

In '24 calendar year, it improved, in fact, from let's say, 0 to 2 percentage to almost the 15 percentage whatever we have seen. So the growth is back to industry level plus 2 percentage, which is a very healthy sign. We hope we should be able to go ahead with that incremental growth that 1 or 2 percentage over and above the growth rate of the industry, as Vijay said. Now the contribution of retail, as Vijay said, it's a very miniscule. The entire growth has come from our conventional MSME, commercial trading, agriculture, gold loan business only. So some amount of, let's say, additional growth opportunities will be available from the retail portfolio for the next financial year, maybe adding about another 1 or 2 percentage in the incremental growth.

As he rightly explained, our focus will be more on the secured front. The unsecured front will be very miniscule, particularly the credit card, whatever he said, will be very miniscule, particularly to our existing customers, and he also explained about our tie up with the CSK and all. It is more to create a brand awareness, which will be helping us to go forward in to the co-branded credit card per se.

On retail front, we have been incurring cost; the return is yet to come. When the return actually comes into, our cost to income also will start moderating for the next year. There is a very good

improvement in the asset quality, which we could see, particularly both in terms of the SMAs and also the slippage is getting into control.

As we expected at the year beginning, we should be closing a year below the promised number of about INR800 crores. As you all know in the last 2, 3 years, it reduced from INR1,200 crores -- INR2,000 crores to INR1,000 crores, let's say, INR800 crores sort of. Next year, it should be moderating further.

Slippages. The recoveries are also improving, where the recoveries are more than the slippages. So incremental credit provisioning, whatever we are making is more to increase the provision coverage ratio and decrease the net NPA. So we -- initially, we shared that we should be getting to 1 to 1.25 percentage in the net NPA. We are also on track on that front.

Be it the growth, similarly, you might have clearly seen the operating profit, net interest margin, net interest income on every parameter there is, let's say, stable and steady growth, whatever we had been declaring in the earlier quarters.

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So we hope to maintain the same trend. In fact, if you had a chance to look into last 50 to 60 quarters, for about over 90 percentage of the quarters, our margin had been in the range of about 3.4 to 3.7. A few quarters, it was above 4 percentage and 1 or 2 quarters, it was below 3.4. But as shared in the earlier quarters, we should be able to maintain the stable net interest margin that 3.6 percentage plus or minus 10 basis points, as rightly pointed out by Vijay. When we enter into the decreasing interest rate scenario, there will be a moderation in the yield, but it will take a few quarters to catch up for the cost of deposits front. Though there could be some quarterly aberrations, year as a whole, we should be able to maintain at the same level in terms of margins also.

So overall, the third quarter has almost got us back to the period when we used to offer a stable results in the past that almost closer to the best 2 quarters, whatever we had declared in the past that the Q3 numbers have come and Q4 is also promising in the same way. We are not in a hurry. Fortunately, we did not go faster in unsecured retail and all, which has helped us to like ensure that our asset quality is intact and also it is improving, both in terms of gross and net NPA numbers, the numbers are decreasing. The recoveries are more than the slippages. And the SMA numbers are also coming down in a stable fashion.

Overall, across all parameters, the performance that has happened in the Q3 has been very stable and encouraging. We hope to see the same thing for the fourth quarter. Based on whatever we see, the next year, things should be even better with this overall background. Another thing is that you might have clearly seen the operating profit growth also showing better.

So the, incremental provisioning as we enter into sub-1 percentage, your overall net NPA, the incremental provisioning requirement may also come down once we have crossed less than 1 percentage net NPA and the coverage ratio also above 60 percentage or whatever.

You might have, in fact, seen the operating profit level growth for Q2 to Q3 is almost 20 percentage which is also very encouraging. So across almost all parameters, things have been pretty stable and the growth and the other momentum are back and things are on track. And like we have to, let's say, and do some work in the liability side to ensure that our credit growth will not get hampered because of non-availability of deposits and all.

But as you have already seen, those numbers are also almost converging and the CD ratio, we should be able to maintain at about 85 percentage, and the LCR calculations are also around 119 that level. So overall, things are encouraging. And things are back on track in almost every parameter.

I hope going forward, things should get better. And with this positive tone, I want to conclude this con call. As said in the past, the names of our contact persons are already given in our investor presentation. You can get in touch with those, our CFO, Mr. Sadagopan or Mr. Raguraman or Mr. Jayaraman or anybody for that matter, if at all you have any specific questions to answer.

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Thanks for your patience and supporting us, and this Q3 has been satisfactory quarter for us across all multiple parameters, and we hope the trend will continue for the near future. As of now on asset quality front, things are looking extremely good. The SMA numbers are also decreasing.

The next year, the capex looks -- it is going to be lower than whatever we have seen in the current

year. Hopefully, if reducing interest rate cycle starts, these things should be even getting better for the economy as a whole and for the growth for the future. Overall, I mean, it's a satisfactory quarter, and I hope things should get better and better as we move forward.

With closing remarks, I once again thank you all and close this con call. Our support to AMBIT Capital for arranging this con call and as -- once again, thank you all.

Moderator: Thank you. On behalf of City Union Bank Limited, that we conclude today's conference. Thank you for joining us. You may now disconnect your lines.

Call: May 2025

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C. O/Sh a res/ LR-s | 2025 -26

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Mumbai 400 051

Scrip Code: CUBMay 07,2025

BSE Ltd.,

DCS - CRD,

Phi roze Jeejeebhoy Towers,

25th Floor, Dalal Street,

Mumbai 400 001

Scrip Code: 532210

Dear Sir / Madam,

Sub: Transcripts of the Earnings Conference Call - Q4 & FY2025

Pursuant to Regulation 46 of SEBI (LODR) Regulations,2015 (as amended), the Bank has hosted in its website the transcript of Earnings Conference Call - Q4 and FY 2025, with regard to the Standalone Audited Financial Results for Quarter and Year ended March 31, 2025, as approved by the Board of Directors of the Bank, on May 02, 2025. The weblink is given below;

URL: <https://cityunionbank.com/filemanager/Mav25/EARNINGSTRANSCRIPTQ4FY2025.pdf>

Kindly take the same on record

Thanking you

Yours faithfully

forUNION BANK LIMITED

Venkataramanan S

Company Secretary

'NARAYANA'Administrative Office, No.24-8, Gandhi Nagar, Kumbakonam - 612 001

Phone:0435 -2402322 Fax :0435 -2431746

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"City Union Bank Limited 4QFY24-25 Earnings
Conference Call"

May 02, 2025

MANAGEMENT : DR. N. KAMAKODI – MD & CEO, CITY UNION BANK
LIMITED

MR. R. VIJAY ANANDH – EXECUTIVE DIRECTOR, CITY
UNION BANK LIMITED

MR. V. RAMESH – EXECUTIVE DIRECTOR , CITY UNION
BANK LIMITED

MR. J. SADAGOPAN – CFO, CITY UNION BANK
LIMITED

MODERATOR : MR. JIGNESH SHIAL – AMBIT CAPITAL PRIVATE LIMITED

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Moderator: Ladies and gentlemen, good day and welcome to City Union Bank 4QFY2024-25 Earnings Conference Call hosted by Ambit Capital Private Limited.

As a reminder, all participant lines will be in the listen only mode and there will be an opportunity for you to ask questions after the presentation concludes. Should you need assistance during this conference call, please signal an operator by pressing '*', then '0' on your touchtone phone. Please note that this conference is being recorded. I now hand the conference over to Mr. Jignesh Shial from Ambit Capital. Thank you and over to you, sir.

Jignesh Shial: Thank you and good evening everyone. On behalf of Ambit Capital, I would like to thank the management of City Union Bank for allowing us the opportunity to host 4Q and full year FY25 Earnings Call.

We have along with us Dr. N. Kamakodi - MD & CEO; Mr. R. Vijay Anandh - Executive Director; Mr. V. Ramesh - Executive Director and Mr. J. Sadagopan - CFO. I will now hand over the call to Dr. Kamakodi – MD & CEO of City Union Bank for his opening remarks. Over to you, sir.

N. Kamakodi: Good evening, everyone. Dr. Kamakodi here. Warm welcome to all of you for this conference call to discuss the Audited Financial Results of City Union Bank for the 4th Quarter and year ended 31st March 2025.

The Board approved the results today and I hope you all have received copies of the Results and the Presentation.

The Board of Directors recommended a dividend of Rs. 2 per share on the face value of Rs. 1 per equity share at 200% for the year ended 31st March 2025, subject to the approval by the shareholders in the ensuing Annual General Meeting. Last year, it was 150%. We are glad to inform you that based on the approval accorded by RBI on February 14th, 2025, the Board of Directors of the Bank had appointed Shri. V. Ramesh as the Executive Director on the Board of the Bank with effect from February 21st, 2025. The process of obtaining the shareholders' approval is under progress. At present, the bank has two Whole-Time Directors apart from MD and CEO.

Now, I hand over the mic to Shri. Vijay Anandh - Executive Director, to discuss the details of the Results. Later, we can go for the Q&A. Over to Vijay Anandh.

Vijay Anandh: Thank you, sir. Good evening, everyone.

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At the beginning of the year, we shared our expectations for the Financial Year FY 2025, which are as follows:

1. With all the new digital initiatives supported by strengthened top and senior level management, we expressed confidence to restore credit growth on par with industry levels sooner and go beyond.
2. On asset quality front, the trend of reduced slippages coupled with improved recovery would continue for Financial Year '25. We said we would reach between 1%-1.25% of net NPA for FY 2025 and we would explore the possibility of improving the provisional coverage ratio.
3. We also said our ROA would be back on our long-term average of 1.5% and this trend will continue.
4. Since we were taking the cost of digital lending retail business upfront, our cost to income ratio we said would be around 48%-50% for the current year and once the full benefits of digital lending and other initiatives transfer into growth, the CIR will start coming down.

So for the current quarter, Q4 FY '25, we are almost on track on our expectations, which we shared with you all earlier.

For FY 2025, we have registered 14% growth on our gross advances. We have increased to Rs. 53,066 crores from Rs. 46,481 crores for the Financial Year '24. As we stated in our Q3 FY '25 con-call, our growth restarted from the Calendar Year 2024, and we reached the double-digit growth of 10% in June '24. For September '24, we registered 12% growth. In the last quarter that is December 24, we registered 15% credit growth and for Q4 FY '25, we have achieved 14% credit growth.

In the current financial year, we had registered double digit credit growth in all the 4

quarters, a feat achieved after FY 2018-29. That is the first time post-COVID. This growth we have achieved after we have decided not to renew IBPC to the tune of Rs. 1,100 crores and we have also let go of low yielding NBFC funding to the tune of Rs. 150 crores which is approximately Rs. 1,250 crores of reduction in advance, of which Rs. 750 crores of reduction has come in Q4 FY 2025.

As stated in our earlier calls, with improved efficiency level aided by the digital lending process, we have restarted our consistent credit growth and we hope that the current trend will continue for Financial Year '26 as well.

Deposits:

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Our deposits have also increased by 14% and stood at Rs. 63,526 crores for FY '25 as compared to Rs. 55,657 crores for FY '24. The CASA has increased from Rs. 17,050 crores to Rs. 18,119 crores in FY '25. CASA-to-total-deposit stood at 29%.

In the Calendar Year 2024, our main concentration was to get credit growth on track which has happened now. In parallel, we have made efforts to take care of the deposit growth, to support the required credit growth. As a result, our deposit had grown by 11% in Q3 FY '25 and 14% in Q4 FY '25, which is in line with our credit growth of 14%. Based on the same, our CD ratio stands at 84%. The cost of deposit stood at 6.02% for Q4 FY '25 versus 5.75% in Q4 FY '24 and for the full year FY '25, the same was 5.85% compared to 5.59% last year.

Asset Quality:

On the asset quality front, our slippages used to be around 2% during pre-COVID and it stood at 1.91% in FY 2019. During the COVID years that is FY '20 and '21, this has increased above 3% and it was hovering around the same level till FY 2023.

Post-COVID, we have taken every possible measures to address our slippages and we have started seeing a reduction of our slippages from FY 2024 where it stood at 2.18%. We had said that we are aiming for approximately Rs. 800 crores of slippages for this financial year at the beginning of the year and we have stick to that and we have ended up this financial year with Rs. 815 crores of slippages, which is 1.54% against 2.18% of last year.

Apart from that, we have stated earlier the trend of recoveries is more than slippages. The same trend is continuing.

For Q4 FY '25, the total slippage is at Rs. 229 crores, while the total recovery is at Rs. 291 crores consisting of Rs. 238 crores is from live NPA accounts and Rs. 53 crores is from technically written-off accounts resulting in negative slippages again.

The total recovery for FY '25 is Rs. 1,042 crores. splitted into Rs. 834 crores of live NPA and Rs. 208 crores from technically written-off accounts as against Rs. 1,031 crores in FY '24 which is Rs. 816 crores is from live NPA and Rs. 215 crores is from technically written-off accounts.

We closed the gross NPA last financial year at 3.99% and now, we have closed at 3.09%, which is 90 bps reduction from the last financial year.

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Similarly, our net NPA number had reduced to Rs. 653 crores in FY 2025 as against Rs. 899 crores in FY 2024, which is 1.97% in Q4 FY '24 and 1.25% in the current quarter, which is 72 bps reduction for the year.

Overall SMA-2 to total advance stands at 1.10% in Q4 FY '25 as compared to 2.08% in the similar period last year. We could see substantial improvement in SMA and slippage numbers.

In our Q2 FY25 con-call, we have conveyed that we will try to increase our provisional coverage ratio to bring it closer to the industry levels. PCR with technical write-offs stood at 78%, which has improved from 72% last year. Similarly, PCR without technical write-off has improved to 60% for FY '25, which has improved from 52% last year.

Our interest income has grown by 12% in Q4 2025 and increased to Rs. 1,533 crores from Rs. 1,374 crores in Q4 FY '24. For the full Financial Year FY '25, our interest income stood at Rs. 5,834 crores as against Rs. 5,271 crores last year, registering a growth of 11%.

Our yield on advance stood at 9.93% for Q4 FY '25 as against 9.81% in Q3 FY '25, which is increase of 12 bps sequentially. Our NIM for Q4 FY '25 stood at 3.60% as

compared to 3.58% in Q3 FY '25. For the full Financial Year FY '25, NIM is at 3.60%. During the quarter, the bank has passed the benefit to the customer in line with expectation of 25 bps reduction and repo rate. As discussed in earlier calls, our NIM is in the range of 3.60% for the past few quarters and we hope to maintain the same trend with (+/-10) bps. If you look at the last 50 to 60 quarters, 90% of the time our NIM had been in the range of 3.40%-3.70%. During the middle of the quarter, we have also decreased our Savings Bank rate by 25 bps and during the month of April, we have reduced our term deposit rate in line with the reduction in repo rates. The benefits of rate reduction and deposits will start reflecting in the coming quarters. In addition, with respect to gold loans, we have migrated to fixed rate from floating rate as we envisage decreasing interest cycle rate, and these measures will act as a cushion during decreasing interest rate cycle.

The total other income for the year has increased by 21% from Rs. 742 crores to Rs. 898 crores. The insurance commission has increased by 79% from Rs. 55 crores last year to Rs. 98 crores. Also, the loan processing charges has increased by 67% from Rs. 93 crores to Rs. 156 crores.

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For the current quarter, our operating profit had grown by 25% and stood at Rs. 441 crores compared to Rs. 352 crores in the corresponding period last year. For the year as a whole, the same has increased by 11% from Rs. 1,516 crores to Rs. 1,679 crores. We have achieved a PAT growth of 13% and our PAT stood at Rs. 288 crores for Q4 FY '25 as against Rs. 255 crores in Q4 FY '24. The PAT for the year FY '25 is at Rs. 1,124 crores as against Rs. 1,016 crores last year, registering a growth of 11%.

Cost-to-income ratio:

Our cost-to-income ratio for FY '25 is at 47.77% as against the expectation of 48%-50%. This is mainly due to some expenses we have planned for retail vertical in FY '24-25 were postponed for the next year that is FY '25-26. Hence this year CIR will be around 48%-50% and start reducing once the benefit of retail vertical starts showing results.

ROA:

Our ROA for the year, FY '25 is at 1.55% compared to 1.52% in the last financial year. Our ROA for all the 4 quarters of FY '25 is above 1.5%, which is our long-term average. ROE stood at 12.6% for Q4 FY '25 as compared to 12.39% in Q4 FY '24. In our last con-call, we had briefed about our tie up with IPL franchisees. We had signed an agreement with Chennai Super Kings and Sunrisers Hyderabad for co-branded credit card and banking partner respectively. We have done pilot launch in March and we went live from April 25. We have been successful in creating and issuing the cards to the customers through a completely do-it-yourself journey without any physical interface or branch intervention. The journey is fully digital and paperless, and it is in line with our broader strategy to enhance customer service, capabilities and operational scalability. By removing manual touch points, we are not only improving our customer convenience, but also reducing the turnaround time and the operational cost associated with onboarding. This progress is in line with our expectation, and this is in a slow and steady manner.

To sum up:

We have achieved double-digit growth in all the 4 quarters of this financial year and we have ended this year with 14% credit growth, which is broadly in line with our guidance given at the beginning of the year. Now, we have aligned with the industry level credit growth, and we expect this level of credit growth to stabilize and move forward. We are making this assumption on 'as is where is basis', subject to current

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economic environment continues without any turbulence or geopolitical tension we can improve growth by few more points as well. The current level of credit growth was achieved majorly from MSME core business, gold loan.

Retail journey has started from the second half of last year and we hope it will give a significant contribution to our credit growth in the Financial Year FY '25-26. With our efforts, our deposit growth is also back on track and aligning with credit growth. We have also achieved our long-term average numbers with respect to credit growth at ROA and NIM. We have reached our desired levels of 60% PCR without technical

write-off within this year. We hope to continue this positive momentum for the current financial year as well.

In case, if you are moving away from the trajectory, we would update this on our quarterly results.

Thanks to everyone, open for questions.

Moderator: Thank you very much. We will now begin with the question-and-answer session. The first question is from the line of Sameer Bhise from Dymon Asia. Please go ahead.

Sameer Bhise: Hi, thank you for the opportunity, sir and congrats on a steady quarter in a difficult environment. Just wanted to kind of ask on the growth outlook, I understand you have done a reasonably good job coming to around 14% plus kind of growth, but if one were to look at FY '26 assuming that there is more supportive regulatory environment with respect to liquidity and even the growth stance of the regulator, also we are in a better shape with respect to the CD ratio. Is there upside risk to your growth expectations and especially if the whole retail exercise kind of plays out the way we are expecting it to?

Vijay Anandh: If you see the visibility, we would be 2%-3% more than the credit growth.

Sameer Bhise: 2%-3% than the year where we ended?

Vijay Anandh: 2%-3% over and above the systemic growth. That is what we are looking at.

Sameer Bhise: And secondly, outlook on margins, can you just repeat, if I heard correctly, around plus minus 10 basis points from the current level, is that a fair assumption?

Vijay Anandh: Yes. We are at 3.6. We will be plus or minus 10. As we spoke in the call, we have reduced our SB rate and TD rate. Eventually, we will start seeing this in the next 2-3 quarters. So we will be in the range of 3.6 plus or minus 10 bps as confirmed in the call.

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Sameer Bhise: Sure, sir. Thank you. I will get back in the queue. All the best.

Vijay Anandh: Thank you.

Moderator: Thank you. Participants, you may press * and 1 to ask the question. Next question is from Dhaval Gala from Aditya Birla. Please go ahead. Dhaval, may I request you to unmute your line and proceed with your question, please.

Dhaval Gala: Hello, yes, sir, if you could talk about outlook on margins for the next fiscal and also possible target of loan growth?

Vijay Anandh: Yes, I will confirm we will be around 3.5-3.7. This is what we are looking at and 2%-3% more than the industry growth is what we are looking at if the visibility is good for the current year.

Dhaval Gala: And you would also talk about incremental cost of funds and any change of SA deposit rate for your bank?

Vijay Anandh: No. Whatever we have done, we have reduced the SB rate, we have reduced the TD rate, and we are fine with this and this results, we will start getting in the next 2-3 quarters.

Dhaval Gala: Alright, sir. Thank you.

Moderator: Thank you. Next question is from the line of Mona Khetan from Dolat Capital. Please go ahead.

Mona Khetan: Yes. Hi, sir, good evening and congratulations on a good quarter. So firstly, on the EBLR loans, what is the reset date that we have? What is the frequency of reset?

J. Sadagopan: It is mostly a one-year loan.

Mona Khetan: So from the time the repo rate cut happens in what period does the reset of yields happen?

J. Sadagopan: We have already given it.

Mona Khetan: Is it one month?

J. Sadagopan: Yes, we have passed out the rate cut of 25 bps in the month of February itself. For the second rate cut, it is on card probably in the first week of May, we are going to do it.

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Mona Khetan: So it is more like an immediate reset in your case or how does it play out?

J. Sadagopan: Yes. Overall, we have around 48% of total exposure to EBLR. So the first rate cut of 25 bps, we have passed out and the second rate cut of 25, we are going to do it in this week.

Mona Khetan: Got it. And we have seen some yield improvement during the quarter, what has contributed to that?

Vijay Anandh: So as mentioned in the call, we have moved out of IBPC, which was low yielding, and

we have moved out of low yielding NBFC. So if you see from the previous quarter to this quarter, we had 1% dip. In spite of moving of Rs. 750 crores in Q4, we still had 14% growth. Since we have moved out of the low yield loans, our NIM became better.

Mona Khetan: And from a full year, these amount to about Rs. 2,000 crores?

Vijay Anandh: Around Rs. 1,250 crores.

Mona Khetan: Got it. And just finally on the fee growth, which has been quite strong this year, do we expect it to grow better than the overall balance sheet even going forward or what is the outlook here?

Vijay Anandh: It depends on the business. If the business grows, obviously this will also have good growth.

Mona Khetan: Got it. And just one last thing, in the loan mix on Slide #27, there is a personal loan of Rs. 1,200 crore. What is the nature of these loans? I understand these should not be unsecured in your case. So what exactly are these?

Vijay Anandh: This is not an unsecured loan. This is a loan given to my existing borrowers or MSME under the personal loan headline, which also collateral with us.

Mona Khetan: Got it. That is all from my side. Thank you and all the best.

Moderator: Thank you. Next question is from the line of MB Mahesh from Kotak Securities. Please go ahead.

MB Mahesh: Just this question again on margins where you said it is between 3.5 and 3.7, just trying to understand what would drive a 3.7 for next year?

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Vijay Anandh: So Mahesh, we have three types of thing. One is MSME, we have JL and we have retail. When I speak now, as we speak today, our fixed rate is almost close to 31% which is the jewel loan, gold loan. So one, our MSME growth, our Jewel loan growth of fixed rate of X% and our focus on retail secured, which we have already started clicking on double digits, is giving us good growth over and above that, our deposit pricing. We have reduced our deposit pricing as I said a couple of minutes before in both SB and TD. This is giving us an advantage, hence we are slightly able to predict this number.

MB Mahesh: Sir, the question is mostly given the fact that there has been a rate cut also that you are doing on the other side, just trying to understand what can possibly cause the margin expansion based on the current mix of loan book that you have. It is only the fixed rate loan that is available, is it?

Vijay Anandh: The fixed rate is 31%. The deposit benefit I will get it only post 2-3 quarters, number one. Number two, our retail secured has already started achieving double-digit interest yield and our MSME loans has always been doing well. When the deposit rate comes down after 2-3 quarters and my 3 engines started doing as per expectations, then 3.5-3.7 should be a decent number I think.

MB Mahesh: Perfect. Second question is, gold loan is now doing reasonably well. This book will continue to grow at this rate or you see that it can kind of slow down from the surge?

Vijay Anandh: I don't think so. I think we should be comfortable in growing this book at this rate.

MB Mahesh: Okay, sir, done. Thank you.

Vijay Anandh: Thanks.

Moderator: Thank you. Next question is from the line of Jai Mundhra from ICICI Securities. Please go ahead.

Jai Mundhra: Yes. Hi, sir, good evening and congratulations, sir on the results. Sir, I have few questions. So first is, in this quarter, we had cut SA rate during the quarter, but still the cost of deposits has gone up. Was there any deposits repricing which led to higher cost of deposit and is it safe to say that the cost of deposits now has peaked because you have cut the SA rate and TD rate also and there is no more repricing disadvantage there?

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Vijay Anandh: The cost of deposit is because of TD. And we have currently the TD rate only in the month of April, number one. Number two, our SB rate also, we cut only in the February last week, so that is the reason why the cost of deposits is slightly higher.

Jai Mundhra: Right. And there is no, even if the TD were to reprice, there will not be any, you will gain to benefit only, right even if any maturity TD were to reprice, it will be repricing downwards only?

N. Kamakodi: Yes, Mundhra, there are two things. Kamakodi here. Basically, like the deposits,

current fixed deposits which are maturing today when they get contracted into the new rate, there itself, I am getting a benefit now. So incrementally, but as Vijay Anandh said it will be cumulatively giving us benefit, but already the benefit has started, basically, let us say, two things we timed well. One is shifting the gold loan into fixed rate, so when the rate reduction cycle started, actually, we need not reduce the rate and also when the 25 basis points reduction happened in the repo rate, the final average yield reduction, it worked out about close to 10 basis point depending upon the risk rating and how much of adjustment that happened in the risk premium and things like that. Because of that and also the cumulative effect of, let us say, Savings Bank reduction and also the withdrawal of, to the previous question, why the cost of deposit increased? When we, just before entering into the 4th Quarter, anticipating a tighter market, we had gone for a special FD schemes of 333 days in tune with the market rate and let us say, the bulk of the growth happened through the term deposit accretion and which has that 12 basis point increase in the weighted average yield. So when the older deposit is getting matured now, we get that benefit on the reduced rate of interest in the term deposit today and so it has potential to cushion whenever we get into the reducing interest rate cycle. The margins contract during decreasing rate cycle and whenever we get into the increasing interest rate scenario, margins expand, despite into the rate cycle where you have seen, let us say, 2 rate cuts instead of the margins decreasing it slightly expanded by 4-5 basis point mainly because we timed it well. So some amount, you cannot make it with the surgical precision, but we are able to manage it with the reasonable level, so we are able to say with confidence that the existing rate margins should be at the current level plus or minus 10 basis points is what Vijay Anandh is conveying.

Jai Mundhra: Right. No, sure, sir. That is very helpful. Just that so you mentioned this out of first 25 basis point rate cut, the blended yield, let us say, impact on the portfolio was around 10 basis points, right? So this relationship ideally should have held up, right in the sense that if RBI cumulatively cut 75 or 100?

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N. Kamakodi: It is let us say, you have, it is basically on the EBLR plus wherever you have given a strategic discount, wherever you have a risk premium, there are multiple factors getting involved. Finally, market forces take up.

Jai Mundhra: No. So I am asking, sir, if there is a cumulative 100 basis point rate cut by regulator, then you should ideally have around?

N. Kamakodi: So you can't say it is going to be only 40 basis points.

Jai Mundhra: But what would be the range, sir, 40-60?

N. Kamakodi: It could be 50-75. Some lag will have.

Jai Mundhra: Right and despite that, right, because the consensus is that there will be?

N. Kamakodi: Yes. One more thing what you have to understand is like, every quarter 25% of your CC limits will get renewed. Whenever you renew it, you will be having a revised contract where you will be resetting the rate. That reset rate will depend upon the individual risk assessment and all such things with some amount of lead and lag factor in transmission. In the past, let us say, almost a decade back, we had seen a cycle when, because of surplus liquidity available in the system, the rate transmission was even faster than the RB rate. So all these things are determined by the market forces both at the overall level and also individual account basis, so it is very difficult to have one-to-one, let us say, prediction. And another thing, if the rate cut cycle is relatively slow say, for example, if 1% rate reduction, whether it happens in one-half or 1 year or 1 quarter, it also plays a role. So multiple factors determine how fast the transaction happen and let us say, for example, as you always know only which are directly involved with the 50% of your portfolio, for example, is linked to the EBLR, only that 50 has to have direct relation of, let us say, the 25 basis point means overall portfolio will have only 12%. So within that you will be having a quarterly renewals for which, there will be reset of rates depending upon the individual risk rate and all and there will be some amount of what you call lead factor or lag factor. You will find it very difficult to predict precisely what will happen.

Jai Mundhra: No, that is fair point, sir. I can understand there are multiple moving parts. What I was trying to understand is this NIM guidance of plus minus 10 basis points is, you, of course, assume that there will be let us say which is widely anticipated two more rate cuts, right? So this guidance is not only the rate cuts which has announced so far, but also assumes that RBI may further announce one or more rate cuts, two rate cuts assuming that is the guidance?

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N. Kamakodi: See, the point is, if 2 rate cuts happen in one quarter, if 2 rate cuts happen in one half, or 2 rate cuts 3 quarters or 4 quarters, the impact will be different depending upon how quick the rate cuts happen. That is what I am trying. Whatever predictions we give, we take an assumption that this rate cut will happen over the period of next 1 year in a graded fashion. Whatever yield cuts we have to take because of the reduction in the repo rate and the benefit we get in the repricing of the term deposits, will largely match and compensate to a greater extent and overall, yield will not go higher from wherever we are is our expectation with which we are going.

Jai Mundhra: Secondly, sir, on the growth, right, so I wanted to understand, what is the MSME growth in the sense that there is some change in the MSME reporting over the last 1-2 quarter or last 1 year because of this MSME norms, etc., what would be MSME growth and maybe if you have number for disbursement growth in MSME, just to understand how effective is the new LOS versus what we were doing earlier. So if you have any number for, let us say, 4th Quarter disbursement versus 4th Quarter of last year just to get a sense as to how this new LOS is helping in terms of the fresh disbursement. Of course, the outstanding number is visible, but I wanted to check if you have any number on disbursement also?

N. Kamakodi: See, we had total credit growth of about Rs. 6,500 crore for the current Financial Year, perhaps, the highest whatever we have recorded over the period of, in our history. Out of this Rs. 6,500 crores growth, about Rs. 4,000 crores growth has come from the MSME. For example, this should give you some idea, definitely the digital lending for MSME through our Newgen software which was guided by BCG last year. It has helped us to accelerate our credit growth per se, so less than Rs. 7.5 crore, the decision is by and large now taken by the system with minimum manual intervention. So that is now helping us to proceed further. Actually speaking, the outstanding MSME growth was 23% for the current Financial Year.

Jai Mundhra: So MSME growth was 23% and of course, the overall growth was 14% because you also took some IBPC etc., and disbursement growth must have been maybe 40%-50% right in the MSME itself, just to get that 23% number?

N. Kamakodi: The disbursement for the whole year it is close to Rs. 10,000 crore. So in that you will also have CC portion which will be having lower utilization. You can't have 1:1. So that is why we don't discuss too much about that disbursement per se. We explain on an outstanding basis.

Jai Mundhra: Sure. And sir, in this Newgen Software, if you have the rough number of green, amber, red, how is that progressing this ticket?

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N. Kamakodi: Still the amber portion is more. So how we have made is that, like when the red conditions are clearly given, they are washed off. On the amber side, let us say, the tuning will take, at least I think by before the end of the Financial Year '25-26 that tuning will happen.

Moderator: Thank you. Jai, I am sorry to interrupt you. I will request you to come back for a follow-up question. Thank you. Next question is from the line of Rakesh Kumar from Valentis Advisors. Please go ahead.

Rakesh Kumar: Yes. Hi, sir. So like, I think this quarter, the quite critical part was deposit growth that you managed to report quite a strong number. So just wanted to know what is the strategy around the deposit mobilization that we did, because we had to manage failure as well, so what are the product on the asset side or on the liability side, we had this quarter or what is the kind of manpower that we had to manage or to show this kind of deposit growth and what would be the strategy going ahead also because we are looking at similar kind of credit and deposit growth number with the earlier. So if you can help us understand that part? Thank you.

Vijay Anandh: So we started this year with the advance target. We wanted to have a good growth on advances. I think we were pretty decent and Q3-Q4, we had dedicated structure for liabilities and we had lot of trust and we had the structure in place in sourcing the liabilities numbers. I think there were a couple of new arrivals, the new recruits as well. So this has given a strong focus, we have a dedicated structure and this has yielded the results, number one. Number two, what is going to be the future as we said in the call, we wanted to keep the LDR at 85. So that is the number which we are looking at and our growth will also be basis the same.

Rakesh Kumar: Got it. So next fiscal year, we are looking similar kind of growth number in deposit or

because if I look at the real TD rate for the system, it is like kind of high in the last 4-5 years. So the real TD rate has to come down. So it will have some repercussion on the TD growth number. So overall deposit growth number, we have similar number in mind as compared to credit growth number?

Vijay Anandh: Yes, that is the point I said. We have already reduced the TD rate in April. We have kept the target of 85% in LDR. That is the number which we are targeting for the credit growth what we are envisaging for this Financial Year, for the current Financial Year.

Rakesh Kumar: Got it. Thank you, sir. All the best.

Vijay Anandh: Thank you, sir.

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Moderator: Thank you. A request to all the participants. Kindly restrict to 2 questions per participant and join the queue for a follow up question. Next question is from the line of Akshay from HDFC Securities. Please go ahead.

Akshay: Yes. Hi. Thank you for taking my question. Sir, firstly, the slippages are slightly higher for this quarter around 2%. I would like to know the reason for that from which sector that it is coming from?

Vijay Anandh: When we started this year, we confirmed that we would be around Rs. 800 crores. So we started with Q1 of Rs. 178 crores. Q2, we moved from Rs. 178-Rs. 176 crores and Q3 from Rs. 176, we moved to Rs. 201 crores. So we were around Rs. 555 crores as of Q3. We had Rs. 800 crores. That is the number which we were envisaging for the year basis the prediction what we have done. We had ever SMA-2 customer. So we do not want to take any chance. So we thought that when we have a room, we will just fill this. And that is why we have moved it to Rs. 800-815 crores and we were well within the expectations and hence we made this movement.

Akshay: Sure. And second question was around, there is uncertainty regarding the global tariffs, global scenario because of the increase in tariffs. So has any, within our MSME sector, since we have exposure to export oriented companies, especially the textile sector, having seen any sort of some disruptions in some of these sectors or any early signs of any stress building up here?

N. Kamakodi: See, currently, we did not have significant exposure to the export oriented units- it is low to middle single digit only. Within that, Coimbatore built textile exposures for the last 3-4 years, they had the impact because of the strong competition from the Bangladesh. After the regime change and things like that, there was some advantage for them and currently and it is better than what it was there last year. What I can definitely say is that whether any significant improvement will have positive effect, but if there is any deterioration, they will not have much deterioration. But to what extent supply chain impact will be there, whether India-Pakistan war will come, whether it will affect the thing? There are macro questions and all which we expect there should be, let us say, the existing situation will continue that you have tension always, but nothing on field any change. This is what we expect.

Akshay: Thank you. Thank you so much.

Moderator: Thank you very much. Next question is from the line of Puneet from Macquarie Capital. Please go ahead.

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Puneet: Yes, sir. Thanks for taking my question. Just one bit on the credit cost thing, we are expecting to increase our PCR in line with other private peers, right, around 70% and we plan to maintain our credit costs around the FY '25 levels, right, all else being equal, of course. And so am I right, sorry I missed some of the opening comments, that is why?

N. Kamakodi: No, actually like in the beginning of the last year, we told we will be improving our provision coverage ratio number and the number that we were anticipating was somewhere around the current level 60 only, which we have already done. You always, on "as is where is" condition, like we don't have any specific number in our mind. So we don't make a call depending upon what is happening in the market or whatever because the 70% coverage ratio including technical write-off is something which was there on the regulation which we had covered a long back. Post the call which you take depending upon how market progress and what are all the things you need. So far without drastically changing anything in a phased manner, we are able to see about 90 basis point reduction in w gross NPA number and about 70 plus basis point reduction

in the net NPA number. We can proceed in the slow and steady fashion without compromising on the ROA. If you need to compromise on the ROA, increase your provision coverage ratio to much higher level. That option we always have and we can take at any point of time, but as of now, we think we will be proceeding on this level. The decision whether to go for extra provision to reduce the net NPA number, to what extent you need to compromise the ROA and have extra provisions and all, those choices we will be taking a call as the quarters progresses.

Puneet: Right now, we are targeting stable ROAs with let us say, there is no target.

N. Kamakodi: Yes, right now, we don't anticipate any target as we speak. With the current level and with that the slow and steady fashion itself, you have already seen desired reduction in the gross NPA and net NPA. You also need to factor in, this is going to be, Financial Year '25-26 going to be my 15th year which is regulatorily permissible as the CEO.

What is the net NPA number, I want to hand over to the successor, we have to take a call, the way how you we proceeded during the quarters.

Puneet: And sir, your margins, the guidance 3.5, sir, if I am not right I heard that only 31% of the book is fixed. So in such a scenario, so deposit repricing happens with the lag, right? So for us guiding 3.5-3.7 next year looks like aggressive guidance given we have around 70% floating rate book, right, so any comments on that?

N. Kamakodi: So that is what I explained in detail. So you have multiple levers working. In fact, the expectations even for us, we would have had reduction in the net interest margin in the

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4th Quarter itself compared to the 3rd Quarter because there were multiple rate cuts. But still we were able to scrape through because like, on the yield side, you are going to have reduction in the yield. As you rightly said, you have only 30% in a fixed rate. Floating rate also, let us say, 25% of your CC accounts get repriced every quarter when they come for the renewal. So in that 25%, it need not be that the same reduction in the repo rate is getting passed on because you re-negotiate the rate depending upon the risk appetite, how you want to have a strategic discount whether there is a surplus liquidity in the system, so many factors come into play. So as I explained earlier, the 25 basis point repo, finally the net impact on the yield was only in, high single digit, not the 25 basis point as you guys think, which was to greater extent taken care by whatever reduction in the Savings Bank rate or in future the benefit you are going to get. Because every quarter you are going to have 25% of your term deposits getting repriced. So we had special rates for term deposits for the last quarter which we have withdrawn and the rate at which the current term deposits are maturing and at what rate we are now currently offering market rate including the market rate. So there is going to be reduction in the deposit rate. Similarly to greater extent they will be getting offset by the reduction in the yield. So they will be going in tandem. So that is why we feel it may not be in a surgical precision. That is what I also explained, in future, it depends upon how fast the rate of interest comes down, say for example, everybody is factoring another 50 basis point reduction in the Financial Year. If the reduction of 50 basis points happens in one go, the market dynamics surplus liquidity in the system, so many things come into play. So if we expect this 25 basis point reduction in stages over the period of next 4 quarters, we hope this is what we expect. Based on that, the existing margins with the plus minus 10 basis point will hold is our expectation.

Moderator: Thank you very much. Puneet, sorry to interrupt you. May I request you to come back for a follow-up question, please.

Puneet: Yes, I am done. Thank you.

Moderator: Thank you. Participants, kindly restrict to 2 questions per participant. Next question is from the line of Anand Dama from Emkay Global. Please go ahead.

Anand Dama: Yes, sir. Thank you for the opportunity. Wanted to check, sir, how do you see the retail portfolio shaping up in FY '26 and FY '27 because you have been very strong on the gold loan front, housing is also your strong forte, which are the new products that you are going to introduce or scale up number one? On people front, have you made any new changes? Have you hired some new team as such, in the retail team as such, and whether that will have an impact on the overall cost in FY'26? I think in the initial

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comments you talked about some increase in the cost. Is it more related to the retail business as such or there is something more to it?

Vijay Anandh: Yes. The cost was more on retail front. We said that we will be around 48-50 this year, number one. Two, in terms of retail, yes, our home loan has been pretty decent, and our LAP has also started picking up, loan against property. As I was speaking some time before, on an average, we started hitting double digit rate in terms of the overall blended rate for retail. So our focus on LAP and HL will continue. Also for through our branch network, we are focusing on affordable home loans. So this business also once it starts picking up, I think we should have the decent book in terms of retail and broadly the hiring is done. We have hired Sales Head, we have hired the Zonal Heads, we have hired Credit Risk Heads for the zones. We also had the feet on street. As mentioned multiple times, we don't have plans to go with third party sourcing for home loans for sure. So broadly, home loans will be a brand sourcing. Only for LAP, North and West and some part of South where in Tamil Nadu we plan to do a DSA sourcing for loan against property. Otherwise, AHL is broadly a branch-based strategy where the branch will sell the affordable home loans to their customers or new to bank customers with the existing retail set up. This is what is broadly on the retail plan. So we will continue with our overall strategy of 95%-98% secure. We don't have any change there and the remaining would be a credit card and a small bit of PL if you want to give for our existing customers or salary customers per se.

Anand Dama: Great. Sir, on your SME book, wanted to check, like now that the rates have been cut. So are you passing on all the rate cut to the customers or you are trying to delay that by few months by increasing the risk premium because the macro disruptions are certainly up there? And so you can always increase the risk premium. Are you doing anything of that sort and that is basically the reason why you seem to be more confident on the margins front or maybe in the guidance seems to be more optimistic as compared to what one would have expected it to be?

N. Kamakodi: See, as we explained, you may clearly see there are multiple levers. Say you have fixed rate for which you are not going to have any impact. So you have what is EBLR for which the impact reduction will be immediate for let us say other floating by and large what is in MCLR, you will be getting only when it is coming for the renewal. And the 25% of your CC limits will be coming for renewal every year. So as we explained 25 basis point reduction in the repo, the ultimate impact in the blended yield of the portfolio was in high single digit. It was not into the double digit because of the composition of the loan book and also wherever we had given strategic discount even earlier where some amount of the interest rate concessions were given in earlier contract itself. So whenever there is a reduction in the let us say, EBLR comes, a part

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of that will be observed in that, the extra reduction that was given in the past. So taking everything into account for that 25-basis point repo rate cut, because of the composition of loan book with the fixed rate EBLR, MCLR or all different type of things, the net impact in the overall yield was in high single digit is what we faced.

Anand Dama: And any reason for a sharp jump in the CEB and the other charges, the fee income in this quarter?

N. Kamakodi: Good question. There are two things, which was resulted in this. One impact because of change in the remuneration structure. In the insurance income, we could see substantial jump which was hovering about Rs. 54 crores in the Financial Year '24. We could get closer to just under 100%, about Rs. 97 crores or something for the Financial Year '24-25, which is a substantial jump. Similarly, we had 2-3 years of lower growth in the core advances growth and MSME. As the advances growth rate started picking up, particularly after the arrival of Newgen based lending and other things, there is a substantial jump in the processing fees also. These two have resulted in substantial increase in the Commission, Exchange, and Brokerage fee side of the bank.

Anand Dama: Sure, sir. That is very helpful. Thanks a lot.

Moderator: Thank you. Next question is from the line of Bunty Chawla from IDBI Capital. Please go ahead.

Bunty Chawla: Thank you, sir. Thank you for giving me the opportunity and congrats on a good set of number. As you earlier in FY '25, you have guided for the slippages of Rs. 800 crore and net slippages will be negative. So if you can share similar outlook for FY '26, this net slippages negative will continue for FY '26 and how will the slippages number or slippage ratio will be in FY '26?

Vijay Anandh: So we gave the number of Rs. 800 Cr for the current financial year, which we closed at 815. We are looking at another.

Moderator: Sir, sorry to interrupt you. Bunty, can you please mute your line from your side? Thank

you.

Vijay Anandh: So we gave a guidance of Rs. 800 crores for the current year and we closed at Rs. 815 and for the next year, we will be around Rs. 650-Rs. 700 crores. That is the number we are looking at. But in terms of provisions, we will also have, D1, doubtful 1 to doubtful 2 extra provisions we will have for the year which we may have to take. Otherwise, we are quite confident of recovery, will be more than slippages for the current year as well.

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So to answer your question, Rs. 650-Rs. 700 crores is the number we are looking at. Recovery will continue to surpass the slippages.

N. Kamakodi: And number two, let us say, the extra provisions depending upon the provisioning requirement and also in tune with the expected net NPA numbers. The provision numbers, as we have always pointed, the decisions will be taken as we enter into the quarter.

Bunty Chawla: Secondly, sir, as you said, the margins will be in the range of (+5) to 10 bps, 3.5-3.7 and cost to income ratio will be around 40%-50% kind of a thing. So any chances of improvement in ROA or we are still going with stability in the ROA at 1.5% for FY '26. That is it for my side?

N. Kamakodi: See, we don't want to be too optimistic, overpromise and under-deliver. So our earnest efforts to improve that are always there and we will be working for that.

Moderator: Thank you. Next question is from the line of Gaurav Jani from Prabhudas Lilladher. Please go ahead.

Gaurav Jani: Thank you, sir and congrats on good quarter. Firstly, sir, I missed Vijay sir's comments on shredding of lower interest rate loans. Can you repeat that please, which two segments would be there?

N. Kamakodi: See, what we explained was that for the entire year that 14% growth rate was achieved after exiting about Rs. 1,200 crores of Interbank Participation Certificate, low yielding and also the Rs. 150 crores of low yielding NBFC advances. Out of Rs.1250 cr, Rs.750 cr happened in the last quarter itself. The interbank participation certificates we had to enter the previous year because we had to exit gold loan Agri portfolio and because of that achievement of target, some amount we had to enter, but that we had to compromise on the yield that we had now exited. So there are two things because of the two outcomes. One, we could achieve 14% growth despite, shedding about Rs. 1,250 crores of loan book and it has also helped us to have a better yield because whatever we exited were of low yielding. In fact, about Rs. 150 crores were around let us say 8%-8.5% and that remaining Rs. 1,250 were about, let us say, 6%-6.5% in that very low rates because we had to regulatorily go for that to achieve our agri target in the previous year to achieve the targets.

Gaurav Jani: Sir, thank you for this. I just also just an extension to this, is there any more scope for reduction in this low yielding, given the fact that you are looking at further rate cuts?

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N. Kamakodi: We have opened up almost everything possible, to what extent renewals are coming, to what extent the fixed rates are there, whatever these things are there, we don't anticipate any more. Finally, it all depends upon the market dynamics and how the rates pan out. As of now, at least on cards, we don't see anything to come down so fast, let us say for example, we have about 2% of our portfolio from NBFC lending which is about Rs. 1,417 crores as given in the slide number 27. So how that yield adjusted as we get into, these are all basically corporate lending and they will always have lower yield compared to your core advances. And if the yield in their portfolio, how it gets adjusted because of the market yield and what are all the alternate options available for them, whether we will be better off by continuing those rate of interest because these corporate lending will be around 9% or even 8.5%-9% and things like that, but we will be able to have an average yield of the portfolio close to, let us say, 9.5% to even double digit, whatever it has come closer to that. So those calls are taken on a dynamic basis on a continuous thing. We don't have a target and all in our mind and all. We also never expected that we will be, let us say, totally exiting from all these things. One of the reasons is because that, like we could do the gold loan better with better yield and also on agricultural lending and things like that.

Gaurav Jani: Sir, thank you. Just one last from my end, if I may. You mentioned about the Commission, Exchange and Brokerage, right? So can you understand that was it also

bulked up in because it was Q4 and could there be further normalization in the coming quarters or this is new base that you are looking at?

N. Kamakodi: See, Commission, Exchange and Brokerage, the insurance income hike is perhaps the change of remuneration structure and some amount of change of marketing campaigns which we took, we will be fine tuning and there is some more juice available over there and on the processing charges front, it will be the function of the credit growth.

Gaurav Jani: Understood, sir. That is it from my end. Thank you, sir.

Moderator: Thank you. Next question is from the line of Arun, Independent Shareholder. Please go ahead.

Arun: Hello. Can you hear me?

N. Kamakodi: Yes, sir.

Arun: Thank you for taking my question. Actually, my questions were largely answered, but one question I had on the retail portfolio growth, are you looking at it primarily to grow in Tamil Nadu or is it the other states as well because I also saw you have done a fair

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amount of branch expansion recently, so is the focus going to be more on your MSMEs in the other case only or will retail growth be there as well? To that, do you have like a goal or target in mind on retail growth?

Vijay Anandh: The retail growth is going to be across. It is not restricted only to South. Having said that, we have a decent presence in the South, so whatever the business we are getting is at a 0 cost. So basically, I don't have an acquiring cost which is normally very high in retail. Our branches can fulfill this business. Having said that, our retail business is going to be in complete Pan India apart from South. We wanted to be 3% of our overall business on MSME business year-on-year. That is the number which we have in mind. So to be precise, we are looking to exit this year with Rs. 3,000 crores. Rs. 3,000 crores should be the exit number for retail for this year as we speak.

Arun: And currently, what it is, sir, sorry, I don't have it open?

Vijay Anandh: We should be around Rs. 1,000 odd crores as of now.

Arun: So you are looking to grow it for FY '26 to Rs. 3,000 crores?

Vijay Anandh: Yes, Rs. 3,000 crores should be the exit number.

Arun: Thank you. That is all there. Thanks.

Moderator: Thank you very much. Next follow up question is from the line of Jai Mundhra from ICICI Securities. Please go ahead. Jai Mundhra, may I request you to unmute your line and proceed with your question, please.

Jai Mundhra: Yes. Hi, sir. Thank you. I wanted to check their when did you move the gold loan from floating to fixed and what is the outstanding risk weighted assets number?

Vijay Anandh: We moved on July from floating to fixed, the gold loan rate. Sorry, what was your next question, Jai?

Jai Mundhra: Sir, the outstanding risk weighted assets number?

Vijay Anandh: Rs. 39,900 crores, the overall risk weighted assets.

Jai Mundhra: Yes, sir.

Vijay Anandh: Rs. 39,900 Jai, is it audible?

Jai Mundhra: Yes, audible, sir. Thank you so much, sir.

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Moderator: Thank you. Next question is from the line of Ajit Kumar from JM Financial. Please go ahead.

Ajit Kumar: Thank you for taking my question, sir. Just one question from my side. I wanted to know your take on recent bill introduced by the Tamil Nadu government to prevent coercive loan recovery practice. I understand it is not applicable to RBI regulated entities, but any impact on your on-ground operation if this deal is passed and especially given Tamil Nadu firms more than 70% of the total business, so any impact for you?

N. Kamakodi: Yes, this law doesn't apply to RBI regulated entities, you are right, particularly for the banks. So we don't anticipate any, let us say, issue because of this law, any new impact because of this.

Ajit Kumar: That is it for my side. Thank you.

Moderator: Thank you. Next question is from the line of Pritesh from DAM Capital. Please go ahead.

Pritesh: Yes, good evening. Just two questions. One is on the branch expansion strategy. We

have done good branch expansion in this quarter and this year. Next year, where do you target and how much are you targeting to increase the branches?

N. Kamakodi: See, we opened about 75 branches in the current Financial Year '25. We had been consistently opening about 50-75 every year except during the COVID years. So this year, from 875, probably we will be taking it to about another 50-75 basis points, 75 branches. If let us say, things are favorable, we may also open few more branches.

Pritesh: 925 is what we are looking at? I missed that number?

N. Kamakodi: Yes, 925-950.

Pritesh: And second, the branches will be incrementally outside Tamil Nadu or it will be spread across depending?

N. Kamakodi: Yes, exactly. You might have seen incrementally the non-Tamil Nadu branch numbers are increasing. Proportionately, the Tamil Nadu based branches in terms of percentage is holding or coming down. So we are almost reaching a stage of exhausting the TN expansion. So incrementally except for the unbanked, rural and regulatorily to be opened branches, we will have proportionately higher number of branches in the non-Tamil Nadu states.

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Pritesh: Got it. And question related to basically as you open more branches, the SA per branch number is coming down. We were doing quite a decent few quarters back, but we have seen that from last quarters, the SA per branch is coming down. What is the strategy there? How do we improve our SA per branch number?

N. Kamakodi: Whenever we open a new branch, maybe for the first 3-4 years till it comes to stable business, the number of people employed per branch will be after one Manager, one Officer, and about 3-4 Relationship Managers. So it will be lower than the current level of average number of persons per branch, so that number may look a little bit coming down, but on the other side, we are in the process of, let us say, creating the sales structure, partly we have done and a small portion is left under the sales. Structure itself, we are in the process of making that. Some amount of expenses, we expected in the last year slowly getting shifted for the current year also. So let us say, as we explained maybe for another 1 to 1-1/2 years the cost to income ratio because of this additional sales force and things like that. Some 48 to 50% cost income ratio will be there. Once that start delivering results when the income starts coming, you will start seeing the cost to income ratio coming down.

Pritesh: Thank you so much. Thank you for answering those questions.

Moderator: Thank you very much. As there are no further questions, I will now hand the conference to Mr. Jignesh Shial. Please go ahead.

Jignesh Shial: Thank you. On behalf of Ambit Capital, we are thankful to the management of City Union Bank for the detailed discussion. I will now hand over the call to Dr. N.

Kamakodi - MD & CEO of City Union Bank for his closing remarks. Over to you, sir.

N. Kamakodi: Thank you Ambit for arranging this call and thank you all for joining. So just to sum up, for some years, the credit growth was evading us and we have now recorded firmly about 2%-3% growth over and above that of the credit growth of the industry. Should be in a position to firm that up further in the current Financial Year. We are getting better visibility for the asset quality. We are seeing the slippage ratio getting better. We are seeing SMA numbers getting better. We are seeing NPA ratios getting better. We hope these things will further get better in the Financial Year. And with this, we are also seeing other income showing substantial growth particularly from the third-party sales and the insurance and your credit processing charges. So overall, as I told, we are entering into the year when the remuneration structures, going forward, the productivity has to get aligned with that and the things have to get improved from here. So we hope the geopolitical situations don't deteriorate from wherever we are, but on whatever situation we are currently seeing and on "as is where is" condition, the

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visibility for a better year is there and with this positive note, I hope we should be having a Financial Year '25-26 even better than whatever we saw in the Financial Year '24-25. So with these words, I once again thank you all and let us complete this call.

Thank you.

Moderator: Thank you very much. On behalf of Ambit Capital Private Limited, that concludes this conference. Thank you for joining us and you may now disconnect your lines. Thank you.

Call: Aug 2025

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BSE Ltd.,

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25th Floor, Dalal Street,

Mumbai 400 001

Scrip Code: 5322LO

Dear Sir / Madam,

Sub: Transcripts of the Earnings Conference Call - Q1 FY2026

Pursuant to Regulation 46 of SEBI (LODR) Regulations,2015 (as amended), the Bank has hosted in its website the transcript of Earnings Conference Call - Q1-FY2026, with regard to the Standalone Un-Audited Financial Results for Quarter ended June 30, 2025, as approved by the Board of Directors of the Bank, on July 31, 2025. The weblink .is given below;

<https://www.cityunionbank.com/filemanager/Aug25/EARNINGSCALLTRANSCRIPTQIFY2026.pdf>

Kindly take the same on.record.

Thanking you

Yours faithfully

forUNION BANK LIMIIED

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Company Secretary

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"City Union Bank Limited

1QFY26 Earnings Conference Call"

July 31, 2025

MANAGEMENT : MR. R. VIJAY ANANDH – EXECUTIVE DIRECTOR –
CITY UNION BANK LIMITED

M R. V. RAMESH EXECUTIVE DIRECTOR – CITY UNION
BANK LIMITED

M R. J. SADAGOPAN – CHIEF FINANCIAL OFFICER –
CITY UNION BANK LIMITED

MODERATOR : MR. JIGNESH SHIAL – AMBIT CAPITAL

Moderator: Ladies and gentlemen, good day, and welcome to City Union Bank Limited 1QFY26 Earnings Conference Call hosted by Ambit Capital. As a reminder, all participant lines will be in the listen-only mode and there will be an opportunity for you to ask questions after the presentation concludes. Should you need assistance during this conference call, please signal an operator by pressing star then zero on your touchtone phone. Please note that this conference is being recorded.

I now hand the conference over to Mr. Jignesh Shial from Ambit Capital Private Limited. Thank you. And over to you, sir.

Jignesh Shial: Yes. Thank you, Amshad and good evening, everyone. On behalf of Ambit Capital, I would like to thank the management of City Union Bank for allowing us the opportunity to host 1QFY26 earnings call. We have along with us Dr. N. Kamakodi, MD & CEO, Mr. R. Vijay Anandh, Executive Director, Mr. V. Ramesh, Executive Director, and Mr. J. Sadagopan, the CFO.

I will now hand it over to Mr. R. Vijay Anandh, Executive Director of City Union Bank for opening remarks. Over to you, sir.

R. Vijay Anandh: Thanks, Jignesh. Good evening, everyone. Hearty welcome to all of you for this con call to discuss the unaudited financial results of City Union Bank for the first quarter of FY 2026. The Board approved the results today and I hope you all have received the copies of results and the presentation.

First of all, we are very happy to share that for the first time in the history, we have crossed INR300 crores PAT. I hope all of you have received the notice of ensuring Annual General Meeting to be held on 13th August 2025, which will happen face-to-face at Kumbakonam after 6 years, along with the virtual mode as well. On behalf of the Board, I invite you all to participate in the AGM.

One of our directors, Shri N. Subramanian, had retired from the Board with effect from 19th June 2025 after completing 8 years tenure.

During 4QFY25 con call, we have stated the expectations for FY26 as follows.

We did achieve double-digit credit growth in all the quarters of FY25 and we stated that we will be back to double-digit growth.

With our efforts, our deposit growth is also back on track and we said that we will align with the credit growth.

We have reached our long-term average number with respect to credit growth, PAT, ROE, and NIM levels. We said that the positive momentum will continue.

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We also committed that NIM will be in the range of 3.5% in FY25-'26. Largely, we are in line with the expectations conveyed on the last quarter call, no surprises.

During last financial year, we had seen positive credit growth in the first quarter of the year, first time in the previous 10 years. With that momentum in growth, we have achieved double-digit growth in all the four quarters of FY25. For 1QFY26, we have achieved 16% credit growth, the highest credit growth in June-to-June and our advances have increased from INR46,548 crores to INR54,020 crores in Q1.

As stated in our earlier calls, with improved efficiency level aided by the digital lending process, we have restored our consistent credit growth and we hope that the current trend will continue.

Deposits. Our deposits stood at INR65,734 crores for 1QFY26 as compared to INR54,857 crores in 1QFY25, registering a growth of 20%. During our last con call, we have stated that concentrated efforts were given to deposits front to support our credit growth. With our efforts, our deposit growth surpassed our expected levels for 1QFY26. The average CASA increased by 6% from INR15,057 crores in Q4 last year to INR16,478 crores in 1QFY26.

Asset Quality. On asset quality front, for the current quarter, the total slippages is around INR196 crores while the total recoveries is INR187 crores consisting of INR143 crores from live NPA accounts and INR44 crores from technically written-off accounts. It is almost equal and we are confident of maintaining recoveries more than slippages for the year as a whole.

Our gross NPA percentage had reduced to 2.99% in 1QFY26. Both gross NPA and net NPA, in both percentage and absolute terms, is reducing quarter-by-quarter for the last

nine quarters continuously. For the past eight quarters, our GNPA had shown sequential decrease starting from 2QFY24, where it stood at 4.66%. Compared to 1QFY25, the GNPA has reduced from 3.88%, which is 89 bps reductions. Similarly, our net NPA number has reduced to INR635 crores and net NPA in terms of percentage is 1.2% for 1QFY26. In 1QFY25, our net NPA was 1.87%, which is a reduction of 67bps on Y-o-Y basis.

Overall, our SMA2 to total advances stands at 1.59% in 1QFY26 as compared to 2.22% in the similar period last year. Our SMA numbers had shown substantial improvement in the last financial year. It is stable in the current quarter as well. While we are hearing from multiple financial institutions about building stress in asset quality front, we are closely monitoring the situation and so far, we have not seen any sudden spike in the stress as of now.

PCR. In FY25, we increased our PCR without technical write-off to 60% to bring it closer to the industry level. For 1QFY26, PCR without TW had improved to 61%, which had

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improved from 53% last year. Similarly, PCR with TW stood at 79% for Q1 FY '26, which has improved from 73% last year.

Interest Income. Our interest income had grown by 16% in 1QFY26 and increased to INR1605 crores from INR1388 crores in 1QFY25. Our yield on advances stood at 9.81% for the current quarter as against 9.59% in 1QFY25. Our NIM for 1QFY26 stood at 3.54%. During this quarter, the bank has passed the benefit to customers in line with the repo rate cuts.

During the last call, we said though there will be fluctuations in the annual NIM, we will be around 3.5%. That expectation continues. Even though the rate reduction was front-ended and happened much earlier than expected, we continue with our expectations. As suggested earlier, there will be a minor impact in Q2 as bulk of deposit repricing happens in Q3 but annual expectations continue to be around 3.5% as discussed in the last quarter con call.

On liability side, we have reduced the ROI on term deposits during April in tune with the industry levels and a slab of SB account undergone changes in the month of June, which will give reductions in overall costs going forward. The cost of deposits stood at 5.95% in 1QFY26 as compared to 6.02% for 4QFY25.

Other Income. The total other income for the year has increased by 27% from INR192 crores in 1QFY25 to INR244 crores in 1QFY26. The major contribution for this growth is from treasury profit of INR64 crores. For the current quarter, our operating profit had grown by 21% and stood at INR451 crores compared to INR373 crores in the corresponding period last year. We have achieved a PAT growth of 16% and our PAT stood at INR306 crores for 1QFY26 as against INR264 crores in 1QFY25. As I said earlier, we have crossed the INR300 crores mark in PAT for the first time in our history. Cost to Income. Our cost to income ratio for 1QFY26 stood at 48.12% as compared to 48.21% in 4QFY25. As we had discussed earlier, our CIR will be in the range of 48 to 50% for the next few quarters.

ROA. As per the expectations we shared, the ROA is at our long-term average and stood at 1.55% in 1QFY26 compared to 1.51% in the corresponding period last year. Our ROA is over 1.5% consistently for the last five quarters.

To sum up, with our best efforts, we have accelerated to mid-teens. We will continue to explore various avenues of advances growth in addition to our core strength of MSME. With our growth engine up and running, we could see visibility in achieving mid-teen growth at least 2% to 3% over and above that of the industry.

Our deposit growth is also back on track and aligning with the credit growth. Expecting NIM in the range of 3.5% for FY '25-'26, as discussed in the last con call. ROA is expected to remain at our current level of 1.5 plus. We will achieve our PAT growth

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with the help of better asset quality. Our cost to income ratio will continue to be in the range of 48% to 50% for financial year '26.

Thanks a lot. Open to questions.

Moderator: The first question is from the line of Anand Dama from Emkay Global. Please go ahead.

Anand Dama: Yes. Thank you for the opportunity. Our growth has been trending very well at about 16% Y-o-Y. Whereas you said that you would want to grow 2% to 3% above the system. So that's more of just a statement and you would continue to grow at more than 15% or 15% to 16% range? Or you believe that this growth run rate will actually come down during the year?

R. Vijay Anandh: Sir, we will continue to grow at the same level what we are growing subject to the market conditions are conducive and our overall numbers of SMA-0-1-2 on track, as I said in my note. So till that time we don't see any risk. We will continue to grow at the same pace.

Anand Dama: So do you really see any micro disruption or any asset quality risk on the SMA space? So to say, that there will be some risk on the growth trend in next 6 to 9 months?

R. Vijay Anandh: While we could hear this from other financiers, as of now we have not seen this. Our metrics are holding. Hence, from our side, we don't see that risk as of today.

Anand Dama: Secondly, if you can talk about your retail strategy, how are you stacking up now? And secondly, on your gold loan front, the agri-gold loan portfolio on a quarter-on-quarter basis is actually flattish. So is it because of the PSL guidelines that you have slowed down the growth in that segment? Or it is just a seasonal.

R. Vijay Anandh: I will try to answer the retail first before we go to the gold loan. Broadly, our retail strategy is on track. We said that LAP, HL, Affordable and Micro LAP. Yes, the retail engine has started giving us the good numbers from both branch, as well as from the DSA side. We did around INR825 crores for the last quarter, combining all these three. And hence, our retail, whatever we have planned, is taken off well.

With respect to gold loan book, our gold loan agricultural portfolio is INR76,198 million. If you see the presentation slide number 30, there are details.

Anand Dama: I saw that, but that was largely flat on a quarter-on-quarter basis. So just wondering whether this will remain different for a while because of the impact of PSL guidelines, or this should pick up?

R. Vijay Anandh: This is seasonal. Agri is a seasonal business fluctuation. So, this will move, based the seasonality.

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Anand Dama: Okay. And in terms of margins, you guided for a 2.5% margin for full year. So, how do you see your...

R. Vijay Anandh: 3.5%. So I think what you're saying. 3.5% sir.

Anand Dama: Sorry, 3.5. So do you see a cost moving any cuts that you have done on the TD front or anything on the SAF front that you have done or you are planning to do that?

R. Vijay Anandh: I will give you the broad map. My advances have brought down the yield by INR135 crores. My reduction in deposit rate has given me INR64 crores. This means I have INR135 crores on left side and INR64 crores of deposit on the right side, which is giving me a net impact of INR71 crores.

If you recall, my NIM used to be around 3.6% earlier. So, this INR71 crores impact will give me a 11-12 bps reduction. So, we will be around 3.48-3.49. Hence, we are confident of maintaining this 3.5%. That was the math behind this commitment. Also, just to add, our repricing is happening on deposits in the month of Q2. Hence, we should have this 3.5% on track.

Anand Dama: Sir, I think RBI audit was on. Any observations over there from RBI side?

R. Vijay Anandh: Its currently happening, sir. RBI audit is currently happening for us.

Anand Dama: That's very helpful. Thank you, sir.

R. Vijay Anandh: Thank you.

Moderator: Thank you. The next question is from the line of Mona Khetan from Dolat Capital. Please go ahead.

Mona Khetan: Yes. Hi, sir. Good evening and congratulations on a good set of numbers. So, firstly, on the margin front, so of the 100 bps of repo cut that has happened, how much is reflected in the yield reduction currently or how much is factored in the margin?

R. Vijay Anandh: We have passed the repo rate cut to everyone, to all the customers. So, we are at 9.93% in Q4 '24-'25. and has moved to 9.81% in '25-'26 Q1.

Mona Khetan: Right. So, of the 100 bps, is the first 50 bps fully reflected and the next 50 bps yet to reflect in the yield in the subsequent quarter?

R. Vijay Anandh: We have done it in June. So, we are more or less there in this.

Mona Khetan: Okay. So, the second 50...

R. Vijay Anandh: That is the math I gave in the first question. So, my advances repricing has brought down INR135 crores to me. My deposit repricing has given me a gain of INR64 crores.

So, INR135 minus INR64 crores is INR71 crores is my net impact. And over and above

that, I will have the Q2 repricing happening for my deposits. So, broadly, we were in the range of INR3.6. This should give me a INR3.5 margin for us.

Mona Khetan: Got it. But I am just trying to understand, despite having a large share of EBLR loans, why is the yield reduction very limited? I mean, what is helping you here?

R. Vijay Anandh: So, before I give that, if you have given the finer pricing earlier, reduction will be low to that extent, number one. Number two, to answer your question, our EBLR is currently at INR48, fixed is INR30 and MCLR is INR17. So, our EBLR is only 48% of my book as we speak today.

Mona Khetan: Okay. Got it. And just secondly, on the SMA2, you mentioned, what is the current number? I missed that. And what was it last quarter?

R. Vijay Anandh: SMA2, the total advance is at 1.59% in 1QFY26 as compared to 2.22% earlier.

Mona Khetan: In Q4?

R. Vijay Anandh: In Q1.

Mona Khetan: And what was the same in Q4?

R. Vijay Anandh: We were almost in the same range, more or less.

Mona Khetan: Okay. All right. Thanks and all the best.

R. Vijay Anandh: In fact, we have come down a little bit, which is very marginal.

Moderator: Thank you. The next question is from the line of Hardik from ICICI Securities. Please go ahead.

Hardik: Yes. So, I mean, how should we look at your margins for the next quarter? Like, this is a 6 basis points margin declared in the quarter. And probably 50 basis points of repo rate current should be, you know, for 2 months it should be pending, right, to be reflected. So, for the next quarter, how should we look at your margins?

R. Vijay Anandh: Well, overall, we have said that we will be around 3.5 for the year. Next quarter we should, that is this quarter, Q2, we should be around 3.45 to 3.5. That's the number which we are looking at. And probably in Q3, we will be around 3.55 and Q4, we should be around 3.55 to 3.6.

Hardik: Okay. That's helpful. Sir, was there any one-off in net interest income in this quarter?

R. Vijay Anandh: Nothing, sir.

Hardik: Okay. And so, this final question is, sir, how do you look at your PCR? I understand that you have increased it, but, you know, it is still at around 60%. So, what is your PCR target for, let us say, like FY '26 or FY '27?

R. Vijay Anandh: There will not be much. We will be around 61 now. We could move to 63, 64 max because, you know, it's completely a secured business, whatever we are doing. We have negligible unsecured in our book. So, probably 63 to 64, we can look at.

Hardik: Okay, okay. Thank you. That's all from my side. Thanks.

Moderator: Thank you. The next question is from the line of Sonal Minhas from Prescientcap Investment Advisors. Please go ahead.

Sonal Minhas: Hi, sir. I am Sonal Minhas. I wanted to understand the reason for increasing the provisions in this particular quarter. Anything specific or this is just specific to Q1 provisions being on the highest side?

Management: So, we did -- actually, the provision towards bad debts got reduced from 78 to 70 for the current quarter, whereas the tax provision remains in the range of 75. We made 145 for the current quarter.

Sonal Minhas: Okay. So, nothing to read on the bad debts in terms of provisions?

Management: No, no. No, sir.

Sonal Minhas: Got it, sir. Okay. Sir, second, I wanted to understand the segmentation of the advances growth. Is this incremental growth of being from early teens to mid-teens largely attributable to the new verticals you have entered or this is largely working capital, cash and credit loans that is basically seen a higher rate of growth? So, what can we attribute the higher?

R. Vijay Anandh: I think I did give my number on retail. We did around only INR825 crores in retail. And mostly it is MSME growth what we used to do before and a JL. JL and MSME. So, our heart remains same. The JL is around INR700 crores. Retail is around INR825 crores and rest everything is MSME.

Sonal Minhas: Got it, sir. All right. That's it my side. Thank you.

R. Vijay Anandh: Thanks.

Moderator: Thank you. The next question is on the line of Parth M. Gutka from B&K Securities. Please go ahead.

Parth Gutka: Yes. Hi, sir. Thanks a lot for the opportunity. Sir, my first question is what is the credit cost guidance for FY '26? Now, this is in the light of because we are hearing that southern regions, there are some delinquencies coming up in Micro LAP and LAP

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portfolio and both within secured and unsecured. So, can you just throw some light on that? What are we hearing on the ground? Yes, sir.

R. Vijay Anandh: Sir, we have just launched retail, you would be aware. And this is our second full quarter and it's too early for us to comment anything on the delinquency because as of now, we are not seeing anything. And to answer your question for the credit cost for the year, we should be somewhere between 0.2 to 0.25.

Parth Gutka: Okay, okay. Thanks a lot.

Moderator: Thank you. The next question is on the line of Himanshu Taluja from Aditya Birla Sun Life AMC. Please go ahead.

Himanshu Taluja: Sure, sir. Thanks a lot for the opportunity and congrats on a good set of the numbers. Sir, can you just throw some perspective on your MSME segment? Are you seeing any signs of stress in the segment and anything to read from a southern because we got to hear from some of the con calls that probably some of the southern states are showing some bit of the higher delinquency trends? Can you put some perspective around that? Would be very helpful.

R. Vijay Anandh: Sir, if you talk about MSME, we are completely secure. We do not give any unsecured MSME, number one. Number two, as of now, our SMA-0-1-2, as we speak, is currently holding and we don't see any issues as of today.

So, whatever the commitment I am giving is basis today's number. And as I said, SMA-2 is 1.59% of my advances, we just come down from 2.22%. And even from Q4, it is more or less flat or marginally down. So, we don't see much issue on MSME secure front, whatever we are.

Himanshu Taluja: Sure, sir. Thanks a lot. Thanks.

Moderator: Thank you. The next question is on the line of Krishnan ASV from HDFC Securities. Please go ahead.

Krishnan ASV: My questions have largely been answered. I just got one query. This is pertaining to just the demand environment within MSME. There has generally been a feeling that working capital requirements are pretty low because inflation is pretty benign. Just wanted to understand what you are hearing, what you are sensing from the ground, what your RMs are actually telling you?

R. Vijay Anandh: The market as of now is flat, I would say. So, when we meet the existing customers, some of the industries are doing well and some are looking flat. And based on the requirements, we are also analyzing and we are taking the exposure of the call. Even for the new-to-bank customers, we are looking at the business prospects and what kind of industry is operating and how is it going, and what is the demand.

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And really, is there a need for working capital and what is going to be capex before we are taking the final call? As of now, the message from my existing-to-bank customers, we have not seen anything unusual. So, looks like it's stable and on track.

Krishnan ASV: I guess I am asking you because you kept highlighting that retail is relatively new only in the second quarter. Jewel loans remain where they were. A bulk of your credit growth has come on the back of MSMEs. But given that we are in a benign period, I was just wondering, are there any early signs about this growth beginning to taper off?

R. Vijay Anandh: That's what I said a couple of minutes back, sir. The matrix is holding. We do not see any unusual pattern in our matrix, whether it is SMA0 or 1 or 2. Probably, if something is not working as per our prediction or as per our plan, we could have switched off the engine. But we did not see anything as we speak as of today.

So, our monitoring is very close and very frequent. And probably every month we go back and check whether things are looking fine and it is well, well within the budget.

So, we don't see anything for your question, sir, as of now.

Krishnan ASV: No, sure. Thanks. I think probably, I mean, can get in touch with you offline, with you

to be offline, because I was trying to address the growth component, not the stress. But anyway, I will come to that later. The second issue was around all these tariffs. The noise that we are hearing around tariffs, generally seems a lot centered around the textile industry. Given our exposure to that industry, what is the sense you are getting there, sir?

R. Vijay Anandh: So, we came to know last night, last evening, and we immediately reached out to our customers. We have quite a good exposure there in textiles, as you rightly mentioned. Few of our customers are more Europe-oriented and out of my total exposure, only 20% of the customers seem to be with the US. And having said that, their profit margin should get compressed by 2%-3%. That's the number which they are saying on this tariff. So, nothing alarming.

So, we have around INR1,000 crores-INR1,200 crores in our total exports. And out of that, even if I take 20% and the margins, they are saying, when we did have a discussion in the morning with few of the seasoned guys and who does a decent export, their version is 2%-3% compression, nothing beyond that. And most of the players have started focusing on European segments now, so, to diversify the risk. So, I think it's broadly, I would say, flat and nothing much to worry, because materialistically, it is not a big number for us.

Krishnan ASV: Understood. Thanks. This answers my question. Thank you.

Moderator: Thank you. The next question is from the line of Himanshu Taluja from Aditya Birla Sun Life AMC. Please go ahead.

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Himanshu Taluja: Sir, thanks for the opportunity. Again, just one question. If you put some perspective on the retail portfolio that you are building, currently what I can see is the housing and the personal loans. Can you put something, how much is the pure housing loans and the LAP portfolio and what is the blended yield of your housing portfolio?

R. Vijay Anandh: Sir, no personal loan. We do only home loan and LAP. No personal loan.

Himanshu Taluja: Okay.

R. Vijay Anandh: There is no personal loan. We don't do unsecured loans. We do only home loan and LAP. I have not taken it separately. Probably when I meet you, I will give it to you in person or probably I'll send it separately and send it across.

Himanshu Taluja: What is the blended yield that you have on the home loans and the LAP together?

R. Vijay Anandh: Home loan and LAP put together, we could be around 9.8, 9.85.

Himanshu Taluja: And any other plans to get into any of the other retail segments that you are trying to look at?

R. Vijay Anandh: No, sir. We have a huge presence in rural and UBR branches. So we want to get more active there in terms of affordable housing or home loan because basically we are doing branch-driven sourcing. As they said earlier, my DSA business is only 20%, 80% is coming from my home branches. So that strategy is still there. We have not changed our goalpost. So 80-20, as we speak, out of INR825 crores, INR160 crores alone has come from DSAs and direct. So we will also get into affordable and Micro LAP to our home branches.

Himanshu Taluja: Yes, sure. Thanks a lot.

Moderator: Thank you. The next question is from the line of Param Subramanian from Investec. Please go ahead.

Param Subramanian: Yes. Hi, sir. Thanks for the opportunity and congrats on the quarter. Sir, I just wanted to understand from your MSME exposure, how much of the book is exposed to say exporting MSMEs? And do you see any signs? So of course, you know, textiles is one of the biggest sectors for us. But do you see any pressure that could come through from some of the announcements that are coming through today, for example? Yes.

R. Vijay Anandh: I think we just discussed INR1,000 crores-INR1,200 crores is my total exports. And say 20% is broadly with respect to US. So majorly textiles and we did have a candid discussion with our good customers who do a very decent business. So their version is -- most of them have migrated, I mean, moved their risk to European markets. And 20% who are doing with US, their view is that 2%-3%, there could be a margin compression. Beyond that, they don't see anything big negative in this. And anyway, our numbers are quite less, by the way.

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Param Subramanian: Okay. So INR1,200 is the total exporting...

R. Vijay Anandh: Correct.

Param Subramanian: Exposure?

R. Vijay Anandh: Business out of the 20% is focusing on US market.

Param Subramanian: Okay. And this is within textile or this is across your MSMEs?

R. Vijay Anandh: Broadly textiles, sir. Textiles is major for us.

Param Subramanian: And others would not have any...

R. Vijay Anandh: Very very less, maybe carbon kind of stuff. Not a big number.

Param Subramanian: Okay. Fair enough. That's all I wanted to ask. Thank you and congrats on the quarter.

R. Vijay Anandh: Thank you, sir.

Moderator: Thank you. The next question is from the line of Bunty Chawla from IDBI Bank. Please go ahead.

Bunty Chawla: Good to listen, sir. And thank you for giving me the opportunity. Can you share some thought process on the fresh slippages of INR196 crores? From which segments have come? If you can give some bit of light on that.

R. Vijay Anandh: Okay. One second. MSME is 148, out of 196.

Bunty Chawla: And rest will be?

R. Vijay Anandh: Rest we have agri around 3%, CRE around 2%, educational loan around 0.7, which is again -- and all are very, very negligible numbers after that. Wholesale trade around 0.96%.

Bunty Chawla: Okay. And, sir, what we are observing, net addition has been negative up to Q3. From last two quarters, we are getting some bit of increase in net addition. For example, this quarter was around INR53 crores and last was INR20 crores. How one should see that number? Because we are targeting, it's always a number that should be higher than the slippage.

R. Vijay Anandh: I will answer in two questions, two parts in this here. For the current quarter, the total slippage is around INR196 and the recovery is INR187. So broadly, we are talking about INR9 crores difference. And as we said before, on an annual basis, our recoveries will be more than slippages. This is number one.

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Number two, if you see our slippages, our slippages has come down from INR259 crores to INR196 crores. From Q4 March to June, from INR259.49, to be precise, we have moved to INR196.28, which is INR50 crores reduction.

Bunty Chawla: Okay. And sir, lastly, on the PCR, if we calculate, it has quite drastically improved from last many quarters to 51% to currently 60.76% or roughly 61%. Where is our thought process to bring by end of FY '26 this number?

R. Vijay Anandh: We would be around 63%.

Bunty Chawla: 63%. That was very helpful, sir. Thank you and congratulations, sir.

R. Vijay Anandh: Thank you, sir.

Moderator: Thank you. The next question is from the line of Pritesh Bumb from DAM Capital. Please go ahead.

Pritesh Bumb: So few questions. One is on the yield perspective. Basically, wanted to check what is the risk on time for our working capital loans? I mean, just wanted to check how much pass on has happened, how much will it be?

R. Vijay Anandh: The rates were fully passed on. My EBLR is at 48. My fixed is at 30, 78 and remaining is MCLR. My yield was passed on.

Pritesh Bumb: Just wanted to check, although they are on EBLR, is there any reset or is it happening on T+1?

R. Vijay Anandh: See, the passing is based on the finer pricing. So the passing will happen based on the pricing what we have given. So to answer your question, our repo rate passing has finished and we have done with the customers. So net-net, that's what I've been giving the math.

In terms of advances, my negative is INR135 crores, my deposits, because of my reduction in rate, positive is INR64 crores. My net impact is INR71 crores as of now. My deposit repricing again is happening in the Q2 end. So effectively, I will have 11-12 bps cut. So that's the reason why we are saying we will be maintaining at 3.5 for the year.

Pritesh Bumb: Got it. Sir, but just on that question which I asked, basically what I wanted to check is generally the loans are for 1 year, right? Some working capital or cash credit can be for 1 year. So the reset happens immediately. Is that correct?

N.Kamakodi: If it is based on the EBLR, the passing on will happen immediately. For example, if we

had already given finer pricing earlier, let's say some amount of discount given in the past, based on that much amount of whatever related to that risk rating, EBLR-related

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rating is, say, for example, 10 percentage, which is I have already given 50 basis points consistent to the associated risk.

When 1 percentage reduction in the EBLR happens, the net impact to that customer will be only 50 basis points. You understand what I'm trying to say?

Pritesh Bumb: Yes.

Kamakodi: Finally, whatever that is, so like EBLR will come down by whatever percentage, but some amount of plus-minus will be there, depending upon the concessions given in the earlier period. Also, because of the composition of advantage, say, for example, close to 30 percentage of our loan book is from the gold loan, which is at the fixed rate. You also have MCLR. So, because of that, even if you have 1 percentage reduction in the overall EBLR, net impact will be only to that extent lesser, and that is what it has happened.

Maybe 5, 10 basis point extra can happen because some of the rate passing happened only in the June. They may not have impact for the entire quarter, but they will be having full impact for the second quarter. The question repeatedly came in the fourth quarter con call that, how are you certain that you would be able to maintain the margin of 3.5. We repeatedly explained this calculation, and we are sticking with that calculation even now.

Even after having the 50 basis point rate cut, which was front loaded, which we actually expected only towards the end of the current calendar year, even though it got implemented much earlier, we are still sticking with the expectations, which we shared during the last con call.

We expect, because we have a higher amount of repricing of deposits because of the maturity in the third quarter. So, the repricing of assets will be more in the second quarter, and that's why we say there maybe few basis point incremental reduction. But year as a whole, whatever expectations we shared in the last con call that we will be having 3.5 percentage, I mean, 3.6 plus or minus 10 basis point to be precise, whatever we said. So, we still stick with the margins predictions or expectations, whatever we shared during the fourth quarter last con call. It is very difficult to get into the individual basis point wise calculations. So, we gave you a broader categorization calculations based on the composition of the loan and how they pass on.

What I can say you now is that the EBLR reduction that need to happen because of the rate reduction, whatever that has happened so far, has already been given full effect to all our existing customers currently.

Pritesh Bumb: Got it. So, second question was on branches side. So, we've not added any branches this -- or maybe we added only one branch this quarter, and we have announced some

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branch additions on the in this quarter. So, what kind of a branch addition we should see in this full year?

R. Vijay Anandh: On an average, we have been doing 75 branches per year, and we should continue this. And Q2, Q3 will be more. In fact, as we speak in Q2, we have opened quite a substantial branches in the first week. So, we have already done with, I think, 8-10 branches, and we will continue with that. And we will be around 75-80 branches for the year.

Pritesh Bumb: Okay. So, the follow-up on that is that will we see some opex increase, because we'll have to, you know, add people, maybe, because the branch cross operational and all.

R. Vijay Anandh: Once we open the branch, apportionate expenses will be there, and we will be at 15% expenses would be there, and fine. That's very normal, whatever we do in terms of branch opening.

Pritesh Bumb: Got it, sir. Okay, sir. Thank you so much. Thank you. That was my question.

Moderator: Thank you. The next question is from the line of Gaurav Jani from Prabhudas Lilladher. Please go ahead.

Gaurav Jani: Thank you, sir. Congrats on the quarter. Just a question on the fee income. So, last quarter, we had some bulked-up fees because of, I think Bancassurance. And that has

actually probably come off this quarter. So, you know, that is number one. So, as to why there has been a reduction. And then, could we revert back to the previous level is my question. And I'll just come to the next part later.

R. Vijay Anandh: Sir, Bancassurance income is always very high on Q4, if you see. That's normally bound to happen. And with respect to the Bancassurance income, we are on target with what we have stipulated for Q1, Q2, Q3, Q4. I think this quarter, we have done around INR15.74 crores, to be precise. We moved from INR12 crores, we were at Q1 last year. And we have done INR15 crores this year. Last year, again, we moved from 12, 18, 16, 51. We expect the same trend to continue this year. We don't see any of that.

Gaurav Jani: Sure. And, sir, the next part is FY '25, right, versus FY '24. Because, obviously, of the kicker from the Banca, our fee-to-assets is improved by 10 basis points. What sort of a trend do you see that, you know, do you see a shaping up over the next, over the near to medium term, as to fee-to-assets as a percentage?

R. Vijay Anandh: We moved from INR54.64 crores to INR97.56 crores, sir.

Management: Proportional to the business?

R. Vijay Anandh: So, this is always directly proportional to the business. So, from INR54 crores, we have moved to INR97 crores. Now that we are having a 16% growth, we should exit with the decent numbers for the year.

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Gaurav Jani: Understood. No, sir, what I meant is the fee-to-assets ratio, as to how do you see that shaping up overall, from a near to medium term?

R. Vijay Anandh: Sir, this is not a materialistically big number for us. We did INR54 crores in '23-'24. As I said, we did INR97 crores in '24-'25. And, this increment is always, vis-a-vis my business, what I am growing.

Gaurav Jani: No. I'll probably take it offline.

R. Vijay Anandh: Yes, one minute I just want to add. Earlier, we had our relationship with only one insurance company, LIC. Last year was the first year when we had, for the whole year, we had a tie-up with multiple insurance companies. So, we had a quantum jump last year. It cannot be just extrapolated year after year. So, normally, the bank insurance income will be growing in proportion to the business growth and branch growth, and that usual growth, we hope it will be continuing for the current year also.

Gaurav Jani: Sure, sure, sir. I'll probably take it off.

Moderator: Thank you. The next question is from the line of Ajit Kabi from BNP Paribas. Please go ahead.

Ajit Kabi: Hi. Congratulations for a good set of number. I have the first question from the line item in provisions. So, the provision number this quarter is around INR700 million, out of which, you know, the write-off made in this quarter is around INR744 million. So, and in the provision stock, there is hardly any movement. In last quarter, it was INR985 crores. Now, it came to INR982 crores. So, is it fair to assume that whatever provisions made this quarter was towards the write-off and no additional specific provisions has made in this quarter?

Management: No, sir. Actually, we have written off probably in D2 and D3 accounts, which further, we made earlier provision towards 50 and 70 to 80 percentage. So, the balance amount only to be provided for the current quarter. And whatever the addition happened around INR180 crores in the quarter mainly consists of SSA, which needs around 15 to 25 percentage of provisions only. So, it's all based on the IRAC norms and whatever the requirement we provided.

Ajit Kabi: Okay. So, can you give little idea, we are getting the restructuring, the provision towards the restructuring assets. Any idea about the standard asset provisions and any contingent provisions we were making earlier? Any idea or can keep the number for those contingent provisions in the standard asset provisions?

Management: Whatever the provision we made towards the MSME restructuring, also non-MSME restructuring earlier 2 years back. Now, after completion of successful 12-month period of repayment, the provisions are now, we are getting back. So that we don't need to

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provide any additional provisions towards standard asset and whatever the requirement that's already provided off.

Ajit Kabi: Okay. So, that's nice. The second question is from that gold loan. The gold loan has seen a significant sequential jump this quarter. We can see the gold loan has improved around 11% sequentially. So, I just want to know these loans, whatever you have disbursed or sanctioned in this particular quarter, are they to the existing customer or any new customer is already added?

Because in this season we see the high gold rates and gold prices already moved to a upper level. So, I just want to know whether those particular loans is over-leveraging or the new customers are going to -- are added in this quarter?

R. Vijay Anandh: So, it's a combo of both existing to bank and new to bank and broadly, it will be 85, 15, kind of stuff between ETB and NTB, number one. Number two, in terms of LTV, it is very clearly documented. Regulatory, we cannot give more than 75%. That includes even the interest as well. So, when we start, we do with 67%, 68%. So, we have been doing this for the last so many years. So, it's not new to us. Hence, the portfolio is also holding and LTV is also well below the threshold limit.

Ajit Kabi: And the last question for me is in the personal loan that we have around 3% of that entire loan book, which -- what carries in this personal loan? I just understood that personal loan is not unsecured loan. So, what are those sort of segment of loans which are included in this particular segment?

R. Vijay Anandh: So, whatever we would have given to the existing MSME customers, we normally, we have a holistic relationship, we don't want them to go to some other bank, if he is married to us, because we are the sole bankers. So, we would have taken the call only for my existing to bank MSME borrowers. We don't do personal loans for new to bank customers.

Ajit Kabi: That's it from my side. Thank you.

R. Vijay Anandh: Thank you, sir.

Moderator: Thank you. The next question is from the line of Krishnan ASV from HDFC Securities. Please go ahead.

Krishnan ASV: Thanks for taking this again. I just wanted to go back to the query around EBLR. I mean, I could understand the math that you shared. Generally, conventionally, the way we think about it is we have 48% EBLR portfolio, 100 basis points that RBI reduced. Ideally, your yields would come off by INR48. Whereas what you're saying is, since you had given some borrowers a certain concessional pricing earlier, your pass through can be lower. And is that how you articulate it? Have I understood it correctly?

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Management: Yes, you are right, Krishnan.

Krishnan ASV: Okay. And so, if you gave me a concessional rate earlier, the RBI would have no problem with this kind of a pricing? I mean, I'm just trying to understand, is there a reason? Are we running a regulatory risk?

N. Kamakodi: No. This is running for the past, like say, at least 10 years since the -- I mean, almost 7, 8 years since that this sort of things come. So far, no regulatory concessions, things have been raised.

Krishnan ASV: Got it. Understood. I was just asking because the EBLR is a relatively recent phenomenon, last 4, 5 years. And so, I was wondering if...

Management: There is something called a strategic discount. When have a finer pricing and all, depending upon the competition and all, sometime there will be requirement at a different time period. So, those things normally, like say, get adjusted. I mean, this is like something like the discount is front loaded. So, when the rates decreases subsequently, those things get adjusted.

Krishnan ASV: Got it. Got it. Understood. This was the only thing. Thank you. Thank you, sir.

Moderator: Thank you. The next question is from Chinmay Nema from Prescient Capital. Please go ahead.

Chinmay Nema: Good evening, sir. I just have one question. Could you talk about the competition that you see from large private banks on the MSME side?

N. Kamakodi: The competitions had always been there and they will always be there. With all the competition only, we also need to thrive, which we had been doing from 1904.

Chinmay Nema: So sir, in terms of service quality metrics like turnaround time, typically, how do you differ from other banks in this space?

N. Kamakodi: See, as I had been repeatedly saying in my multiple con calls, this is basically a commodity business and you need to continuously convince the customer that you are providing service for whatever price he is paying.

Chinmay Nema: Got it. Understood. Thank you.

Moderator: Thank you. The next question is from the line of Jai from ICICI Securities. Please go

ahead. Jai, are you there? As there is no response on the participant, I now hand the conference over to the management for closing comments.

N. Kamakodi: So, thank you all for attending the conference call over here. So, when I was hearing, the bulk of the questions were particularly on growth, whether we will be having mid-teen or plus two or whatever it is. We are just giving a broader expectations.

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What I have to clearly say is that as of now, everything is looking pretty good. So, the acceleration in the growth is pretty visible. Profitability, for the first time, we have crossed INR300 crores mark for the quarter. The slippage also has sequentially reduced from the fourth quarter. Even though you listen from multiple corners, that there are issues, so far we have not facing that, but we are very closely monitoring the situation. It gives us sufficient comfort that we should be able to maintain the growth rate and probably maintain the profitability as we move forward.

The margins should stabilize from the third quarter and also we have to increase the CD ratio and also you have the CRR rate cut. To that extent, if we are able to move, there will be further strengthening of the margins. There are enough levers to improve the margins if we are able to increase the thing. Earlier, there were issues of the LCRs and all, a lot of constraints on the liability side, which have been removed. Many uncertainties in the gold loans have also been taken out from the recent circular. So, there are enough opportunities now.

Moreover, currently, gold loans, particularly, are looking extra lucrative because yields are also supporting and it's also coming in the fixed rate, not getting affected by the decreasing interest rate scenario. Considering everything, I think the financial year should be progressing with a lot of positive hope. So, we are at the same time, because of the 25 percentage tariff now announced by the US or the other caution given by a few financial companies, particularly on the Karnataka and all. I mean, we have a little exposure in Karnataka.

But overall things look extremely positive, be it in terms of growth or be it in terms of the profitability. And we hope to complete this year in a decent way, both in terms of growth and also in terms of the quality. If at all, any changes in the pattern, we will be continuing to discuss with you during the forthcoming con calls.

So, in that background, to sum up, things are even shade better than what we anticipated maybe 6 months back. Things are turning out to be much positive and we hope this positivity will continue for the foreseeable future.

With these words, I once again thank you all for participating in this con call and hope to meet you all with better quarters in the future, be it in after September or December and March onwards. So, once again, thank you all and thanks for AMBIT for arranging this conference and thanks for all of you for attending this. And once again, we welcome you for attending our annual general meeting. Thank you all.

Moderator: Thank you. On behalf of AMBIT Capital, that concludes this conference. Thank you for joining us and you may now disconnect your lines.

Call: Nov 2025

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C. O/Sh a res l LR-s | 2025 -26

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Dear Sir / Madam,

Sub: Transcripts of the Earnings Conference Call - Q2 & H-I FY2026

Pursuant to Regulation 46 of SEBI (LODR) Regulations, z}ts (as amended), the Bank has hosted in its website the transcript of Earnings Conference Call- Q2 H1-FY2026, with regard to the Standalone Un-Audited Financial Results for Quarter & Half year ended September 30, 2025, as approved by the Board of Directors of the Bank, on November 03, 2025. The weblink is given below;

<https://www.cityunionbank.bank.in/filemanager/Nov25/EARNINGSTRANSCRIPTS2QHIFY26.pdf>

Kindly take the same on record

Thanking you

Yours faithfully

for CITY UNION BANK LIMIED

Venkataramanan S

Company Secretary

'NARAYANA" Administrative Ofiice, No.24-8, Gandhi Nagar, Kumbakonam - 612 001

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"City Union Bank Limited 2Q & 1H FY26 Earnings
Conference Call"

November 03, 2025

MANAGEMENT : DR. N. KAMAKODI – MANAGING DIRECTOR & CHIEF
EXECUTIVE OFFICER, CITY UNION BANK LIMITED
MR. R. VIJAY ANANDH – EXECUTIVE DIRECTOR, CITY
UNION BANK LIMITED
MR. V. RAMESH – EXECUTIVE DIRECTOR , CITY UNION
BANK LIMITED
MR. J. SADAGOPAN – CHIEF FINANCIAL OFFICER,

City Union Bank Limited
November 03, 2025

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Moderator: Ladies and gentlemen, good day, and welcome to City Union Bank Limited 2Q and 1H FY26 Earnings Conference Call.

As a reminder, all participant lines will be in the listen-only mode, and there will be an opportunity for you to ask questions after the presentation concludes. Should you need assistance during the conference call, please signal an operator by pressing '*' then '0' on your touchtone phone. Please note that this conference is being recorded.

I now hand the conference over to Mr. Jignesh Shial. Thank you. And over to you, sir.

Jignesh Shial: Thank you, Bhoomika. And good evening, everyone. On behalf of Ambit Capital, I would like to thank the Management of City Union Bank for allowing us the opportunity to host this 2QFY26 and 1HFY26 Earnings Call.

We have with us Dr. N. Kamakodi – MD & CEO; Mr. R. Vijay Anandh – Executive Director; Mr. V. Ramesh – Executive Director; and Mr. J. Sadagopan – CFO.

I will now hand over the call to Dr. N. Kamakodi, MD & CEO of City Union Bank, for his opening remarks. Over to you, sir.

Dr. N. Kamakodi: Good evening, everyone. Hearty welcome to all of you for this Conference Call to discuss the Unaudited Financial Results of our City Union Bank for the 2nd Quarter and Half Year Ended 30th September 2025. The board approved the Results today, and I hope all of you have received the copies of the Results and Presentation.

As you may recall, our Bank had celebrated our 120 years of “Swadeshi Banking Legacy” on 2nd September 2025 in the august presence of the Honorable President of India and the Honorable Finance Minister. The function also had the gracious presence of the Honorable Governor of Tamil Nadu and the Honorable Minister of Tamil Nadu. I take this opportunity to thank all our customers, dignitaries, stakeholders, and all who have devoted their valuable time to attend this function and make this function a grand success. The speech of the Honorable President of India is published on the official website of Rashtrapati Bhavan, and the link is provided in our Investor Presentation. Also, a link to our video recording of the function is given in the presentation.

As you may have also observed, Bank celebrated its 122nd Foundation Day on Friday, 31st October. And as you all know, the Bank received the Certificate of Registration on 31st October 1904, which is celebrated as the Foundation Day.

With these opening remarks, I hand over the mic to E.D. Shri Vijay Anandh to take the discussions further.

R. Vijay Anandh: Thanks a lot, sir. Good evening.

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During the last con call, we shared with you our expectations for the current financial year as below:

■ With our best efforts, we have accelerated the growth to mid-teens. We will continue to explore various avenues of advanced growth in addition to our core strength of MSME.

■ With a growth engine up and running, we could see visibility in achieving mid-teen growth at least 2-3% over and above the industry.

■ Our deposit growth is also back on track and aligning with credit growth. We were expecting the NIM in the range of 3.5%.

■ ROA to be expected in the range of the current level of 1.5%. We will achieve our PAT growth with the help of better asset quality, and our cost-to-income ratio will be in the range of 48 to 50. These were the expectations that we shared.

For the current quarter, half a year ended, our performance is in tune with our expectations.

And in some parameters, we have exceeded our expectations.

We have registered 18% advance growth in Q2 FY'26 year-on-year. And our advance increased to INR 57,561 crores from INR 48,722 crores in Q2 FY'25. The positive momentum in growth achieved during the start of FY '24-'25 had geared up, and we have achieved double-digit credit growth in all four quarters of FY '25 and also up to H1 FY '26. In Q2 alone, our advances had grown by over 3,500 crores, which is close to 7% in a single quarter. Also, the growth of 18% is the highest credit growth achieved in Q2 in the past decade. Our secured Retail portfolio is also growing in a steady manner, and this will improve the credit growth along with our core MSME going forward.

Deposits

Our deposits have grown by 21% and stood at INR 69,486 crores for Q2 FY '26 as compared to INR 57,369 crores in Q2 FY '25. Our deposit had increased by INR 3,700 crores or 6% growth sequentially. Our average CD ratio for Q2 FY'26 stood at 83%. The cost of percentage to total deposit increased marginally to 28% from 27% in first quarter.

Asset quality

On the asset quality front, as we had stated earlier, the trend of recoveries over and above slippages is continuing. For Q2 FY'26, the total slippage is INR 156 crores, while the total recovery is INR 303 crores, consisting of INR 250 crores from live NPA accounts and INR 53 crores from technically written off accounts, resulting in negative credit costs.

Our gross NPA percentage had reduced to 2.42% in Q2 FY '26 from 2.99% in Q1 FY '26. Both gross NPA and net NPA, that is, in both percentage and absolute terms, are reducing quarter-by-quarter for the last 10 quarters continuously.

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When compared to Q2 FY'25, the GNPA has reduced from 3.54% which is a 112 bps reduction. Similarly, our net NPA number had reduced to Rs.513 crores And net NPA percentage is now at 0.90% in Q2 FY '26 as compared to 1.62% and the reduction is 72 bps year-on-year. Net NPA has come below 1% after 46 quarters. It was 0.89% in Q3 of FY 2014.

Our overall SMA, including SMA0, 1 and 2 put together, used to be in double digit in the earlier past. But the numbers started decreasing starting from Q2 FY'24. In our Q3 FY'25 con-call, we had stated that it had come down to single-digit numbers. For the current quarter, the total SMA numbers stood around 5.60%, showing significant improvement.

Our slippage numbers have also shown substantial improvement since last financial year, and it has reduced in the current quarter as well. Overall, SMA2 to total advance stands at 1.34% in Q2 FY'26 as against 1.59% in Q1 FY'26. In the corresponding period last year, i.e., Q2 FY'25, it was at 2.03%.

In our last con-call, we also stated that we do not foresee any sudden spike in stress despite the uncertainty among multiple financial institutions on the asset quality front in the background of U.S. tariffs. We want to reiterate that our exposure to U.S. exports is around INR 154 crores, covering textile, food processing, gems and jewelry, and metal industries, etc., which are the major exporting industries to the U.S.

The exposure to U.S. exports is 0.27% of our loan book, and hence, we do not foresee any material impact on the asset quality due to U.S. tariffs. Of this, the textile segment is a major exporter to the U.S., and the exposure towards the U.S. is around 0.12% of our loan book. Our discussion with these customers gives us enough confidence that there is no significant threat to the account since they are pursuing other countries.

PCR

For Q2 FY'26, PCR with TW stood at 82% which has improved from 75% last year. From Q1 FY'25, we had been increasing our PCR without TW to bring it closer to the industry levels. Hence, PCR without technical write-off had improved to 63% which had improved from 55% last year.

Interest Income

Our interest income had grown by 15% in Q2 FY'26 and increased to INR 1,653 crores from INR 1,434 crores in Q2 FY'25. Our yield on advances reduced from 9.81% in Q1 FY'26 to 9.66% in Q2 FY'26, which is 15 bps. For H1 FY '26, the same is 9.73% as against 9.70% in the similar period last year.

On the other side, the cost of deposits has reduced by 24 bps sequentially, which is much higher than the anticipated level of 10 bps to 12 bps. Thus, our NIM has increased from 3.54% in Q1 FY'26 to 3.63% in Q2 FY'26. Even though we had an expected NIM level of 3.45% to 3.5% for

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Q2, faster repricing of deposits and migration to fixed rate of gold loans have resulted in a stable NIM. Also, some of the high-cost refinance borrowings matured and were repriced at a lower cost. During Q3 and Q4, we expect a stable NIM with positive bias.

Other income

The total other income for the year has increased by 20% from INR 418 crores in H1 FY'25 to INR 503 crores in H1 FY'26. Loan processing charges, suit recoveries, income from treasury and insurance commission are the major contributors to other income growth. For the current quarter, we also had interest from the IT refund.

Our operating profit had grown by 15% in H1 FY'26, or stood at INR 922 crores, compared to

INR 802 crores in the corresponding period last year. The total PAT for H1 FY '26 is INR 635 crores as against INR 550 crores in the H1 FY '25, showing 15% growth. For Q2 FY '26, PAT stood at INR 329, as against INR 285 crores in Q2 FY '25, which works out to 15% growth.

Cost-to-income

Our cost-to-income ratio for Q2 FY'26 stood at 49.16% as compared to 48.12% in Q1 FY'26. For H1 FY '26, it stood at 48.66% as against 48.15% for H1 FY '25. We expect the cost-to-income ratio to hover around 48% to 50% for Financial Year '26 as per our earlier communication.

ROA

Our ROA for Q2 FY'26 is at 1.59% compared to 1.55% in the last quarter. ROA is over and above our long-term level of 1.5% since Q1 FY'25, and it is very stable. Our Bank has secured a commitment of USD 50 million from IFC. It is a three-year term loan with a bullet repayment option. The proceeds shall be used to support MSMEs in their efforts to transition to energy-efficient and cost-effective solutions, primarily in the renewable energy space, which is solar or wind. With this, we take part to support India's efforts to accelerate the transition to carbon net zero by 2070.

During the current year, we have financed more than INR 500 crores so far, and expect to build a book of renewable energy by INR 2,500 crores in the next 24 to 30 months. This strategic partnership with IFC shall help us to focus on our sustainable finance efforts.

To sum up:

Our continued efforts so far have helped us to achieve consistent double-digit growth for the past six quarters. In addition to our core strength of MSME gold loans, we will be venturing into new avenues to keep the momentum in growth. We are confident that we will surpass the industry-level growth in the future.

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Our deposit growth is aligning with credit growth, and it is expected to continue. CRR cut is giving a positive impact, and we are expecting some positive bias in the NIM during Q3 and Q4. ROA is expected to remain at our current level of (+1.5). Our cost-to-income ratio remains in the range of 48% to 50% for FY '26.

Thanks a lot. Open for questions.

Moderator: Thank you very much. We will now begin the question-and-answer session. The first question comes from the line of Parth Gutka from B&K Securities. Please go ahead.

Parth Gutka: So, you were mentioning that you are entering into new areas like renewable energy, where we are creating a book of INR 2,500 crores. What are the factors we are considering while underwriting these loans? Are all these loans secured or unsecured in nature? That was my first question.

Second, what was the differential? You also mentioned that some of the borrowings matured during the quarter. What was the rate of interest? These are my two questions.

R. Vijay Anandh: The second question is not clear. You got dropped in between. If you can just repeat your second question, please.

Parth Gutka: So, I was mentioning that certain parts of the borrowings were matured during the quarter. What was the rate of interest on those borrowings?

R. Vijay Anandh: To answer the first question, it is not a new area. We have been funding solar. That is why we mentioned in the call that we have financed more than INR 500 crores, which is a completely secured book for the existing Bank customers. And we continue to build this book. And that is what we mentioned. We plan to take this book from INR 500 crores to INR 2,500 crores, mainly for existing customers, in the next 30-month period, which is 2.5 years from now.

With respect to the second question, our INR 800 crores of borrowings have come down from 8% to 6.5%.

Moderator: The next question comes from the line of Rohan Mandora from Equirus Securities. Please go ahead.

Rohan Mandora: Sir, I just wanted to understand the credit growth that we are seeing. Which segment is this coming from, and how are we originating these loans?

R. Vijay Anandh: These are completely branch distributions. As you are aware, we don't use third parties for our MSME sourcing. It is completely branch-driven, and JL is also completely branch-driven. With respect to Retail, we have 10% sourcing from third party and 90% is completely branch driven. So, to answer your question, only part of Retail, which is 10% is from the third party.

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Rohan Mandora: And in terms of where the customers are getting on board in the SME space, like where are you,

are these all takeovers from other banks, or is this organic growth which is coming in terms of higher credit demand from existing customers? How should one look at it?

R. Vijay Anandh: It is a mix of both, sir.

Rohan Mandora: And sir, just on the recoveries, we have been showing a negative net slippage consistently for the past many quarters. What is the outlook in terms of being able to maintain this kind of run rate for the next few quarters?

R. Vijay Anandh: We were thinking till Q2, but it looks like we might get into Q3 and Q4 as well.

Rohan Mandora: So, this year, the second half, we should again see negative net slippage.

R. Vijay Anandh: Yes.

Rohan Mandora: And sir, if you can, then in that backdrop, guide us, like, with the ECL, you have made some ECL provisions this quarter. So, what changes in terms of your credit cost outlook for the next year because you started making some ECL provisions? So, how should one look at the steady-state run rate on credit cost after you move and migrate to ECL? And any assessment on the one-time impact?

R. Vijay Anandh: You are asking about the provisioning, what we are going to make in the next year. So, okay, let me give you a brief on ECL then. Just give us a couple of minutes. So, I will try to give our perspective. We are getting ourselves prepared for ECL computations. We made certain broader assumptions. And we have just tried to do the back-of-the-envelope calculations. So, unless we get specific guidelines in the final circular, most of the calculations are still in the fluid stage. For example, at the same time last year, we had a double-digit SMA. We have seen a 50% reduction in SMA stock. The impact of the reduction in SMA contributes to a huge reduction in ECL provisions. Even the reduction of SMA from Q1 to Q2 resulted in a substantial reduction of ECL provisioning requirements.

So, let me go stage by stage as well to the ECL draft guidelines. Just to outline the very, very broad assumptions, again, at the back-of-the-envelope calculation we made. We have done this with the principle that approximately right is better than accurately wrong. So, let's start with Stage 3, which is the NPA bucket as per current IRAC norms. When we look at this bucket, we don't see any significant difference in the additional provisioning requirement as of today. This is on Stage 3.

With respect to Stage-2, which is mainly of SMA1 and SMA2, the restructured loans and un-availed in these respective buckets of SMA1 and 2. If we look at our trend on both SMA and restructured portions, we are witnessing a significant fall in our SMA numbers. Number one.

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Number two, our restructured book has come down significantly over the past few years. Just to give you a background, it was around INR 2,248 crores in FY '21-'22. We are down to INR 593 crores as we speak today. Accordingly, our expectation is that the restructured book would be negligible when ECL comes into force. This is on Stage 2.

So, for Stage 2, currently we hold a provision of INR 100 crores as per IRAC norms. When we adopt the model of PD-LGD as per ECL guidelines, we envisage some incremental provision that would be required for this bucket.

With respect to Stage-1, it is majorly standard assets. As per the current IRAC, provisioning requirement varies from 0.25% to 1%. But the new ECL has a floor for this bucket. For the Stage-1 standard assets, the Bank has the IRAC provision requirement of 48 bps, and if we adopt the ECL calculation towards Stage-1 assets, we might require 10 to 20 bps additional provision by taking into consideration the new ECL norms, where we need to make a provision for the bucket, which is mainly for unavailed portion as well as non-funded items.

Also, as per ECL, standard asset provisioning will be based on the PD-LGD model. Due to the above, we will have some impact on the provisioning. But if you look at our last 10-year slippage and credit cost, the average credit cost is around 114 bps. So, technically, if you see the recovery from technical write-off pool, it comes down to 80 bps since our historical recovery rate is in the range of 60% to 70%. Again, sir, this is broadly at the back-of-the-envelope calculation. And the exact number will be ascertained only after the final guidelines come into place.

Rohan Mandora: This was helpful.

Moderator: The next question comes from the line of Anand Dama from Emkay Global. Please go ahead.

Anand Dama: Sir, first, I mean, you had a margin expansion during this quarter. I think there was some non-core part as well because the future margins have expanded. What is that contribution in terms of margin expansion, if you can explain?

R. Vijay Anandh: One is the deposit rate coming down. So, the cost of deposit has come down from 5.95 to 5.71. This is first, sir.

Anand Dama: I think you had talked about some interest in IT refund, and I think your investments that is also coming on the high side.

R. Vijay Anandh: That is in other income. Almost the same. We had H1 last year, INR 35 crores. Again, this year, INR 33 crores.

Anand Dama: So, there is no other extra interest income during this quarter, because of which margin expansion has happened. Is that the right understanding then?

R. Vijay Anandh: Right.

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Anand Dama: So, which means that your margin expansion could sustain because I think you guided that your margins could be upwards of 3.5%, right, here on?

R. Vijay Anandh: Exactly right. Bang on.

Anand Dama: So, that is great to hear. And sir, secondly, in terms of credit costs, is it possible for you to guide now? Because you said that the net slippages are in a negative zone. And you expect that to continue at least for the next 2 to 3 quarters.

R. Vijay Anandh: Next 2 quarters, we envisage recoveries to surpass slippages.

Anand Dama: So, in that case, how should we look at credit costs for FY'26 '26 and also, if you can just talk about a broader outlook on the credit growth?

R. Vijay Anandh: Credit growth, as we said before, we would be 2% more than industry growth. So, we want to stick to that. In terms of credit cost, it will be stable.

Dr. N. Kamakodi: See, it depends upon how we want to have the net NPA and all. It will be a comprehensive call. So, the only thing that we have a clear-cut visibility on is that we will be having our recoveries more than the slippages, as we have seen in many quarters. So, that trend could continue for a few more quarters. How much we provide, what is going to be our target net NPA, all these things we will be taking a call as and when it comes.

Anand Dama: That's helpful, sir.

Moderator: The next question comes from the line of Jai Mundhra from I-Sec. Please go ahead.

Jai Mundhra: Sir, first question is, in the net interest income, do we have any component of recovery, NPA recovery that goes into NII?

R. Vijay Anandh: Yes, INR 15 crores.

Jai Mundhra: In this quarter, right? And why would that come, sir? I mean, INR 15 crores, where you have recovered more than the principal, or how does it work?

R. Vijay Anandh: Hang on, more than the past.

Jai Mundhra: And how much was this, sir, last quarter? Because I mean, we have a very good recovery this quarter.

R. Vijay Anandh: It was half of that, almost.

Jai Mundhra: So, around INR 7.5 crores.

R. Vijay Anandh: To be precise, I think it was INR 7 crores. And this quarter, it is INR 15 crores.

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Jai Mundhra: Secondly, sir, when you know, I mean, you are doing very well on growth. On the spread basis, right, I mean, you would have declined. I mean, the entire repo rate cut would have been affected. But have you also changed the spread in any of the segments because the underlying growth is strong? So, you may have some discretion or bargaining power to increase the spread. Is there anything?

R. Vijay Anandh: So, we have a gold loan at 30% fixed rate. That is the only component here. Everything is a variable.

Jai Mundhra: No, I am saying, sir, gold loan is fixed rate anyway. So, that does not get impacted by the interest rate. But are there any products where you have managed to increase the spread also?

R. Vijay Anandh: No, no. Last year, we increased the gold rate, GL rate, right? That is one of the things that we did. Otherwise, there is going to be no change this year. We continue to do where we are.

Dr. N. Kamakodi: See, Mundhra, if you look into regulatory announcements where even in the last policy changes, how much reduction in the rate happened, and how much got passed, and all was given for the industry level. And our numbers are also by and large matching.

So, in that, there are two things. One, not only that from last year, that 30% gold loan became a fixed rate. In fact, we also had a marginal increase in that portfolio, which has helped us to maintain the margin to a greater extent.

Just to answer your question directly, whatever margin you have seen now is basically that we could manage both cost and also by the proper repricing. Because, as Vijay Anandh earlier told, the term deposits which are maturing currently are at 8.1. So, when they get repriced at 6.75% and maybe 7% for the senior citizen, for that portion, we get a good cushion. And the fixed rate gold loans also give that cushion, and that is why we were able to not only maintain the previous quarter net interest margin, but also we could have about 5%-6% basis points. These variations in the interest recovery from the, what you call, NPA, will vary.

Like last year, like I said, last quarter it was INR 7 crore, INR 8 crore, and this time INR 15

crore. It depends on things. There is nothing lumpy or anything that has happened here. It is very difficult to predict beyond that.

Jai Mundhra: No, I was just thinking, sir, that now it looks like the trade-off between growth and margin is very negligible, right? I mean, you can do both growth and margin. So, I was just thinking, are there any products?

Dr. N. Kamakodi: Don't take this extrapolation immediately. Maybe after you see this trend firming up for the next few quarters, you can probably make that assessment. Already, we are getting enough pressure from the field saying that agricultural gold loan should be slightly decreased. We are not compromising. All such noises from the field are there, which at least has given us some elbow room that, let's say, we can make this fine-tune properly. So, once again, as we have been

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maintaining always, the current rate plus or minus 10 basis points with positive bias will continue.

Jai Mundhra: And if you can specify what your yield is on gold loans in Retail and agri? And I think you had increased by 25 basis points, right, if I remember correctly?

Dr. N. Kamakodi: Yes, we had, I mean, our non-agri gold loan yield is about 11%. And the agricultural gold loan is about 10% and you have one or two products there getting reduced to 9.75% or 9.95% or something like that, below 10. So, by and large, things are stabilizing.

Jai Mundhra: And sir, have you also launched any new product on the gold loan side since the LTV has been liberalized, or do you intend to do so after April 1st, or how is it?

R. Vijay Anandh: No, we haven't launched any new products. It's the same. Anyway, the new rules are from 26th April. So, we haven't launched any new products, and it is as it is.

Jai Mundhra: And last question, sir, to Kamakodi sir. I mean, on your transition, sir, where are we? I mean, we saw the advertisement in the newspaper also, but has the process been completed, and by what time would the name go to RBI? If you can share a rough timeline?

Dr. N. Kamakodi: See, the last date that is given in the advertisement for the receipt of the application form is on, 7th, that is this Friday. So, after that compilation of eligible candidates, the Board will sit for the shortlist, and then the interview process will start. So, as per the existing guidelines in place, the application should reach the regulator at least four months before the expiry of the term, which is why we have to send it to the RBI before 31st December. If everything goes well, we should be in a position to send by say at least mid-December, on the 4th or 5th of December.

Jai Mundhra: Earlier, sir, for a change of MD, CEO, because there will be a new person, earlier the timeline was 6 months, right? Or that is, like it has become four months, or how is it? Earlier, I was under the impression--

Dr. N. Kamakodi: As per the existing guideline, it is four months. For reappointment, it is six months.

Jai Mundhra: Oh, okay. So, the new person, actually, RBI is supposed to take less time, isn't it, for the new person?

Dr. N. Kamakodi: Yes.

Jai Mundhra: That is very helpful.

Moderator: The next question comes from the line of Sameer Bhise from Dymon Asia Capital. Please go ahead.

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Sameer Bhise: Just quickly, how confident are we incrementally with respect to increasing our growth guidance from, say, mid-teens to high teens? We are already delivering it. So, is it fair to expect similar momentum to continue in the next year as well?

R. Vijay Anandh: Sir, if the market is conducive, without diluting the risk, we are happy to grow.

Sameer Bhise: That is helpful. And secondly, on the ECLPs, if you could quantify the cumulative impact, say, as a percentage of loans, that will be very helpful.

Dr. N. Kamakodi: Too early. Too early. See, we just went through the call transcripts of various banks, and nobody has given you any number. And we also don't want to put ourselves in the, what you call, disadvantageous position. And broadly, we have given you all the data points. And if you work, you will be in a position to guess it yourself.

And I would like to reiterate what Vijay Anandh said. The existing provision level for NPA, that is, bucket 3, what is required and what is already available, are, by and large, matching. For others, say, Bucket-1 or Bucket-2, I mean, these are particular, like I said, these are all new areas where you need to have the provisioning for new areas like unavailed portions and all, which we had not calculated in the past. In IRAC norms, those things are not there. So, these are all the new areas.

And as we already said, and as it is already disclosed, we have some provision for the restructured assets already. Before the ECL kicks in, there will be a significant reduction in your restructured book as either the repayments will happen or whatever it is. So, you will be having some provisioning reversal from that segment. And also you have recovery from the technically written off book, which is expected.

There are many ifs and buts which the final clarification is needed yet. Say, for example, if somebody, some account becomes NPA and gets upgraded, will you be keeping that as NPA till the completion of the loan? Or if they behave properly, subsequently, after the upgradation for a few months or a few years, you will be upgrading. These sorts of finer nuances, which had not been considered in the past, lots of guidance and clarity are needed.

So, with this available information and back of the envelope calculation, we have adequate provision for accounts which have already turned NPA. For the second bucket, whatever reversal from the restructured book, by and large, you could manage the incremental requirements. It's a complicated thing, and you need to have clarity, but if you strictly look into the expected laws in the true sense, the expectation is that it is not going to be alarming.

Sameer Bhise: This is super helpful.

Moderator: The next question comes from the line of Param Subramanian from Investec. Please go ahead.

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Param Subramanian: So, firstly, on CASA growth. So, we are growing now at 16% Y-o-Y on CASA. And for the last two to three quarters, we have been seeing pretty good momentum here. So, anything you would like to call out about how we are outpacing the industry quite significantly over here, and still seeing a decline in the cost of deposits? So, how is that playing out?

R. Vijay Anandh: Now, we have put a dedicated team, and the branch's focus is more now. I think with the branch focus and the dedicated team, we could see some momentum picking up here.

Param Subramanian: It is not that the positive momentum from the loan growth is feeding into CASA or something like that. Is it?

R. Vijay Anandh: No.

Dr. N. Kamakodi: And also, don't just extrapolate, like say, we will be increasing by 2% every quarter and all such things. As we had already said multiple times, we had never been in the top bracket of the CASA.

And it is not going to be before a few years where we can show considerable growth, and whatever we have shown so far is allowing for fluctuations, by and large, on the same track as whatever we have demonstrated in the past.

Param Subramanian: Sir, now coming to the loan and deposit growth, I think in your initial remarks, you called out on loan and deposits. I think if you look at it on a combined basis, this looks like a decade-based quarter on growth. So, just wanted to try to understand what has changed structurally. Is it just a base effect? Is it that we are finding the environment so conducive?

I mean, a gold loan, obviously, one can understand. But overall, what is driving this very significant system plus growth on both loans and deposits that you are seeing? Or is it just some of the transformational projects that we have taken? So, if you could just broadly talk about what has changed for the Bank from a growth perspective, because there is a very significant uptrend from what we are used to seeing from the Bank on loan and deposit growth.

Dr. N. Kamakodi: See, up to pre-COVID, we had this 15% to 18% as our guidance, which we had been dealing with for many years. So, after the arrival of COVID, which impacted our growth plan for two to three years, and subsequently, one year or so, we had to spend on that transformation project, which you said. So, the point is, like, that BCG project is definitely helping us to come back to our old growth quickly. And 18 is something which is more than, let's say, 2%-3%, more than our consistent track record. Once again, I would like you to just keep it like 2% to 3% percentage over and above the growth rate of the industry, like what Vijay Anandh said, to continue. So, let us not just try to explore, let's say take 18%, 20%, 22% and all like that. Let us not do that. But definitely, gold loan growth is helping us. And the capacity expansion basically has happened at both levels.

Just to give you two or three things which will help you to understand the things better. One, we did not have a secured Retail as a separate vertical and product pre-COVID, which we started only after the arrival of our BCG project. And we never had sales vertical separately from the

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branches in the past, for which a capacity was created. So, the capacity creation in Retail sales, capacity sales for the MSME vertical, capacity created for the sales in MSME vertical, which added to the regular sales that happened from the branches, along with the gold loan growth, is probably giving another 2%-3% extra growth.

Last year, we started the secured Retail vertical. And we clearly said it will incur a loss of INR 30 crores, INR 40 crores last year, because capacity was created, and the money is yet to come. And for the Financial Year '25-'26, it will be break even. And the profitability, in addition to the ROA, will start only from the 26-'27. If you remember correctly, this is what we discussed around the same time last year. That extra capacity we created, and also the BCG project, has created the capacity for processing. So, the capacity is created both in the sourcing and in the processing, which is helping us to have additional growth. As you said, the base is also small, all helping together to take it to the next level.

Param Subramanian: That's very helpful. Last bit, just on the OPEX growth, there is a sharp uptake in this quarter. So, both employee and non-employee. If you could just call out the reasons for that? Is there some DSA expense sitting there?

R. Vijay Anandh: This should be around 15% OPEX.

Dr. N. Kamakodi: See, 15% growth in business and 15% growth in OPEX, particularly on that. And as you said, the moderation in the cost-to-income ratio, we are perhaps a few quarters away. In fact, the cost-to-income ratio increased when we incurred expenses for the project. And that elbow room we started using for the creation of human capacity. And so, yes, as you said, we built the verticals for sales and other things. So, they are yet to give you the full capacity, and because of that, we see these extra expenses.

Param Subramanian: What is 15%? Because OPEX was 20%.

Dr. N. Kamakodi: For the current quarter, it is around 20%.

R. Vijay Anandh: Going forward, this will be around 15%. H1, 17%.

Moderator: The next question comes from the line of Gaurav Jani from Prabhudas Lilladher. Please go ahead.

Gaurav Jani: Sir, just on the cost of deposits, right? So, if you can just elaborate as to what proportion of deposits matured for this kind of benefit, right? And what are the upcoming or what proportion of deposits would also mature or give us that benefit in the second half?

Dr. N. Kamakodi: In the second half, there may be around INR 18,000 crores of deposits to be repriced precisely. Every month, we are expecting around INR 3,000 crores to get repriced. Already, it was around INR 18,000 crores done in the first half of the year. The process started in April. We have revised

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the rate from April onwards. So, going forward, another INR 30,000 crores, which is in the range of 45% to 50% of overall deposits, will be repriced in the next half.

Gaurav Jani: And sir, just to clarify, what was this number for the 2nd Quarter? I mean, what proportion of deposits would have matured for the 2nd Quarter?

R. Vijay Anandh: Around INR 18,000 crores, sir. 2nd Quarter, maybe around INR 9,000 crores. It was INR 9,000 crores.

Gaurav Jani: And just to specify, the second half you estimate about INR 30,000 crore to mature, right?

R. Vijay Anandh: INR 18,000.

Dr. N. Kamakodi: INR 17,000 crore to INR 18,000 crore on the term deposit side.

Gaurav Jani: In the second half?

Dr. N. Kamakodi: In the second half.

Gaurav Jani: And just to, sir, simplify the ECL, while I do understand Kamakodi, sir, that it is tough for you to comment, but safe to assume that the kind of additional provisions that we have been making, that trend would continue for some quarters, right? So, what I mean is about 45 to 50 basis points.

Dr. N. Kamakodi: No, it is fluid because, as I told you, there is a significant reduction of whatever pro forma we calculated for 30th June and 30th September because of the reduction in the SMA number. As Vijay Anandh said, we had double digits last year, and it has come to single digit. So, it is going to be fluid. And once things stabilize and we get clarity on the assumptions, what we need to make, particularly on what is going to be the discount factor and all sorts of these things, we will be in a position to give that thing exactly.

Say, for example, there is at least a 15% to 20% reduction between 30th June and 30th September. So, it is a new territory to charter. But what I can definitely say is that it is not going to be as alarming. And also, comparing with the smooth transition, what NBFC had, and whatever numbers we try to calculate, it is not going to be as alarming.

One more thing, what you need to understand is that you will be making your regular provisions for the next five years also. So, when you calculate that, how much increase you are going to have over the next five years, that is why we feel it is not going to be alarming. Please understand, how much provision I will be making in the next five years if ECL is not there and purely by the IRAC norms and how much provision we will be making for the next five years for IRAC norms plus ECL together, the difference is not going to be as wide as some of the people worry.

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Gaurav Jani: No, I understand that. Just that as is where is basis, I thought that based on the commentary, there was a slight shortfall, right? So, I just thought that was probably the kind of run rate that we are looking at. That is why I want to...

Dr. N. Kamakodi: See, it is only that the shortfall or whatever it is, and you are having another 5 years to manage that. And also, you have an unrecovered technical written-off account. You have the normal reduction in the restructured book. So, all these things, our back-of-the-envelope calculations say, to a greater extent, they should be converging the requirement through IRAC and converging the requirement through ECL, and nothing much to complain about.

Moderator: The next question comes from the line of Vivek Singh from ValuePickr Forum. Please go ahead.

Vivek Singh: Sir, first of all, I will congratulate you on a good set of numbers. NPAs are reducing, and ROA numbers are increasing. Sir, I just want to know what the long-term expiration goal of CUB Bank is?

R. Vijay Anandh: So, always keep your growth rate 2% to 3% over and above the industry growth rate and be an efficient Bank in the system. At least be one of the efficient banks in the system.

Moderator: The next question comes from the line of Puneet Bahlani from Macquarie Group Limited. Please go ahead.

Puneet Bahlani: Just on the bit, I missed the comments on growth, but I heard you saying to one participant that you expect 200 bps above industry levels. Now, I am not sure if that was for the current year, because assuming we end at 12% maximum, 13% growth, around 12% industry growth, our target of around 15% is very conservative. Are we somewhat because of the base effect last year in the second half? Are we guiding for that? But even if I factor in that, our growth should be way higher than guided. So, just wanted your comments on that.

R. Vijay Anandh: Couple of things. As we said before, we would love to be 2% to 3% more than industry growth. Having said that, we would not shy away from growth if the market is conducive and we don't dilute the risk.

Puneet Bahlani: But this year, we are still guiding that only, that 2% above the industry.

R. Vijay Anandh: Yes, yes. We are sticking to 2% to 3% more than industry growth.

Puneet Bahlani: That's it from my side.

Moderator: The next question comes from the line of Pritesh from DAM Capital Advisors. Please go ahead.

Pritesh: Two questions. One is this reclassification. If I look at this pie chart, there is a very large reclassification in personal loans. Last quarter, it was something around INR 1,300 crores. This

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quarter, it is much higher. What has been the reclassification? This quarter, it is something like INR 2,600 crores.

R. Vijay Anandh: So, you are asking about #32 Slide, right?

Pritesh: Yes, 32.

R. Vijay Anandh: Yes, it is around 5%, the overall personal loan means all other loans put together.

Pritesh: But last quarter it was INR 1,300 crores, and this quarter it is INR 2,600 crores. So, I am just trying to check if there is any reclassification, and what is the reclassification? What are we now putting under this?

R. Vijay Anandh: Sir, we will come back to you. We will just check and come back to you separately.

Pritesh: Because it was 3% last quarter. And this quarter it is 5%. So, I am just checking what is being reclassified there. Yes. And the second question was on Tier-1 capital that does not include our profits for the half year, right? That is how the number is, right?

R. Vijay Anandh: Yes, only after the audit can it be included.

Pritesh: So, if you have a ballpark number, what could that be, including the profits?

R. Vijay Anandh: Simple thing is, like, whatever closing net worth on 31st March, first half profit, like say, minus 50 crores, you add, you will get an approximate number.

Pritesh: I will try that. And lastly, from a branch perspective, we have been gradually adding branches.

So, what is your stance on branches from here on? How do we see branches to be added?

R. Vijay Anandh: Every year, we have been adding 75 branches. That trend will continue.

Pritesh: 75 is this year as well, which we will try to--

R. Vijay Anandh: Yes, there could be some overlapping between next year and the current year, sort of thing. But the average, rough average, the expectation of branch addition for the next couple of years will be, say, for the last 3-4 years, it had been about 75 branches, and that trend will continue.

Moderator: The next question comes from the line of Akshay Badlani from HDFC Securities. Please go ahead.

Akshay Badlani: There is one question. It is around the asset quality, especially in the MSME book, because we have been growing that book for the past few quarters. And overall, how do we see the asset quality, and what would be a guide for the credit cost overall? Are we seeing the credit cost

declining at a normal average run rate? Or is this probably a one-off quarter, or how do we see

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that going forward? Because overall, we were thinking, the stress was building up in MSME. But how are we seeing, you know, are there any pockets somewhere if there is more stress, or overall, the stress is receding?

Dr. N. Kamakodi: See, as Vijay Anandh said, for the next at least a few quarters, it looks like the recoveries should be more than the slippages. And you are right. During the last quarter, the market trend and the information around said that the stress is building and all. And now you have started hearing that it is getting better and all. But for us, it is almost identical earlier and now, and there is a significant improvement in the SMA.

See, originally, as a practice, particularly on the SMA, it was very difficult to convince an MSME borrower about the significance of the SMA. That's why we traditionally had higher SMA. So, now, after we started focusing on that, expecting the ECL and other things, when we started interacting with the customers more and properly making the follow-up better, the SMA numbers have also started coming down. As of now, we don't see any undue stress building into the MSME portfolio at this point in time. That is why we are able to see the net NPA numbers coming below 1% after almost a decade or so. So, things are getting better now. Particularly, we had been a little bit slow to organize these things post-COVID, but I think that since we have taken multiple projects together, everything is falling in line now.

Akshay Badlani: Just one more question on the PCR. So, I think PCR has increased this quarter as well. Where do we see it settling going forward? What would be the comfortable level for us for the PCR number?

Dr. N. Kamakodi: So, whatever pattern we have seen in the last few quarters in terms of incremental PCR, the trend will continue. It is not that we keep a big target or immediately do or whatever it is. The things will be done at their own pace.

Moderator: The next question comes from the line of Krishna from Mudhal Partners. Please go ahead.

Krishna: I have a couple of questions. Whether the business will be led by people-led growth or technology-led growth, because the net addition in headcount, if I look at multiple quarters, is less than the growth.

The second question is on the technology spend. If you can give a breakdown of how you look at the technology spend now and the coming quarters, it will be useful, sir.

Dr. N. Kamakodi: So, to answer your first question, growth will be a mix of both people and technology. See, you need both technology and people, and you are coming from the cost angle. Typically, the expenditure spent on technology, both on hardware, software, AMCs, everything put together, the trend in the industry has been about 20% of your PAT, approximately. 15% to 20% or 20% to 22%. That is the range within which the expenses are happening. And I don't think there will be any reduction in that number in the foreseeable future. And when you get productivity with

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one tech spend, another technology comes for which you have to make an investment, and so on.

So, even after the SaaS model, or if you take it on a per-usage model, everywhere you go, by and large, this is the trend we are seeing over there. So, that is where 15% to 20% is what we see in terms of the overall technology spend. And that is what we expect. First-half to first-half, 17% increase in the expenditure but 18% increase in the business, but only 15% growth in the profit, so you cannot have a spreadsheet, pulling an Excel spreadsheet and everything coming under the same thing. These sorts of fluctuations will always be there.

And for example 2, 3 years back, we had issues with the operating profit, particularly after the interest rate started coming down. So, in that, we had to manage our PAT by saving on the credit cost because the recoveries were more than the slippages. We had a positive benefit because of that. For three years, we have had an INR 100 crore reduction in the addition of NPA, which has given us the headroom in building our profitability growth.

Like that, you have multiple levers all acting in a different rhythm. And our job is to understand at what pace individual rhythms operate, and based on which we have to work well where we need to manage well. And that is why we clearly said that 2% to 3% over and above the growth rate of the industry is our requirement. And NPA addition will be getting, the trend of seeing addition lower than the recoveries will continue.

But what is the exact credit cost? It depends upon the strategic decision where we need to, I mean, if you had actually looked into, 10 years back, we took a call not to get our net NPA below 1%, and we kept it above 1% only throughout, and between 1% to 2% we were handling. It

accelerated to over 2% during COVID, which we have brought down. And we got it below 1% after almost a decade.

So, the point we are trying to say is that all the levers are currently going in a positive way. And this is the time we have to, let's say, get the best efficiency out of every lever.

Moderator: Thank you. As there are no further questions, I would now like to hand the conference over to Dr. N. Kamakodi for closing comments.

Dr. N. Kamakodi: So, thank you all for attending this conference. As said by Vijay Anandh and Ramesh, let's say, the first half had been extremely good. Growth is good. The asset quality front is good. Perhaps the growth is at the 10-year high, and the NPA levels are also at the 10-year lows, particularly the net NPA.

We have also started taking some incremental expenditure last year, particularly the creation of capacity in various verticals, which are helping us to grow, resulting in an increase in the expenditure and a slightly elevated cost-to-income ratio compared to our 10-year average. So, once productivity comes over there, the cost-to-income ratio will also start seeing a downward trend.

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Overall, the first half had been extremely good. And in fact, at the beginning of the year, we were worried that a reduction in the rates would have a sharper effect on the yield and a sharper effect on the net interest margin. But fortunately, some of the steps we took had helped us to balance that and we were not only able to stabilize the net interest margin, but also, we could see a small hike also. That is why we are continuing with 10 basis points, plus or minus and all. Overall, in whatever visibility we have currently, the trend is positive.

Again, the questions on ECL, we are not able to make any specific number apart from the 10-year provision, whatever we may make without ECL and with ECL, looks like, by and large, the numbers will be converging. But anyway, for making that proper, we need to have a few more policies, like taking a clear-cut shape both from the industry, from the regulator and other things and all.

But what I can clearly see is that it is not going to be something alarming what we cannot afford to and all. So, overall, you have also seen the ROAs stabilizing. So, we hope the second half also, like on as is where is condition, the current trend should continue. By God's grace, we hope the second half should be good going forward.

With this closing remark, once again, as usual, you may always get in touch if you have any specific thing. Overall, thank you all for attending. Once again, thanks to Ambit for arranging the call. Thank you.

Moderator: On behalf of Ambit Capital Private Limited, that concludes this conference. Thank you for joining us and you may now disconnect your lines. Thank you.

Call: Feb 2026

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National Stock Exchange of India Ltd.,

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Mumbai 400 051

Scrip Code: CUBFebruary 07,2026

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Mumbai 400 001

Scrip Code: 532210

Dear Sir / Madam,

Sub: Transcripts of the Earnings Conference Call - e3 & 9M Fy 2026

Pursuant to Regulation 46 of SEBI Listing Regulations, 2015 (as amended), the Bank has hosted in its website, the transcript of Earnings Conference Call- Q3 & 9M FY 2026, with regard to the Standalone Un-Audited Financial Results of the Bank for the Quarter & Nine months ended December 31, 2025, as approved by the Board of Directors of the Bank, on February 02, 2026.

The weblink is given below:

<https://www.cityunionbank.bank.in/filemanager/Feb26/TRANSCRIPTO39MFY2026.pdf>

Kindly take the same on record,

Thanking you

Yours faithfully

fOT CITY UNION BANK LIMITED

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Company Secretary

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/j,

"NARAYANA"Administrative Office, No.24-B, Gandhi Nagar, Kumbakonam - 612 001

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"City Union Bank Limited

Q3 9 Months FY '26 Earnings Conference Call"

February 02, 2026

MANAGEMENT : DR. N. KAMAKODI – MANAGING DIRECTOR AND
CHIEF EXECUTIVE OFFICER – CITY UNION BANK
LIMITED

M R. R. VIJAY ANANDH – EXECUTIVE DIRECTOR –
CITY UNION BANK LIMITED

M R. V. RAMESH – EXECUTIVE DIRECTOR – CITY
UNION BANK LIMITED

M R. J. SADAGOPAN – CHIEF FINANCIAL OFFICER –
CITY UNION BANK LIMITED

MODERATOR : MR. JIGNESH SHIAL – AMBIT CAPITAL

Moderator: Ladies and gentlemen, good day, and welcome to the City Union Bank Limited Q3 9 Months FY '26 Earnings Conference Call hosted by Ambit Capital Private Limited. As a reminder, all participant lines will be in the listen-only mode and there will be an opportunity for you to ask questions after the presentation concludes. Should you need assistance during the conference call, please signal an operator by pressing star then zero on your touchtone phone.

I now hand the conference over to Mr. Jignesh Shial from AMBIT Capital Private Limited. Thank you, and over to you, sir.

Jignesh Shial: Yes. Thank you, Rutuja, and good evening, everyone. On behalf of AMBIT Capital, I would like to thank the management of City Union Bank for allowing us the opportunity to host Q3 FY '26 and 9 Months FY '26 earnings call. We have along with us Dr. N. Kamakodi, MD and CEO; Mr. R. Vijay Anandh, Executive Director; Mr. V. Ramesh, Executive Director; Mr. J. Sadagopan, CFO; and the management team of City Union Bank.

I'll now hand over to call to Mr. N. Kamakodi, MD and CEO of City Union Bank for opening remarks. Over to you, sir.

N. Kamakodi: Good evening, everyone. Dr. Kamakodi here. Hearty welcome to all of you for this con call to discuss the unaudited financial results of City Union Bank for the third quarter 9 months ended 31st December 2025 for financial year 2026. The Board approved the results today, and I hope all of you have received the copies of the results and the presentation.

As you all know, my tenure as MD and CEO of the bank i.e 15 years will be completed on 30th April. As you all know, this is my 59th quarter today. So we have one more quarter to go. And based on the regulations currently in force, let's say, I have to complete my tenure on 30th April. Keeping that into account, our Board has sent the list of candidates to RBI. And once we receive the further approval, we will be in a position to communicate to you all the status.

So far, everything is going as per the planning and all so far, so good. And we are also happy to note that our net worth has crossed INR10,000 crores mark to date, which is an important milestone in the history of the bank. And we are also happy to inform you one of our Board members, Professor V. Kamakoti, who is also the Director of the IIT Madras, had been honoured with the country's prestigious Padma award, Padma Shri and his significant contributions to our country science and technology sector, and we are happy to share with you all.

And also, we have a new introduction to our Board today. Shri K. Subramanian, Chartered Accountant and also an executive with almost 38, 39 years service with the

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Tata Consultancy Services has been inducted into our Board, we expect a good contribution from him in the future. Other details are available in the presentation. So with this, I hand over the mic to our Executive Director, Mr. Vijay Anandh, who will discuss the numbers. And also, we will be discussing the question and answers at the end. Over to Vijay Anandh.

R. Vijay Anandh: Thank you, sir. Good evening, all. During last con call, we had shared with you our expectations for the current financial year as below. We could see the visibility in achieving mid-teen to high-teen growth, at least 2% to 3% over and above that of the industry. Our deposit growth is aligning with credit growth, and this will continue. CRR cut is giving positive impact, and we are expecting some positive bias in the NIM during Q3 and Q4.

ROA is expected to remain at our current level of 1.5% plus. Our cost-to-income ratio remains in the range of 48% to 50% for financial year '26. For the current quarter, 9 months ended FY '26, our performance is more or less aligned with our expectations, whatever we have shared with you all. You could see we have surpassed on some counts.

Advance growth. We had registered 21% advance growth in Q3 financial year '26 Y-o-Y, and our advance have increased to INR60,892 crores from INR50,409 crores in Q3 FY '25. This growth is consistent starting from Q1 FY '25, and we had achieved double-digit credit growth all the quarters up to Q3 FY '26, i.e for the last 7 consecutive

quarters, we have achieved this double-digit growth. In Q3 alone, our advances have grown over by INR3,300 crores, which is more or less similar to our Q2 growth. Also, the growth of 21% is the highest credit growth after financial year '80, which is almost after 28 quarters.

As given earlier, we will continue with a targeted growth of mid-teens, which is 2% to 3% over and above the system growth. At the same time, we will not let go the opportunities when we encounter. The focus continues on core MSME, gold loans and secured retail.

Deposit front. Our deposits also had a growth of 21%, similar to advances, and our deposits stood at INR70,516 crores for Q3 FY '26 as compared to INR58,271 crores in Q3 FY '25. Our average CD ratio for Q3 FY '26 stood at 86%. The CASA percentage to total deposits stood at 27%. The daily average CASA grew by 3% between Q2 FY '26 and Q3 FY '26 and 19% year-on-year, which is Q3 FY '25 and Q3 FY '26. As you know, we had received AA rating last quarter, which enhanced our opportunities to participate in the wholesale deposit market. To test the waters, we went for a certificate of deposit for INR49 crores in Q2 FY '26 and around INR1,150 crores in Q3 FY '26 to get a feel of the market. Anyway, our focus will be on granular retail deposits, and this participation in CD market is purely to get an experience.

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Asset quality status. In asset quality front, we are continuing with the trend of recoveries over and above slippages as we have seen in last several quarters. For Q3 FY '26, the slippage is around INR193 crores, while the total recoveries is INR219 crores, consisting of INR164 crores from live NPA and INR55 crores from technically written-off accounts, resulting in reduced NPA figures. Our gross NPA percentage had reduced to 2.17% from 2.42% in Q2 FY '26 and 2.99% in Q1 FY '26.

Both gross NPA and net NPA in both percentage and absolute terms is reducing quarter-by-quarter for the last 11 quarters, I'll say, close to 3 years on a continuous basis. When compared to Q3 FY '25, the GNPA had reduced from 3.36%, which is almost 119 bps reduction. Similarly, our net NPA number had come below the INR500 crores mark and decreased to INR469 crores and our net NPA percentage to 0.78% in Q3 FY '26 as compared to 1.42%, resulting in 64 bps reduction in net NPA on a year-on-year basis. Net NPA was at 1.2% in Q1 FY '26 and 0.9% in Q2 FY '26. We are now at 0.78%, showing substantial sequential increase. In our last con call, we have stated that our overall SMA, including SMA 0, 1 and 2 put together are in decreasing trend for the past few quarters. The total SMA numbers for Q3 FY '26 stood at 3.68% compared to 5.06% in last quarter, showing significant improvement in these numbers. Overall, SMA-2 to total advance has come down below 1% and stood at 0.95% in Q3 FY '26 as compared to 1.34% to Q2 FY '26 and 1.59% in Q1 FY '26. As we speak today, we are at 0.95% for this quarter.

For Q3 FY '26, PCR with technical write-off stood at 83%, which has improved from 77% in Q3 last year. Starting from Q1 FY '25, we have been increasing our PCR without TW to bring it closer to the industry levels. For the current quarter, PCR without technical write-off had improved to 64% compared to 59% in Q3 FY '25.

Interest income. Our interest income had grown by 19% in Q3 FY '26 and improved to INR1,756 crores from INR1,479 crores in Q3 FY '25. For 9 months ended FY '26, our interest income stood at INR5,014 crores as compared to INR4,301 crores, showing 17% growth, INR5,014 crores compared to INR4,301 crores.

Yield. On yield front, our yield on advances stood at 9.73% in Q3 FY '26 as compared to 9.81% in Q3 last year. Compared to Q2 FY '26, the yield has marginally improved by 7 bps. For 9 months FY '26, the same is 9.73% as against 9.74% similar period last year.

On the cost side, the cost of deposits have reduced by 14 bps sequentially due to the repricing benefit and stood at 5.57% for the quarter compared to 5.71% in Q2 FY '26. As a result, our NIM has increased from 3.63% in Q2 FY '26 to 3.89% in Q3 FY '26. Faster repricing of deposits and increase in gold portfolio with fixed rate is driving this improved NIM. For the 9 months ended FY '26, the NIM is at 3.69% as compared to

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3.59% for the same period in FY '25. We expect a stable NIM for Q4 as well with 10 bps plus or minus.

The other income for 9 months FY '26 has increased by 16% to INR748 crores from INR647 crores last year. Further opportunities on treasury profits are getting limited, which we are working hard to compensate through other means like insurance income, processing charges, etcetera.

Our operating profit had grown by 18% in Q3 FY '26 and stood at INR513 crores compared to INR436 crores in Q3 FY '25, which is in tune with 21% business growth.

For year-to-date, that is 9 months ended FY '26, it had improved to INR1,435 crores from INR1,238 crores for 9 months ended FY '25, registering a 16% growth.

The total PAT had grown by 16%. For 9 months ended FY '26, it stood at INR967 crores as against INR836 crores in the corresponding period in FY '25. And Q3 FY '26, our PAT was INR332 crores as against INR286 crores in Q3 FY '25.

Cost to income. Our cost-to-income ratio for Q3 FY '26 stood at 48.56% compared to 49.16% in Q2 FY '26, showing some decrease. While for 9 months ended FY '26, it stood at 48.62%.

ROA. Our ROA for Q3 FY '26 is at 1.53% and our 9 months FY '26 ROA is at 1.55%, which is over and above our long-term level of 1.5%.

To sum up, we have achieved consistent double-digit growth in all the 4 quarters of FY '25 and also 3 quarters for the current financial year. We would end up in high-teen growth for FY '26, which will be over and above the industry level growth. Our focus continues to be in the areas of core MSME, gold loan and secured retail.

Our deposit growth will be aligned with the credit growth with focus on CASA and granular deposits. The effects of CRR cut will have some positive bias in the next quarter as well as in our NIM levels. ROA is expected to remain at our current level of 1.5 plus and our cost-to-income ratio remains in the range of 48% to 50% for financial year '26.

Thanks a lot to everyone. Happy to take the questions.

Moderator: Thank you very much. The first question is from the line of Sameer Bhise from Dymon Asia. Please go ahead.

Sameer Bhise: Congrats on a fantastic set of numbers. Just wanted to understand the provisioning breakup for this quarter. Given that it is slightly higher on a sequential basis, does it also involve any floating or standard asset provisions? I can also see that PCR has gone up. But if you could elaborate the thought process here, I think it will be helpful.

N. Kamakodi: See, we had INR74 crores provision for NPA vis-a-vis INR40 crores for the last quarter. And the provision for tax is almost stable at INR85 both years and the standard asset

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provision increased from INR7 crores to INR22 crores. See, the logic is when I hand over, I have to reduce the NPA level as much as possible. And we have achieved our targeted ROA of 1.5 percentage plus, and we are going for higher provision to improve the coverage ratio and also reduce the net NPA numbers.

Sameer Bhise: Yes. Okay. Fair enough. And secondly, if one were to look at incrementally, how should one look at slippage ratios going ahead because we are entering -- we are now on a reasonably strong growth trajectory and also share of retail assets continues to inch up. So if you could comment on that, especially for FY '27, if you can share some thoughts, that will be great?

N. Kamakodi: See, basically, for many quarters now, the total recoveries of live NPA and technically written off NPA together are more than the slippage numbers. And using that and also having some incremental provision, we were slightly behind the pack in terms of gross and net NPA percentage even last year, which we have caught up to a greater extent. Whenever we feel that gross NPA and net NPA numbers are comfortable and we can go for higher profits, we'll be taking the call, and we will be reviewing that situation. And probably Vijay will also concur with me like based on that decision, the incremental credit provisioning will be decided.

Moderator: The next question is from the line of Anand Dama from Emkay Global.

Anand Dama: Congratulations for a good set of results. Sir, what is basically driving up our margins? We saw your interest on advances actually shooting up this quarter despite most players reporting a rate cut. Is it that last year or basically earlier on, we had a lot of interest reversals, which is not happening now, or the incremental loans are basically coming at a better yields. The MCLR-related regulatory issues that we had, that also seems to be largely behind. So what basically explains the jump in the interest on advances that you're seeing at this point of time?

R. Vijay Anandh: So sir, basically, we had a repricing on deposits, as mentioned in my commentary,

almost INR14,200 crores got repriced. This is from the deposit side. And from the advances side, we have moved to fixed rate in gold loans. So that is now stable. And in MSME also, we are targeting the numbers what we are supposed to as well in retail secured. I think the combination of these factors is helping us in getting it right.

Anand Dama: So do you expect the interest on loans to go up further?

R. Vijay Anandh: I don't think so, sir. Quite difficult.

Anand Dama: Okay. And your cost will keep coming down.

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N. Kamakodi: Yes. One more thing which you have to keep in account, Anand Dama, the reduced CRR ratio also is helping us. And also, we are operating at a slightly inched up average CD ratio, all are helping us to have a better margin.

Anand Dama: Okay. And that basically gives you confidence that in fourth quarter margin should be largely flattish.

N. Kamakodi: Yes. That's why we have -- like us -- as usual, we have given plus or minus 10 basis point band.

Anand Dama: And sir, how should we look at FY '27? Should the margins be in the range of about 3.9% or should inch up further some?

N. Kamakodi: Ask for 1 quarter at a time. The -- you are still not sure how the RBI rate cuts are, going to move. There are multiple factors which we have to look into. But whatever that happens, our endeavour is to have 3.75% to 4% is what we had done in the previous cycle for a few quarters. That stability is what we are targeting and trying to work out.

Anand Dama: But assuming there is no rate cuts, then you should expect a stable to better margins next year?

N. Kamakodi: Yes, yes.

Anand Dama: Sir, secondly, what is driving up your other opex during the current quarter? It was INR254 crores versus INR230 crores last quarter. Is it more related to business or there was some one-off over here?

R. Vijay Anandh: No, I think it's almost same. It was flat. We are at INR455 crores in Q2, and we are at INR484 crores. So majorly, it's going to be technology expenses and salaries, nothing much.

Anand Dama: You've largely taken the Labor Code impact, right, this quarter itself?

N. Kamakodi: See, fortunately, we are not getting impacted because right from the beginning, our calculations on the retiral benefits and all are based on the basic plus DA basis only. It was not purely based on the basic.

And also that both the things would come above 50% is also not making any impact to us. Only thing is impacting us in a minor form is the gratuity you have to give for even 1 year, unlike what it was 10 years in the past, for which we don't expect a big impact and all. We have not yet got the actuarial calculations from LIC which is managing our fund. Expecting those things, we have made a marginal provision of INR2 crores for the current quarter.

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Anand Dama: Okay. And sir, ECL provision you made last quarter. This quarter, you not made any ECL...

N. Kamakodi: This quarter also about INR4 crores, INR5 crores we have made. So this quarter, we have not made any incremental provision for ECL.

Anand Dama: Okay. So you expect you to make this quarter?

N. Kamakodi: Yes. See, basically, after that SMA numbers are coming down, we are keeping a tab on that and trying to look at how we can take it forward.

Anand Dama: Sure. And sir, lastly, RBI supervision would be over by now, hopefully, you would have got the final report. Any observations over there in terms of PSL or anything else?

N. Kamakodi: No. I think if you remember, we had that hit about 3 years back. After that, this cycle is over and nothing to market.

Moderator: The next question is from the line of Haresh Kapoor from 360 One Capital.

Haresh Kapoor: So my first question is your gold loan portfolio in agri has declined 2% on a Q-o-Q basis. So anything to read into that? That's my first question. My second question is what proportion of the deposits are yet to be repriced in quarter 4? And my third and

the last question is within the overall advances, last time around you quoted that there is INR500 crores renewable energy portfolio, which is slightly higher yielding than your core MSME portfolio. So just within the overall advances, what proportion is the high-yield portfolio? And what would be that proportion, say, 2, 3 quarters down the...

R. Vijay Anandh: So gold loans we don't expect much. It's almost -- it's an agricultural gold loan, which has come down. And again, based on the season, harvesting and other things. So we don't expect that I think it should be back to normal. So nothing much materialistic in this. With respect to your next question of repricing of deposits, another INR1,782 crores to go. This is a repricing which is going to happen in the next couple of quarters.

So this is on your second question. Sorry, I missed your third question. I'm sorry, sir.

Haresh Kapoor: Yes. So third question was, so last time in the last quarter's con call, you had mentioned that you have started doing renewable energy portfolio, which was around INR500 crores end of Q2. And there were certain other segments where you are earning slightly higher yield than trying to understand what are those segments? And what would be the proportion of those segments, say, 2, 3 quarters down the line?

N. Kamakodi: I think you are linking what we got from the IFC. The purpose is kept for the solar. And many of our customers are asking and that is a slow and steady progress. And our expectation is that we should be able to complete that before the completion of the calendar year 2026. So the progress is slow and steady without much issues so far.

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Moderator: The next question is from the line of from Pritesh Bumb from DAM Capital Advisors. Please go ahead.

Pritesh Bumb: Congrats on a great set of numbers. Just a few questions. One is that what is the growth outlook from here on? So we've seen a very strong loan growth. You had guided in the last quarter that we may also do something around 18%, 20%, more than that.

So how do you see that from here on?

R. Vijay Anandh: Sir, as I explained in the summary, we are expecting it to high teen. So we will continue to grow like this, high teens.

Pritesh Bumb: And sir, if I want to ask a follow-up on that is what CD ratio we are comfortable on from here on...

R. Vijay Anandh: Want to be between 85% to 86%. That's the number we are looking at.

Pritesh Bumb: 85% to 86% is where we are comfortable at Right. Sir, can you give some data on this how much is EBLR fixed MCLR as a share in our loans?

R. Vijay Anandh: EBLR around 48%, MCLR around 17% and 32% by way of fixed rate for gold loans and 3% towards gross NPA.

Pritesh Bumb: Okay. Got it. And last question was on write-off. We've seen write-off going up a bit quarter-to-quarter. Last quarter, we had -- quarter-on-quarter, it has fallen, but as a number still looks like we're growing about plus INR1,000 crores. So what is the thought process there? And what is intervening that write-off?

N. Kamakodi: Kamakodi here, there are thought process involved in this. One, wherever we have made maximum provisions and all, we are using this opportunity to reduce it so that the management of gross and net NPA will be better.

And number two, it also helps in the taxation purpose also. So considering both -- and you can also see that we continuously have a decent stream of recoveries from the return off assets. Even this year also, we had a very reasonable sum. So these technical write-off is one instrument, which we are using for quite some time, and we feel comfortable with that. And our future also, we feel we will be continuing with the same methodology.

Pritesh Bumb: Sure. And sir, if I can squeeze one more. Our tax rate has been consistently lower at about 20%, and we managed to keep that for some time. So can that continue for some time more, given -- is there some rule there? You mentioned about write-off.

R. Vijay Anandh: It will go as far as we are, let's say, once again, depending upon how much write-offs we are doing and how much incremental provision we are making. So it will take a comprehensive step on all these parameters put together. This will probably continue for at least another 2, 3 or 4 quarters, maybe even to the completion of the next year.

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And future will be depending upon increase in your NPA, slippage cycle, which we hope

we should be another -- not less than 4, 5 quarters away.

Moderator: The next question is from the line of Rohan M from Equirus Securities.

Rohan M: Congrats on good set of numbers. Sir, in the previous -- in the repo cuts which have happened up till now, we have been able to manage by not transmitting the entire cut to the borrowers. So, for the 25 basis point cut that has happened in December, like will that be a complete transmission or we will be able to manage with lower cut? And has that got reflected in the yield this quarter?

R. Vijay Anandh: Yes. Whatever the rate cut which has happened by December, this has completely got transferred to the customers, and there is nothing much left in EBLR.

Rohan M: So, effectively 25 basis points has got transmitted?

R. Vijay Anandh: Yes.

N. Kamakodi: For all the loans which are in EBLR. So, we have 30 percentage in gold loans. Those portions will not get that. So that is why the overall impact will be less than 25 basis point. And just to give you our overall annual impact because of this rate cut comes to about INR40-odd crores, INR45 crores, which translates into about INR11 crores per quarter because of this last rate cut whatever we had. And one thing is that in this third quarter, it has happened only towards the last one month or so.

But this impact will be there for all the three months in this current quarter. But you will be having that compensation from the benefits we are getting on the repricing of term deposits, which Vijay Anandh gave a figure of about INR14,000 crores to INR17,000 crores or something like that. So, with that, taking both these things into account only, based on our expectation that our NIM will be by and large stable, may even have an upward bias, but will be in the band of plus or minus 10%.

Rohan M: And sir, just on the yield on the MSME portfolio, how would it have moved in the last 9 months, whether March to December?

N. Kamakodi: MSME, we are maintaining at 9.5. The yield is more or less same. So there is nothing much material. Broadly no changes in the quarter, sir.

Rohan M: March also it was -- it would have been at a similar in March?

N. Kamakodi: By and large, yes, same.

R. Vijay Anandh: Plus or minus 10, 15 basis points.

N. Kamakodi: 10, 15 bps. Materialistically, not a big difference, sir.

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Rohan M: And sir, on the standard asset provision of INR22 crores this quarter, is it only linked to the increase in the balance sheet or is there any other component here?

R. Vijay Anandh: Only increase in the balance sheet.

Rohan M: And sir, with the reduction in SMA, where do we stand on the ECL requirement -- ECL provisions versus requirements?

N. Kamakodi: We have, in fact, discussed about this in the -- I think last quarter or I think even on the second quarter, we discussed that at length. And we are seeing negative bias even in that requirement in the last couple of quarters because of the lower SMA numbers. You can probably get the details from last quarter con-call, we have discussed at length on these numbers.

Rohan M: Right. Sir, but as per the assessment, as of 3Q...

N. Kamakodi: I also clearly said I will not be giving any exact number till other banks give the exact numbers. I stand to that statement. I will not be the one of the first banks to give that. But directionally have given everything possible with which you can make your own assessment. And after I declared that, there is still downward bias on that requirement is what I can add.

Moderator: The next question is from the line of Subramanian K. from Itus Capital.

Subramanian K.: Congrats on good set of numbers. My first question is, what are the segments in retail facing competition and how is the yield for each segment has changed after the rate cut?

R. Vijay Anandh: So, retail -- our major focus is on LAP and home loans. And of course, we are leveraging our rural branches for affordable home loans. LAP, I think we are down by 20, 25 bps what we used to do before. What advantage we are getting is our DSA sourcing, so-called third-party sourcing is negligible. We don't go beyond 10, 15 percentage. So that's giving us a benefit.

So as we speak, the LAP is around 9.4, 9.5. Affordable in rural, we have been consistent with the brand sourcing and that's giving us a double-digit yield. So there is -- in home loans, we are always at around 8.8% to 9%. That's been our core thing.

N. Kamakodi: Yes. Just to add to Vijay Anandh's comments and also just to give a right perspective to your question, after RBI rate cut, at industry level, we are not seeing any equal or

substantial reduction on the new files procured. So, by and large old rates are holding up because of liquidity position in the overall industry. And we had a few weeks when we could even negotiate increase in the rates also. But overall speaking, on weighted average basis, there is some downward push, but it is not exactly correlating with the 25 basis point rate cut. It is somewhere in between.

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Subramanian K.: Got it. My second question is on the deposits. So, deposits is currently growing at a low teen base. So, going forward, how do you think this will be growing at a high base?

N. Kamakodi: See, we have given, like, adding the CD and other things, both have grown by about 21 percentage is what you are seeing from one point to point basis. And for us, what we have seen is that it is not that every quarter the growth rate of deposits and growth rate of advances will match. There are fluctuations here and there.

As explained by ED, Mr. Vijay Anandh, the focus for us is on retail term deposits and also granular CASA. And we don't have anything to currently suggest that the deposit growth will not be matching with the credit growth or whatever it is. Both deposit and credit growth on overall business basis on a, what do you call, one year full basis.

As suggested by ED, Mr. Vijay Anandh, it will be in low to mid-teens. Now we are saying mid to high-teens. Some amount of positive bias we are able to see. And we don't get any threatening now to suggest that we will not be having sufficient deposit growth and all. That could be quarterly operations.

To manage that liquidity position only, we have made trials on the certificate of deposits and understood the process and all and keeping it as a backup. One or two-quarter liquidity management can be done by that. But overall growth rate of our business will be from the retail term deposits, granular CASA, and also on advances front MSME, gold loan, and secured retail.

Moderator: The next question is from the line of Param Subramanian from Investec.

Param Subramanian: Firstly, on the quarter-on-quarter opex growth, so there is no meaningful change in our channel sourcing or payments to DSAs or any such thing, right, because the quarter-on-quarter opex growth is up. And if not, what is driving this? Some colour and how we should think about this going ahead.

R. Vijay Anandh: Very negligible for DSA payout. As I said a couple of minutes before, the DSA sourcing is hardly from 10% to 12% for us. So there is no DSA...

N. Kamakodi: Just to give you a perspective, in third quarter, there will be a provision for the Diwali bonus and things like that. Last year, if you look into our salary increase between Q2 and Q3, it was INR178 crores to INR196 crores, about INR18 crores growth -- last year, it happened in the fourth quarter. And some amount of quarterly aberrations will be there based on when we give the variable pay and other things for these things. So there is an increase on salary between Q2 and Q3, about INR6 crores, INR7 crores and about INR30 crores increase in the overall operating expenditure. In that, depreciation also increased from INR25.7 crores to INR29 crores, another INR4 crores. Like that, in different items, another item basically on GST taxation payment. So it increased from INR12.25 crores in the Q2 to INR21 crores in the Q3, about INR9 crores.

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So this, the INR35 crores -- INR29 crores incremental cost, the breakup is coming from about Q2 to Q3, breakup of increased salaries about INR3 crores-INR4 crores. The GST payment by about INR8 crores-INR9 crores and the depreciation about INR4 crores-INR5 crores. Like that, it is getting segregated among multiple headcounts. Depending upon the situation, it is overall cost-to-income ratio, whatever we had indicated during the year beginning, it is holding up and feel, in fact, there is a small reduction in the overall cost-to-income ratio also.

Param Subramanian: Fair enough. So largely all business as usual. So nothing...

N. Kamakodi: Nothing abnormal in the pattern between Q2 and Q3.

Param Subramanian: Okay. Fair enough. Sir, next on the gold loans, if you can tell us what is the LTV on sourcing, roughly, and on book also?

N. Kamakodi: At the onboarding time, it is around 65. When you add the interest for the one-year period for all the non-agri gold loans, it comes to 72 or 73.

Param Subramanian: 72, including the interest, okay. And on your book basis, on average, roughly, you

would have an idea?

N. Kamakodi: After the increase in the gold price, it is worked out around 55% to the overall portfolio.

Param Subramanian: Okay, so fair amount of equity is there. Okay, that part is clear. Thirdly, sir, how to think about growth going into FY '27? I mean, I heard in the opening commentary, we are clearly surpassing our normal trend line. This is our best growth since FY '18, as you called out. But how to think about growth going into next year?

N. Kamakodi: So we have given, what do you call, a lot of sentences on this question asked. And you are asking a question for which we have not any -- we don't have any written answers with us. But what we can -- you can infer is that we earlier, we said we will be growing from low to mid-teens. So now we say mid to high teens.

Param Subramanian: Okay, fair enough. Congratulations on the quarter, sir.

Moderator: The next question is from the line of Gaurav Jani from Prabhudas Lilladher.

Gaurav Jani: Congrats. Just one question on the gold book, right? You mentioned 30% of your total book is gold, right?

R. Vijay Anandh: Yes.

Gaurav Jani: Okay. And that is fixed rate. So what would be the tenure of these loans?

R. Vijay Anandh: For agri, it may be in the range of 18 months to 24 months, whereas for non-agri, it's around 12 months.

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Gaurav Jani: Okay. So within 12 months, these can be repriced.

R. Vijay Anandh: Yes.

Moderator: Thank you. As there are no further questions from the participants, with that, I now hand the conference over to management for closing comments.

N. Kamakodi: Thank you all for attending this conference. And if you have any more questions, you can always contact Mr. Jayaraman or our ED, Mr. Vijay Anandh. And as I explained to you, I have successfully completed my 59th quarter. And so far, so good. Things have been working out well. And I think going from here, on every parameter, you will start seeing improvement. So, with these few words, I once again thank you all for joining and also thanks to Ambit for arranging this. Thank you all.

Moderator: Thank you. Ladies and gentlemen, on behalf of Ambit Capital Private Limited, that concludes this conference. Thank you for joining us, and you may now disconnect your lines.

Call: May 2026

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